NEW ISSUE – BOOK-ENTRY ONLY

RATINGS: Moody's: Aa2
Fitch: AA (Stable Outlook)

In the opinion of Bond Counsel, assuming compliance by the City with certain covenants, under existing statutes, regulations and judicial decisions, the interest on the Series 2016A Bonds is excluded from gross income for federal income tax purposes of the holders thereof and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations. However, interest on the Series 2016A Bonds shall be taken into account in determining adjusted current earnings for purposes of computing the alternative minimum tax on corporations. INTEREST ON THE SERIES 2016B BONDS IS NOT EXCLUDED FROM GROSS INCOME FOR FEDERAL INCOME TAX PURPOSES. See 'TAX MATTERS" herein for a description of certain other tax consequences to holders of the Series 2016 Bonds.

CITY OF TAMARAC, FLORIDA
$17,760,000 UTILITY SYSTEM REFUNDING REVENUE BONDS, SERIES 2016A (GREEN BONDS)
and
$4,105,000 UTILITY SYSTEM REFUNDING REVENUE BONDS, SERIES 2016B (TAXABLE) (GREEN BONDS)

Dated: Date of Delivery

Due: October 1, as shown on inside cover

The Utility System Refunding Revenue Bonds, Series 2016A (Green Bonds) (the "Series 2016A Bonds") and Utility System Refunding Revenue Bonds, Series 2016B (Taxable) (Green Bonds) (the "Series 2016B Bonds," collectively with the Series 2016A Bonds, the "Series 2016 Bonds") will be issued by the City of Tamarac, Florida (the "City") as fully registered bonds in denominations of $5,000 or any integral multiple thereof and will be initially registered in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC"), which will act as the securities depository for the Series 2016 Bonds. Purchasers of the Series 2016 Bonds (the "Beneficial Owners") will not receive physical delivery of the Series 2016 Bonds. Transfer of ownership in the Series 2016 Bonds will be effected by DTC's book-entry system as described herein. As long as Cede & Co. is the registered owner as nominee of DTC, principal and interest payments will be made directly to such registered owner which will in turn remit such payments to the DTC Participants (as defined herein) for subsequent disbursement to the Beneficial Owners. The principal and the premium, if any, and interest on the Series 2016 Bonds will be paid by U.S. Bank National Association, Jacksonville, Florida, as Registrar and Paying Agent. Interest on the Series 2016 Bonds is payable semi-annually April 1 and October 1 of each year, commencing April 1, 2017.

THIS COVER PAGE CONTAINS CERTAIN INFORMATION FOR QUICK REFERENCE ONLY. IT IS NOT A SUMMARY OF THIS ISSUE. INVESTORS MUST READ THIS ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO MAKING AN INFORMED INVESTMENT DECISION.

The Series 2016 Bonds are being issued by the City pursuant to Chapter 159, Part I, Florida Statutes, Chapter 166, Part II, Florida Statutes, Article VIII, Section 2, Constitution of the State of Florida, the municipal charter of the City and other applicable provisions of law (collectively, the "Act"), and Resolution No. R-2016-109 adopted by the City Commission of the City (the "City Commission") on October 11, 2016, as supplemented by Resolution No. R-2016-110 adopted by the City Commission on October 11, 2016 (collectively, the "Bond Resolution"). The Series 2016 Bonds are being issued to provide funds, together with other legally available funds of the City, to refund all of the City's outstanding Utility System Refunding Revenue Bonds, Series 2009 (the "Series 2009 Bonds") Proceeds of the Series 2016A Bonds will also be used to construct improvements to the City's Sewer System (the "2016A Project"), and to pay costs of issuance and delivery of the Series 2016A Bonds. Proceeds of the Series 2016B Bonds will also be used to pay costs of issuing and delivering the Series 2016B Bonds.

The principal of and interest on the Series 2016 Bonds will be payable from and will be secured solely by a lien upon and a pledge of (i) the Net Revenues derived by the City from the operation of the Sewer System and Water System (described herein) (collectively, the "System") and (ii) until applied in accordance with the provisions of the Bond Resolution, all moneys, including income from the investment thereof, in certain of the funds and accounts established by the Bond Resolution, all in the manner and subject to the terms and provisions of the Bond Resolution (collectively, the "Pledged Revenues"), on a parity with any Additional Parity Obligations hereafter issued, all in the manner and to the extent provided in the Bond Resolution. See "SOURCES OF AND SECURITY FOR PAYMENT OF THE BONDS" herein.

The Series 2016A Bonds are subject to redemption prior to maturity as more fully described herein. The Series 2016B Bonds are not subject to redemption prior to maturity. See "DESCRIPTION OF THE SERIES 2016 BONDS - Redemption Provisions" herein.

THE SERIES 2016 BONDS SHALL NOT BE OR CONSTITUTE GENERAL OBLIGATIONS OR INDEBTEDNESS OF THE CITY AS "BONDS" WITHIN THE MEANING OF THE CONSTITUTION OF THE STATE OF FLORIDA, BUT SHALL BE PAYABLE SOLELY FROM AND SECURED BY A LIEN UPON AND A PLEDGE OF THE PLEDGED REVENUES AS PROVIDED IN THE BOND RESOLUTION. NO HOLDER OR HOLDERS OF ANY SERIES 2016 BONDS SHALL EVER HAVE THE RIGHT TO COMPEL THE EXERCISE OF THE AD VALOREM TAXING POWER OF THE CITY OR TAXATION IN ANY FORM OF ANY REAL OR PERSONAL PROPERTY THEREIN TO PAY PRINCIPAL AND INTEREST ON THE SERIES 2016 BONDS.

The Series 2016 Bonds are offered when, as and if issued, subject to receipt of the legal opinion of Bryant Miller Olive P.A., Tampa, Florida, Bond Counsel. Certain legal matters will be passed on for the City by Goren, Cherof, Doody & Ezrol, P.A., Fort Lauderdale, Florida, City Attorney, and by Akerman LLP, Orlando Florida, as Disclosure Counsel. Larson Consulting Services, LLC, Orlando Florida is acting as Financial Advisor to the City in connection with the issuance of the Series 2016 Bonds. Nabors, Giblin & Nickerson, P.A., Tampa, Florida is serving as counsel to the Underwriters in connection with the issuance of the Series 2016 Bonds. It is expected that settlement for the Series 2016 Bonds will occur through the facilities of DTC in New York, New York, on or about November 9, 2016.

RBC CAPITAL MARKETS

STIFEL **RAYMOND JAMES**

Dated: October 20, 2016

MATURITIES, AMOUNTS, INTEREST RATES, PRICES, YIELDS AND INITIAL CUSIP NUMBERS

$17,760,000
CITY OF TAMARAC, FLORIDA
Utility System Refunding Revenue Bonds, Series 2016A Bonds
$7,145,000 Serial Series 2016A Bonds

Maturity (October 1)	Amount	Interest Rate	Price	Yield	Initial CUSIP
2026	$415,000	5.000%	125.480	2.130%	87504TAW4
2027	540,000	5.000	123.969	2.280*	87504TAX2
2028	565,000	5.000	122.874	2.390*	87504TAY0
2029	595,000	5.000	122.085	2.470*	87504TAZ7
2030	625,000	5.000	121.303	2.550*	87504TBA1
2031	655,000	5.000	120.623	2.620*	87504TBB9
2032	690,000	5.000	120.043	2.680*	87504TBC7
2033	720,000	4.000	108.147	3.040*	87504TBD5
2034	750,000	4.000	107.704	3.090*	87504TBE3
2035	780,000	4.000	107.351	3.130*	87504TBF0
2036	810,000	4.000	107.087	3.160*	87504TBG8

$4,665,000 5.000% Term Series 2016A Bonds due October 1, 2041; Price 116.916; Yield 3.010%*; Initial CUSIP 87504TBH6

$5,950,000 5.000% Term Series 2016A Bonds due October 1, 2046; Price 116.451; Yield 3.060%*; Initial CUSIP 87504TBJ2

* Yield calculated to first optional call date of October 1, 2026.

$4,105,000
CITY OF TAMARAC, FLORIDA
Utility System Refunding Revenue Bonds, Series 2016B (Taxable)

$4,105,000 Serial Series 2016B Bonds

Maturity (October 1)	Amount	Interest Rate	Price	Yield	Initial CUSIP
2017	$400,000	1.000%	100	1.000%	87504TBK9
2018	425,000	1.250	100	1.250	87504TBL7
2019	430,000	1.450	100	1.450	87504TBM5
2020	435,000	1.700	100	1.700	87504TBN3
2021	445,000	1.900	100	1.900	87504TBP8
2022	450,000	2.100	100	2.100	87504TBQ6
2023	460,000	2.300	100	2.300	87504TBR4
2024	475,000	2.500	100	2.500	87504TBS2
2025	485,000	2.650	100	2.650	87504TBT0
2026	100,000	2.800	100	2.800	87504TBU7

OFFICIALS OF THE
CITY OF TAMARAC, FLORIDA

CITY COMMISSION
Harry Dressler, Mayor
Diane Glasser, Vice Mayor
Pamela Bushnell, Commissioner
Michelle Gomez, Commissioner
Debra Placko, Commissioner

CITY OFFICIALS
Michael C. Cernech, City Manager
Mark C. Mason, CPA, Director of Financial Services
Pat Teufel, City Clerk
Christine A. Josephs Cajuste, CPA, Assistant Director of Financial Services/Controller
Jack Strain, Public Services Director

CITY ATTORNEY
Goren, Cherof, Doody & Ezrol, P.A.
Fort Lauderdale, Florida

BOND COUNSEL
Bryant Miller Olive P.A.
Tampa, Florida

DISCLOSURE COUNSEL
Akerman LLP
Orlando, Florida

FINANCIAL ADVISOR
Larson Consulting Services, LLC
Orlando, Florida

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No dealer, broker, salesman or other person has been authorized to give any information or to make any representation other than the information and representations contained herein, in connection with the offering of the Series 2016 Bonds, and if given or made, such information or representations must not be relied upon as having been authorized by the City. This Official Statement does not constitute an offer to sell nor the solicitation of an offer to buy, nor will there be any sale of the Series 2016 Bonds to any person in any jurisdiction to whom it is unlawful to make such offer, solicitation or sale. The information set forth herein has been obtained from the City and The Depository Trust Company and other sources which are believed to be reliable, and while not guaranteed as to completeness or accuracy, is believed to be correct as of the date of this Official Statement. Any statements in this Official Statement involving estimates, assumptions and matters of opinion, whether or not so expressly stated, are intended as such and not as representations of fact, and the City expressly makes no representation that such estimates, assumptions and opinions will be realized or fulfilled. Any information, estimates, assumptions and matters of opinion contained in this Official Statement are subject to change without notice, and neither the delivery of this Official Statement, nor any sale made hereunder, shall under any circumstances create any implication that there has been no change in the affairs of the City since the date hereof.

The Series 2016 Bonds have not been registered with the Securities and Exchange Commission under the Securities Act of 1933, as amended, nor has the Bond Resolution been qualified under the Trust Indenture Act of 1939, as amended, in reliance upon exemptions contained in such acts. The registration or qualification of the Series 2016 Bonds in accordance with applicable provisions of the securities laws of the states, if any, in which the Series 2016 Bonds have been registered or qualified and the exemption from registration or qualification in certain other states cannot be regarded as a recommendation thereof. Neither these states nor any of their agencies have passed upon the merits of the Series 2016 Bonds or the accuracy or completeness of this Official Statement. Any representation to the contrary may be a criminal offense.

IN CONNECTION WITH THE OFFERING OF THE SERIES 2016 BONDS, THE UNDERWRITERS MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE SERIES 2016 BONDS OFFERED HEREBY AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITERS MAY OFFER AND SELL THE SERIES 2016 BONDS TO CERTAIN DEALERS AND OTHERS AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE COVER PAGE OF THIS OFFICIAL STATEMENT, AND SUCH PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITERS.

References herein to laws, rules, regulations, resolutions, agreements, reports and other documents do not purport to be comprehensive or definitive. All references to such documents are qualified in their entirety by reference to the particular document, the full text of which may contain qualifications of and exceptions to statements made herein. Where full texts have not been included as appendices to this Official Statement, copies may be obtained from the City of Tamarac, Florida, 7525 NW 88th Avenue, Tamarac, Florida 33321, Attention: City Clerk, upon payment of reproduction costs and postage and handling expenses.

The Underwriters have provided the following sentence for inclusion in this Official Statement: The Underwriters have reviewed the information in this Official Statement in accordance with, and as a part of, their responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

CERTAIN STATEMENTS CONTAINED IN THIS OFFICIAL STATEMENT REFLECT NOT HISTORICAL FACTS BUT FORECASTS AND "FORWARD-LOOKING STATEMENTS." IN THIS RESPECT, THE WORDS "ESTIMATE," "PROJECT," "ANTICIPATE," "EXPECT," "INTEND," "BELIEVE" AND SIMILAR EXPRESSIONS ARE INTENDED TO IDENTIFY FORWARD-LOOKING STATEMENTS. ALL PROJECTIONS, FORECASTS, ASSUMPTIONS, EXPRESSIONS OF OPINIONS, ESTIMATES AND OTHER FORWARD-LOOKING STATEMENTS ARE EXPRESSLY QUALIFIED IN THEIR ENTIRETY BY THE CAUTIONARY STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT.

THIS OFFICIAL STATEMENT DOES NOT CONSTITUTE A CONTRACT BETWEEN THE CITY OR THE UNDERWRITERS AND ANY ONE OR MORE OF THE OWNERS OF THE SERIES 2016 BONDS.

THIS OFFICIAL STATEMENT IS BEING PROVIDED TO PROSPECTIVE PURCHASERS EITHER IN BOUND PRINTED FORM ("ORIGINAL BOUND FORMAT") OR IN ELECTRONIC FORMAT ON THE FOLLOWING WEBSITES: WWW.MUNIOS.COM OR WWW.EMMA.MSRB.ORG. THIS OFFICIAL STATEMENT SHOULD BE RELIED UPON ONLY IF IT IS IN ITS ORIGINAL BOUND FORMAT OR AS PRINTED IN ITS ENTIRETY DIRECTLY FROM SUCH WEBSITES.

TABLE OF CONTENTS

Page

INTRODUCTION 1

THE CITY 2

AUTHORITY FOR ISSUANCE OF THE SERIES 2016 BONDS 2

REFUNDING PLAN 2

ESTIMATED SOURCES AND USES OF FUNDS 3

DEBT SERVICE SCHEDULE 4

DESCRIPTION OF THE SERIES 2016 BONDS 4
- General 4
- Book-Entry Only System 5
- Redemption Provisions 7
- Notice of Redemption 7

SOURCES OF AND SECURITY FOR PAYMENT OF THE BONDS 8
- Net Revenues 8
- Creation of Funds and Accounts 10
- Investments 12
- Rate Stabilization Fund 12
- Rate Covenant 12
- Issuance of Additional Parity Obligations 13
- No Reserve Funding 13
- Qualified Agreement 13
- Other Covenants 14

THE SYSTEM 14
- Management 14
- Service Area 14
- Water System 14
- Sewer System 16
- Financial Information 16
- Environmental and Permit Matters 18
- Rates, Fees and Charges 18
- Comparison of Typical Monthly Water and Sewer Charges for Service 22

THE 2016A PROJECT 23

CAPITAL IMPROVEMENT PLAN 24

CERTAIN FACTORS AFFECTING THE SYSTEM 24

INVESTMENT POLICY 25

PENSIONS AND OTHER POST EMPLOYMENT BENEFITS 25
- General Employees Pension Fund 25
- Firefighters' Pension Fund 25
- Elected and Appointed Officers and Non-Represented Employees Retirement Plan 25
- Net Pension Liability as of September 30, 2015 for the General Employees' Pension Plan 26
- Net Pension Liability as of September 30, 2015 for the Police Officers' Pension Plan 26
- Net Pension Liability as of September 30, 2015 for the Firefighters' Pension Plan 26

Net Pension Liability as of September 30, 2015 for the Elected and Appointed Officers and Non-Represented Employees' Pension Plan 26
Other Post Employment Benefits 26
Annual OPEB Cost and Net OPEB Obligation 27

TAX MATTERS 28
Series 2016A Bonds 28
Series 2016B Bonds 30
Other Tax Matters 31

FINANCIAL STATEMENTS 32

RATINGS 32

UNDERWRITING 32

CONTINUING DISCLOSURE 33

LEGAL MATTERS 34

LITIGATION 34

VERIFICATION OF ARITHMETICAL COMPUTATIONS 34

DISCLOSURE REQUIRED BY FLORIDA BLUE SKY REGULATIONS 35

FORWARD LOOKING STATEMENTS 35

FINANCIAL ADVISOR 35

ENFORCEABILITY OF REMEDIES 35

CONTINGENT FEES 36

ACCURACY AND COMPLETENESS OF OFFICIAL STATEMENT 36

AUTHORIZATION OF OFFICIAL STATEMENT 37

Appendix A Audited Financial Statements of the City for Fiscal Year Ended September 30, 2015, Including Independent Auditor's Report and Management's Discussion and Analysis and Unaudited and Unadjusted Financial Information of the Water and Wastewater Fund for Fiscal Year Ended September 30, 2016 ....A-1

Appendix B General Information – City of Tamarac B-1

Appendix C Form of Bond Resolution C-1

Appendix D Form of Bond Counsel Opinion D-1

Appendix E Form of Disclosure Dissemination Agent Agreement E-1

OFFICIAL STATEMENT

relating to

CITY OF TAMARAC, FLORIDA

$17,760,000 UTILITY SYSTEM REFUNDING REVENUE BONDS, SERIES 2016A (GREEN BONDS)

and

$4,105,000 UTILITY SYSTEM REFUNDING REVENUE BONDS, SERIES 2016B (TAXABLE) (GREEN BONDS)

INTRODUCTION

The purpose of this Official Statement, which includes the cover page and the Appendices hereto, is to furnish information with respect to the issuance by the City of Tamarac, Florida (the "City") of its $17,760,000 aggregate principal amount of Utility System Refunding Revenue Bonds, Series 2016A (Green Bonds) (the "Series 2016A Bonds") and its $4,105,000 aggregate principal amount of Utility System Refunding Revenue Bonds, Series 2016B (Taxable) (Green Bonds) (the "Series 2016B Bonds," collectively with the Series 2016A Bonds, the "Series 2016 Bonds").

The Series 2016 Bonds are being issued to provide funds, together with other legally available funds of the City, to refund all of the City's outstanding Utility System Refunding Revenue Bonds, Series 2009 (the "Series 2009 Bonds"). Proceeds of the Series 2016A Bonds will also be used to design, permit, acquire, construct and reconstruct improvements to the City's Sewer System (the "2016A Project"), and to pay costs of issuance and delivery of the Series 2016A Bonds. Proceeds of the Series 2016B Bonds will also be used to pay costs of issuance and delivery of the Series 2016B Bonds. The Series 2009 Bonds to be refunded with proceeds of the Series 2016 Bonds are also referred to herein as the "Refunded Bonds."

The principal of and interest on the Series 2016 Bonds will be payable from and will be secured solely by a lien upon and a pledge of (i) the Net Revenues derived by the City from the operation of the Sewer System and Water System (described herein) (collectively, the "System") and (ii) until applied in accordance with the provisions of the Bond Resolution, all moneys, including income from the investment thereof, in certain of the funds and accounts established by the Bond Resolution, all in the manner and subject to the terms and provisions of the Bond Resolution (collectively, the "Pledged Revenues") on a parity with any Additional Parity Obligations hereafter issued, all in the manner and to the extent provided in the Bond Resolution. See "SOURCES OF AND SECURITY FOR PAYMENT OF THE BONDS" herein.

THE SERIES 2016 BONDS SHALL NOT BE OR CONSTITUTE GENERAL OBLIGATIONS OR INDEBTEDNESS OF THE CITY AS "BONDS" WITHIN THE MEANING OF THE CONSTITUTION OF THE STATE OF FLORIDA, BUT SHALL BE PAYABLE SOLELY FROM AND SECURED BY A LIEN UPON AND A PLEDGE OF THE PLEDGED REVENUES AS PROVIDED IN THE BOND RESOLUTION. NO HOLDER OR HOLDERS OF ANY SERIES 2016 BONDS SHALL EVER HAVE THE RIGHT TO COMPEL THE EXERCISE OF THE AD VALOREM TAXING POWER OF THE CITY OR TAXATION IN ANY FORM OF ANY REAL OR PERSONAL PROPERTY THEREIN TO PAY PRINCIPAL AND INTEREST ON THE SERIES 2016 BONDS.

Unless otherwise defined herein or where the context would clearly indicate otherwise, capitalized terms used herein shall have the meanings set forth in the Bond Resolution (as defined below), the form of which is included as APPENDIX C hereto. The references, excerpts and summaries of all documents referred to herein, including, without limitation, the Bond Resolution, do not purport to be complete statements of the provisions of such documents, and reference is made to the originals of all such documents for full and complete statements of all matters of fact relating to the Series 2016 Bonds, the security for the payment of the Series 2016 Bonds, the rights and obligations of Registered Owners thereof, and the System (as described herein). Copies of any such documents

that are not attached as appendices hereto may be obtained from the City of Tamarac, Florida, 7525 NW 88th Avenue, Tamarac, Florida 33321, Attention: City Clerk, upon payment of reproduction costs and postage and handling expenses.

Based on the environmental benefits of the 2016A Project and the projects financed and refinanced by the Series 2009 Bonds, the City has designated the 2016A Project and projects financed and refinanced by the Series 2009 Bonds as a "Green Projects" which are designed to be environmentally beneficial in the broad categories of drinking water, clean water, sustainable waste management and energy efficiency, and has designated the Series 2016 Bonds as "Green Bonds." The terms "Green Projects" and "Green Bonds" are neither defined in, nor related to, the Bond Resolution, and their use herein is for identification purposes only and is not intended to provide or imply that a holder of the Series 2016 Bonds is entitled to any additional security other than as provided in the Bond Resolution. The purpose of labeling the Series 2016 Bonds as "Green Bonds" is to allow holders of the Series 2016 Bonds to invest in bonds that finance and refinance environmentally beneficial projects. The City makes no representation that every component of the 2016A Project or the projects financed and refinanced by the Series 2009 Bonds meets the classification of a Green Project. The City assumes no obligation to ensure the compliance with the principles of Green Bonds as such principles may evolve over time.

For a description of certain terms and conditions of the Series 2016 Bonds, reference is made to the Bond Resolution, the form of which is included in APPENDIX C to this Official Statement.

THE CITY

The City is located in Broward County, Florida, and had an estimated 2015 population of 63,793. The City was incorporated in 1963 and operates under its own charter. The City operates under the Commissioner-Manager form of government. Policy-making and legislative authority is vested in the City Commission, which consists of a Mayor and a four member Commission. The City Commission is vested with policy-setting authority, adopting the annual budget, approving purchases and services of the governmental operations, appointing committees and hiring the City Manager and City Attorney. The City Manager is responsible for recommending and carrying out the policies and ordinances of the City Commission, appointing the heads of the City's departments with the concurrence of the City Commission, submitting of a proposed annual budget, advising the Commission as to the financial condition of the City, and overseeing the day-to-day operations of the City.

For additional information regarding the City, see APPENDICES A and B attached hereto.

AUTHORITY FOR ISSUANCE OF THE SERIES 2016 BONDS

The Series 2016 Bonds are being issued by the City pursuant to Chapter 159, Part I, Florida Statutes, Chapter 166, Part II, Florida Statutes, Article VIII, Section 2, Constitution of the State of Florida, the municipal charter of the City and other applicable provisions of law (collectively, the "Act"), and Resolution No. R-2016-109 adopted by the City Commission of the City (the "City Commission") on October 11, 2016, as supplemented by Resolution No. R-2016-110 adopted by the City Commission on October 11, 2016 (collectively, the "Bond Resolution").

REFUNDING PLAN

The City has determined that it is in the best interests of the City to provide for the advance refunding of all of the Refunded Bonds. Provision for payment will be accomplished through the issuance of the Series 2016 Bonds and the use of a portion of the proceeds thereof, together with other legally available funds, to advance refund all of the Refunded Bonds. The callable Refunded Bonds are expected to be redeemed on October 1, 2019.

Upon delivery of the Series 2016 Bonds, U.S. Bank National Association, as escrow agent (the "Escrow Agent") will enter into an Escrow Deposit Agreement (the "Escrow Agreement") with the City to provide for the advance refunding of the Refunded Bonds. The Escrow Agreement will create two irrevocable escrow deposit trust funds (the "Escrow Accounts") which will be held by the Escrow Agent. The money and securities held in the Escrow Accounts are to be applied to the payment of principal of and interest on the Refunded Bonds, as the same become due and payable upon redemption. Immediately upon the issuance and delivery of the Series 2016 Bonds, the City will deposit a portion of the proceeds from the sale of the Series 2016 Bonds into the Escrow Accounts,

together with any legally available funds provided by the City. Such money will be invested in certain noncallable United States Treasury obligations (the "Escrow Securities") or will be held as uninvested cash. The maturing principal amount of and interest on the Escrow Securities and any cash held in the Escrow Accounts (i) will be sufficient to pay the principal of and interest on the Refunded Bonds to the redemption date according to the schedules prepared by RBC Capital Markets, LLC and verified by GNP Services, CPA, PA (the "Verification Agent"), (ii) will be pledged solely for the benefit of the holders of the Refunded Bonds, and (iii) will not be available for payment of debt service on the Series 2016 Bonds. See "VERIFICATION OF ARITHMETICAL COMPUTATIONS" herein.

In reliance upon the referenced schedules and verification, at the time of delivery of the Series 2016 Bonds, Bond Counsel will deliver to the Underwriters and the City an opinion to the effect that the pledge of the Pledged Revenues and all covenants, agreements and other obligations of the City to the Refunded Bondholders shall thereupon cease, terminate and become void and be discharged and satisfied.

ESTIMATED SOURCES AND USES OF FUNDS

SOURCES OF FUNDS	
Principal Amount of Series 2016A Bonds	$17,760,000.00
Principal Amount of Series 2016B Bonds	4,105,000.00
Plus Original Issue Premium on the Series 2016A Bonds	2,901,486.35
Other Legally Available Funds	74,209.90
TOTAL SOURCES	$24,840,696.25
USES OF FUNDS	
Deposit to Escrow Accounts(1)	$13,526,850.17
Deposit to Series 2016A Project Account	11,000,000.00
Costs of Issuance(2)	313,846.08
TOTAL USES	$24,840,696.25

(1) See "REFUNDING PLAN" herein.
(2) Includes legal and financial advisory fees, printing costs, Underwriters' discount, rating agency fees, and other expenses.

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DEBT SERVICE SCHEDULE

The following table sets forth the scheduled annual debt service payments on the Series 2016A Bonds, the Series 2016B Bonds and the total debt service for all the Series 2016 Bonds.

	2016A Bonds			2016B Bonds			
Maturity Date (October 1)	Principal	Interest	Debt Service	Principal	Interest	Debt Service	Total Debt Service
2017	$ ---	$ 766,896.66	$ 766,896.66	$400,000	$ 70,620.86	$ 470,620.86	$ 1,237,517.52
2018	---	857,400.00	857,400.00	425,000	74,955.00	499,955.00	1,357,355.00
2019	---	857,400.00	857,400.00	430,000	69,642.50	499,642.50	1,357,042.50
2020	---	857,400.00	857,400.00	435,000	63,407.50	698,407.50	1,355,807.50
2021	---	857,400.00	857,400.00	445,000	56,012.50	501,012.50	1,358,412.50
2022	---	857,400.00	857,400.00	450,000	47,557.50	497,557.50	1,354,957.50
2023	---	857,400.00	857,400.00	460,000	38,107.50	498,107.50	1,355,507.50
2024	---	857,400.00	857,400.00	475,000	27,527.50	502,527.50	1,359,927.50
2025	---	857,400.00	857,400.00	485,000	15,652.50	500,652.50	1,358,052.50
2026	415,000	857,400.00	1,272,400.00	100,000	2,800.00	102,800.00	1,375,200.00
2027	540,000	836,650.00	1,376,650.00				1,376,650.00
2028	565,000	809,650.00	1,374,650.00				1,374,650.00
2029	595,000	781,400.00	1,376,400.00				1,376,400.00
2030	625,000	751,650.00	1,376,650.00				1,376,650.00
2031	655,000	720,400.00	1,375,400.00				1,375,400.00
2032	690,000	687,650.00	1,377,650.00				1,377,650.00
2033	720,000	653,150.00	1,373,150.00				1,373,150.00
2034	750,000	624,350.00	1,374,350.00				1,374,350.00
2035	780,000	594,350.00	1,374,350.00				1,374,350.00
2036	810,000	563,150.00	1,373,150.00				1,373,150.00
2037	845,000	530,750.00	1,375,750.00				1,375,750.00
2038	885,000	488,500.00	1,373,500.00				1,373,500.00
2039	930,000	444,250.00	1,374,250.00				1,374,250.00
2040	980,000	397,750.00	1,377,750.00				1,377,750.00
2041	1,025,000	348,750.00	1,373,750.00				1,373,750.00
2042	1,075,000	297,500.00	1,372,500.00				1,372,500.00
2043	1,130,000	243,750.00	1,373,750.00				1,373,750.00
2044	1,190,000	187,250.00	1,377,250.00				1,377,250.00
2045	1,245,000	127,750.00	1,372,750.00				1,372,750.00
2046	1,310,000	65,500.00	1,375,500.00				1,375,500.00
	$17,760,000	**$18,637,646.66**	**$36,397,646.66**	**$4,105,000**	**$466,283.36**	**$4,571,283.36**	**$40,968,930.02**

(1) Totals may not foot due to rounding.

DESCRIPTION OF THE SERIES 2016 BONDS

General

The Series 2016 Bonds will be dated their date of delivery, will be issued in fully registered form, without coupons, in denominations of $5,000 each or integral multiples thereof, and will bear interest at the fixed rates, computed on the basis of a 360-day year consisting of twelve 30-day months, and will mature on the dates set forth

on the inside cover page of this Official Statement. Interest on the Series 2016 Bonds will be payable on April 1, 2017, and semiannually thereafter on October 1 and April 1 of each year. The Series 2016 Bonds will be registered in the name of Cede & Co., as nominee of the Depository Trust Company, New York, New York ("DTC"). Individual purchases will be made in book-entry form through DTC Participants. DTC will receive all payments with respect to the Series 2016 Bonds through U.S. Bank National Association, as Registrar and Paying Agent, which payments will be remitted to DTC's Participants for subsequent disbursement to Beneficial Owners. See "Book-Entry Only System" herein. The Series 2016 Bonds will be subject to redemption prior to maturity as described under "Redemption Provisions" herein.

Book-Entry Only System

The Depository Trust Company ("DTC"), New York, New York, will act as securities depository for the Series 2016 Bonds. The Series 2016 Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered bond certificate will be issued for each maturity of each series of the Series 2016 Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

SO LONG AS CEDE & CO. IS THE REGISTERED OWNER OF THE SERIES 2016 BONDS, AS NOMINEE OF DTC, REFERENCES IN THIS OFFICIAL STATEMENT TO THE BONDHOLDERS OR REGISTERED OWNERS OF THE SERIES 2016 BONDS SHALL MEAN CEDE & CO. AND SHALL NOT MEAN THE BENEFICIAL OWNERS OF THE SERIES 2016 BONDS.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the City believes to be reliable, but the City takes no responsibility for the accuracy thereto.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants (the "Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (the "Indirect Participants" and together with Direct Participants, the "Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Series 2016 Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for such Series 2016 Bonds on DTC's records. The ownership interest of each actual purchaser of each Series 2016 Bond (the "Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2016 Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of the Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Series 2016 Bonds, except in the event that use of the book-entry system for the Series 2016 Bonds is discontinued.

To facilitate subsequent transfers, all Series 2016 Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of the Series 2016 Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Series 2016 Bonds. DTC's records reflect only the identity of the Direct Participants to whose accounts such Series 2016 Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Redemption notices shall be sent to DTC. If less than all of the Series 2016 Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Series 2016 Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the City as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Series 2016 Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Principal and interest payments on the Series 2016 Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts, upon DTC's receipt of funds and corresponding detail information from the City or the Registrar and Paying Agent on the payable date in accordance with their respective holdings shown on DTC's records. Payments by DTC Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such DTC Participant and not of DTC, the Registrar and Paying Agent or the City, subject to any statutory and regulatory requirements as may be in effect from time to time. Payment of principal and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the City and/or the Registrar and Paying Agent for the Series 2016 Bonds. Disbursement of such payments to Direct Participants is the responsibility of DTC, and disbursement of such payments to the Beneficial Owners is the responsibility of the Direct and Indirect Participants.

DTC may discontinue providing its services as securities depository with respect to the Series 2016 Bonds at any time by giving reasonable notice to the City. Under such circumstances, in the event that a successor securities depository is not obtained, Series 2016 Bond certificates are required to be printed and delivered.

The City does not have any responsibility or obligations to the DTC Participants, Indirect Participants or the Beneficial Owners with respect to (A) the accuracy of the records of DTC, Cede & Co. or any Participant with respect to any ownership interest on the Series 2016 Bonds, (B) the delivery to any Participant or any other Person other than a Bondholder, as shown in the registration books kept by the Registrar and Paying Agent, of any notice with respect to the Series 2016 Bonds, or (C) the payment to any Participant or any other Person, other than a Bondholder, as shown in the registration books kept by the Registrar and Paying Agent, of any amount with respect to principal of, or interest on the Series 2016 Bonds.

Upon compliance with any agreements between the City and DTC, the City may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In that event, Series 2016 Bond certificates will be printed and delivered to DTC.

In the event the book-entry system is terminated, the transfer and exchange of Series 2016 Bonds shall be accomplished as described in APPENDIX C attached hereto.

Redemption Provisions

Optional Redemption

The Series 2016A Bonds maturing on and before October 1, 2026 are not redeemable prior to their stated dates of maturity. The Series 2016A Bonds maturing on and after October 1, 2027, are subject to redemption prior to their stated dates of maturity, at the option of City, in whole or in part on any day on or after October 1, 2026, in such amounts and maturities as the City in its discretion shall select and by lot within a maturity if less than a full maturity, at a redemption price equal to the principal amount thereof, together with accrued interest on such principal amount to the redemption date.

The Series 2016B Bonds are not subject to redemption prior to maturity.

Mandatory Redemption

The Series 2016A Bonds maturing on October 1, 2041 will be subject to mandatory redemption prior to maturity, by lot, in such manner as the Paying Agent may deem appropriate, at 100% of the principal amount of the Series 2016A Bonds so to be redeemed, on October 1, 2037 and on each October 1 thereafter, in the following Amortization Installments and in the years specified:

Year	Amortization Installments
2037	$ 845,000
2038	885,000
2039	930,000
2040	980,000
2041*	1,025,000

*Maturity

The Series 2016A Bonds maturing on October 1, 2046 will be subject to mandatory redemption prior to maturity, by lot, in such manner as the Paying Agent may deem appropriate, at 100% of the principal amount of the Series 2016A Bonds so to be redeemed, on October 1, 2042 and on each October 1 thereafter, in the following Amortization Installments and in the years specified:

Year	Amortization Installments
2042	$ 1,075,000
2043	1,130,000
2044	1,190,000
2045	1,245,000
2046*	1,310,000

*Maturity

Notice of Redemption

Notice of any redemption shall, at least thirty (30) days prior to the redemption date, be filed with the Registrar, and mailed by the Registrar on behalf of the City, first class mail, postage prepaid, to all Holders of Series 2016 Bonds to be redeemed at their addresses as they appear on the registration books on the Record Date, but failure to mail such notice to one or more Holders of such Series 2016 Bonds, or any defect therein, shall not affect the validity of the proceedings for such redemption with respect to Holders of Series 2016 Bonds to which notice was duly mailed under the Bond Resolution and no defect occurred. While the Series 2016 Bonds are held in book-entry form, notices of redemption shall be sent to DTC. Such notice shall also be sent to the registered securities depositories and two or more nationally recognized municipal securities information repositories. Each such notice shall set forth the date fixed for redemption, the redemption price to be paid and, if less than all of such Series 2016 Bonds of one maturity are to be called, the distinctive numbers of such Series 2016 Bonds to be redeemed and, in the case of Series 2016 Bonds to be redeemed in part only, the portion of the principal amount thereof to be redeemed.

Any notice of optional redemption may state that it is conditioned upon receipt by the Paying Agent of moneys sufficient to pay the redemption price, plus interest accrued to the redemption date, or upon the satisfaction of any other condition, or that it may be rescinded upon the occurrence of any other event, and any conditional notice so given may be rescinded at any time before payment of such redemption price and accrued interest if any such condition so specified is not satisfied or if any such other event occurs. Notice of such rescission shall be given by the Paying Agent to affected Holders of such Series 2016 Bonds as promptly as practicable upon the failure of such condition or the occurrence of such other event.

Official notice of redemption having been given as aforesaid, Series 2016 Bonds or portions thereof to be redeemed shall, on the redemption date, become due and payable at the redemption price therein specified, and from and after such date (unless the City shall default in the payment of the redemption price) such Series 2016 Bonds or portions of Series 2016 Bonds shall cease to bear interest. Upon surrender of such Series 2016 Bonds for redemption in accordance with said notice, such Series 2016 Bonds shall be paid by the Registrar at the redemption price. Each check or other transfer of funds issued by the Registrar for the purpose of the payment of the redemption price of Series 2016 Bonds being redeemed shall bear the CUSIP number identifying, by maturity, such Series 2016 Bonds being redeemed with the proceeds of such check or other transfer. Installments of interest due on or prior to the redemption date shall be payable as provided in the Bond Resolution for payment of interest. Upon surrender for any partial redemption of any such Series 2016 Bond, there shall be prepared for the Holder a new Series 2016 Bond or Bonds of the same maturity in the amount of the unpaid principal of such partially redeemed Series 2016 Bond. All such Series 2016 Bonds which have been redeemed shall be canceled and destroyed by the Registrar and shall not be reissued.

SOURCES OF AND SECURITY FOR PAYMENT OF THE BONDS

The principal of and interest on the Series 2016 Bonds will be payable from and will be secured solely by a lien upon and a pledge of (i) the Net Revenues derived by the City from the operation of the Sewer System and Water System (described herein) (collectively, the "System") and (ii) until applied in accordance with the provisions of the Bond Resolution, all moneys, including income from the investment thereof, in certain of the funds and accounts established by the Bond Resolution, all in the manner and subject to the terms and provisions of the Bond Resolution (collectively, the "Pledged Revenues") on a parity with any Additional Parity Obligations hereafter issued, all in the manner and to the extent provided in the Bond Resolution. The Series 2016 Bonds and any Additional Parity Obligations hereafter issued are herein collectively referred to as the "Bonds."

THE BONDS SHALL NOT BE OR CONSTITUTE GENERAL OBLIGATIONS OR INDEBTEDNESS OF THE CITY AS "BONDS" WITHIN THE MEANING OF THE CONSTITUTION OF THE STATE OF FLORIDA, BUT SHALL BE PAYABLE SOLELY FROM AND SECURED BY A LIEN UPON AND A PLEDGE OF THE PLEDGED REVENUES AS PROVIDED IN THE BOND RESOLUTION. NO HOLDER OR HOLDERS OF ANY BONDS SHALL EVER HAVE THE RIGHT TO COMPEL THE EXERCISE OF THE AD VALOREM TAXING POWER OF THE CITY OR TAXATION IN ANY FORM OF ANY REAL OR PERSONAL PROPERTY THEREIN TO PAY PRINCIPAL AND INTEREST ON THE BONDS.

The Bond Resolution provides that the Bonds as secured by an irrevocable lien on the Pledged Revenues, prior and superior to all other liens and encumbrances on such Pledged Revenues and that such Pledged Revenues shall immediately be subject to the lien of such pledge without any further physical delivery thereof or any further act, and the lien of such pledge shall be valid and binding as against all parties having claims of any kind in tort, contract or otherwise against the City, irrespective of whether such parties have notice thereof.

The Bond Resolution further provides that neither the Bonds nor the interest thereon shall constitute a lien upon the System or upon any property of the City except as provided in the Bond Resolution.

Net Revenues

Under the Bond Resolution, the following meanings have been assigned to the following terms:

"Net Revenues" of the System shall mean the Gross Revenues or Revenues, after deduction of the Cost of Operation and Maintenance.

"Gross Revenues" or "Revenues" shall mean all income and earnings, including Connection Fees, received by the City or accrued to the City from the ownership, use or operation of the System and all parts thereof, including, without limitation, unencumbered, non ad valorem special assessments which are not pledged for the repayment of, or as security for, any indebtedness of the City, whether currently Outstanding or hereafter issued, other than the Bonds and which are legally available to be used as contemplated under the Bond Resolution, moneys deposited from the Rate Stabilization Fund into the Revenue Fund in accordance with the terms of the Bond Resolution, provided any moneys transferred from the Rate Stabilization Fund into the Revenue Fund within 90 days following the end of a Fiscal Year may be designated by the City as Gross Revenues of such prior Fiscal Year, and shall also include investment income, if any, earned on any fund or account created pursuant to the Bond Resolution, except the Rebate Fund, all as calculated in accordance with generally accepted accounting principles, and any payment received by the City from a Qualified Agreement Provider, but "Gross Revenues" or "Revenues" shall not include any direct subsidy payments received from the United States Treasury relating to "Build America Bonds" issued pursuant to the Code or any other interest subsidy or similar payments made by the Federal government, non ad valorem special assessments which are pledged for the repayment of, or as security for, any indebtedness of the City, whether currently Outstanding or hereafter issued, other than the Bonds, proceeds from the sale or other disposition of the System or any part thereof, condemnation awards or proceeds of insurance received with respect to the System and moneys deposited to the Rate Stabilization Fund from the Surplus Fund, including any moneys transferred from the Surplus Fund to the Rate Stabilization Fund within 90 days following the end of a Fiscal Year which the City determines not to be Gross Revenues of such prior Fiscal Year, Contributions in Aid of Construction, or unrealized gains or losses from investments or any "utility payment charge" or the like as contemplated by the Bond Resolution.

"Cost of Operation and Maintenance" of the System shall mean the then current expenses, paid or accrued, in the operation, maintenance and repair of the System, as calculated in accordance with generally accepted accounting principles, including, but not limited to, general administrative and indirect labor costs, personal services, contractual services, repairs and maintenance, and materials and supplies, but shall not include capital expenditures, any reserve for renewals and replacements, any allowance for depreciation, any Bond Service Requirement, any payments in lieu of taxes, franchise fees or other transfers.

"System" or "Utility System" shall mean, collectively, the Water System and the Sewer System of the City. Upon compliance with the provisions of the Bond Resolution, the term "System" may be deemed to include other utility functions added to the System, including, but not limited to, the acquisition, distribution and sale of natural gas, the providing of electricity, the providing of cable television services, the providing of telecommunication services or other utility functions that are authorized from time to time pursuant to the Act. Notwithstanding the foregoing definition of the term System, (i) such term shall not include any properties or interest in properties of the City which the City determines shall not constitute a part of the System for the purpose of the Bond Resolution, and (ii) such term shall not include the stormwater system of the City.

"Connection Fees" shall mean the charges imposed on those connecting the System for the actual cost of physically connecting into the System; provided, however, that "Connection Fees" shall not include impact fees.

"Contributions in Aid of Construction" shall mean any amount or item of money, services, or property received by the City, any portion of which is provided at no cost to the System, which represents an addition or transfer to the capital of the System, and which is utilized to offset the acquisition, improvement or construction costs of the System.

"Utility Project Charge" and the like is generally defined as a property right levied on customers of the System as a separate charge on the utility bill to secure utility cost containment bonds or other indebtedness issued to finance or refinance a utility project in the City or the System.

Capitalized terms and phrases used but not otherwise defined in this subsection have the same meaning as when used in the Bond Resolution. The form of the Bond Resolution is included in this Official Statement as "APPENDIX C – Form of Bond Resolution" attached hereto.

Creation of Funds and Accounts

The Bond Resolution creates and establishes the Utility System Revenue Fund (the "Revenue Fund") to be held by the City and to the credit of which deposits of Gross Revenues shall be made as required by the Bond Resolution; the Utility System Bond Service Fund (the "Bond Service Fund") and within such fund the Interest Account, the Parity Contract Obligation Account, the Principal Account and the Redemption Account; the Utility System Reserve Fund (the "Reserve Fund"); the Utility System Subordinated Debt Service Fund (the "Subordinated Debt Service Fund"); the Utility System Renewal, Replacement and Improvement Fund (the "Renewal, Replacement and Improvement Fund"); the Utility System Project Fund (the "Project Fund") and the Series 2016A Project Account therein which shall be held solely for the benefit of the Holders of the Series 2016A Bonds; the Utility System Rate Stabilization Fund (the "Rate Stabilization Fund"); the Utility System Surplus Fund (the "Surplus Fund").

The Revenue Fund, the Bond Service Fund (including the accounts therein), the Reserve Fund (including any subaccounts therein), the Renewal, Replacement and Improvement Fund, the Project Fund, the Rate Stabilization Fund, the Surplus Fund and any other special funds established and created by the Bond Resolution shall be deemed to be held in trust for the purposes provided in the Bond Resolution for such funds. The money in all such funds shall be continuously secured in the same manner as state and municipal deposits are authorized to be secured by the laws of the State of Florida.

The Bond Resolution provides that all Gross Revenues of the System shall, upon receipt thereof, be deposited in the Revenue Fund.

All Net Revenues in the Revenue Fund shall be disposed of monthly, but not later than the twenty-fifth (25th) day of each month in the following manner and the following order of priority:

(1) The City shall first deposit into the Bond Service Fund and credit to the following accounts, in the following order (except that payments into the Interest Account and the Parity Contract Obligations Account shall be on parity with each other, and the payments into the Principal Account and the Redemption Account shall be on a parity with each other), the following identified sums:

(a) Interest Account: Taking into account actual and anticipated earnings in the Interest Account of the Bond Service Fund within the current Bond Year, such sum as will be sufficient to pay one-sixth (1/6th) of all interest coming due on all Outstanding Bonds, on the next interest payment date; provided, however, that monthly deposits of interest, or portions thereof, shall not be required to be made to the extent that money on deposit within such Interest Account is sufficient for such purpose. In the event the City has issued Variable Rate Bonds pursuant to the provisions of the Bond Resolution, Net Revenues shall be deposited at such other or additional times and amounts as necessary to pay any interest coming due on such Variable Rate Bonds on the next interest payment date, all in the manner provided in a Supplemental Resolution. Any monthly payment out of Net Revenues to be deposited as set forth above, for the purpose of meeting interest payments for any Series of Bonds, shall be adjusted, as appropriate, to reflect the frequency of interest payment dates applicable to such Series. Moneys in the Interest Account may be used only for the purposes set forth in this paragraph (a).

(b) Parity Contract Obligations Account Taking into account the actual and anticipated earnings in the Parity Contract Obligations Account in the Bond Service Fund within the current Bond Year, a pro rata estimated amount necessary to build up over time the amount of any Parity Contract Obligation which will next be due and payable or reasonably expected to be due and payable under any Qualified Agreement on the next payment date thereunder; provided, however, that the monthly amount to be so deposited may be adjusted, as appropriate, to reflect the frequency of payment dates thereunder (e.g., if such Parity Contract Obligations are required to be paid semi-annually, the City shall be required to deposit monthly an amount which is estimated to equal one-sixth (1/6th) of the next such payment). Moneys in the Parity Contract Obligations Account may be used only for the purposes set forth in this paragraph (b).

(c) Principal Account: Taking into account actual and anticipated earnings in the Principal Account of the Bond Service Fund within the current Bond Year, such sum as will be sufficient to pay one-twelfth (1/12th) of the principal amount of the Outstanding Bonds which will mature and become due on such annual maturity dates beginning the month which is twelve (12) months prior to the first principal maturity date; provided, however, that monthly deposits for principal, or portions thereof, shall not be required to be made to the extent that money on deposit within such Principal Account is sufficient for such purpose. Any monthly payment out of Net Revenues to be deposited as set forth above, for the purpose of meeting principal payments for any Series of Bonds, shall be adjusted, as appropriate, to reflect the frequency of principal payment dates applicable to such Series. Moneys in the Principal Account may be used only for the purposes set forth in this paragraph (c).

(d) Redemption Account: Taking into account actual and anticipated earnings in the Redemption Account of the Bond Service Fund within the current Bond Year, such sum as will be sufficient to pay one-twelfth (1/12th) of any Amortization Installment established for the mandatory redemption of Outstanding Bonds on such annual maturity date beginning the month which is twelve (12) months prior to the first Amortization Installment date; provided, however, that monthly deposits into the Redemption Account, or portions thereof, shall not be required to be made to the extent that money on deposit in the Redemption Account is sufficient for such purpose. Any monthly payment out of Net Revenues to be deposited as set forth above, for the purpose of meeting Amortization Installments for any Series of Bonds, shall be adjusted, as appropriate, to reflect the frequency of dates established for Amortization Installments applicable to such Series. The moneys in the Redemption Account shall be used solely for the purchase or redemption of the Term Bonds payable therefrom. The City may at any time purchase any of said Term Bonds at prices not greater than the then redemption price of said Term Bonds. If the Term Bonds are not then redeemable prior to maturity, the City may purchase said Term Bonds at prices not greater than the redemption price of such Term Bonds on the next ensuing redemption date. If Term Bonds are so purchased by the City, the City shall credit the account of such purchased Term Bonds against any current Amortization Installment to be paid by the City. If the City shall purchase or call for redemption in any year Term Bonds in excess of the Amortization Installment requirement for such year, such excess of Term Bonds so purchased or redeemed shall be credited in such manner and at such times as the City shall determine. Moneys in the Redemption Account in the Debt Service Fund may be used only for the purposes set forth in this paragraph (d).

(2) To the extent that the amounts on deposit in the Reserve Fund (or any subaccount therein) are less than the applicable Reserve Requirement, the City shall next make deposit into the Reserve Fund (or any subaccount therein) in the manner described below from moneys remaining in the Revenue Fund. Any withdrawals from the Reserve Fund (or any subaccount therein) shall be subsequently restored from the first moneys available in the Revenue Fund, after all required current payments for Cost of Operation and Maintenance and all current applications and allocations to the Bond Service Fund, including all deficiencies for prior payments have been made in full. Notwithstanding the foregoing, in case of withdrawal from the Reserve Fund (or any subaccount therein), in no event shall the City be required to deposit into the Reserve Fund (or any subaccount therein) an amount greater than that amount necessary to ensure that the difference between the applicable Reserve Requirement and the amounts on deposit in the Reserve Fund (or any subaccount therein) on the date of calculation shall be restored not later than sixty (60) months after the date of such deficiency (assuming equal monthly payments into the Reserve Fund (or any subaccount therein) for such sixty (60) month period).

(3) From the moneys remaining in the Revenue Fund, the City shall next deposit into the Subordinated Debt Service Fund an amount required to be paid as provided in the resolution or agreement of the City authorizing such Subordinated Debt, but for no other purposes.

(4) The City shall next apply and deposit monthly from the moneys remaining on deposit in the Revenue Fund into the Renewal, Replacement and Improvement Fund, an amount at least equal to one-twelfth (1/12th) of five percent (5%) of the Gross Revenues received during the immediately preceding Fiscal Year. The moneys in the Renewal, Replacement and Improvement Fund shall be used only for the

purpose of paying the cost of extraordinary repairs, extensions, enlargements or additions to, or the replacement of capital assets of the System or emergency repairs thereto. Notwithstanding anything herein to the contrary, the minimum balance in the Renewal, Replacement and Improvement Fund shall be an amount equal to five hundred thousand dollars ($500,000), or such other amount as may be determined from time to time by the Consulting Engineers. Funds on hand in the Renewal, Replacement and Improvement Fund may be used to pay current Cost of Operation and Maintenance to the extent moneys on deposit in the Revenue Fund are insufficient for such purposes. The moneys on deposit in such fund may also be used to supplement the Reserve Fund (or any subaccount therein), if necessary, in order to prevent a default in the payment of the principal and interest on the Bonds.

(5) The City may next make monthly transfers of remaining Gross Revenues of the System to its General Fund as payments in lieu of taxes; provided, however, such transfers in any Fiscal Year shall not exceed ten percent (10%) of Gross Revenues of the System received by the City during the immediately preceding Fiscal Year.

(6) The balance of any moneys remaining in the Revenue Fund after the above required payments have been made shall be deposited into the Surplus Fund and may be used for any lawful purpose of the System; provided, however, so long as the amount on deposit in the Surplus Fund exceeds $5,000,000 (after giving effect to the proposed interfund loan or loans), the City may make an interfund loan or loans for purposes of refinancing the City's various non-System capital improvements to the extent permitted by law and approved by the City Commission following a recommendation from the City Manager and Financial Services Director, and only if all current payments, including any deficiencies for prior payments, have been made in full and the City is in full compliance with all the covenants and provisions of the Bond Resolution.

Investments

Moneys in any fund or account created under the Bond Resolution may be invested and reinvested in Permitted Investments which mature not later than the dates on which the moneys on deposit therein will be needed for the purpose of such fund. All income on such investments, except as otherwise provided in the Bond Resolution, shall be deposited in the respective funds and accounts from which such investments were made and be used for the purposes thereof unless and until the maximum required amount (or, with respect to the Project Fund, the amount required to acquire, construct and erect the Project) is on deposit therein, and thereafter shall be deposited in the Revenue Fund.

Rate Stabilization Fund

The City may transfer into the Rate Stabilization Fund such moneys which are on deposit in the Surplus Fund as it deems appropriate. The City may transfer such amount of moneys from the Rate Stabilization Fund to the Revenue Fund as it deems appropriate; provided, however, that on or prior to each principal and interest payment date for the Bonds (in no event earlier than the 25th day of the month next preceding such payment date), moneys in the Rate Stabilization Fund shall be applied for the payment into the Interest Account, the Parity Contract Obligation Account, the Principal Account and the Redemption Account when the moneys therein are insufficient to pay the principal of and interest on the Bonds coming due and to pay any Parity Contract Obligations, but only to the extent moneys transferred from the Surplus Fund and Renewal, Replacement and Improvement Fund for such purposes shall be inadequate to fully provide for such insufficiency.

Rate Covenant

The City has covenanted in the Bond Resolution that it will fix, establish, revise from time to time whenever necessary, maintain and collect always such fees, rates, rentals and other charges for the use of the products, services and facilities of the System which will always provide, Net Revenues in each Fiscal Year sufficient to pay one hundred ten percent (110%) of the Bond Service Requirement on all Outstanding Bonds in the applicable Bond Year.

In addition, Net Revenues in each Fiscal Year shall also be sufficient to provide one hundred percent (100%) of the Bond Service Requirement on all Outstanding Bonds in the applicable Bond Year, any amounts

required by the terms of the Bond Resolution to be deposited into the Reserve Fund (including any subaccount therein) or with any Credit Facility Issuer as a result of a withdrawal from the Reserve Fund (including any subaccount therein), the Renewal, Replacement and Improvement Fund and debt service on other obligations payable from the Revenues of the System, and other payments, and all other allocations and applications of Revenues required by the Bond Resolution in such Fiscal Year.

The Bond Resolution provides that Net Revenues shall not be reduced so as to render them insufficient to provide revenues for the purposes provided therefore in the Bond Resolution.

Issuance of Additional Parity Obligations

No Additional Parity Obligations payable from the Pledged Revenues on a parity with Outstanding Bonds and Parity Contract Obligations shall be issued unless there shall have been obtained and filed with the Clerk a certificate of the Director of Financial Services stating: (a) that the books and records of the City relative to the System and the Net Revenues have been reviewed by the Director of Financial Services; and (b) that the amount of Net Revenues derived for any consecutive twelve (12) months out of the preceding thirty (30) months preceding the date of issuance of the proposed Additional Parity Obligations (the "Test Period") adjusted as permitted by the Bond Resolution is equal to and not less than 110% of the Maximum Bond Service Requirement becoming due in any Bond Year thereafter on (A) all Bonds issued under the Bond Resolution, if any, then Outstanding, and (B) on the Additional Parity Obligations with respect to which such certificate is made. For the purpose of such certificates, the amount of Net Revenues may be adopted upon the recommendation of the qualified Independent Consultant as provided in the Bond Resolution.

The City need not comply with the provisions of the above paragraph if and to the extent the Additional Parity Obligations to be issued are refunding bonds, if the City shall cause to be delivered a certificate of the Director of Financial Services of the City setting forth the Maximum Annual Debt Service Requirement (i) for the Bonds then Outstanding and (ii) for all Series of Bonds to be immediately Outstanding thereafter and stating that the Maximum Annual Debt Service Requirement pursuant to (ii) above is not greater than that set forth pursuant to (i) above. The City also need not comply with the provisions of the above paragraph if and to the extent the Additional Parity Obligations to be issued are for the purpose of providing any necessary additional funds required for completion of any improvements to the System ("Completion Bonds") if originally financed with the proceeds of Bonds; provided that such Completion Bonds may not exceed 10% of the total principal amount of Bonds estimated to be required for such improvements to the System at the time of issuance of the initial Series of Bonds to finance such improvements. Furthermore, the City need not comply with the provisions of the above paragraph if and to the extent the Additional Parity Obligations to be issued legally defease all theretofore Outstanding Bonds.

Prior to the issuance of any Additional Parity Obligations, the Director of Financial Services of the City shall have certified that the City is not in default in the carrying out of any of the obligations assumed under the Bond Resolution and no event of default shall have occurred under the Bond Resolution and shall be continuing, and all payments required by the Bond Resolution to be made into the funds and accounts shall have been made to the full extent required.

No Reserve Funding

Pursuant to the Bond Resolution, the City has established a 2016 Subaccount in the Reserve Fund. Such 2016 Subaccount in the Reserve Fund will be funded at the Reserve Requirement applicable to the Series 2016 Bonds as of the date of issuance of the Series 2016 Bonds. "Reserve Requirement" with respect to the 2016 Subaccount in the Reserve Fund shall equal zero dollars ($0).

Qualified Agreement

The Bond Resolution authorizes the City, pursuant to applicable law, to enter into any contract or contracts entered into in connection with Bonds under which payments are, in whole or in part, based on interest rate, cashflow, or other basis desired by the City, including, without limitation, contracts commonly known as current or forward interest rate swap or swaption agreements and interest rate floors or caps (a "Qualified Agreement"). Qualified Agreement shall not include goods and service supply contracts.

The Bond Resolution provides that any payments received by the City from a Qualified Agreement Provider shall constitute Gross Revenues. Any payments to a Qualified Agreement Provider under a Qualified Agreement so designated by the City can constitute Parity Contract Obligations or Subordinated Debt, however. Termination payments, indemnification payment, or other fees to be paid by the City to a Qualified Agreement Provider under a Qualified Agreement and which do not constitute regularly scheduled payments determined by reference to interest on a notional amount may only constitute Subordinated Debt and may not constitute Parity Contract Obligations.

Pursuant to the Bond Resolution, the City may enter into one or more Qualified Agreements with respect to one or more Series of Bonds (or portions thereof); provided, however, that if such Qualified Agreement is not entered into at the time of initial issuance of the Series of Bonds to which it relates, the requirements for Additional Parity Obligations must be met, applying the same as if $1.00 in principal amount of Additional Parity Obligations is being issued as of the effective date of such Qualified Agreement.

Other Covenants

The City has additionally covenanted in the Bond Resolution: (i) to maintain the System and all parts thereof in good condition and to operate the same in an efficient and economical manner, making such expenditures for such equipment and for renewals and replacements thereof as may be proper for its economical operation and maintenance; (ii) to diligently enforce and collect the rates, fees and other charges for the services and facilities of the System and to take all steps, actions and proceedings for the enforcement and collection of such rates, charges and fees as shall become delinquent to the full extent permitted or authorized by law; and will maintain accurate records with respect thereof; (iii) to annually, prior to commencement of each of its Fiscal Years, prepare and adopt a budget of the estimated expenditures for the operation and maintenance of the System during such next succeeding Fiscal Year; and (iv) so long as service is in fact available as reasonably determined by the City, the City will, to the full extent permitted by law, require all lands, buildings and structures within the area being served by the Sewer System (other than residential reuse system), to connect with and use such facilities within one year after notification and not grant a franchise for the operation of any competing utility system or systems within the area served by the System until all Bonds have been paid in full.

THE SYSTEM

Management

The City of Tamarac Director of Public Service oversees the operation of the System. The Director of Public Services reports directly to the City Manager and serves as the primary liaison between the Public Services Department and the City's administrative staff and elected officials. In addition to the administrative division, the Public Services Department includes engineering, water treatment, construction, maintenance, and support services divisions.

Service Area

The City's water service area is approximately 11.65 square miles and the wastewater service area is approximately 11.80 square miles of urbanized residential, commercial and industrial land uses. The service area is approximately 99% built-out within the City's defined service area. The City Planning Department estimates that the projected development will fill in the remaining land over the next several years. As of fiscal year 2015, the System served 19,853 and 18,805 water and sewer customers, respectively, a level that has remained relatively stable given the residential and mature (99% built-out) service area. The system's customers are mostly residential users and there is no notable concentration, with the top 10 customers comprising less than 5% of annual revenues. New customer growth is expected to continue to be minimal given the city's built-out nature, although officials note that there is some redevelopment underway in the City.

Water System

The City's existing water treatment plant ("WTP") facility consists of raw water supply wells, pre-chlorination, lime softening, chlorination, polymer addition, rapid sand filtration, and fluoridation. The raw water production facilities consist of 19 water supply wells.

The South Florida Water Management District ("SFWMD") modified the City's Water Use Permit in February 2014. The City is allocated an average of 7.58 million gallons per day (MGD) or 2,767 million gallons ("MG") per year through the year 2034, and the maximum monthly allocation is 244.4 MG.

The WTP has a design and permitted capacity of 16 MGD. The plant currently produces an average daily flow ("ADF") of approximately 5.81 MGD of finished water.

Water is distributed throughout the City's service area of over 254.5 miles of water mains ranging in size from 2 to 30 inches in diameter.

The storage and booster pump stations in the water distribution system along with the on-site storage at the WTP have a combined storage of six million gallons.

The City has nine (9) emergency interconnects with neighboring utilities, including: Broward County, City of Lauderhill, City of North Lauderdale, and Coral Springs Improvement District.

City of Tamarac
10 Largest Water and Sewer Service Customers
Fiscal Year Ended September 30, 2015

Customer Name	Consumption (1,000 Gallons)	Sewer Bill	Water Bill	Average Consumption	Average Monthly Sewer Bill	Average Monthly Water Bill	Percent Total Revenue Water	Percent Total Revenue Sewer
KINGS ARBOR KEYS, LLC	21,515.000	$112,683.70	$116,229.30	1,792.917	$9,390	$9,685	1.20%	0.71%
COLUMBIA UNIVERSITY HOSPITAL	20,362.000	89,023.23	82,981.18	1,696.833	7,418	6,915	0.86%	0.56%
VERSAILLES GARDEN CONDO	19,434.000	122,817.80	80,959.34	1,619.500	10,234	6,746	0.84%	0.77%
ST ANDREWS AT KINGS POINT	8,609.000	176,218.10	104,956.10	717.417	14,684	8,746	1.09%	1.11%
THE GATE CONDO ASSOC	7,272.000	63,087.66	33,476.40	606.000	5,257	2,789	0.35%	0.40%
TAMARAC REHAB & HEALTH CTR	6,942.000	29,005.32	28,834.10	578.500	2,417	2,402	0.30%	0.18%
HEARTLAND OF TAMARAC	6,105.000	33,731.76	23,190.60	408.750	2,810	1,932	0.24%	0.21%
TAMARAC HOTELS, INC.	5,461.000	30,656.16	20,864.66	455.083	2,554	1,738	0.22%	0.19%
INTOWN SUITES	5,301.000	28,524.36	24,356.89	419.250	2,377	2,029	0.25%	0.18%
MAINLANDS 7 MAINT CORP	4,977.000		30,777.37	414.750	-	2,564	0.32%	0.00%
TOTALS	105,978.000	$685,748.09	$546,625.94	8,709.000	$57,141	$45,546	5.67%	4.31%

Source: City of Tamarac, Finance Department.

City of Tamarac, Florida
Historical Annual Water Consumption

Calendar Year	Average Day Production (MGD)	Maximum Day Production (MGD)	Maximum Day % Capacity Utilization
2015	5.806	6.730	83.8%
2014	5.682	6.460	80.5%
2013	5.705	6.910	84.4%
2012	5.833	6.835	83.5%
2011	6.052	6.906	84.3%
2010	5.903	6.658	81.3%
2009	5.770	7.451	91.0%
2008	5.477	6.991	82.7%
2007	5.441	6.707	79.4%
2006	6.369	7.678	90.9%

Source: City of Tamarac, Utilities Department.

Sewer System

The City abandoned its wastewater treatment plant in 1988, when it signed a Large User Wastewater Agreement with Broward County. Pursuant to such agreement, the City agreed to purchase wastewater transmission, treatment and disposal services from Broward County at the North Regional Wastewater Treatment Plant ("NRWWTP") located in Pompano Beach.

Pursuant to such agreement, the City is required to construct, operate and properly maintain all necessary sanitary gravity sewers, lift stations, pumping stations, wastewater force mains and other required appurtenances related and directly attributable to the wastewater collection system upstream of the point of connection to Broward County's wastewater system. Broward County provides wastewater transmission, treatment and disposal service to the City at fees, rates and charges constituting the full costs of such service. The City currently reserves 8.50 MGD of capacity at the NRWWTP. Amendment 2 to such agreement with Broward County was ratified by the County in September 2009 and increased the City's capacity to its current 8.5 MGD. The Large User Wastewater Agreement with Broward County provides that it terminates in the next full succeeding fiscal year that all debt issued to finance the NRWWTP is retired or satisfied.

In addition to Broward County, the City has had a large user agreement with the City of Fort Lauderdale since 1981 to service the eastern portion of the City, formerly known as Tamarac East Utilities. The agreement allows up to 0.165 MGD of wastewater flow to be transferred to Fort Lauderdale.

The City's wastewater system also includes 155.6 miles of gravity sewer lines, 32.38 miles of transmission (force) mains, and eighty-three (83) wastewater pumping stations. Most of these stations serve small areas and are minor in size, with pumping capacities ranging from 75 to 1,000 gallons per minute ("gpm").

City of Tamarac, Florida
Historical Annual Wastewater Flows

Fiscal Year	MG
2015	2,741
2014	3,080
2013	3,145
2012	3,623
2011	2,731
2010	2,492
2009	2,501
2008	2,377
2007	2,365
2006	2,468

Source: City of Tamarac, Utilities Department.

Financial Information

The following table shows Gross Revenues and Cost of Operation and Maintenance for fiscal years 2011 – 2015. It also provides historical Net Revenues coverage for fiscal years 2011-2015 of debt service on the Series 2009 Bonds.

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CITY OF TAMARAC WATER AND WASTEWATER SYSTEM
HISTORICAL NET REVENUES, AND DEBT SERVICE COVERAGE

	FY2011 Actual	FY2012 Actual	FY2013 Actual	FY2014 Actual	FY2015 Actual
Revenues					
Charges for services	$19,991,513	$21,658,903	$23,219,967	$24,457,957	$26,433,495
Other Charges and Fees	30,847	4,538	20,567	349,468	1,066,371
Interest Earnings	38,288	76,785	53,342	85,864	92,423
Total Revenues	20,060,648	21,740,226	23,293,876	24,893,289	27,592,289
Customer Operation and Maintenance (COM) Expenses					
Customer Service	627,245	637,777	656,331	698,348	736,352
Administration	2,145,430	2,468,481	2,737,053	3,502,716	3,423,949
Engineering	855,658	961,841	943,917	597,208	483,661
Water Treatment	3,223,281	2,845,336	2,508,004	2,341,949	2,263,826
Water Distribution	1,836,348	2,141,971	2,247,621	2,351,944	2,447,787
Wastewater Collection	7,193,208	7,866,363	7,157,781	7,367,421	6,863,585
Less: Pmts in lieu of taxes	(1,242,260)	(1,042,685)	(1,364,931)	(1,438,341)	(1,511,431)
Debt Service interest and other costs	696,070	688,720	629,394	668,321	648,304
Total COM Expenses (1)	15,334,980	16,567,804	15,515,170	16,089,566	15,356,033
Net Revenue	4,725,668	5,172,422	7,778,706	8,803,723	12,236,256
Actual Debt Service (2)	$891,744	$889,394	$889,394	$888,994	$903,994
Actual Debt Service Coverage	5.30	5.82	8.75	9.90	13.54

(1) Does not include Depreciation, Amortization, or Payment in Lieu of Taxes

(2) Actual Bond Service Requirements for the Series 2009 Bonds

Source: The City of Tamarac Comprehensive Annual Financial Report for the Fiscal Years Ended 2011, 2012, 2013, 2014, and 2015

Budgeted and Projected Operating Results and Debt Service Coverage

The budgeted and projected operating results and debt service coverage provided by Net Revenues for the Fiscal Years ended September 30, 2016 through 2020 set forth below were prepared by the City. Such projections are based on certain assumptions and estimates and no representation is made that any of such projections will be realized. While the City believes its assumptions and estimates are reasonable, said assumptions and estimates are dependent on future events and actual conditions may differ from those assumed. To the extent that actual conditions differ from those assumed, the actual operating results of the System will vary from such projections.

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CITY OF TAMARAC WATER AND WASTEWATER SYSTEM
FORECAST AND BUDGETED NET REVENUES, AND DEBT SERVICE COVERAGE

	FY2016 Forecast	FY2017 Budget	FY2018 Forecast	FY2019 Forecast	FY2020 Forecast
Revenues					
Charges for services	$26,231,502	$25,966,205	$26,753,157	$28,188,418	$28,499,306
Other Charges and Fees	405,313	330,000	$330,000	330,000	330,000
Interest Earnings	103,664	59,000	$59,885	60,783	63,822
Total Revenues	26,740,479	26,355,205	$27,143,042	28,579,201	28,893,128
Customer Operation and Maintenance (COM) Expenses					
Customer Service	742,116	797,390	$818,137	840,839	861,860
Administration	3,820,974	5,252,565	$4,970,532	5,039,244	5,165,225
Engineering	450,892	528,344	$544,283	562,207	576,262
Water Treatment	2,189,745	2,791,872	$2,822,632	2,869,368	2,941,102
Water Distribution	2,302,412	2,781,973	$3,029,540	3,020,540	3,096,054
Wastewater Collection	7,188,743	8,381,745	$8,392,405	8,443,564	8,654,653
Less: Pmts in lieu of taxes	(1,521,661)	(1,581,312)	$(1,585,180)	(1,589,057)	(1,733,588)
Debt Service interest and other costs	596,449	943,773	$1,044,406	1,029,157	1,008,017
Total COM Expenses[1]	15,769,670	19,896,350	$20,036,755	20,215,862	20,569,585
Net Revenue	10,970,809	6,458,855	$7,106,287	8,363,339	8,323,543
Projected Debt Service [2] [3]	$894,042	$1,377,750	$1,377,750	$1,377,750	$1,377,750
Projected Debt Service Coverage	12.27	4.68	5.15	6.07	6.04

(1) Does not include Depreciation, Amortization, or Payment in Lieu of Taxes

(2) FY 2016 is actual debt service for the Series 2009 Bonds

(3) FY 2017 - FY 2020 reflects maximum annual debt service for the Series 2016 Bonds

The City has not agreed to update this table pursuant to the Disclosure Agreement (see "CONTINUING DISCLOSURE" herein) or otherwise.

Environmental and Permit Matters

Operations of the System are subject to regulation by certain federal, state and local authorities. Federal and state standards and procedures that regulate and control operations of the System may change from time to time because of continuing legislative, regulatory, and judicial action. Compliance with changing regulations requires ongoing diligent attention by the City, which the City provides. The City is subject to regulation as to solid waste, water, and air quality by the United States Environmental Protection Agency (the "EPA") and the Florida Department of Environmental Protection ("FDEP"). The System currently is in compliance with all regulatory requirements of the EPA and FDEP.

SFWMD modified the City's Water Use Permit (the "CUP") in February 2014. The City is allocated an average of 7.58 million gallons per day ("MGD") or 2,767 million gallons ("MG") per year through the year 2034, and the maximum monthly allocation is 244.4 MG. The current CUP expires in 2034.

Rates, Fees and Charges

The following is a description of the City's water and wastewater rates, fees, and charges effective October 1, 2016. Pursuant to City Ordinance 2015-13, commencing on October 1, 2016 and on the 1st of October of each year thereafter, all water and wastewater service availability charges and consumption rates shall be adjusted by the U.S. Consumer Price Index Water and Sewerage Maintenance Index as determined in April of the calendar year of the adjustment unless action is taken by the city commission to use a different adjustment factor The City retains a Rate Consultant to review its rates every three to five years with the most recent Revenue Sufficiency Analysis being completed in September 2015.

WATER RATES AND CHARGES AS OF OCTOBER 1, 2016

SINGLE FAMILY RESIDENTIAL WATER RATES		
Customer Service/Billing Charge	$	2.48
Service Availability Charge/All Meter Sizes	$	9.29
Commodity Charges per Thousand Gallons:		
0 - 3,000 gallons	$	1.77
3,001 - 6,000 gallons	$	2.36
6,001 - 12,000 gallons	$	3.56
12,001 plus gallons	$	6.23

MULTI-FAMILY RESIDENTIAL WATER RATES		
Customer Service/Billing Charge ***(per unit)***	$	2.48
Service Availability Charge **per Unit**/All Meter Sizes	$	7.73
Commodity Charges per Thousand Gallons ***(per unit)***		
0-2,000 gallons	$	1.77
2,001-5,000 gallons	$	2.36
5,001-10,000 gallons	$	3.56
(All MFR calculations are based on individual units)	$	6.23

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COMMERCIAL WATER RATES

Customer Service/Billing Charge		$ 2.48
Service Availability Charge (by meter size)		
Meter Size	Number of ERCs	Amount
5/8”	1.00	$ 14.49
1”	2.50	$ 36.23
1-1/2”	5.00	$ 72.45
2”	8.00	$ 115.92
3”	16.00	$ 231.84
4”	25.00	$ 362.25
6”	50.00	$ 724.50
8”	80.00	$ 1,159.20

Commodity Charges per Thousand Gallons

Meter Size	First Consumption Block	Second Consumption Block
	$ 2.36	$ 3.56
5/8”	0 - 6,000 gallons	6,001 plus gallons
1”	0 - 15,000 gallons	15,001 plus gallons
1-1/2”	0 - 30,000 gallons	30,001 plus gallons
2”	0 - 48,000 gallons	48,001 plus gallons
3”	0 - 96,000 gallons	96,001 plus gallons
4”	0 - 150,000 gallons	150,001 plus gallons
6”	0 - 300,000 gallons	300,001 plus gallons
8”	0 - 480,000 gallons	480,001 plus gallons

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IRRIGATION WATER RATES			
Customer Service/Billing Charge		$	2.48
Service Availability Charge (by meter size)			
Meter Size	Number of ERCs		Amount
5/8”	1.00	$	14.49
1”	2.50	$	36.23
1-1/2”	5.00	$	72.45
2”	8.00	$	115.92
3”	16.00	$	231.84
4”	25.00	$	362.25
6”	50.00	$	724.50
8”	80.00	$	1,159.20

Commodity Charges per Thousand Gallons

Meter Size	First Consumption Block	Second Consumption Block
	$ 3.56	$ 6.23
5/8”	0 - 6,000 gallons	6,001 plus gallons
1”	0 - 15,000 gallons	15,001 plus gallons
1-1/2”	0 - 30,000 gallons	30,001 plus gallons
2”	0 - 48,000 gallons	48,001 plus gallons
3”	0 - 96,000 gallons	96,001 plus gallons
4”	0 - 150,000 gallons	150,001 plus gallons
6”	0 - 300,000 gallons	300,001 plus gallons
8”	0 - 480,000 gallons	480,001 plus gallons

WASTEWATER RATES AND CHARGES AS OF OCTOBER 1, 2016

SINGLE FAMILY RESIDENTIAL WASTEWATER RATES		
Customer Service/Billing Charge	$	2.48
Service Availability Charge/All Meter Sizes	$	16.27
Commodity Charges per Thousand Gallons:		
0-12,000 gallons (capped at 12,000 gallons)	$	4.80

MULTI-FAMILY RESIDENTIAL WASTEWATER RATES		
Customer Service/Billing Charge ***(per unit)***	$	2.48
Service Availability Charge **per Unit**/All Meter Sizes	$	13.35
Commodity Charges per Thousand Gallons ***(per unit)***		
0-10,000 gallons (capped at 10,000 gallons)	$	4.80
(All MFR calculations are based on individual units)		

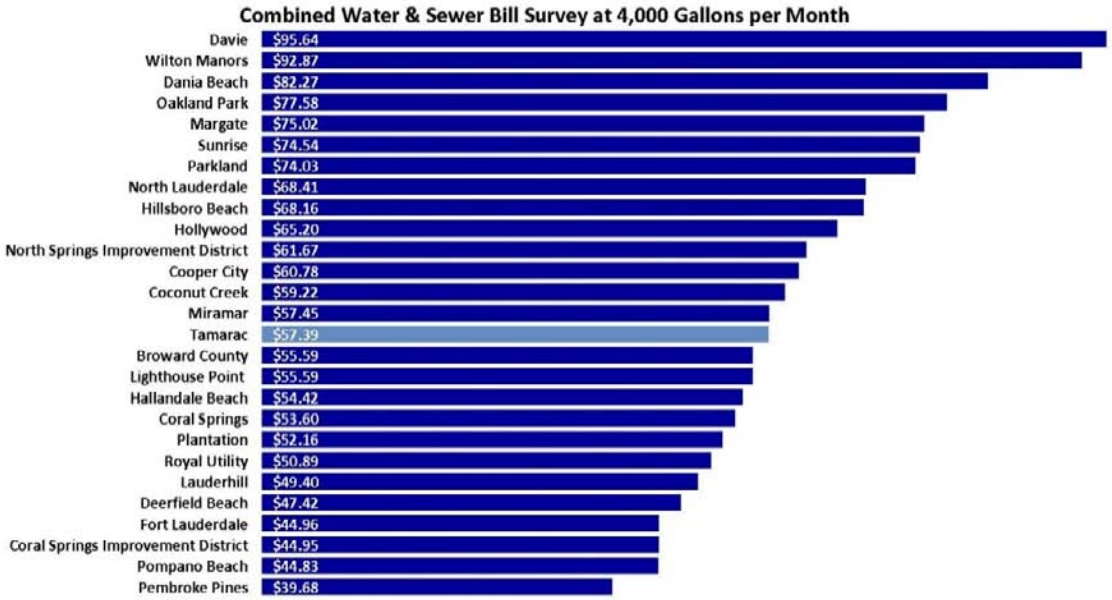
COMMERCIAL WASTEWATER RATES			
Customer Service/Billing Charge		$	2.48
Service Availability Charge (by meter size)			
Meter Size	Number of ERCs	Amount	
5/8”	1.00	$	23.45
1”	2.50	$	58.63
1-1/2”	5.00	$	117.25
2”	8.00	$	187.60
3”	16.00	$	375.20
4”	25.00	$	586.25
6”	50.00	$	1,172.50
8”	80.00	$	1,876.00
Commodity Charges per Thousand Gallons			
All Use		$	4.80

In addition to the above fees and charges, the City also imposes meter installation charges (referred to as Connection Fees in the Bond Resolution), meter turn on and turn off charges, and other miscellaneous charges which are included in Gross Revenues. City imposed impact fees are not part of Gross Revenues and are not included in Pledged Revenues.

The City has not agreed to update information regarding its water or wastewater rates, fees and charges pursuant to the Disclosure Agreement (see “CONTINUING DISCLOSURE” herein) or otherwise.

Comparison of Typical Monthly Water and Sewer Charges for Service

The following tables compare the City’s current charges for water service and sewer service with those charged by neighboring utilities.



Source: The City

The City has not agreed to update this table pursuant to the Disclosure Agreement (see "CONTINUING DISCLOSURE" herein) or otherwise.

THE 2016A PROJECT

The City, like many older utilities in south Florida, experiences inflow and infiltration of stormwater and groundwater into the sanitary sewer collection system. Inflow is characterized by additional flow entering the sanitary sewer system through rainfall runoff or other waters that enter the collection system through illegal storm drains, loose fitting manhole covers and other non-groundwater sources. Infiltration is the introduction of groundwater into the sanitary sewer system through leaking pipes or failing joints, typically found in older systems as a result of aging construction materials.

The primary concerns associated with inflow/infiltration ("I/I") are the excessive hydraulic loads that are placed on the piping and plumbing systems, thereby decreasing overall available capacity of the Sewer System and accelerating the deterioration of the Sewer System integrity.

As described under "THE SYSTEM" – Sewer System the City does not have a wastewater treatment plant but has entered into agreements with Broward County and the City of Fort Lauderdale to treat and dispose of its wastewater. Because of the I/I of storm water and ground water into the City's sewer collection system the amount of wastewater transmitted to Broward County and Fort Lauderdale has been significantly higher than it otherwise should have been resulting in increasing disposal costs to the City.

In Fiscal Year 2011-2012, the average wastewater flow to Broward County was 9.6 MGD. The additional 1.1 MGD over the City's reserve capacity of 8.5 MGD was primarily due to I/I, which caused additional charges to be billed to the City from Broward County of approximately $350,000.

Starting in 2011, the City expanded its I/I abatement program and targeted key areas for I/I reduction. During this time, significant lining and rehabilitation was completed within Lift Station Basins 16, 17, 18, 21, and 22. **The results of these lining and rehabilitation efforts are demonstrated in the overall reduction of the wastewater flows, decreasing from 9.5 MGD annual average flow in 2012 to 7.6 MGD annual average flow in 2015.**

Over the course of the past four years, the City has invested $9 million in the I/I program, completing improvements to Lift Station Basin 16 that had an overall decrease in wastewater flows from 467,379 gpd (gallons per day) to 218,471 gpd, which is a net decrease of 53%. In addition, the City completed improvements to Lift Station Basin 18, reducing wastewater flows from 376,276 gpd to 280,013 gpd, which is a net decrease of approximately 26%. The total reduction in wastewater flow as a result of these improvements was 345,171, or 41%. In addition, the City has seen a decrease in annual costs to Broward County North Regional Wastewater Treatment Plant from a high in 2012 of $5,663,076 to an estimated amount of $4,873,065 in FY 2016, despite rate adjustments over that period.

The City's I/I abatement program has traditionally focused on lining the gravity mains. Starting in 2011 with the Lift Station Basin 16 lining work, the program was expanded to include up to 20 feet of lining per lateral. The program also includes rehabilitation and coating of the gravity sewer manholes (where warranted).

The Series 2016A Bonds will provide approximately $11 million in financing for the 2016A Project, which is expected to include, but may not be limited to, additional improvements to the City's Sewer System to reduce I/I through the lining of additional gravity mains and rehabilitation and costing of gravity sewer manholes, as warranted.

The City uses a cured-in-place pipe liner ("CIPP") to line gravity sewer piping CIPP liner piping. The CIPP liner consists of a felt tube impregnated with a polyester resin sped developed and tested for sewer applications. The liner is cured inside the existing gravity sewer to create a pipe which fits tightly against the host pipe to maximize buckling resistance and minimize infiltration.

This product has demonstrated excellent long-term properties with a design life well in excess of 50 years.

CAPITAL IMPROVEMENT PLAN

The City's water and sewer capital improvement plan for the next five fiscal years totals $30.7 million, of which the approximately $11 million 2016A Project is the major component. The City's water and sewer budgeted capital improvement plan through fiscal year 2025 totals $60.2 million. The City expects that due to cost savings and some projects not being fully completed that the costs of such capital improvements will be approximately 95% of the budgeted amounts. The City's rate consultant has determined that such capital improvements can be completed without the need to issue additional debt while maintaining debt service coverage equal to at least 1.50 with rate increases of 2.5% per year for fiscal years 2019 through 2025.

CERTAIN FACTORS AFFECTING THE SYSTEM

The purchase of the Series 2016 Bonds involves a degree of risk, as is the case with all investments. Factors that could affect the City's ability to perform its obligations under the Bond Resolution, including the timely payment of principal of and interest on the Series 2016 Bonds, include, without limitation, the following:

1. The System may need additional repairs and improvements beyond those projected by the capital improvement plan. The City did not engage a separate independent consulting engineer in the review of the System. The cost of additional repairs would have to be financed either through additional revenues of the System or the issuance of Additional Parity Obligations or Subordinate Debt. Either of these alternatives could potentially require an increase in the rates, fees and charges of the System.

2. There is no assurance that permits for operation of major components of the System will be renewed or can be renewed without the expenditure of moneys from the System or the issuance of Additional Parity Obligations or Subordinate Debt. Further, there is no assurance that the requirements for renewal of the permits will remain the same prior to the time that renewal is required; a change in requirements could require additional expenditures for improvements.

3. The future financial condition of the System could be affected adversely by legislation, environmental, terrorism and other regulatory actions, changes in demand for services, demographic changes and litigation, among other things.

4. The environmental aspects of the Water System and the Sewer System are regulated by (a) the EPA; (b) FDEP under Chapter 403, Florida Statutes, and the rules and regulations promulgated by FDEP; (c) SFWMD; and (d) the Army Corps of Engineers. FDEP is principal regulator of water and wastewater utilities in Florida. SFWMD regulates water withdrawals for potable water providers such as the City. The City is subject to federal and state water treatment and wastewater disposal requirements which, among other things, limit raw water withdrawals, control contaminants in finished water, limit discharges of pollutants into surface and ground waters, regulate the quality of effluent discharged from sewage treatment facilities, and limit the nature of waste materials discharged into the collection facilities. The City is also subject to federal, state and local waste disposal requirements, which control the means of disposal solids generated by sewage treatment plants. There are no assurances that these agencies will not increase their present environmental or other regulatory standards. Environmental requirements in general are becoming more stringent, and further or new requirements may substantially increase the cost of water or sewer service by requiring changes in the design or operation of existing or new facilities. Future changes in policy could result in discontinued operation, reduced capacity of the Water System and/or Sewer System, additional operations or capital expenditures, or a reduction in the revenue received by the City. Further, while the City undertakes to operate the Water System and Sewer System in a professional manner and in compliance with all regulatory requirements, there is no assurance that the Water System and Sewer System facilities now or in the future will always be maintained in compliance with current or future regulatory requirements. Failure to comply with those requirements could result in enforcement action against those facilities not in compliance which, under Federal and Florida law, can include the imposition of civil and criminal penalties.

5. The City is in Florida, an area subject to tropical storms and hurricanes. If such a storm were to move through the service area of the System, the System and customer homes and businesses may experience substantial damage and a resulting interruption in service. Such events may materially adversely affect the City's ability to provide service, collect System revenue and experience continued customer stability. The City has taken

steps to mitigate the impact of such storms which include implementation of a hurricane preparedness plan and securing insurance coverage where available.

INVESTMENT POLICY

Section 218.415, Florida Statutes limits the types of investments that a government can invest in unless specifically authorized in an investment policy. The Bond Resolution provides that "Permitted Investments" thereunder must be in compliance with the City's written investment policy. On June 9, 2010, the City of Tamarac adopted a revised comprehensive investment policy pursuant to Section 218.415, Florida Statutes that established permitted investments, asset allocation limits, issuer limits, credit rating requirements, and maturity limits to protect the City's cash and investment assets. The City maintains a common cash and investment pool for the use of all funds. The investment policy applies to all cash and investments held or controlled by the City with the exception of Pension Funds and funds related to the issuance of debt.

The City's investment policy allows for the following investments: the Florida State Board of Administration's Local Government Surplus Funds Trust Fund (Florida PRIME), United States Government Securities, United States Government Agencies, Federal Instrumentalities, Non-Negotiable Interest Bearing Time Certificates of Deposit or Saving Accounts, Repurchase Agreements, Commercial Paper, Bankers' Acceptances, State and/or Local Government Taxable and/or Tax-Exempt Debt, Money Market Mutual Funds, Intergovernmental Investment Pools, Corporate Obligations or Corporate Notes, Mortgage-Backed Securities (MBS), Asset-Backed Securities (ABS), and Bond Funds.

PENSIONS AND OTHER POST EMPLOYMENT BENEFITS

The City has four defined benefit single-employer pension plans:

- General Employees' Pension Plan
- Police Officers' Pension Plan
- Firefighters' Pension Plan
- Elected and Appointed Officers and Non-Represented Employees' Pension Plan

The Police Officers' Pension Plan is a closed plan with former City police personnel as participants. However, the City has a continuing obligation to fund such plan which has 36 participants.

The defined benefit plans do not issue stand-alone financial reports and are not included in any other retirement system's or entity's financial report.

General Employees Pension Fund

The City requires all general regular full-time employees to participate in this pension fund. The City makes a contribution to the General Employees Pension Fund in accordance with the requirements identified in the actuarial valuation, and employees are required to contribute 7% of their pay into the plan. Employees become vested when they have completed 5 years of continuous service. This pension plan provides benefits upon retirement, and includes provisions for disability benefits.

Firefighters' Pension Fund

A participant is any individual employed by the City as a full-time firefighter as defined by the Florida Statutes. The City makes contributions to this pension fund in accordance with the requirements identified in the actuarial valuation, and employees are required to contribute 10.5% of their pay into the plan. Employees become vested when they have completed 8 years of continuous service. This pension plan provides benefits upon retirement, and includes provisions for disability benefits.

Elected and Appointed Officers and Non-Represented Employees Retirement Plan

Elected and appointed officials of the City, executive, managerial/professional and non-represented administrative employees employed by the City in a full-time capacity are required to participate in this plan. The City makes contributions to this pension fund in accordance with the requirements identified in the actuarial

valuation, and participants are required to contribute 10% of their pay into the plan. Employees become fully vested when they have completed 5 years of continuous service. This pension plan provides benefits upon retirement, and includes provisions for disability benefits.

An independent actuary engaged by the pension board calculates the amount of the annual contribution the City must make to each pension plan to ensure that the plans will be able to fully meet obligations to retired employees on a timely basis. As a matter of policy, the City relies upon projections provided by an independent actuary to determine the appropriate level of funding for the pension plans. The annual budget includes the contributions necessary to keep the respective plans actuarially sound and in compliance with applicable laws, rules or regulations.

Net Pension Liability as of September 30, 2015 for the General Employees' Pension Plan

Total pension liability	$43,808,048
Less fiduciary net position	(41,608,979)
Net pension liability	**$ 2,199,251**
Plan fiduciary net position as a percentage of total pension liability	95%

Net Pension Liability as of September 30, 2015 for the Police Officers' Pension Plan

Total pension liability	$10,609,257
Less fiduciary net position	(4,828,889)
Net pension liability	**$ 5,780,368**
Plan fiduciary net position as a percentage of total pension liability	45.52%

Net Pension Liability as of September 30, 2015 for the Firefighters' Pension Plan

Total pension liability	$95,682,893
Less fiduciary net position	(79,636,905)
Net pension liability	**$15,991,988**
Plan fiduciary net position as a percentage of total pension liability	83%

Net Pension Liability as of September 30, 2015 for the Elected and Appointed Officers and Non-Represented Employees' Pension Plan

Total pension liability	$33,905,891
Less fiduciary net position	(34,322,448)
Net pension liability	**$ (416,557)**
Plan fiduciary net position as a percentage of total pension liability	101%

Other Post Employment Benefits

The City provides Post Employment Benefits Other than Pensions (OPEB) to employees as mandated by Florida Statutes 112.801. The City is required by Section 112.0801, Florida Statutes to charge active and retired employees the same premium for post retirement healthcare benefits. Because the true cost of health insurance provided to retired employees is generally significantly higher than that for active employees, the City, as required by Florida law, is providing an indirect subsidy to the retired employees.

Like most governments, the City historically funded the OPEB plan on a pay-as-you-go basis as a current operating expense, and reflects the expense on its financial statements in the Fiscal Year in which payments are made. However, the City has implemented Statement No. 45, Accounting and Reporting for Post-Employment Benefits Other than Pensions ("GASB 45"). Under GASB 45, certain local governments who provide other post-employment benefits, which include retiree health insurance, are required to show all or a portion of the liabilities associated with their OPEB plans on their financial statements and whether, and to what extent, progress is being made in funding those liabilities. GASB 45 does not require that the annual required contribution as determined by the plans actuary be paid or that the plan be fully or partially funded, only that the government account for its unfunded actuarial accrued liability and its compliance in paying its annual required contribution.

Annual OPEB Cost and Net OPEB Obligation

The City's annual OPEB cost is calculated based on annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of the GASB Statement 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years. The following table shows the components of the City's annual OPEB cost for the year ended September 30, 2015, the amount actually contributed and the changes in the City's net OPEB obligation:

Annual required contributions	$ 254,000
Interest on the Net OPEB Obligation	29,000
Adjustment to the ARC	(52,000)
Annual OPEB Cost	231,000
City Contribution made	18,160
Increase in Net OPEB obligation	212,840
Net OPEB obligation at beginning of the year	1,089,309
Net OPEB obligation at end of the year	$ 1,302,149

Source: City of Tamarac, Florida

The City's annual OPEB cost, the percentage of annual OPEB cost contribution and the net OPEB obligation for the City fiscal year 2013 through 2015 are as follows:

	2013	2014	2015
Annual OPEB Cost	$256,000	$ 257,000	$ 231,000
Percentage of Annual OPEB Cost Contributed	30%	5%	8%
Net OPEB Obligation	$884,949	$1,089,309	$1,302,149

Source: City of Tamarac, Florida

The City has not established a separate trust fund through which benefits under the OPEB Plan are paid and has not currently accumulated or earmarked any funds for this purpose. All approved benefits are paid from the City's legally available funds when due.

As of October 1, 2015, the most recent actuarial valuate date, the actuarial accrued liability for benefits was $1,957,000, all of which was unfunded. The covered payroll (annual payroll of active employees) was $20,539,000 and the ration of the unfunded actuarial accrued liability to the covered payroll was 9.5%.

The projection of future benefit payments for an ongoing plan involves estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information following the notes to the financial statements, presents the current year information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits. Additional information on the City's pension and

OPEB plans, including actuarial assumptions, can be found in Note 14 in the notes to the City's audited financial statements attached as APPENDIX A hereto.

TAX MATTERS

Series 2016A Bonds

General

The Internal Revenue Code of 1986, as amended (the "Code"), establishes certain requirements which must be met subsequent to the issuance of the Series 2016A Bonds in order that interest on the Series 2016A Bonds be and remain excluded from gross income for purposes of federal income taxation. Non-compliance may cause interest on the Series 2016A Bonds to be included in federal gross income retroactive to the date of issuance of the Series 2016A Bonds, regardless of the date on which such non-compliance occurs or is ascertained. These requirements include, but are not limited to, provisions which prescribe yield and other limits within which the proceeds of the Series 2016A Bonds and the other amounts are to be invested and require that certain investment earnings on the foregoing must be rebated on a periodic basis to the Treasury Department of the United States. The City has covenanted in the Resolution to comply with such requirements in order to maintain the exclusion from federal gross income of the interest on the Series 2016A Bonds.

In the opinion of Bond Counsel, assuming compliance with certain covenants, under existing laws, regulations, judicial decisions and rulings, interest on the Series 2016A Bonds is excluded from gross income for purposes of federal income taxation. Interest on the Series 2016A Bonds is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals or corporations; however, interest on the Series 2016A Bonds may be subject to the federal alternative minimum tax when any Series 2016A Bond is held by a corporation. The federal alternative minimum taxable income of a corporation must be increased by seventy-five percent (75%) of the excess of such corporation's adjusted current earnings over its alternative minimum taxable income (before this adjustment and the alternative tax net operating loss deduction). "Adjusted Current Earnings" will include interest on the Series 2016A Bonds.

Except as described above, Bond Counsel will express no opinion regarding other federal income tax consequences resulting from the ownership of, receipt or accrual of interest on, or disposition of Series 2016A Bonds. Prospective purchasers of Series 2016A Bonds should be aware that the ownership of Series 2016A Bonds may result in collateral federal income tax consequences, including (i) the denial of a deduction for interest on indebtedness incurred or continued to purchase or carry Series 2016A Bonds; (ii) the reduction of the loss reserve deduction for property and casualty insurance companies by fifteen percent (15%) of certain items, including interest on the Series 2016A Bonds; (iii) the inclusion of interest on the Series 2016A Bonds in earnings of certain foreign corporations doing business in the United States for purposes of the branch profits tax; (iv) the inclusion of interest on the Series 2016A Bonds in passive income subject to federal income taxation of certain Subchapter S corporations with Subchapter C earnings and profits at the close of the taxable year; and (v) the inclusion of interest on the Series 2016A Bonds in "modified adjusted gross income" by recipients of certain Social Security and Railroad Retirement benefits for the purposes of determining whether such benefits are included in gross income for federal income tax purposes.

As to questions of fact material to the opinion of Bond Counsel, Bond Counsel will rely upon representations and covenants made on behalf of the City in the Resolution, certificates of appropriate officers and certificates of public officials (including certifications as to the use of proceeds of the Series 2016A Bonds and of the property financed or refinanced thereby).

PURCHASE, OWNERSHIP, SALE OR DISPOSITION OF THE SERIES 2016A BONDS AND THE RECEIPT OR ACCRUAL OF THE INTEREST THEREON MAY HAVE ADVERSE FEDERAL TAX CONSEQUENCES FOR CERTAIN INDIVIDUAL AND CORPORATE HOLDERS OF THE SERIES 2016A BONDS, INCLUDING, BUT NOT LIMITED TO, THE CONSEQUENCES DESCRIBED ABOVE. PROSPECTIVE HOLDERS OF THE SERIES 2016A BONDS SHOULD CONSULT WITH THEIR TAX SPECIALISTS FOR INFORMATION IN THAT REGARD.

Information Reporting and Backup Withholding

Interest paid on tax-exempt bonds such as the Series 2016A Bonds is subject to information reporting to the Internal Revenue Service in a manner similar to interest paid on taxable obligations. This reporting requirement does not affect the excludability of interest on the Series 2016A Bonds from gross income for federal income tax purposes. However, in conjunction with that information reporting requirement, the Code subjects certain non-corporate owners of Series 2016A Bonds, under certain circumstances, to "backup withholding" at the rate specified in the Code with respect to payments on the Series 2016A Bonds and proceeds from the sale of Series 2016A Bonds. Any amount so withheld would be refunded or allowed as a credit against the federal income tax of such owner of Series 2016A Bonds. This withholding generally applies if the owner of Series 2016A Bonds (i) fails to furnish the payor such owner's social security number or other taxpayer identification number ("TIN"), (ii) furnished the payor an incorrect TIN, (iii) fails to properly report interest, dividends, or other "reportable payments" as defined in the Code, or (iv) under certain circumstances, fails to provide the payor or such owner's securities broker with a certified statement, signed under penalty of perjury, that the TIN provided is correct and that such owner is not subject to backup withholding. Prospective purchasers of the Series 2016A Bonds may also wish to consult with their tax advisors with respect to the need to furnish certain taxpayer information in order to avoid backup withholding.

Other Tax Matters

During recent years, legislative proposals have been introduced in Congress, and in some cases enacted, that altered certain federal tax consequences resulting from the ownership of obligations that are similar to the Series 2016A Bonds. In some cases, these proposals have contained provisions that altered these consequences on a retroactive basis. Such alteration of federal tax consequences may have affected the market value of obligations similar to the Series 2016A Bonds. From time to time, legislative proposals are pending which could have an effect on both the federal tax consequences resulting from ownership of the Series 2016A Bonds and their market value. No assurance can be given that legislative proposals will not be enacted that would apply to, or have an adverse effect upon, the Series 2016A Bonds. For example, in connection with federal deficit reduction, job creation and tax law reform efforts, proposals have been and others are likely to be made that could significantly reduce the benefit of, or otherwise affect, the exclusion from gross income of interest on obligations like the Series 2016A Bonds. There can be no assurance that any such legislation or proposal will be enacted, and if enacted, what form it may take. The introduction or enactment of any such legislative proposals may affect, perhaps significantly, the market price for, or marketability of, the Series 2016A Bonds.

Prospective purchasers of the Series 2016A Bonds should consult their own tax advisors as to the tax consequences of owning the Series 2016A Bonds in their particular state or local jurisdiction and regarding any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel expresses no opinion.

Tax Treatment of Bond Premium

The difference between the principal amount of the Series 2016A Bonds (collectively, the "Premium Bonds"), and the initial offering price to the public (excluding bond houses, brokers or similar persons or organizations acting in the capacity of underwriters or wholesalers) at which price a substantial amount of such Premium Bonds of the same maturity and, if applicable, interest rate, was sold constitutes to an initial purchaser amortizable bond premium which is not deductible from gross income for federal income tax purposes. The amount of amortizable bond premium for a taxable year is determined actuarially on a constant interest rate basis over the term of each of the Premium Bonds, which ends on the earlier of the maturity or call date for each of the Premium Bonds which minimizes the yield on such Premium Bonds to the purchaser. For purposes of determining gain or loss on the sale or other disposition of a Premium Bond, an initial purchaser who acquires such obligation in the initial offering is required to decrease such purchaser's adjusted basis in such Premium Bond annually by the amount of amortizable bond premium for the taxable year. The amortization of bond premium may be taken into account as a reduction in the amount of tax-exempt income for purposes of determining various other tax consequences of owning such Premium Bonds. Bondholders of the Premium Bonds are advised that they should consult with their own tax advisors with respect to the state and local tax consequences of owning such Premium Bonds.

Series 2016B Bonds

INTEREST ON THE SERIES 2016B BONDS IS NOT EXCLUDED FROM GROSS INCOME FOR FEDERAL INCOME TAX PURPOSES. Except as described herein, Bond Counsel will express no opinion as to any other tax consequences regarding the Series 2016B Bonds. Holders of the Series 2016B Bonds should consult their tax advisors with respect to the inclusion of interest on Series 2016B Bonds in gross income for federal income tax purposes.

The following is a summary of certain anticipated United States federal income tax consequences of the purchase, ownership and disposition of the Series 2016B Bonds by certain persons. The summary is based upon provisions of the Code, the regulations promulgated thereunder and rulings and court decisions now in effect, all of which are subject to change. This summary is intended as a general explanatory discussion of the consequences of holding the Series 2016B Bonds, limited to those persons who hold the Series 2016B Bonds as "capital assets" within the meaning of Section 1221 of the Code. This summary does not purport to address all aspects of federal income taxation that may affect particular investors in light of their individual circumstances or certain types of investors subject to special treatment under the federal income tax laws, including but not limited to financial institutions, insurance companies, dealers in securities or currencies, persons holding the Series 2016B Bonds as a hedge against currency risks or as a position in a straddle for tax purposes, foreign investors or persons whose functional currency is not the U.S. dollar. This summary does not address alternative minimum tax issues or the indirect consequences to a holder of an equity interest in a holder of the Series 2016B Bonds. Potential purchasers of the Series 2016B Bonds should consult their own tax advisors in determining the federal, state or local tax consequences to them of the purchase, ownership and disposition of the Series 2016B Bonds.

As stated above, interest on the Series 2016B Bonds is not excluded from gross income for federal income tax purposes. Purchasers other than those who purchase the Series 2016B Bonds in the initial offering at their principal amounts will be subject to federal income tax accounting rules affecting the timing and/or characterization of payments received with respect to such Series 2016B Bonds. Generally, interest paid on the Series 2016B Bonds and recovery of accrued original issue and market discount, if any, will be treated as ordinary income to the Bondholder, and, after adjustment for the foregoing, principal payments will be treated as a return of capital.

Market Discount

If a bondholder purchases the Series 2016B Bonds in the secondary market for an amount that is less than the adjusted issue price of the Series 2016B Bonds, and such difference is not considered to be de minimis, then such discount will represent market discount. Absent an election to accrue market discount currently, upon a sale, exchange or other disposition of the Series 2016B Bonds, a portion of any gain will be ordinary income to the extent it represents the amount of any such market discount that was accrued through the date of the sale. In addition, absent an election to accrue market discount currently, the portion of any interest expense intended to carry a market discount bond is limited. Such bondholders should consult their own tax advisors with respect to whether or not they should elect to accrue market discount currently, the determination and treatment of market discount for federal income tax purposes and the state and local tax consequences of owning such Series 2016B Bonds.

Tax Treatment of Bond Premium for the Series 2016B Bonds

If a bondholder purchases a Series 2016B Bond at a cost greater than its principal amount, the bondholder may elect to treat such excess as amortizable bond premium. As the tax accounting treatment of bond premium is complex, such bondholders should consult their own tax advisors with respect to whether or not they should elect to amortize such premium under Section 171 of the Code.

Sale, Exchange or Redemption

Upon a sale, exchange or redemption of the Series 2016B Bonds, bondholders will generally realize a capital gain or loss on the Series 2016B Bonds equal to the difference between the amount realized on the sale, exchange or retirement (less any accrued qualified stated interest which will be taxable as such) and the bondholder's adjusted tax basis on the Series 2016B Bonds. The bondholder's adjusted tax basis for the Series 2016B Bonds is the price such owner pays for the Series 2016B Bonds plus the amount of any original issue discount and market discount previously included in income, reduced on account of any payments received (other

than qualified periodic interest payments) and any amortized bond premium. The legal defeasance of the Series 2016B Bonds may result in a deemed sale or exchange of such bonds under certain circumstances, in which event an owner of the Series 2016B Bonds will also recognize taxable gain or loss as described above. Owners of such Series 2016B Bonds should consult their tax advisors as to the federal income tax consequences of such an event.

Information Reporting and Backup Withholding

The Code subjects certain non-corporate owners of Series 2016B Bonds, under certain circumstances, to "backup withholding" at the rate specified in the Code with respect to payments on the Series 2016B Bonds and proceeds from the sale of Series 2016B Bonds. Any amount so withheld would be refunded or allowed as a credit against the federal income tax of such owner of Series 2016B Bonds. This withholding generally applies if the owner of Series 2016B Bonds (i) fails to furnish the payor such owner's social security number or other taxpayer identification number ("TIN"), (ii) furnished the payor an incorrect TIN, (iii) fails to properly report interest, dividends, or other "reportable payments" as defined in the Code, or (iv) under certain circumstances, fails to provide the payor or such owner's securities broker with a certified statement, signed under penalty of perjury, that the TIN provided is correct and that such owner is not subject to backup withholding. Prospective purchasers of the Series 2016B Bonds may also wish to consult with their tax advisors with respect to the need to furnish certain taxpayer information in order to avoid backup withholding.

Nonresidents

Under the Code, interest and original issue discount income with respect to the Series 2016B Bonds held by nonresident alien individuals, foreign corporations and other non-United States persons ("Nonresidents") may not be subject to withholding. Payments on the Series 2016B Bonds to a Nonresident that has no connection with the United States other than holding the Series 2016B Bonds will generally be made free of withholding tax, as long as such holder has complied with certain tax identification and certification requirements. Nonresidents should consult their own tax advisors in determining the federal, state or local tax consequences to them of the purchase, ownership and disposition of the Series 2016B Bonds.

The above discussion was written to support the promotion and marketing of the Bonds and was not intended or written to be used, and cannot be used, by a taxpayer for purposes of avoiding United States federal income tax penalties that may be imposed. Each taxpayer should seek advice based on the taxpayer's particular circumstances from an independent tax advisor.

Other Tax Matters

During recent years, legislative proposals have been introduced in Congress, and in some cases enacted, that altered certain federal tax consequences resulting from the ownership of obligations that are similar to the Series 2016 Bonds. In some cases, these proposals have contained provisions that altered these consequences on a retroactive basis. Such alteration of federal tax consequences may have affected the market value of obligations similar to the Series 2016 Bonds. From time to time, legislative proposals are pending which could have an effect on both the federal tax consequences resulting from ownership of the Series 2016 Bonds and their market value. No assurance can be given that legislative proposals will not be enacted that would apply to, or have an adverse effect upon, the Series 2016 Bonds. For example, in connection with federal deficit reduction, job creation and tax law reform efforts, proposals have been and others are likely to be made that could significantly reduce the benefit of, or otherwise affect, the exclusion from gross income of interest on obligations like the Series 2016 Bonds. There can be no assurance that any such legislation or proposal will be enacted, and if enacted, what form it may take. The introduction or enactment of any such legislative proposals may affect, perhaps significantly, the market price for, or marketability of, the Series 2016 Bonds.

Prospective purchasers of the Series 2016 Bonds should consult their own tax advisors as to the tax consequences of owning the Series 2016 Bonds in their particular state or local jurisdiction and regarding any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel expresses no opinion.

FINANCIAL STATEMENTS

The financial statements of the City as of September 30, 2015 for the Fiscal Year then ended included as APPENDIX A to this Official Statement, have been audited by GLSC & Company, PLLC (the "Independent Auditors"), independent auditors, as stated in their report appearing therein.

Such financial statements, including the auditor's report, have been included in this Official Statement as public documents and consent from the Independent Auditors was not requested. The Independent Auditors have not been engaged to perform and have not performed, since the date of its report included herein, any procedures on the financial statements addressed in that report. The Independent Auditors also have not performed any procedures relating to this Official Statement.

Also included as part of APPENDIX A is certain unaudited and unadjusted financial information of the Water and Wastewater Fund for the fiscal year ended September 30, 2016 prepared by the City's Financial Services Department.

RATINGS

The City has received ratings on the Series 2016 Bonds of "Aa2," and "AA" (Stable Outlook) from Moody's Investors Service ("Moody's") and Fitch Ratings ("Fitch"), respectively.

Generally, the rating agencies base their ratings on information and material so furnished and on investigations, studies and assumptions made by them. The ratings reflect only the views of the rating agency and an explanation of the significance of such rating may be obtained from them. No assurance can be given that the rating will be maintained for any given period of time or that the rating may not be revised downward or withdrawn entirely by the rating agencies, if, in their judgment, circumstances warrant. Any such downward change in or withdrawal of the rating may have an adverse effect on the market price of the Series 2016 Bonds. Securities rating is not a recommendation to buy, sell or hold securities. The Underwriters and the City have undertaken no responsibility after issuance of the Series 2016 Bonds to assure the maintenance of the rating or to oppose any such revision or withdrawal.

UNDERWRITING

The Series 2016 Bonds are being purchased by RBC Capital Markets, LLC, Stifel Nicolaus & Company, Incorporated, and Raymond James & Associates, Inc. (collectively, the "Underwriters") at an aggregate purchase price of $24,682,718.66 (which represents the $21,865,000.00 principal amount of the Series 2016 Bonds, less an Underwriters' discount of $83,767.69 and plus original issue premium on the Series 2016A Bonds of $2,901.486.35). The Underwriters' obligations are subject to certain conditions precedent, and they will be obligated to purchase all of the Series 2016 Bonds if any Series 2016 Bonds are purchased. The Series 2016 Bonds may be offered and sold to certain dealers (including dealers depositing such Series 2016 Bonds into investment trusts) at prices lower than such public offering prices, and such public offering prices may be changed, from time to time, by the Underwriters. RBC Capital Markets, LLC may also receive a fee for conducting a competitive bidding process regarding the investment of certain proceeds of the Series 2016 Bonds.

The Underwriters and their respective affiliates are full-service financial institutions engaged in various activities that may include securities trading, commercial and investment banking, municipal advisory, brokerage, and asset management. In the ordinary course of business, the Underwriters and their respective affiliates may actively trade debt and, if applicable, equity securities (or related derivative securities) and provide financial instruments (which may include bank loans, credit support or interest rate swaps). The Underwriters and their respective affiliates may engage in transactions for their own accounts involving the securities and instruments made the subject of this securities offering or other offering of the City. The Underwriters and their respective affiliates may make a market in credit default swaps with respect to municipal securities in the future. The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and publish independent research views in respect of this securities offering or other offerings of the City.

CONTINUING DISCLOSURE

The City will agree, pursuant to a Disclosure Dissemination Agent Agreement, a proposed form of which is included as APPENDIX E hereto (the "Disclosure Agreement") in accordance with the provisions of Rule 15c2-12 (the "Rule"), as promulgated by the Securities and Exchange Commission pursuant to the Securities Exchange Act of 1934, in effect from time to time and applicable to the Series 2016 Bonds, to provide or cause to be provided, to the Electronic Municipal Market Access ("EMMA") system operated by the Municipal Securities Rule Making Board (a) not later than 210 days after the end of each fiscal year of the City commencing with the fiscal year ended September 30, 2016, certain financial information and operating data relating to the City and the System and to provide notices of the occurrence of certain enumerated events.

The specific nature of the financial information, operating data, and of the type of events which trigger a disclosure obligation, and other details of the undertaking are described in "APPENDIX E — FORM OF DISCLOSURE DISSEMINATION AGENT AGREEMENT" attached hereto. The Disclosure Agreement shall be executed by the City in connection with the issuance of the Series 2016 Bonds. The covenants in the Disclosure Agreement have been made in order to assist the Underwriters in complying with the continuing disclosure requirements of the Rule.

The City will reserve the right to terminate its obligation to provide annual financial information and notices of certain events if and when the City no longer remains an obligated person with respect to the Series 2016 Bonds within the meaning of the Rule.

The City agrees that its undertaking pursuant to the Rule described in the Disclosure Agreement is intended to be for the benefit of the Holders and beneficial owners of the Series 2016 Bonds and shall be enforceable by such Holders and beneficial owners; provided that the right to enforce the provisions of this undertaking shall be limited to a right to seek mandamus or specific performance to cause the City to comply with its obligations. Any failure by the City to comply with the provisions of the undertaking shall not be an event of default with respect to the Series 2016 Bonds under the Bond Resolution. With respect to the Series 2016 Bonds, no party other than the City is obligated to provide, nor is expected to provide, any continuing disclosure information.

The undertakings described above may be amended or modified from time to time in accordance with the terms of the Disclosure Dissemination Agent Agreement. See "APPENDIX E — FORM OF DISCLOSURE DISSEMINATION AGENT AGREEMENT."

The City has appointed Digital Assurance Certification, L.L.C. as initial Disclosure Dissemination Agent (the "Disclosure Dissemination Agent") under the Disclosure Agreement. The Disclosure Dissemination Agent has only the duties specifically set forth in the Disclosure Agreement. The Disclosure Dissemination Agent's obligation to deliver the information at the times and with the contents described in the Disclosure Agreement is limited to the extent the City has provided such information to the Disclosure Dissemination Agent as required by the Disclosure Agreement. The Disclosure Dissemination Agent has no duty with respect to the contents of any disclosures or notice made pursuant to the terms of the Disclosure Agreement. The Disclosure Dissemination Agent has no duty or obligation to review or verify any information in the Annual Report, Audited Financial Statements, notice of Notice Event, or Voluntary Report (as such terms are defined in the Disclosure Dissemination Agent Agreement) or any other information, disclosures, or notices provided to it by the City and shall not be deemed to be acting in any fiduciary capacity for the City, the Holders of the Series 2016 Bonds or any other party. The Disclosure Dissemination Agent has no responsibility for the City's failure to report to the Disclosure Dissemination Agent a Notice Event or a duty to determine the materiality thereof. The Disclosure Dissemination Agent shall have no duty to determine, or liability for failing to determine, whether the City has complied with the Disclosure Agreement. The Disclosure Dissemination Agent may conclusively rely upon certifications of the City at all times.

During the past five years, the City is aware that for fiscal years 2011, 2012 and 2013 certain tables were inadvertently not included in its continuing disclosure undertaking in connection with the Series 2009 Bonds. The City corrected such filings in a timely manner as soon as it became aware of such omissions. In addition, the City inadvertently filed a rating upgrade after the required 10-day period. The City filed such tables upon becoming aware of such omissions.

LEGAL MATTERS

Certain legal matters incident to the validity of the Series 2016 Bonds including their authorization, issuance and sale by the City, are subject to the unqualified approving legal opinion of Bryant Miller Olive P.A., Tampa, Florida, in its capacity as Bond Counsel. Certain legal matters will be passed upon for the City by Goren, Cherof, Doody & Ezrol, P.A., Fort Lauderdale, Florida, in its capacity as City Attorney, and by Akerman LLP, Orlando, Florida, in its capacity as Disclosure Counsel. Nabors, Giblin & Nickerson, P.A., Tampa, Florida, is serving as counsel to the Underwriters in connection with the issuance of the Series 2016 Bonds. The form of Bond Counsel's opinion appears as APPENDIX D to this Official Statement.

Bond Counsel has not been engaged to, nor has it undertaken to, review the accuracy, completeness or sufficiency of the Official Statement or any other offering material relating to the Series 2016 Bonds; provided, however, that Bond Counsel will render an opinion to the City and the Underwriters (upon which only the City and the Underwriters may rely) relating to the accuracy of statements contained herein under the heading "TAX MATTERS" and certain summaries of the Bond Resolution and the Series 2016 Bonds contained herein. Except as expressly provided in such opinions, Bond Counsel will express no opinion as to the accuracy, completeness or fairness of any statements in this Official Statement, or in any other reports, financial information, offering or disclosure documents or other information pertaining to the City, the Utility System or the Series 2016 Bonds that may be prepared or made available by the City, the Underwriters or others to the holders of the Series 2016 Bonds or other parties.

The opinions delivered by counsel are based on existing law, which is subject to change. Such opinions are further based on factual representations made to such counsel as of the date thereof. Counsel assumes no duty to update or supplement its opinions to reflect any facts or circumstances, including changes in law, that may thereafter occur or become effective.

The legal opinions to be delivered concurrently with the delivery of the Series 2016 Bonds express the professional judgment of the attorneys rendering the opinions regarding the legal issues expressly addressed therein. By rendering a legal opinion, the opinion giver does not become an insurer or guarantor of the result indicated by that expression of professional judgment, of the transaction on which the opinion is rendered, or of the future performance of parties to the transaction. Nor does the rendering of an opinion guarantee the outcome of any legal dispute that may arise out of the transaction.

LITIGATION

In the view of the City Attorney, Goren, Cherof, Doody & Ezrol, P.A., there is no pending or, to their knowledge, any threatened litigation against the City of any nature whatsoever which in any way questions or affects the validity of the Series 2016 Bonds or any proceedings or transactions relating to the issuance, sale, execution, or delivery of the Series 2016 Bonds, or the adoption of the Bond Resolution, or the pledge of the Pledged Revenues. Neither the creation, organization or existence, nor the title of the Mayor or the City Commission, or other officers of the City is being contested.

The City experiences routine litigation and claims incidental to the conduct of its affairs. The City carries insurance for most of these exposures, and many pending claims are defended by and, if necessary, are anticipated to be paid by the insurance carriers less the applicable insurance deductible amounts.

VERIFICATION OF ARITHMETICAL COMPUTATIONS

The accuracy of (a) the arithmetical computations of the adequacy of the maturing principal and interest earned on the investments in the Escrow Fund, together with initial cash balances, to pay when due or upon earlier redemption, the principal of and interest on the Refunded Bonds, and (b) the arithmetical computations supporting the conclusion that the Series 2016A Bonds are not "arbitrage bonds" within the meaning of Section 148 of the Internal Revenue Code of 1986, as amended, have been verified by the Verification Agent.

DISCLOSURE REQUIRED BY FLORIDA BLUE SKY REGULATIONS

Florida law requires the City to make a full and fair disclosure of any bonds or other debt obligations which it has issued or guaranteed and which are or have been in default as to principal or interest at any time after December 31, 1975, as provided by rule of the Florida Department of Financial Services (the "Department of Financial Services"). Pursuant to Rule 69W-400.003, Florida Administrative Code, the Department of Financial Services has required that such disclosure include information concerning the dates, amounts and types of defaults, any legal proceedings resulting from such defaults, whether a trustee or receiver has been appointed over the assets of the City, and certain additional financial information, unless the City believes in good faith that such information would not be considered material by a reasonable investor. The City is not and has not, since December 31, 1975, been in default as to principal of and interest on bonds or other debt obligations to which revenues of the City are pledged.

Although the City has is not aware of any payment defaults with respect to bonds or other debt obligations as to which it has served only as a conduit issuer, it has not undertaken an independent review or investigation of such bonds or other debt obligations for which it served only as a conduit issuer. To the extent any of such bonds or other debt obligations are in default as to principal and/or interest, the obligation of the City thereunder is limited solely to payment from funds received by the party on whose behalf such bonds or other debt obligations were issued, and the City is not obligated to pay the principal of or interest on such bonds or other debt obligations from any funds of the City. The City in good faith believes the disclosure of such defaults or investigations would not be considered material by a reasonable investor in the Series 2016 Bonds.

FORWARD LOOKING STATEMENTS

This Official Statement contains certain "forward-looking statements" concerning the City's operations, performance and financial condition, including its future economic performance, plans and objectives and the likelihood of success in developing and expanding. These statements are based upon a number of assumptions and estimates which are subject to significant uncertainties, many of which are beyond the control of the City. The words "may," "would," "could," "will," "expect," "anticipate," "believe," "intend," "plan," "estimate" and similar expressions are meant to identify these forward-looking statements. Actual results may differ materially from those expressed or implied by these forward-looking statements.

FINANCIAL ADVISOR

Larson Consulting Services, LLC, Orlando, Florida, serves as financial advisor (the "Financial Advisor") to the City and is a licensed Municipal Advisor with the Securities Exchange Commission ("SEC") and the Municipal Securities Rulemaking Board ("MSRB"). In that capacity, the Financial Advisor has provided advice in connection with the planning, structuring and issuance of the Series 2016 Bonds. The Financial Advisor will not engage in any underwriting activities with regard to the issuance and sale of the Series 2016 Bonds. The Financial Advisor is not obligated to undertake, and has not undertaken to make, an independent verification or to assume responsibility for the accuracy, completeness or fairness of the information contained in the Official Statement and is not obligated to review or ensure compliance with the undertaking by the City to provide continuing secondary market disclosure. The Financial Advisor may receive a fee with respect to overseeing the bidding of the Escrow Securities by RBC Capital Markets on behalf of the City.

ENFORCEABILITY OF REMEDIES

The remedies available to the owners of the Series 2016 Bonds upon an event of default under the Bond Resolution and any policy of insurance referred to herein are in many respects dependent upon judicial actions which are often subject to discretion and delay. Under existing constitutional and statutory law and judicial decisions, including specifically the federal bankruptcy code, the remedies specified in the Bond Resolution, the Series 2016 Bonds and any policy of insurance referred to herein may not be readily available or may be limited. The various legal opinions to be delivered concurrently with the delivery of the Series 2016 Bonds (including Bond Counsel's approving opinion) will be qualified, as to the enforceability of the remedies provided in the various legal instruments, by limitations imposed by bankruptcy, reorganization, insolvency or other similar laws affecting the rights of creditors enacted before or after such delivery.

CONTINGENT FEES

The City has retained Bond Counsel, Disclosure Counsel and the Financial Advisor with respect to the authorization, sale, execution and delivery of the Series 2016 Bonds. Payment of all or a portion of the fees of such professionals relating to the issuance of the Series 2016 Bonds and a discount to the Underwriters (which includes the fees of Underwriters' Counsel) are each contingent upon the issuance of the Series 2016 Bonds.

ACCURACY AND COMPLETENESS OF OFFICIAL STATEMENT

The references, excerpts, and summaries of all documents, statutes, and information concerning the City and certain reports and statistical data referred to herein do not purport to be complete, comprehensive and definitive and each such summary and reference is qualified in its entirety by reference to each such document for full and complete statements of all matters of fact relating to the Series 2016 Bonds, the security for the payment of the Series 2016 Bonds and the rights and obligations of the owners thereof and to each such statute, report or instrument.

The information contained in this Official Statement has been compiled from official and other sources believed by the City to be reliable and, while not guaranteed as to completeness or accuracy, is believed to be correct as of this date.

Any statements made in this Official Statement involving matters of opinion or of estimates, whether or not so expressly stated are set forth as such and not as representations of fact, and no representation is made that any of the estimates will be realized. Neither this Official Statement nor any statement that may have been made verbally or in writing is to be construed as a contract with the owners of the Series 2016 Bonds. This Official Statement is submitted in connection with the sale of the securities referred to herein and may not be reproduced or used, as a whole or in part, for any other purpose. The information and expressions of opinion herein are subject to change without notice and neither the delivery of this Official Statement nor any sale made hereunder is to create, under any circumstances, any implication that there has been no change in the affairs of the City from the date hereof.

The appendices attached hereto are integral parts of this Official Statement and must be read in their entirety together with all foregoing statements.

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AUTHORIZATION OF OFFICIAL STATEMENT

The execution and delivery of this Official Statement has been duly authorized and approved by the City Commission. At the time of delivery of the Series 2016 Bonds, an official of the City will furnish a certificate to the effect that nothing has come to his or her attention which would lead that person to believe that the Official Statement (other than information herein related to the DTC or its book-entry only system of registration or the information provided by the Underwriters under the section captioned "UNDERWRITING" as to which no certification shall be expressed), as of its date and as of the date of delivery of the Series 2016 Bonds, contains an untrue statement of a material fact or omits to state a material fact which should be included therein for the purposes for which the Official Statement is intended to be used, or which is necessary to make the statements contained therein, in the light of the circumstances under which they were made, not misleading.

CITY OF TAMARAC, FLORIDA

By: /s/ Harry Dressler
Mayor

By: /s/ Michael C. Cernech
City Manager

By: /s/ Mark C. Mason
Director of Financial Services

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APPENDIX A

Audited Financial Statements of the City for Fiscal Year Ended September 30, 2015, Including Independent Auditor's Report and Management's Discussion and Analysis and Unaudited and Unadjusted Financial Information of the Water and Wastewater Fund for Fiscal Year Ended September 30, 2016

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The 35th Annual Tamarac Turkey Trot had a record-breaking turnout with more than 2,000 participants in 2015.

City of Tamarac, Florida

COMPREHENSIVE ANNUAL FINANCIAL REPORT

Fiscal Year Ended September 30, 2015

TAMARAC
The City For Your Life

TAMARAC

The City For Your Life

2015
COMPREHENSIVE ANNUAL FINANCIAL REPORT

FOR THE

CITY OF TAMARAC, FLORIDA

Fiscal Year Ended
September 30, 2015

Prepared by
FINANCIAL SERVICES

Mark C. Mason, CPA, Director of Financial Services
Christine Cajuste, CPA, Assistant Director of Financial Services/Controller

CITY OF TAMARAC, FLORIDA

CITY COMMISSION

HARRY DRESSLER, Mayor

DIANE GLASSER, Vice Mayor

PAMELA BUSHNELL, Commissioner

MICHELLE GOMEZ, Commissioner

DEBRA PLACKO, Commissioner

ADMINISTRATIVE STAFF
Michael C. Cernech
City Manager

Samuel S. Goren
City Attorney

Mark C. Mason, CPA
Director of Financial Services

Vision, Mission & Values

Our Vision:

The City of Tamarac, Our Community of Choice -
Leading the nation in quality of life through safe neighborhoods,
a vibrant economy, exceptional customer service and recognized excellence.

Our Mission:

We are:
"Committed to Excellence . . . Always"

It is our job to foster and create an environment that:
Responds to the Customer
Creates and Innovates
Works as a Team
Achieves Results
Makes a Difference

Our Values:

As Stewards of the public trust, we value:

Vision
Integrity
Efficiency
Quality Service

TAMARAC
The City For Your Life

TAMARAC

The City For Your Life

CITY OF TAMARAC, FLORIDA

COMPREHENSIVE ANNUAL FINANCIAL REPORT
TABLE OF CONTENTS
YEAR ENDED SEPTEMBER 30, 2015

I. INTRODUCTORY SECTION

Page

Letter of Transmittal ..... i-vi
GFOA Certificate of Achievement vii
Organizational Chart viii
List of Principal Officers ix

II. FINANCIAL SECTION

Independent Auditors' Report 1-3
Management's Discussion and Analysis 4-18
Basic Financial Statements:
- Government-Wide Financial Statements:
  - Statement of Net Position 19
  - Statement of Activities 20
- Fund Financial Statements:
  - Balance Sheet - Governmental Funds 21
  - Reconciliation of the Balance Sheet to the Statement of Net Position Governmental Funds 22
  - Statement of Revenues, Expenditures, and Changes in Fund Balances – Governmental Funds 23
  - Reconciliation of the Statement of Revenues, Expenditures, and Changes In Fund Balances of Governmental Funds to Statement of Activities 24
  - Statement of Net Position – Proprietary Funds 25
  - Statement of Revenues, Expenses, and Changes in Fund Net Position – Proprietary Funds 26
  - Statement of Cash Flows – Proprietary Funds 27
  - Statement of Fiduciary Net Position – Fiduciary Funds & Statement of Changes in Fiduciary Net Position - Fiduciary Funds 28
- Notes to the Financial Statements 29-88

Required Supplementary Information:
- Budgetary Comparison Schedules:
  - General Fund 89
  - Fire Rescue Special Revenue Fund 90
  - Notes to Budgetary Comparison Schedule 91
- Schedule of Funding Progress, Employer Contributions, Changes in Net Pension Liability and Related Ratios 92-105

Combining Financial Statements:
- Combining Balance Sheet – Nonmajor Governmental Funds 106-107
- Combining Statement of Revenues, Expenditures, and Changes in Fund Balances – Nonmajor Governmental Funds 108-109

CITY OF TAMARAC, FLORIDA
COMPREHENSIVE ANNUAL FINANCIAL REPORT
TABLE OF CONTENTS
YEAR ENDED SEPTEMBER 30, 2015
(Continued)

Budgetary Comparison Schedules:
- Public Arts Fund 110
- Local Option Gas Tax Fund 110
- Building Department Fund 111
- Housing Grant Programs Fund 111
- Debt Service Fund 112

Schedules of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual –
- Public Service Facilities Construction Capital Projects Fund 113
- 2005 Capital Improvement Projects Fund. 114
- Capital Equipment Fund. 115
- Corridor Improvement Fund. 116
- General Capital Projects Fund 117
- Tamarac Village Fund 118

Internal Service Funds:
- Combining Statement of Net Position 119
- Combining Statement of Revenues, Expenses, and Changes in Fund Net Position 120
- Combining Statement of Cash Flows 121
- Statement of Changes in Assets and Liabilities- Agency Fund 122

III. STATISTICAL SECTION

Net Position by Component 123
Changes in Net Position 124-125
Fund Balances of Governmental Funds 126
Changes in Fund Balances of Governmental Funds 127-128
Program Revenues by Function/Program 129
Tax Revenues by Source – Governmental Funds 130
Assessed Value and Estimated Actual Value of Taxable Property 131
Property Tax Rates – Direct and Overlapping Governments 132
Principal Property Tax Payers 133
Property Tax Levies and Collections 134
Ratios of Outstanding Debt by Type 135
Ratios of General Bonded Debt Outstanding 136
Direct and Overlapping Governmental Debt 137
Legal Debt Margin Information 138
Pledged Revenue Coverage 139-142
Demographic and Economic Statistics 143
Major Employer – Number of Employees 144
Full-Time Equivalent City Employees by Function/Program 145
Operating Indicators by Function/Program 146
Capital Assets Statistics by Function 147

CITY OF TAMARAC, FLORIDA

COMPREHENSIVE ANNUAL FINANCIAL REPORT
TABLE OF CONTENTS
YEAR ENDED SEPTEMBER 30, 2015
(Continued)

IV. COMPLIANCE SECTION

Independent Auditors' Report on Internal Control over Financial Reporting and on Compliance and Other Matters based on an Audit of Basic Financial Statements Performed in Accordance with *Government Auditing Standards* 148-149

Management Letter pursuant to the Rules of the Auditor General of the State of Florida 150-152

Independent Accountant's Report on an examination 153

Independent Auditors' Report on Compliance for each Major Program and on Internal Control over Compliance required by OMB Circular A-133 154-155

Schedule of Expenditures of Federal Awards and State Financial Assistance Projects 156

Notes to the Schedule of Expenditures of Federal Awards and State Financial Assistance Projects 157

Schedule of Findings and Questioned Costs- Federal Awards 158

TAMARAC

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INTRODUCTORY SECTION

TAMARAC

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LETTER OF TRANSMITTAL

TAMARAC

The City For Your Life

March 4, 2016

Honorable Mayor, City Commissioners and Pension Trustees
City of Tamarac, Florida

Dear Mayor, Commissioners and Pension Trustees:

We are pleased to present to you the Comprehensive Annual Financial Report (CAFR) of the City of Tamarac, Florida (the City) for the fiscal year ended September 30, 2015. Chapter 218.39, Florida Statutes and the City Charter require that a complete set of financial statements be published within 270 days (nine months) of fiscal year end and presented in conformance with accounting principles generally accepted in the United States of America (GAAP) and audited in accordance with auditing standards generally accepted in the United States of America and those standards applicable to audits performed in accordance with Government Auditing Standards by licensed independent certified public accountants.

Responsibility for both the accuracy of the presented data and the completeness and fairness of the presentation, including all disclosures, rests with the management of the City. We believe the data, as presented, is accurate in all material respects and is presented in a manner designed to fairly set forth the financial position and the results of operations of the City on a Government-wide and Fund basis. All disclosures necessary to enable the reader to gain an understanding of the City's financial activities have been included.

Management of the City is responsible for establishing and maintaining internal controls designed to ensure that the assets of the City are protected from loss, theft or misuse and to ensure that sufficient, reliable, adequate accounting data is compiled for the preparation of financial statements in conformity with accounting principles generally accepted in the United States of America. Internal accounting controls have been designed to provide reasonable rather than absolute assurance that the financial statements will be free from material misstatement. The concept of reasonable assurance recognizes that: (1) the cost of a control should not exceed the benefits likely to be derived; and (2) the evaluation of costs and benefits requires estimates and judgments by management. We believe that the City's internal controls adequately safeguard assets and provide reasonable assurance of properly recorded financial transactions.

In addition, the City maintains budgetary controls. The objective of these controls is to ensure compliance with legal provisions embodied in the annual budget approved by the City Commission. The City also maintains an encumbrance system that is employed as an extension of formal budgetary integration in all fund types. Encumbrances for governmental type funds outstanding at fiscal year-end are reported as committed or assigned designations of fund balance depending on the process by which the amounts are encumbered.

In compliance with the laws of the State of Florida, the City's financial statements have been audited by GLSC & Company, PLLC a firm of licensed certified public accountants. The independent auditor has issued an unmodified ("Clean") opinion that the City's financial statements for the fiscal year ended September 30, 2015 are fairly presented in conformity with GAAP. The independent auditors' report is presented as the first component of the financial section of this report.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the basic financial statements. The MD&A complements this letter of transmittal and should be read in conjunction with it.

CITY PROFILE AND GOVERNMENTAL STRUCTURE

Created in 1963 by the Legislature of the State of Florida, the City of Tamarac occupies approximately twelve square miles in the northwestern portion of Broward County, the second most populated county in the State. With its population of 63,793 people, the City ranks thirteenth in population among the 31 municipalities in the County. The City is primarily residential with a diverse population with 55.8% of the population between the ages of 18 and 65.

The City is located on the semi-tropical coastal ridge between the Everglades and the Atlantic Ocean. The terrain is generally flat, with developed land elevations varying from approximately 4 to 22 feet above sea level. The sub-tropical climate provides comfortable living year round.

The City provides many recreational facilities for residents. It is also home to the 500-acre Tamarac Commerce Park along with high density commercial corridors serving the local population. Additionally, nearby access to super-highways, railways, airways, and waterways gives the City an ideal location in the expanding and dynamic tri-county commercial market.

The City operates under the Commission/City Manager form of government. The policy-making body of the city is a City Commission composed of five members, four members elected by district on a nonpartisan basis and the Mayor. The Mayor is elected at-large on a nonpartisan basis and has one (1) vote. All terms run for a four (4) year period with the Mayor and two (2) commissioners being elected at one election and two years later, the remaining two (2) commissioners are elected. The City Commission is responsible for all policy-making functions of the government and retains the services of a City Manager and City Attorney. The City Manager is responsible for the administration of the City.

The City provides a comprehensive range of municipal services including general government, public safety (police and fire), public works, parks and recreation, community development, and utilities (water, sewer and stormwater).

For additional information concerning our City, please visit our website at www.tamarac.org.

The City Commission is required to adopt a final budget no later than September 30 of the preceding fiscal year to which the budget applies. The annual budget serves as the foundation for the City of Tamarac's financial planning and control. The budget is prepared by fund, function (e.g. public safety), and department (e.g. police). Amendments to the City's operating budget in which appropriations are increased or decreased, transfers between departments, or transfers between funds must be approved by the City Commission. The amendments are presented in ordinance form and allow for public input. The City Charter authorizes the City Manager to transfer appropriations within an operating department of the general fund and within the fund as a whole for all other funds. Transfers are requested by the relevant operating managers through the department director. Transfers are reviewed and processed by the budget staff and approved by the City Manager. For additional budgetary information please refer to the Notes to the Budgetary Comparison Schedule in the Required Supplementary Information Section.

LOCAL ECONOMY

The City of Tamarac has had some growth in residential and commercial development this fiscal year. The real estate market has begun to rebound from the lows experienced in prior fiscal years, this year the City added approximately 143 new residential units. The City of Tamarac is viewed as a community that is favorable to business and has been a magnet for new businesses and employees' families. As a result and based upon evaluating median population age for the County the City has an estimated average age for 2010 of 47.6 years, versus 52.9 years in 2000. The City of Tamarac has become one of Broward County's most attractive areas for young families.

The City has focused its financial strategy on sustainability in the provision of services in the challenging economic climate that has affected Southeast Florida. This year continued to be challenging, however, there was a significant increase in taxable property values in comparison to previous years.

The total taxable assessed property value in Tamarac was $3,883,284,328, $3,229,109,048, $2,594,386,538, $2,496,995,116, $2,445,879,756, $2,539,653,079 and $2,726,451,547 in calendar years 2008, 2009, 2010, 2011, 2012, 2013 and 2014 and for fiscal years 2009, 2010, 2011, 2012, 2013, 2014 and 2015, respectively. The total taxable assessed value from calendar year 2008 through calendar year 2013, and for fiscal year 2009 through fiscal year 2015, decreased 15.6%, however fiscal year 2015 did reflect a 7% increase over fiscal year 2014. New construction, annexations, etc. during that same period totaled $73,354,606.

The reliance on ad valorem taxes continues to remain neutral in relation to prior years with another slight increase in fiscal year 2015, primarily due to the increase in assessed value. Fiscal year 2015 ad valorem receipts of $18,777,604 represented 34.81% of the total revenue sources for the general fund, this compares to 35.54% in fiscal year 2014. At the end of fiscal year 2015 ad valorem taxes represented 26.76% of governmental fund revenues compared to 26.34% in 2014.

Global, national and state economics continue to be key factors in assessing the City's future fiscal picture. Changes in the global, national, state and local economies can affect both revenues and expenditures due to the impact on tax receipts, revenue sharing, and the costs of providing city services. The 2010 census and subsequent population growth has had little, although positive, impact on revenue sharing for the City with the shift of population internally within Broward County.

The City has made and continues to make significant progress in supporting its mission to promote and enhance the City's economic vitality by attracting new businesses and providing a positive business environment. Occupational licenses provide a snapshot of new business activity in the City. In FY 2015, 2,406 business licenses were issued, 356 of these licenses were for new businesses. This compares to 2,410 issued in 2014. In 2015, several new businesses including, Amscot; ANJ Consultants; Beauly, LLC; Best Turizo Insurance LLC; BMG Money, Inc.; Broward Surgical Specialists; Carolina Auto Body, Inc.; E FL Behavioral Health Network; Fiberbuilt Umbrellas; Hisushi Restaurant; Horizon Bay Tamarac 2; IQ Formulations, LLC; K. Wade Foster, MD, PA; LAXMI (Get Med Urgent Care) Medical Services; Medgluv, Inc.; Planet Fitness; Save-A-Lot Food Stores; Tamarac Pharmacy; VIVA Raspados; Walmart Market; Wonder International, Inc.; Yoga Plus Yoga have made Tamarac home. This is in addition to the businesses that were established well-over ten (10) years ago, including, but not limited to; Arrigo Dodge, Chrysler, Jeep (2008); Arrigo Fiat (2010); Arthur's Original Pharmacy (1997); Char Hut (1995); Dollar Tree Stores (1993); Domino's Pizza (1991); Dr. Kenneth Levine, DDS (1998); Dunkin Donuts (1997); Ferro Pizza (1989); University Shoe Repair (1996); University Hospital (1997); University Pavilion Hospital (1998); Walgreens Pharmacy (1997); and during the past ten years, Tamarac has also welcomed, businesses including but not limited to, Aldi (2012); Applebee's Restaurant (2006); Cheddars Casual Café (2006); Publix Storage (2006); Rotelli Pizza Pasta (2009); Sawgrass Infiniti (2005); and Sawgrass Lanes (2009); Solantic (2008). In addition, the following companies call the City of Tamarac home for their corporate headquarters, American Jewelry & Diamond Exchange (1998) and City Furniture (2001).

The City continues to market itself as a community of choice and we continue our partnership with the Tamarac Chamber of Commerce, while increasing our level of participation with the Greater Fort Lauderdale/Broward Economic Development Alliance (formerly the Broward Alliance).

In addition, the City provides support to low to moderate income Tamarac residents through housing rehabilitation and first time homebuyer assistance programs funded by the Community Development Grants programs including the State Housing Initiative Partnership (SHIP), Community Development Block Grants (CDBG), the Home Investments Partnership (HOME) and the Neighborhood Stabilization Program (NSP). NSP was established in FY 2008 to address issues pertaining to foreclosed and abandoned properties. In 2015 one property was acquired and rehabilitated under the NSP3 Program; three previously acquired and rehabilitated homes were sold to NSP3 eligible

buyers. Additionally, fourteen income eligible residents were approved for home rehabilitation services as part of the City's annual entitlement from federal and state grant programs.

MAJOR INITIATIVES

The City of Tamarac has a long-term Vision Statement. It represents the collective aspirations, dreams and desires of the City Commission, the Executive Team, employees and the residents offered through a series of meetings and workshops. The following Vision Statement embodies where we would like the City to be, and provides an image for what we are capable of becoming in the future:

"The City of Tamarac, our community of choice - leading the nation in quality of life through safe neighborhoods, a vibrant economy, exceptional customer service and recognized excellence."

The City has developed a Strategic Plan in order to set a uniform direction towards achieving its mission, vision and values. The City's Executive Team reviews the City's Strategic Plan on an biennial basis and updates the plan every other year. The biennial process identifies major issues or concerns through an environmental scan, and strengths, weaknesses, opportunities and threats (S.W.O.T.) analysis. Departments then develop action plans designed to achieve the City's five strategic goals. The City then allocates resources providing for uniform progress towards the City's stated strategic goals. Each goal further contributes to moving the City towards its long term vision.

Strategic Goals

1. **Inclusive Community** – The City of Tamarac is committed to providing programs and services that meet the needs of an increasingly diverse community.
2. **Healthy Financial Environment** – The City of Tamarac will utilize financial management to develop and maintain a healthy financial environment, encouraging and supporting economic development and redevelopment.
3. **Dynamic Organizational Culture** – The City of Tamarac will create and sustain a culture conducive to development and retention of a skilled workforce.
4. **Clear Communication** – The City of Tamarac will ensure effective communication within the organization and throughout the City, and enhance the visibility of City programs and services.
5. **A Vibrant Community –** The City of Tamarac will provide resources, initiatives and opportunities to continually revitalize our community and preserve the environment.

LONG-TERM FINANCIAL PLANNING

A significant measure of the City's financial strength is the level of its fund balances (i.e. the accumulation of revenues exceeding expenditures). The City's general fund balance has demonstrated positive trends over the past several years. Encumbrances are brought forward from the previous fiscal year and re-encumbered.

The City Council takes the responsibility of being stewards of the public's funds very seriously and has adopted the following general fund reserve policy: reserve funds shall not be used to fund recurring expenditures. Fund balances should be maintained at fiscally sound levels in all funds. The City has adopted financial policies that will insure that the City maintains an appropriate fund balance in line with recommended best practices. The unassigned, undesignated amount of $24.55 million in the general fund is 43% of the proposed general fund operating expenditures (including recurring transfers), leaving the City in a solid financial position to adequately prepare for changing economic conditions and prepare for future improvements.

The City's staff is charged with daily operations and involved in a variety of projects which are in accordance with the City's Strategic Plan. The FY 2015 budget focused on providing an array of core services to residents, completing projects in progress, improving processes and practices, replacing existing infrastructure and equipment,

and improving our financial position. The City Commission, through the budget process, has determined the City's top priorities to meet the changing needs of Tamarac.

The following current and future projects concentrate on improving infrastructure and streamlining City processes:

- Develop a Comprehensive Corridor Improvement Plan to improve the appearance of the City's thoroughfares
- Construct one new Fire Station and rebuild one existing Fire Station.
- Continue planning and development of the Tamarac Village concept along the NW 57th street corridor
- Maintain a vehicle and equipment replacement plan for the City's fleet, fire rescue apparatus, light vehicles and personal computers
- Continue to pursue the high performance initiatives through efficiencies and training
- Water Treatment Plant safe room
- Pine Island Road Pedestrian Overpass
- Replace/Upgrade Water Mains
- Citywide Buffer walls

RELEVANT FINANCIAL POLICIES

The City has adopted a comprehensive set of financial management policies in the areas of operating management, debt management, accounts management, financial planning, and economic resources. These policies are approved annually through the budget process, with the most recent approval by the City Commission on September 24, 2015.

Economic conditions will affect the City's ability to realize its budgeted revenues in the categories of franchise fees, utility taxes, and state-shared revenues. Therefore, quarterly monitoring and conservatism (95% budgeting of certain revenue sources) should mitigate any unforeseen circumstances.

The annual budget should be maintained in such a manner as to avoid an operating fund deficit. The annual budget should show fiscal restraint. Expenditures should be managed to create a positive cash balance (surplus) in each fund at the end of the fiscal year.

The City maintains a prudent cash management and investment program in order to meet daily cash requirements, increase the amount available for investment, and earn the maximum rate of return on invested funds commensurate with appropriate security and safety of principle.

The City should maintain sufficient reserves in accordance with established policy to maintain fiscally sound levels in all funds.

The City shall maintain adequate protection from loss due to property damage or liabilities of the City. The City shall maintain a risk fund for workers' compensation and property/liability and ensure adequate resources are available to support the value of incurred but not reported (IBNR) claims.

The City is in compliance with its comprehensive debt management policy.

The City is in compliance with its investment policy.

AWARDS

In 2013 the City of Tamarac joined the ranks of such prestigious organizations as Motorola, UPS and Hilton Hotel as the recipient of the international Palladium award for performance excellence. The award honors organizations throughout the world who translate strategic concepts into measurable results. The City was honored for developing programs and services which lead to higher resident satisfaction, improvements in employee performance, a strong financial outlook and increased engagement in the workforce. Tamarac was the third city in the United States to receive this award.

The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to the City of Tamarac for its Comprehensive Annual Financial Report for the year ended September 30, 2014. The Certificate of Achievement is a prestigious national award recognizing conformance with the highest standards for preparation of state and local government financial reports. In order to be awarded a Certificate of Achievement, a government unit must publish an easily readable and efficiently organized Comprehensive Annual Financial Report whose contents conform to program standards. This report must satisfy both generally accepted accounting principles and applicable legal requirements. A Certificate of Achievement is valid for a period of one year only. This was the 27th consecutive year that the City of Tamarac has received this prestigious award. We believe that our current Comprehensive Annual Financial Report continues to meet the Certificate of Achievement Program's requirements and we are submitting it to the GFOA to determine its eligibility for the certificate.

In addition, the City received from GFOA, the "Distinguished Budget Presentation Award" for FY 2015 for publishing a budget document that meets the program criteria as a policy document, an operations guide, a financial plan and a communications device. This is the 18th consecutive year Tamarac has received the "Distinguished Budget Presentation Award."

ACKNOWLEDGEMENTS

The preparation of this report could not have been accomplished without the efficient and dedicated services of the Financial Services Department staff. Their continuing effort toward improving the accounting and financial reporting system improves the quality of information reported to the City Commission, State and Federal Agencies, and the citizens of the City of Tamarac. We sincerely appreciate and commend them for their contributions toward the success of the organization.

Respectfully submitted,

Michael C. Cernech
City Manager

Mark C. Mason, CPA
Director of Financial Services

Government Finance Officers Association

Certificate of Achievement for Excellence in Financial Reporting

Presented to

City of Tamarac

Florida

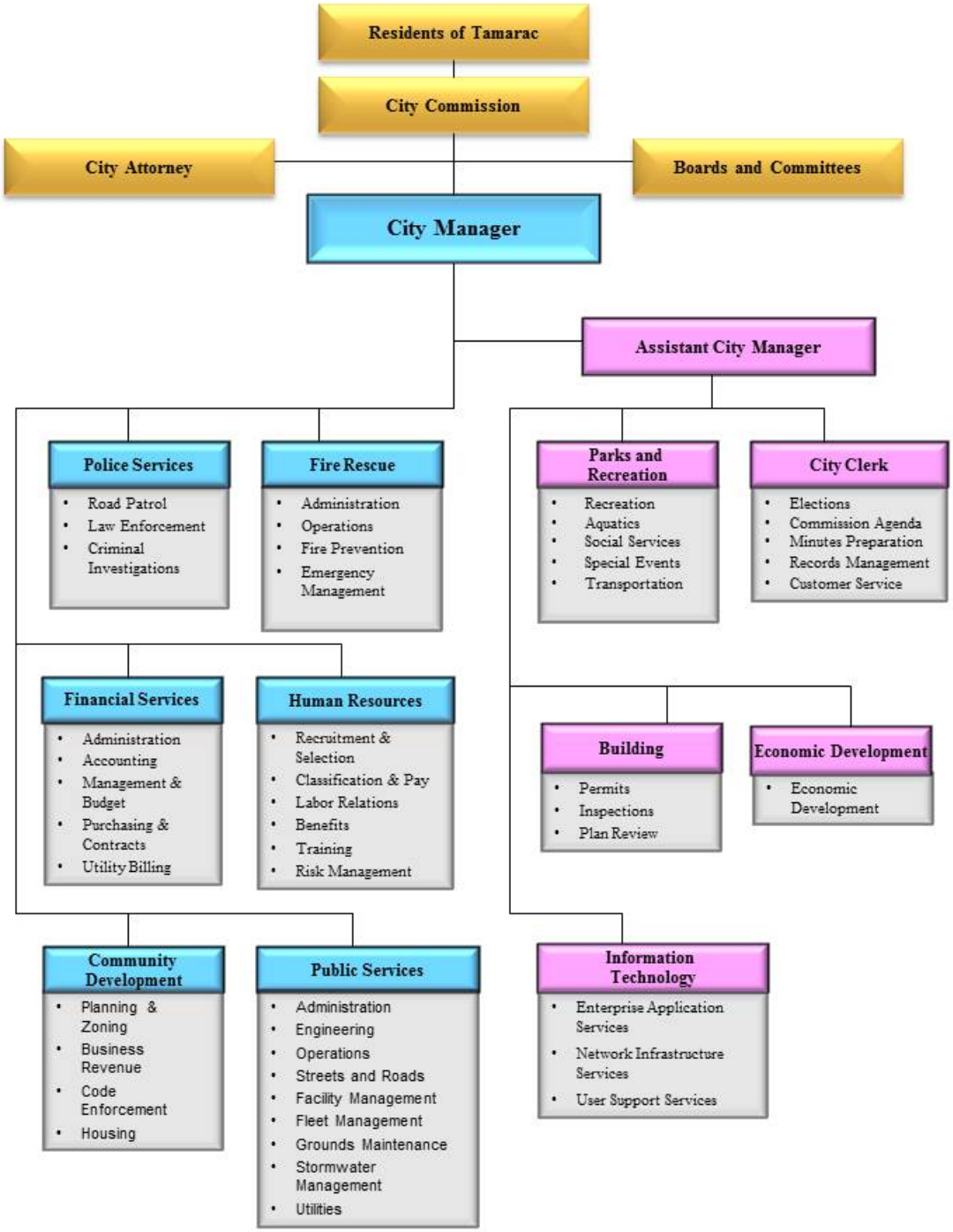
For its Comprehensive Annual Financial Report for the Fiscal Year Ended

September 30, 2014

Jeffrey R. Emer

Executive Director/CEO

City of Tamarac
Organizational Chart



City of Tamarac, Florida
List of Principal Officers
September 30, 2015

ELECTED OFFICIALS

Mayor	Harry Dressler
Vice-Mayor	Diane Glasser
Commissioner	Michelle Gomez
Commissioner	Pamela Bushnell
Commissioner	Debra Placko

APPOINTED OFFICIALS

City Manager	Michael C. Cernech
City Attorney	Samuel Goren
Assistant City Manager	Diane Phillips
Chief Building Official	Claudio Grande
City Clerk	Pat Teufel
Director of Community Development	Maxine Calloway
Director of Financial Services	Mark C. Mason, CPA
Director of Information Technology	Levent Sucuoglu
Director of Parks and Recreation	Gregory Warner
Director of Human Resources	Maria Swanson
Director of Public Services	Jack Strain
Fire Chief	Mike Burton

TAMARAC

The City For Your Life

FINANCIAL SECTION

TAMARAC

The City For Your Life

GLSC & COMPANY, PLLC
certified public accountants

6303 Blue Lagoon Drive, Suite 200
Miami, Florida 33126-6025
Ph: (305) 373-0123 • (800) 330-4728
Fax: (305) 374-4415
www.glsccpa.com

INDEPENDENT AUDITORS' REPORT

Honorable Mayor, City Commission, Pension Board of Trustees,
and City Manager
City of Tamarac, Florida,

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of City of Tamarac, Florida, as of and for the year ended September 30, 2015, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents. We also audited the Police Officer's Pension Trust Fund, the General Employees' Pension Trust Fund, the Elected and Appointed Officers and Non-Represented Employees Retirement Fund, and the Firefighters' Pension Trust Fund included in the accompanying notes to the financial statements as combining statements as of and for the year ended September 30, 2015.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Tamarac, Florida, as of September 30, 2015, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America. In addition, in our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Police Officer's Pension Trust Fund, the General Employees Retirement Fund, the Elected and Appointed Officers and Non-Represented Employees Retirement Fund, and the Firefighters' Pension Trust Fund of the City as of September 30, 2015, and changes in financial position thereof for the year ended in conformity with accounting principles generally accepted in the United States.

Emphasis of Matter

As described in Note 3 to the financial statements, in 2015 the City adopted new accounting guidance, *GASB Statement No. 68, Accounting and Financial Reporting for Pensions*. As a result of the implementation, the City reported a restatement for the change in accounting principle. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and budgetary comparison information on pages 4–18 and 89–91 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City of Tamarac, Florida's basic financial statements. The introductory section, combining and individual nonmajor fund financial statements, schedules of revenues, expenditures, and changes in fund balance –budget to actuals, and statistical section are presented for purposes of additional analysis and are not a required part of the basic financial statements. The accompanying schedule of expenditures of federal awards and state assistance projects is presented for purposes of additional analysis as required by U.S. Office of Management and Budget Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations and Chapter 10.550, Rules of Auditor General*, and is also not a required part of the financial statements.

The combining and individual nonmajor fund financial statements and the schedule of federal awards and state and local financial assistance are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the combining and individual nonmajor fund financial statements and the schedule of federal awards and state and local financial assistance are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The introductory and statistical sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by *Government Auditing Standards*

In accordance with Government Auditing Standards, we have also issued our report dated March 2, 2016, on our consideration of the City of Tamarac, Florida's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering City of Tamarac, Florida's internal control over financial reporting and compliance.

GLSC & Company, PLLC

Miami, Florida
March 2, 2016

TAMARAC

The City For Your Life

MANAGEMENT'S DISCUSSION AND ANALYSIS (MD&A)

TAMARAC

The City For Your Life

CITY OF TAMARAC, FLORIDA

MANAGEMENT'S DISCUSSION AND ANALYSIS
SEPTEMBER 30, 2015

The City of Tamarac's (the "City") discussion and analysis is a narrative overview and analysis of the financial activities of the City for the fiscal year ended September 30, 2015. It is designed to (a) assist the reader in focusing on significant financial issues, (b) provide an overview of the City's financial activity, (c) identify changes in the City's financial position, (d) identify any material deviations from the financial plan (the approved budget), and (e) identify individual fund issues or concerns.

Since the Management's Discussion and Analysis (MD&A) is designed to focus on the current year's activities, resulting changes and current known facts, please read it in conjunction with the City's financial statements (beginning on page 19) and letter of transmittal.

FINANCIAL HIGHLIGHTS

- At the close of fiscal year 2015, the City's assets and deferred outflows exceeded its liabilities and deferred inflows by $232.8 million (net position). Governmental and business-type assets exceeded liabilities by $132.7 million and $100.1 million, respectively. Of this amount, $66.8 million (unrestricted net position) may be used to meet the ongoing obligations to citizens and creditors.

- The City's total net position decreased by $10.1 million during the current fiscal year. The City's net position decrease included an adjustment of $27.5 million to the beginning balance. The adjustment resulted from the City's adoption of Government Accounting Standards Board (GASB) statement number 68. Net position of our business-type activities increased by $9.5 million, net position of our governmental activities increased by approximately $7.7 million.

- During the year, the City had expenses that were $8.3 million less than the $71.5 million generated in taxes and other revenues for governmental programs, excluding transfers.

- In the City's business-type activities, revenues increased by $4.3 million and expenses remained stable at 27.1 million.

- Total cost of all of the City's governmental activities increased by $1.9 million or 3.1 percent as a result of the increased expenditures on Physical Environment activities.

- The General Fund's fund balance increased by $4.8 million for the fiscal year ended September 30, 2015.

- At the end of the current year, fund balance for the General Fund was $33.5 million, or 68 percent of total general fund expenditures and transfers. Of this amount, $8.7 million is *assigned* for capital projects, economic development, disaster reserve, and subsequent year's budget appropriation. The remaining reserved fund balances of $0.1 million are non-spendable inventories and prepayments and amounts committed or restricted for public safety and economic development. These designations are in compliance with the City's fund balance and financial policies.

- The City's total bonded debt decreased by $1.2 million during the fiscal year mainly as a result of debt service payment on existing debt.

MANAGEMENT'S DISCUSSION AND ANALYSIS
SEPTEMBER 30, 2015

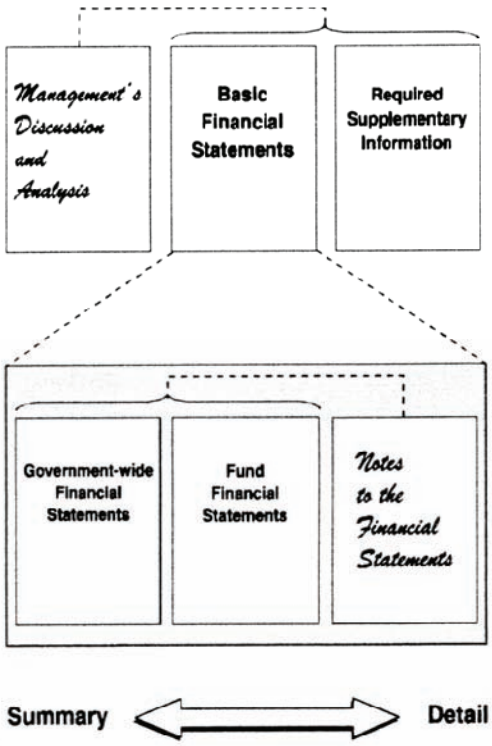
OVERVIEW OF THE FINANCIAL STATEMENTS

This annual report consists of four parts—*management's discussion and analysis* (this section), the *basic financial statements*, *required supplementary information* and an additional section that presents *combining statements* for nonmajor governmental funds and internal service funds. The basic financial statements include two kinds of statements that present different views of the City:

- Within the government wide financial statements, the first two statements are *government-wide financial statements* that provide both long-term and short-term information about the City's overall financial status.
- The remaining statements are *fund financial statements* that focus on individual parts of the City government, reporting the City's operations in more detail than the government-wide statements.
- *Governmental funds* statements show how general government services such as public safety were financed in the short term as well as what remains for future spending.
- *Proprietary funds* statements offer short-term and long-term financial information about the activities the government operates like businesses; such as the stormwater operations and the water and wastewater systems.
- *Fiduciary funds* statements provide information about the financial relationships in which the City acts solely as a trustee or agent for the benefit of those parties outside of the government.

The financial statements also include *notes* that explain some of the information in the financial statements and provide more detailed data. The statements are followed by a section of *required supplementary information* that further explains and supports the information in the financial statements. Figure A-1 shows how the required parts of this annual report are arranged and are related to one another. In addition to these required elements, we have included a section with combining statements that provides details about our nonmajor governmental funds and internal service funds, each of which is added together and presented in single columns in the basic financial statements. The individual internal service fund is also included, reflecting balances prior to their elimination from the government wide financial statements, to avoid a "doubling-up" effect within the governmental and business-type activities columns of said statements.

Figure A-1
Required Components of
City's Annual Financial Report



Government-wide Financial Statements

The government-wide financial statements (statement of net position and statement of activities found on pages (19-20) are designed in a manner similar to a private-sector business in that all governmental and business-type activities are presented in separate columns which add to a total for the Primary Government. Fiduciary funds are not included in the government-wide statements.

The focus of the Statement of Net Position (the "Unrestricted Net Position") is designed to be a bottom line for the City and its governmental and business-type activities. This statement combines and consolidates governmental funds' current financial resources (short-term spendable resources) with capital assets, including infrastructure, and long-term obligations. Net position is the difference between the City's assets and deferred outflows and its liabilities and deferred inflows. Increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving.

The Statement of Activities reflects the expenses of a given function, which are offset by program revenues. Program revenues are defined as charges for services, operating grants and contributions, and capital grants and contributions directly associated with a given function.

Governmental activities are supported by taxes and intergovernmental revenues whereas the business-type activities are primarily supported by user fees and charges for services. The governmental activities of the City include general government, public safety, public works, community development, parks and recreation, and transportation. The business-type activities of the City reflect private sector type operations (water and sewer, stormwater utility and golf course) where the fee for service typically covers all or most of the cost of operation, including depreciation.

Fund Financial Statements

Government resources are allocated to and accounted for in individual funds, based upon the purposes for which they are to be spent and the means by which spending activities are controlled. The accounts of the City are organized on the basis of funds, each of which is considered a separate accounting entity. The operations for each fund are accounted for with a separate set of self-balancing accounts that comprise its assets, liabilities, fund equity, revenue, and expenditures or expenses, as appropriate.

The City's funds are presented in separate fund financial statements. These funds are presented in a Governmental Fund Financial Statement and a Proprietary Fund (Business-type) Financial Statement. The City's major funds are presented in separate columns on the fund financial statements. The funds that do not meet the criteria of a major fund are considered nonmajor funds and are combined into a single column on the fund financial statements.

The total columns on the Governmental Funds and Proprietary Funds (Business-type) Financial Statements (see pages 21-27) are not the same as the Governmental Activities column and the Business-type column on the Government-wide Financial Statements. The Governmental Funds Total column requires reconciliation because of the different measurement focus (current financial resources versus total economic resources) which is reflected on the page following each statement (see pages 22 and 24). The flow of current financial resources will reflect bond proceeds and interfund transfers as other financial sources as well as capital expenditures and bond principal payments as expenditures. The reconciliation will eliminate these transactions and incorporate the capital assets and long-term obligations (bonds and others) into the Governmental Activities column in the Government-wide Statements. The Proprietary Funds (Business-type) total column requires reconciliation because the internal service fund is consolidated as part of the governmental activities, but a portion of the internal service funds is for business-type activities. This reconciliation is a result of the surplus elimination (see pages 25 and 26).

Governmental Fund Financial Statements

Governmental Fund Financial Statements (see pages 21-24) are prepared on the modified accrual basis using current financial resources measurement focus. Under the modified accrual basis, revenues are recognized when they become measurable and available as net current assets.

Four of the City's governmental funds, the General Fund, Fire Rescue Fund, Tamarac Village Fund and General Capital Projects Fund, are classified as major funds. All other governmental funds are combined into a single column on the governmental funds financial statements. Individual fund data for the nonmajor funds is found in the combining statements as supplemental financial data (see pages 106-109).

The City adopts an annual appropriated budget for the General Fund and the following Special Revenue and Capital Projects Funds: Public Arts Fund, Local Option Gas Tax Fund, Building Department Fund, Housing Grant Program Funds, Debt Service Fund, Public Service Facilities Construction Fund, Tamarac Village Fund, General Capital Projects Fund, 2005 General Capital Improvement Projects Fund, Capital Equipment Fund, and Corridor Improvement Fund. Budgetary comparisons have been presented for these funds which compare not only actual results to budget (budgetary basis), but also the original adopted budget to final budget. The budget to actual comparison for the General Fund and major Special Revenue-Fire Rescue Fund are presented on pages 89-90 of the required supplementary information and other governmental funds are presented on pages 110-118 of the combining statements.

Proprietary Fund Financial Statements

The City maintains two different types of proprietary funds. Enterprise funds are used to report the same functions presented as business-type activities in the government-wide financial statements. Internal service funds are an accounting device used to accumulate and allocate costs internally among the City's various functions. The City uses internal service funds to account for its risk management and health insurance. Because these services predominantly benefit governmental rather than business-type functions, they have been included within governmental activities in the government-wide financial statements.

Proprietary Fund Financial Statements (see pages 25-27), like government-wide financial statements, are prepared on the full accrual basis. Proprietary funds record both operating and nonoperating revenues and expenses. Operating revenues are those that are obtained from the operations of the proprietary fund.

The proprietary fund financial statements provide separate information for the utilities, stormwater and golf course operations, the utilities and stormwater are considered to be major funds of the City.

Fiduciary Fund Financial Statement

Fiduciary funds are used to account for resources held for the benefit of parties outside the government. Fiduciary funds are *not* reflected in the government-wide financial statement because the resources of those funds are *not* available to support the City of Tamarac's operations. The accounting used for fiduciary funds is much like that used for proprietary funds, the accrual basis. The basic fiduciary fund financial statements can be found on page 28 of this report**.**

Notes to the Financial Statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found on pages 29 - 88 of this report.

Other Information

In addition to the basic financial statements and accompanying notes, this report also presents certain *required supplementary information* concerning the City of Tamarac's progress in funding its obligation to provide pension benefits to its employees and budgetary comparison schedules.

The combining statements referred to earlier in connection with non-major governmental funds are presented immediately following the required supplementary information. Combining and individual fund statements and schedules can be found beginning on page 106 of this report.

GOVERNMENT-WIDE STATEMENTS

The Government-wide Financial Statements were designed so that the user can determine if the City is in a better or worse financial condition from the prior year. The City's overall financial condition has remained stable.

Summary of Net Position

The City's combined net position decreased to $232.8 million from $242.9 million between fiscal years 2014 and 2015.

City of Tamarac, Florida
Summary of Net position
(in millions)

	Governmental Activities		Business-type Activities		Total	
	2015	2014	2015	2014	2015	2014
Current and other assets	$ 91.2	$ 93.0	$ 51.2	$ 45.9	$ 142.4	$ 138.9
Capital assets	112.8	114.1	67.4	64.4	180.2	178.5
Total assets	**204.0**	**207.1**	**118.6**	**110.3**	**322.6**	**317.4**
Total deferred outflows of resources	**12.9**	**1.4**	**3.0**	**0.9**	**15.9**	**2.8**
Long-term debt outstanding	66.9	49.5	16.3	16.6	83.2	66.1
Other liabilities	8.9	6.4	4.6	4.4	13.5	10.8
Total liabilities	**75.8**	**55.9**	**20.9**	**21.0**	**96.7**	**76.9**
Total deferred inflows of resources	**8.4**	**-**	**0.7**	**-**	**9.1**	**-**
Net position:						
Net investment in capital assets	87.6	88.0	53.2	49.6	140.8	137.6
Restricted	18.8	18.0	6.4	8.0	25.2	26.0
Unrestricted	26.3	46.6	40.5	32.7	66.8	79.3
Total net position (as restated)	**$ 132.7**	**$ 152.6**	**$ 100.1**	**$ 90.3**	**$ 232.8**	**$ 242.9**

Note: Totals may not add due to rounding.

The largest portion of the net position (80%) is restricted as to the purpose they can be used for or are invested in capital assets. The net investment in capital assets is the largest portion of net position. This represents capital assets (land, buildings, improvements, equipment, infrastructure, and construction in progress), net of accumulated depreciation, and the outstanding related debt used to acquire the assets. Unamortized deferred charges on refunding "follow the debt" in calculating net position components for the statement of net position. That is, if debt is capital related; the deferred amounts are included in the calculation of net investment in capital assets. If the debt is restricted for a specific purpose and the proceeds are unspent, the net proceeds affect restricted net position. If the debt proceeds are not restricted for capital or other purposes, the deferred charges are included in the calculation of unrestricted net position. The City uses these capital assets to provide services to citizens; consequently, these assets are *not* available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities. Similarly, deferred inflows and outflows relating to pension liabilities and earnings are components of net position.

At the end of the current fiscal year, the City of Tamarac is able to report positive balances in all three categories of net position, for the government as a whole and for business-type activities. The same situation held true for the prior fiscal year. Maintaining a positive fund balance overall is an indication that the government is not spending down all its available resources and is able to fund future temporary shortfalls.

Summary of Changes in Net Position

The following table compares the Revenues and Expenses for the current and prior fiscal years.

City of Tamarac, Florida
Summary of Changes in Net position
(in millions)

	Governmental Activities		Business-type Activities		Total	
	2015	2014	2015	2014	2015	2014
Revenues						
Program revenues:						
Charges for services	$ 29.7	$ 26.6	$ 34.1	$ 31.2	$ 63.8	$ 57.8
Operating grants and contributions	1.1	1.4	-	-	1.1	1.4
Capital grants and contributions	0.4	0.3	1.8	0.4	2.2	0.7
General revenues					-	-
Property taxes	19.1	18.0	-	-	19.1	18.0
Other taxes	14.2	13.9	-	-	14.2	13.9
Intergovernmental	6.5	6.2	-	-	6.5	6.2
Investment income	0.2	0.2	0.1	0.1	0.3	0.3
Other income	0.3	0.2	-	-	0.3	0.2
Total revenues	**71.5**	**66.8**	**36.0**	**31.7**	**107.5**	**98.5**
Expenses Program Activities						
Governmental Activities:						
General government	13.2	13.1	-	-	13.2	13.1
Public safety	33.9	33.4	-	-	33.9	33.4
Physical Environment	5.2	3.5	-	-	5.2	3.5
Transportation	2.3	2.1	-	-	2.3	2.1
Culture and recreation	5.5	5.8	-	-	5.5	5.8
Economic environment	1.6	1.8	-	-	1.6	1.8
Human services	0.3	0.3	-	-	0.3	0.3
Interest on long-term debt	1.2	1.3	-	-	1.2	1.3
Business-type Activities:						
Utilities	-	-	20.5	21.0	20.5	21.0
Stormwater	-	-	4.2	4.1	4.2	4.1
Colony West	-	-	2.4	2.0	2.4	2.0
Total expenses	**63.2**	**61.3**	**27.1**	**27.1**	**90.3**	**88.4**
Increase in net position before transfers	8.3	5.5	8.9	4.6	17.2	10.1
Transfers in (out)	(0.6)	(5.6)	0.6	5.6	-	-
Increase (decrease) in net position	**7.7**	**(0.1)**	**9.5**	**10.2**	**17.2**	**10.1**
Net position, October 1 (as restated)	125.0	152.7	90.6	80.1	215.6	232.8
Net position, September 30	**$ 132.7**	**$ 152.6**	**$ 100.1**	**$ 90.3**	**$ 232.8**	**$ 242.9**

Note: Totals may not add due to rounding.

There was an increase of $7.8 million in *unrestricted net position* reported in connection with the City's business-type activities. The increase is mainly due to an increase in the amount of revenue collected in these funds, revenues increased by 4.3 million or 13.56% over the prior year which was attributable to the increase in the water and sewer as well as stormwater rates on October 1, 2014, a full year of golf course revenue and an increase in capital contributions.

As previously stated, the City's overall net position decreased by $10.1 million during the current fiscal year. The City's net position decrease included an adjustment of $27.5 million to the beginning balance; the adjustment resulted from the City's adoption of Government Accounting Standards Board (GASB) statement number 68.

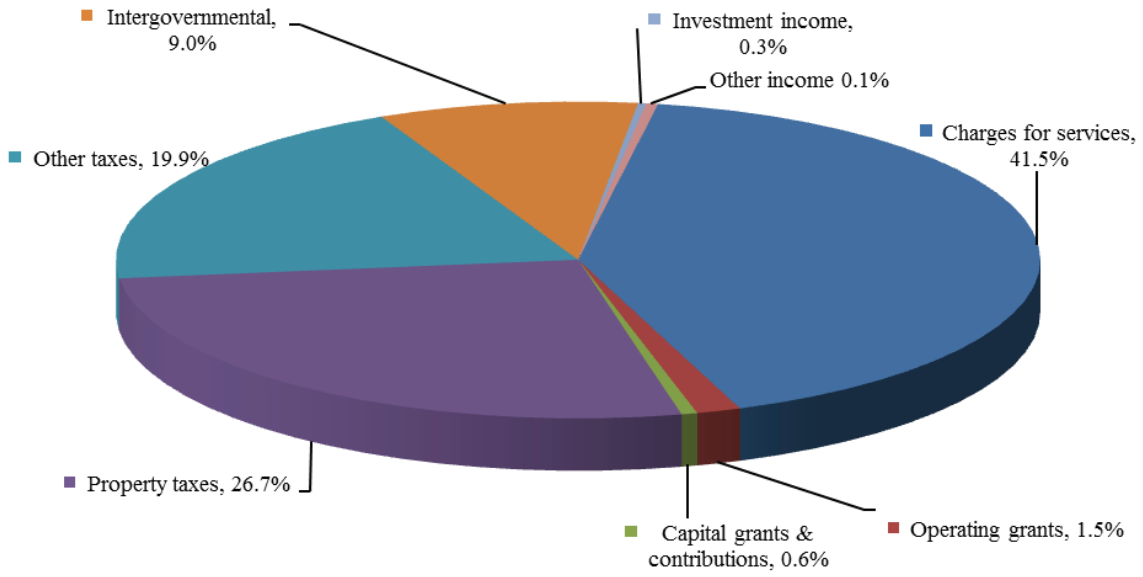
The unrestricted net position of the governmental activities showed a decrease of $20.3 million or 43.56% from last year due mainly to the recording of net pension liability of $23.9 million due to the implementation of GASB 68. The City's net investment in capital assets decreased minimally by $0.4 million mainly as a result of depreciation ($3.8 million) and capital additions ($4.2 million). The restricted component of the governmental activities' net position increased by $0.8 million due to an increase in restricted funds of the Fire Rescue resulting from the fire assessments exceeding the required funds for operations.

Governmental Activities

There was an increase in the City's governmental revenues in 2015, revenues increased by $4.7 million to $71.5 million. Approximately 26.7% of the Governmental Activity's revenues come from property taxes, and 19.9% from other taxes. Another 41.5% come from fees charged for services, and most of the rest is federal, state and local aid.

The following is a chart of revenues by source of governmental activities by percent of total revenues.

Revenues by source - Governmental Activities



Charges for services reported in the governmental activities increased by $3.1 million, or 11.7% in comparison to the prior year. This was due mainly to an increase in fees associated with new developments and redevelopments. Building Permit fees increased $0.6 million, red light camera violations $0.3 million, lien settlements $0.3 million, and other settlements $1.0 million.

Property taxes reported in the governmental activities increased $1.1 million, or 5.5%, in comparison to the prior year. Taxable assessed property valuation of $2,726,451,547 for fiscal year 2015 represents a 7% increase from the previous fiscal year. The millage rate remained the same as fiscal year 2014 at 7.2899. Additionally, the debt service millage rate decreased from 0.1086 in fiscal year 2014, to 0.1010 in fiscal year 2015.

Utility taxes increased slightly by $0.1 million or 2.6% in comparison to the prior year.

Gas taxes reported in the governmental activities decreased slightly by $12,859, 0.6% in comparison to the prior

year. The 6 cent and 5 cent gas taxes are based on the number of gallons sold irrespective of the unit cost per gallon so the revenues fluctuate with the level of demand for fuel.

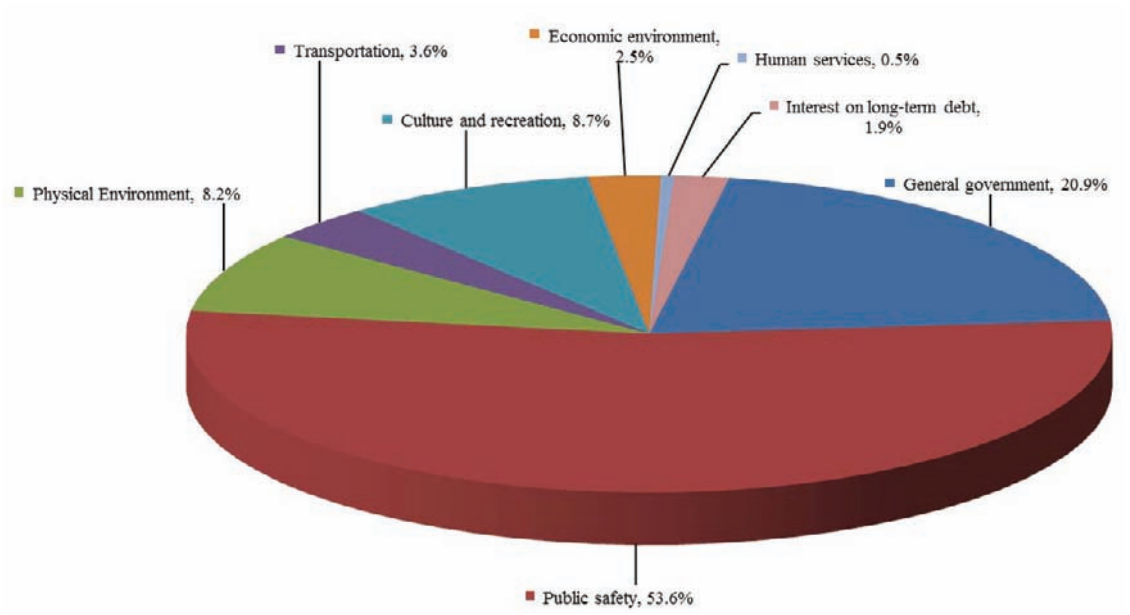
Franchise fees reported in the governmental activities increased $177,466, or 3.5% in comparison to the prior year. Franchise fees are levied on a corporation or individual by the City in return for granting a privilege or permitting the use of public property subject to regulations. The City receives franchise fees for electricity, propane, solid waste, and towing services.

Communication services taxes reported in the governmental activities decreased $26,333, or 1.1% in comparison to the prior year primarily due to a continued reduction in land lines subject to the tax.

Interest income reported in the governmental activities increased $1,151 or 0.5% from the prior year. The increase was due to the general/national stabilization in interest rates between fiscal year 2014 and 2015.

The following is a chart of expenses by function of governmental activities by percent of total expenses.

Functional Expenses for Fiscal Year 2015



The City's governmental activities expenses cover a range of services with 53.6% related to public safety. The expenses for governmental activities increased slightly to $63.2 million, this is a 3.1% increase compared to 2014. The increase was mainly attributable to the recording of $1.4 million in pension expenses.

The functional activities expenses were similar in some cases, reporting changes compared to last year's expenses. There were increases in general government ($0.1 million), public safety ($0.1 million), transportation ($0.2 million) and physical environment ($1.7 million). There were decreases in culture and recreation ($0.3 million), economic environment ($0.2 million) and interest on long-term debt ($0.1 million).

General government expenses reported in governmental activities increased $0.1 million, or 0.8%, in comparison to the prior year. This is a result of the recording of pension expenses.

Public Safety expenses reported in governmental activities increased $0.1 million, or 1.5%, in comparison to prior year due increases in the cost of services.

Physical environment expenses reported in governmental activities increased $1.7 million, or 48.6%, in comparison to the prior year. This is a result of approximately $1.4 million expended in fiscal year 2015 for road maintenance.

Culture and Recreation expenses reported in governmental activities decreased $0.3 million, or 5.2%, in comparison to the prior year. This is a result of decreases in personnel costs due to vacant positions.

Economic Environment expenses reported in governmental activities decreased $0.2 million, or 11.1%, in comparison to the prior year as a result of the decrease in activity for the Neighborhood Stabilization Program funds used to assist qualified recipients in the purchase and renovation of foreclosed homes in 2015 as well as the implementation of a division of Economic Development.

The table below presents the cost of each of the City's various public services—public safety, general administration, economic environment, culture and recreation, physical environment, transportation and human services—as well as each service's net cost (total cost less fees generated by the activities and intergovernmental aid). The net cost shows the financial burden on the City's taxpayers by each of these services.

- The cost of all *governmental* activities this year was $63.2 million. Some of that cost was financed by:
  - Those who directly benefited from the programs through charges for services ($29.7 million), and
  - Other governments and organizations that subsidized certain programs from operating and capital grants and contributions ($1.5 million).

- The remaining net cost of services or "public benefit" of governmental services were financed with $33.9 million in taxes, franchise fees, unrestricted intergovernmental revenues and other revenues such as interest revenue.

City of Tamarac, Florida
Net Cost of City's Governmental Activities
(in millions)

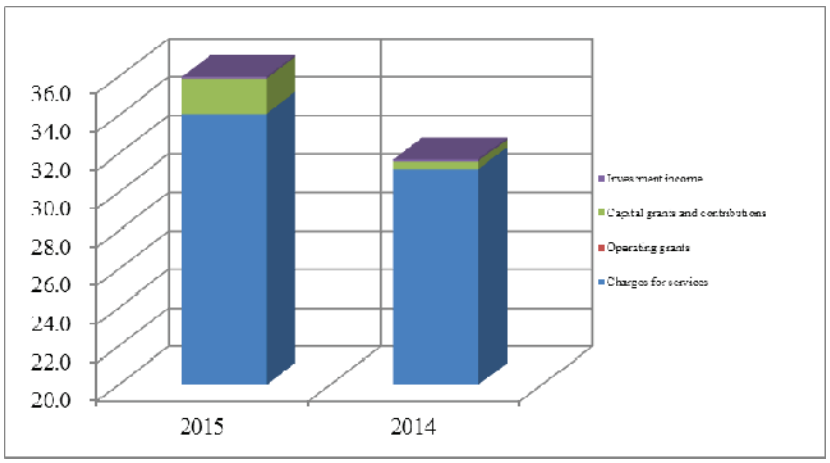
	Total Cost of Services		Net Cost of Services	
	2015	**2014**	**2015**	**2014**
Public safety	$ 33.9	$ 33.4	$ 14.3	$ 15.2
General government	13.2	13.1	5.5	6.9
Economic environment	1.6	1.8	0.5	0.5
Culture and recreation	5.5	5.8	4.2	4.6
Physical environment	5.2	3.5	3.9	2.3
Transportation	2.3	2.1	2.0	2.0
Human Services	0.3	0.3	0.3	0.3
Interest on long-term debt	1.2	1.3	1.2	1.3
Total	$ 63.2	$ 61.3	$ 31.9	$ 33.1

Business-type Activities

The business-type activities net position increased by $9.5 million from the prior fiscal year. Revenues of the City's business-type activities increased by 13.6 percent to $36.0 million and expenses remained stable at $27.1 million (see *Summary of Changes in Net Position* on page 9).

The following is a chart of revenues by source for business-type activities.

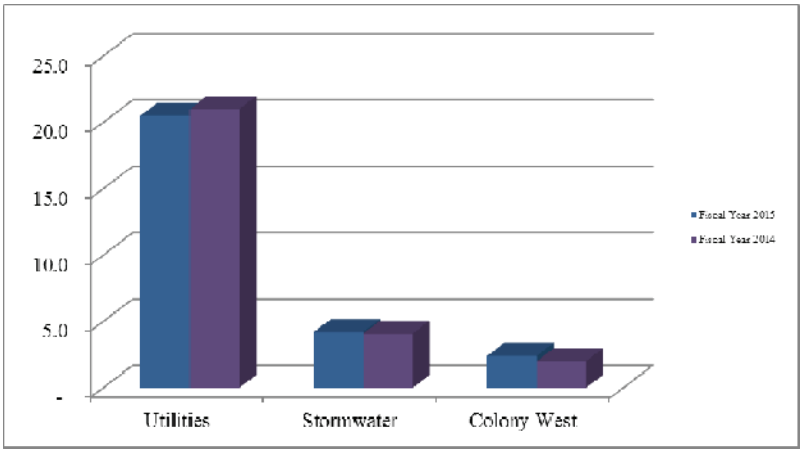
Revenues by Source- Business-type Activities



For business-type activities charges for services is the major source of revenues representing 94.7% of revenues in 2015. Charges for services increased by $2.9 million or 9.5%, this was primarily due to increases in the rates in the Utilities and Stormwater fund that were effective on October 1, 2014 and a full year of fees from the Colony West Golf Club.

Investment interest earnings increased in fiscal year 2015. Investment earnings were $135,827 or 0.4% of revenue which reflects the City's conservative investment approach and a slight rebound in the market conditions as compared to fiscal year 2014.

Expenses by Program- Business-type Activities



Water and sewer expenses reported in business-type activities decreased by $503,057, or 2.4%, in comparison to the prior year, the decrease mainly attributable to the slight decrease in repairs and maintenance costs in fiscal year 2015.

Stormwater reported an increase in expenses of $115,435 or 2.8% over the prior year, this increase was mainly due to an increase in administrative charges for fiscal year 2015.

Colony west reported an increase in expenses of $497,814 or 25.4% over the prior year, this increase was mainly due to an increase in golf course operational activities in fiscal year 2015.

Other enterprise funds' expenses reported in business-type activities remained consistent year over year with slight increases in salaries, pension costs and some maintenance services.

FINANCIAL ANALYSIS OF THE CITY'S FUNDS

Governmental Funds

The focus of the City's Governmental Funds is to provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year.

As the City completed the year, its governmental funds reported combined fund balances of $79.8 million, or an increase of $6.5 million compared to last year's combined fund balances of $73.3 million. Included in this year's total change in fund balances is a $2.1 million excess of revenues over expenditures and transfers in the City's fire fund. The primary reasons for these changes in fund balances are as follows:

- The fund balance of the General Fund increased by $4.8 million due primarily to an increase in income from taxation, charges for services and intergovernmental revenue. At the end of the year expenditures were 92.5% of budget.

- The Fire/Rescue Fund balance increased by $2.1 million due mainly to a decrease in transfers out and revenue from capital lease funding. The increase in the fund balance is comparable to prior years.

- The Tamarac Village Fund decreased by $0.3 million, mainly due to debt service payments.

- The General Capital Project Fund decreased by $0.8 million due to completion of various capital projects in fiscal year 2015.

Proprietary Funds

The City's Proprietary Funds include the City's Enterprise Funds – Water and Wastewater Fund, the Stormwater Fund and the Colony West Fund. An enterprise fund is used to account for activities for which a fee is charged to external users for goods and/or services. The funds provide the same type of information found in the government-wide financial statements, but in more detail.

- Water and wastewater operating revenue increased by $1.9 million or 8.1% in FY15 mainly from a 5.25% increase in service charges in accordance with the City's Code of Ordinances. Operating expenses, including depreciation decreased by $478,296 mainly due to decreases in repair and maintenance costs.

- Stormwater operating revenues decreased minimally by $21,346 or 0.4% under the prior fiscal year, there were no rate increases in stormwater fees. Operating expenses, including depreciation, increased by $133,240 mainly due to increases in administrative costs.

- Colony West operating revenue increased by $1.0 million or 80.4% in FY15 due to a full year of operations in 2015 compared to a partial year in fiscal year 2014. Operating expenses, including depreciation increased by $497,814, also due to the increase in operations.

General Fund Budgetary Highlights

Over the course of the year, the City amended the General Fund budget two times. Budget amendments fall into two categories: (1) Amendments are approved for prior year encumbrances; and (2) supplemental appropriations to recognize and appropriate grant revenues which were received after the adoption of the budget, and to provide appropriations for various other needs which had arisen since the adoption of the budget. Even with these adjustments, actual expenditures were $3.1 million below final budgeted amounts. The most significant contributor to this variance was various departmental savings due to staff vacancies and tighter control over operating expenditures.

The fiscal year 2015 amended final budget of $52.2 million increased slightly from the original General Fund budget by $16,502 primarily because of a slight increase in developer contributions during the fiscal year. With base revenues of $49.4 million and $2.8 million in operating transfers for internal service charges from the Building and Fire Funds, the Adopted Budget is balanced. The original General Fund budget consists of $41.6 million base expenditures and $10.6 million in operating transfers to the other funds.

Differences between the original budget and the final amended budget increased appropriations by $16,502 which primarily consists of staff time for traffic calming and contingency.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

The City's net investment in capital assets for its governmental and business-type activities as of September 30, 2015 amounts to $180.1 million (net of accumulated depreciation), or a 0.9% increase, in comparison to the prior year.

City of Tamarac, Florida
Capital Assets
(net of depreciation, in millions)

	Governmental Actvities		Business-type Actvities		Total	
	2015	2014	2015	2014	2015	2014
Land	$ 25.2	$ 24.6	$ 10.3	$ 10.3	$ 35.5	$ 34.9
Intangibles-right-of-ways	0.1	0.1	-	-	0.1	0.1
Buildings and improvements	20.9	22.4	6.5	6.9	27.4	29.3
Improvements other than buildings	17.9	16.1	41.0	38.5	58.9	54.6
Equipment	3.0	2.7	2.9	3.2	5.9	5.9
Infrastructure	44.5	45.2	4.8	3.0	49.3	48.2
Public arts	0.4	0.4	-	-	0.4	0.4
Construction in progress	0.8	2.6	1.9	2.5	2.7	5.1
Total	$ 112.8	$ 114.1	$ 67.4	$ 64.4	$ 180.2	$ 178.5

Major capital asset purchases and projects during the fiscal year included the following:

- Mainlands Park
- Football/Soccer field turf
- Generator Replacement
- Wastewater Pump Station, Renewal and Replacement
- Drainage Improvements
- Playground Renovation at Sports Complex

Additional information on the City's Capital Assets can be found on pages 48-49 of this report.

Long-term debt

At year-end the City had $56.8 million in bonds and notes outstanding— a decrease of $1.2 million from last year— as shown in the following table. Of this amount, $0.5 million comprises debt backed by the full faith and credit of the government and $56.3 million in revenue bonds and notes backed by specific taxes and fee revenues. The debt position of the City is summarized below:

City of Tamarac, Florida
Outstanding Debt
(in millions)

	Governmental		Business-type		Total	
	2015	2014	2015	2014	2015	2014
General obligation bonds	$ 0.5	$ 0.7	$ -	$ -	$ 0.5	$ 0.7
Revenue bonds and notes	41.3	41.4	15.0	15.9	56.3	57.3
Total	$ 41.8	$ 42.1	$ 15.0	$ 15.9	$ 56.8	$ 58.0

In October 2014, the City entered into a new Capital Lease arrangement for the acquisition of two ambulances.

In 2012, Moody's Ratings review affirmed the City's general obligation credit rating of A1. These ratings are reflective of the strong financial performance and credit position of the City. The following table shows the latest ratings for the City by the major rating agencies.

	Rating Agency					
	Moody's		Fitch		Standard & Poor's	
	2015	2014	2015	2014	2015	2014
General Obligation Bonds						
Current Underlying	A1	A1	AA	AA	AA	AA
Capital Improvement Revenue						
Current Underlying	Aa3	Aa3	AA-	AA-	AA-	AA-
Sales Tax Revenue (2010 & 2009)						
Current Underlying	Aa3	Aa3	AA-	AA-	AA-	AA-
Insured	N/A	N/A	N/A	N/A	AA-	AA-
Water & Sewer Revenue						
Current Underlying	Aa2	Aa2	AA	AA	AA	AA
Insured	Aa2	Aa2	N/A	N/A	AA	AA
Stormwater Assessment Revenue						
Current Underlying	A1	A1	AA	AA	AA-	AA-

Additional information on the City of Tamarac's long-term debt can be found in Note 9 beginning on page 53 of this report.

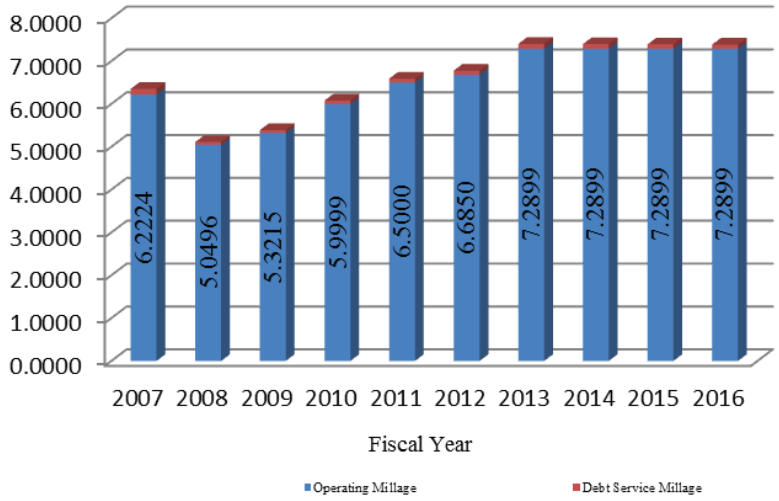
Economic Factors and Next Year's Budget

According to the U.S. Bureau of Labor Statistics, the unemployment rate for the Broward County area in September 2015 was 4.9%, down from 5.2% in September 2014. The largest sector of employment in Tamarac continues to be in the education and health services sector with the retail and manufacturing industry following. Together these industries account for almost one-third of the employment in the City.

The State of Florida does not have a state personal income tax and therefore, the State operates primarily using sales taxes. Local governments (cities, counties and school boards) rely primarily on property taxes and a limited array of permitted other taxes (sales, communication, gasoline, utilities services, etc.) and fees (franchise, building permits, occupational licenses, etc.) for their governmental activities. There are a limited number of state-shared revenues and recurring and non-recurring (one-time) grants from both the state and federal governments. For the business-type and certain governmental activities (building inspections, recreational programs, etc.) the user pays a related fee or charge associated with the service. It is anticipated that the housing market will soften with prices continuing to rise in 2016, but only to a more traditionally healthy level of 3-5% per year. Sales tax revenues are projected to increase 3-5% per year for the foreseeable future.

Total City Millage

Fiscal Year	**2007**	**2008**	**2009**	**2010**	**2011**	**2012**	**2013**	**2014**	**2015**	**2016**
Operating Millage	6.2224	5.0496	5.3215	5.9999	6.5000	6.6850	7.2899	7.2899	7.2899	7.2899
Debt Service Millage	0.1305	0.0630	0.0701	0.0802	0.0894	0.0924	0.1128	0.1086	0.1010	0.0952
Total Millage	**6.3529**	**5.1126**	**5.3916**	**6.0801**	**6.5894**	**6.7774**	**7.4027**	**7.3985**	**7.3909**	**7.3851**



The operating millage for fiscal year 2015 was 7.2899 per thousand dollars of taxable value and the rate set for 2016 remains 7.2899 per thousand dollars of taxable value. Although the millage rate is the same for 2016, revenues are expected to increase due to an increase in taxable value for 2016.

The City is considered to be built out due to its limited vacant land available for development. Taxable assessed value increased by 7% in calendar year 2014. The total taxable assessed property value in Tamarac was $3,229,109,048, $2,594,386,538, $2,496,995,116, $2,445,879,756, $2,539,653,079 and 2,726,451,547 in calendar years 2009, 2010, 2011, 2012, 2013, and 2014 and for fiscal years 2010, 2011, 2012, 2013, 2014 and 2015, respectively. The total taxable assessed value from calendar year 2009 through calendar year 2014, and for fiscal year 2010 through fiscal year 2015, decreased 15.6%. Property taxes are projected to be approximately the same on an annual basis. Over the past two years the City has seen very small increases in growth. Currently the City is adding housing in the Sabal Palm North and South area; the growth is expected to be over the next two to three year period. In addition, the City has seen an uptick in development of commercial properties and expects that trend to continue over the next five years.

Overall, the adopted budget is an economical and prudent financial plan that will ensure quality public services and needed capital improvements for both today and in the future. Fiscal year 2016 budgeted expenditures and transfers for the General Fund are expected to be $57.2 million, or 10 percent, more than fiscal year 2015. In developing the budget, the primary economic factors considered were revenue growth and the cost of providing existing services.

Contacting the City's Financial Services Department

The City's financial statements are designed to present users (citizens, taxpayers, customers, investors and creditors) with a general overview of the City's finances and to demonstrate the City's accountability. For questions concerning any information contained in this report or for additional financial information, contact the Financial Services Department, 7525 NW. 88th Ave, Tamarac, Florida 33321.

TAMARAC

The City For Your Life

BASIC FINANCIAL STATEMENTS

TAMARAC

The City For Your Life

CITY OF TAMARAC, FLORIDA
STATEMENT OF NET POSITION
SEPTEMBER 30, 2015

	Governmental Activities	Business-type Activities	Total
ASSETS			
Cash and equity in pooled cash	$ 53,359,281	$ 29,134,447	$ 82,493,728
Investments	23,067,126	14,188,092	37,255,218
Investment- Real Property	10,464,841	-	10,464,841
Accounts receivable - net	4,323,282	5,372,659	9,695,941
Internal balances	(636,866)	636,866	-
Inventories	182,559	330,175	512,734
Prepaid expenses	20,000	10,350	30,350
Other assets	682	-	682
Restricted assets:			
Cash and equity in pooled cash and investments	-	1,501,934	1,501,934
Net pension asset	358,240	58,317	416,557
Capital assets not being depreciated:			
Land	25,257,990	10,331,212	35,589,202
Construction in progress	801,720	1,931,815	2,733,535
Intangibles	114,430	-	114,430
Public art	462,480	-	462,480
Capital assets (net of accumulated depreciation):			
Buildings and improvements	20,869,776	6,566,389	27,436,165
Improvements other than buildings	17,930,422	40,964,782	58,895,204
Equipment	2,958,008	2,893,838	5,851,846
Infrastructure	44,444,963	4,705,086	49,150,049
Total assets	203,978,934	118,625,962	322,604,896
DEFERRED OUTFLOWS OF RESOURCES			
Deferred outflows from pensions	11,717,771	2,204,134	13,921,905
Deferred charges on refunding	1,249,158	888,065	2,137,223
Total deferred outflows of resources	12,966,929	3,092,199	16,059,128
LIABILITIES			
Accounts payable and other accrued liabilities	825,506	1,232,651	2,058,157
Accrued payroll	1,543,017	231,845	1,774,862
Accrued interest payable	1,238,542	919,407	2,157,949
Customer deposits	655,532	1,517,813	2,173,345
Unearned revenue	830,975	-	830,975
Noncurrent liabilities:			
Due within one year	3,764,900	641,186	4,406,086
Due in more than one year	66,934,953	16,401,687	83,336,640
Total liabilities	75,793,425	20,944,589	96,738,014
DEFERRED INFLOWS OF RESOURCES			
Deferred inflows from pensions	8,450,555	661,921	9,112,476
NET POSITION			
Net investment in capital assets	87,647,677	53,162,235	140,809,912
Restricted for:			
Renewal and replacement	-	4,957,758	4,957,758
Public safety	9,162,375	-	9,162,375
Transportation	499,943	-	499,943
Economic development	2,260,946	-	2,260,946
Capital improvement	6,549,057	-	6,549,057
Debt service	262,378	1,439,465	1,701,843
Unrestricted	26,319,507	40,552,193	66,871,700
Total net position	$ 132,701,883	$ 100,111,651	$ 232,813,534

The notes to the financial statements are an integral part of this statement.

CITY OF TAMARAC, FLORIDA

STATEMENT OF ACTIVITIES

FOR THE YEAR ENDED SEPTEMBER 30, 2015

		Program Revenues			Net (Expense) Revenue and Changes in Net Position		
	Expenses	Charges for Services	Operating Grants and Contribution	Capital Grants and Contribution	Governmental Activities	Business-Type Activities	Total
Functions/programs							
Primary government:							
Governmental activities:							
General government	$ 13,156,821	$ 7,647,508	$ -	$ -	$ (5,509,313)	$ -	$ (5,509,313)
Public safety	33,902,418	19,626,281	-	-	(14,276,137)	-	(14,276,137)
Transportation	2,277,480	30,813	-	293,562	(1,953,105)	-	(1,953,105)
Culture and recreation	5,500,440	1,134,633	-	127,999	(4,237,808)	-	(4,237,808)
Physical environment	5,253,489	1,265,048	-	17,839	(3,970,602)	-	(3,970,602)
Economic environment	1,605,029	-	1,124,992	-	(480,037)	-	(480,037)
Human services	288,099	-	-	-	(288,099)	-	(288,099)
Interest on long-term debt	1,202,719	-	-	-	(1,202,719)	-	(1,202,719)
Total governmental activities	63,186,495	29,704,283	1,124,992	439,400	(31,917,820)	-	(31,917,820)
Business-type activities:							
Utilities	20,548,027	26,433,582	-	1,782,279	-	7,667,834	7,667,834
Stormwater	4,212,046	5,447,346	-	-	-	1,235,300	1,235,300
Colony West	2,460,509	2,247,612	-	-	-	(212,897)	(212,897)
Total business activities	27,220,582	34,128,540	-	1,782,279	-	8,690,237	8,690,237
Total primary government	$ 90,407,077	$ 63,832,823	$ 1,124,992	$ 2,221,679	(31,917,820)	8,690,237	(23,227,583)
	General revenues:						
	Taxes:						
	Property taxes, levied for general purpose				18,777,604	-	18,777,604
	Property taxes, levied for debt service				260,067	-	260,067
	Other taxes				9,034,439	-	9,034,439
	Franchise fees				5,179,351	-	5,179,351
	Intergovernmental not restricted to specific program				6,517,126	-	6,517,126
	Investment income				211,046	135,827	346,873
	Other income				202,275	-	202,275
	Gain on disposal of capital assets				82,709	6,324	89,033
	Transfers				(630,549)	630,549	-
	Total general revenues				39,634,068	772,700	40,406,768
	Change in net position				7,716,248	9,462,937	17,179,185
	Net position, October 1 as restated				124,985,635	90,648,714	215,634,349
	Net position, September 30				$ 132,701,883	$ 100,111,651	$ 232,813,534

The notes to the financial statements are an integral part of this statement.

CITY OF TAMARAC, FLORIDA
BALANCE SHEET
GOVERNMENTAL FUNDS
SEPTEMBER 30, 2015

	Major Funds					
	General	Special Revenue Fire Rescue	General Capital Projects	Tamarac Village	Nonmajor Governmental Funds	Total Governmental Funds
ASSETS						
Cash and equity in pooled cash	$ 23,441,963	$ 7,336,782	$ 6,227,657	$ 101,302	$ 11,655,759	$ 48,763,463
Investments	9,842,994	3,363,225	2,637,736	50,381	5,145,600	21,039,936
Investment- real property	-	-	-	10,464,841	-	10,464,841
Accounts receivable - net	1,388,191	1,399,135	-	-	353,009	3,140,335
Due from other governments	329,446	22,591	215,344	8,733	595,149	1,171,263
Other assets	682	-	-	-	-	682
Inventories	84,704	-	-	-	97,855	182,559
Prepaid items	20,000	-	-	-	-	20,000
Total assets	$ 35,107,980	$ 12,121,733	$ 9,080,737	$ 10,625,257	$ 17,847,372	$ 84,783,079
LIABILITIES AND FUND BALANCES						
Liabilities:						
Accounts payable and other accrued liabilities	$ 414,006	$ 60,566	$ 51,517	$ 8,825	$ 275,214	$ 810,128
Accrued payroll	443,067	870,119	-	-	105,139	1,418,325
Accrued principal and interest payable	-	63,555	-	107,043	1,067,944	1,238,542
Due to other governmental units	8,223	-	4,749	-	1,380	14,352
Escrow deposits	153,928	-	-	-	501,604	655,532
Unearned revenue	497,570	-	-	-	333,405	830,975
Total liabilities	1,516,794	994,240	56,266	115,868	2,284,686	4,967,854
Fund Balances:						
Non spendable:						
Inventories and prepayments	104,704	-	-	-	97,854	202,558
Long-term receivable	-	-	-	-	353,009	353,009
Investment- real property	-	-	-	10,464,841	-	10,464,841
Restricted for:						
Public safety	10,741	6,565,221	-	-	2,586,413	9,162,375
Transportation	-	-	-	-	499,943	499,943
Debt service	-	-	-	-	262,378	262,378
Economic development	-	-	-	-	1,810,083	1,810,083
Capital projects	-	-	-	-	2,776,322	2,776,322
Committed for:						
Economic development	257,944	-	-	-	-	257,944
Capital projects	-	834,987	927,725	-	4,200,764	5,963,476
Assigned:						
Capital projects	3,500,000	-	8,096,746	-	1,208,610	12,805,356
Public Safety	-	3,727,285	-	-	-	3,727,285
Economic development	500,000	-	-	44,548	1,767,310	2,311,858
Disaster reserve	1,000,000	-	-	-	-	1,000,000
Subsequent year's budget: appropriation of fund balance	3,671,296	-	-	-	-	3,671,296
Unassigned:	24,546,501	-	-	-	-	24,546,501
Total fund balances	33,591,186	11,127,493	9,024,471	10,509,389	15,562,686	79,815,225
Total liabilities and fund balances	$ 35,107,980	$ 12,121,733	$ 9,080,737	$ 10,625,257	$ 17,847,372	$ 84,783,079

The notes to the financial statements are an integral part of this statement.

CITY OF TAMARAC, FLORIDA

RECONCILIATION OF THE BALANCE SHEET TO THE STATEMENT OF NET POSITION

GOVERNMENTAL FUNDS

SEPTEMBER 30, 2015

Fund balances - total government funds (page 21)		$ 79,815,225
Amounts reported for governmental activities in the statement of net position are different because:		
Capital assets used in governmental activities are not financial resources and therefore are not reported in the governmental funds.		
Governmental capital assets		160,944,960
Less accumulated depreciation		(48,105,171)
Net pension assets/obligations resulting from overfunding/underfunding of the police, fire, non-represented and general employees pension plans are not reported in the funds as they are not available to pay for current period expenditures.		
Net pension asset		341,577
Net pension liability		(23,025,929)
Long-term liabilities, including bonds payable, are not due and payable in the current period and therefore are not reported in the governmental funds.		
Governmental bonds payable	(41,831,737)	
Parking lot	(260,800)	(42,092,537)
Deffered inflows of resources related to pension earnings		(8,342,618)
Deferred outflows of resources related to pension earnings		11,618,003
OPEB Obligations attributable to retiree benefits financed from governmental fund types		(1,026,524)
Deferred charges on refunding		1,249,158
Compensated absences		(2,872,621)
Internal service fund is used by management to charge the costs of certain activities to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position		4,198,360
Net position of governmental activities (page 19)		$ 132,701,883

The notes to the financial statements are an integral part of this statement.

CITY OF TAMARAC, FLORIDA

STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Major Funds					
	General	Special Revenue Fire Rescue	General Capital Projects	Tamarac Village	Nonmajor Governmental Funds	Total Governmental Funds
REVENUES:						
Taxes:						
Property	$ 18,777,604	$ -	$ -	$ -	$ 260,067	$ 19,037,671
Other taxes	8,643,394	-	-	-	391,045	9,034,439
Franchise fees	5,179,351	-	-	-	-	5,179,351
Charges for services	2,208,755	2,278,620	-	-	242,937	4,730,312
Payment in lieu of taxes	1,857,746	-	-	-	-	1,857,746
Intergovernmental	6,385,042	68,526	145,838	-	1,467,772	8,067,178
Licenses and permits	763,315	-	-	-	2,905,962	3,669,277
Fines and forfeitures	1,778,628	-	-	-	489,014	2,267,642
Investment income	100,015	34,408	26,667	809	49,147	211,046
Donations from private resources	-	-	-	-	15,508	15,508
Program repayment	-	-	-	-	14,342	14,342
Other	5,476,645	2,927	-	8,735	278,432	5,766,739
Special assessments	13,005	11,676,053	-	-	-	11,689,058
Total revenues	51,183,500	14,060,534	172,505	9,544	6,114,226	71,540,309
EXPENDITURES:						
Current:						
General government	11,665,610	-	31,435	155,993	-	11,853,038
Public safety	16,368,279	15,423,672	-	-	1,997,068	33,789,019
Transportation	1,324,335	-	-	-	100,360	1,424,695
Culture and recreation	4,239,040	-	-	-	47,426	4,286,466
Physical environment	3,944,469	-	-	-	1,452,523	5,396,992
Economic environment	456,199	-	-	-	1,152,390	1,608,589
Human services	278,449	-	-	-	12,571	291,020
Debt service:						
Principal retirement	-	278,688	-	-	1,898,448	2,177,136
Interest and fiscal charges	-	15,987	-	212,001	855,296	1,083,284
Capital outlay	218,873	617,391	845,744	-	1,371,030	3,053,038
Total expenditures	38,495,254	16,335,738	877,179	367,994	8,887,112	64,963,277
Excess (deficiency) of revenues over (under) expenditures	12,688,246	(2,275,204)	(704,674)	(358,450)	(2,772,886)	6,577,032
Other financing sources (uses):						
Capital lease	-	546,916	-	-	-	546,916
Transfers in	2,766,914	6,379,742	-	-	4,277,724	13,424,380
Transfers out	(10,644,887)	(2,547,503)	(144,680)	-	(717,859)	(14,054,929)
Total other financing sources (uses)	(7,877,973)	4,379,155	(144,680)	-	3,559,865	(83,633)
Net change in fund balances	4,810,273	2,103,951	(849,354)	(358,450)	786,979	6,493,399
Fund balances - beginning	28,780,913	9,023,542	9,873,825	10,867,839	14,775,707	73,321,826
Fund balances - ending	$ 33,591,186	$ 11,127,493	$ 9,024,471	$ 10,509,389	$ 15,562,686	$ 79,815,225

The notes to the financial statements are an integral part of this statement.

CITY OF TAMARAC, FLORIDA

RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES

FOR THE YEAR ENDED SEPTEMBER 30, 2015

Amounts reported for governmental activities in the statement of activities are different because:		
Net change in fund balances - total government funds (page 23)		$ 6,493,399
Governmental funds report capital outlays as expenditures, however, in the statement of activities, the cost of those assets is depreciated over their estimated useful lives.		
Expenditures for capital outlays	$ 2,446,590	
Less current year depreciation	(3,740,321)	(1,293,731)
The effect of various miscellaneous transactions involving capital assets is to decrease net position		(7,017)
Issuance of long term debt (e.g. bonds, capital leases) provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of bond principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position.		
Bonds, note and leases		
Principal repayments		2,177,136
Capital lease financing		(546,916)
Under the modified accrual basis of accounting used in the governmental funds, expenditures are not recognized for transactions that are normally not paid with expendable available financial resources. In the statement of activities, however, which is presented on the accrual basis, expenses and liabilities are reported regardless of when financial resources are available. In addition, interest on long-term debt is not recognized under the modified accrual basis of accounting until due rather than as it accrues.		
Compensated absences	97,411	
Amortization of bond premium	111,036	
Amortization of deferred charges on refunding	(119,435)	89,012
Pension contributions reported in the funds were more then calculated pension expense on the statement of activities and therefore increase net position	\	1,441,939
Contributions to retiree benefits do not use current financial resources and are not recorded in full as expenditures in the governmental funds, however these disbursements increase the net OPEB obligations in the statement of activities.		(165,803)
Internal service funds are used by management to charge the costs of certain activities to individual funds. The net revenue of certain activities in the internal service fund is reported with governmental activities.		(471,771)
Change in net position of governmental activities (page 20)		$ 7,716,248

The notes to the financial statements are an integral part of this statement.

CITY OF TAMARAC, FLORIDA
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
SEPTEMBER 30, 2015

	Business-type Activities - Enterprise Funds				Governmental Activities
	Major Funds		Non Major		Internal
	Utilities	Stormwater	Enterprise Fund	Total	Service Funds
ASSETS					
Current assets:					
Cash and equity in pooled cash	$ 19,302,857	$ 9,480,287	$ 351,303	$ 29,134,447	$ 4,595,818
Investments	9,987,420	4,137,229	63,443	14,188,092	2,027,190
Accounts receivable - net	4,759,539	613,120	-	5,372,659	11,683
Inventories	272,852	4,845	52,478	330,175	-
Prepaid expenses	500	-	9,850	10,350	-
Total current assets	34,323,168	14,235,481	477,074	49,035,723	6,634,691
Non-current assets:					
Restricted assets:					
Cash and equity in pooled cash and investments	1,494,174	7,760	-	1,501,934	-
Net Pension Asset	41,655	16,662	-	58,317	16,663
Capital assets:					
Land	7,415,829	86,329	2,829,054	10,331,212	-
Buildings and improvements	7,334,209	1,480,000	678,693	9,492,902	-
Improvements other than building	99,657,461	3,640,907	240,037	103,538,405	-
Equipment	4,599,475	2,027,552	1,010,670	7,637,697	15,766
Infrastructure	58,974	31,185,187	-	31,244,161	-
Construction in progress	1,865,835	61,281	4,699	1,931,815	-
Total capital assets	120,931,783	38,481,256	4,763,153	164,176,192	15,766
Less accumulated depreciation	(66,789,946)	(29,542,470)	(450,654)	(96,783,070)	(15,766)
Total capital assets - net	54,141,837	8,938,786	4,312,499	67,393,122	-
Total non-current assets	55,677,666	8,963,208	4,312,499	68,953,373	16,663
Total assets	90,000,834	23,198,689	4,789,573	117,989,096	6,651,354
DEFERRED OUTFLOWS OF RESOURCES					
Deferred outflows from pensions	1,672,983	531,151	-	2,204,134	99,768
Deferred charges on refunding	675,127	212,938	-	888,065	-
Total deferred outflows of resources	2,348,110	744,089	-	3,092,199	99,768
LIABILITIES					
Current liabilities:					
Accounts payable and other accrued liabilities	1,088,457	45,268	60,554	1,194,279	1,026
Accrued payroll	183,920	47,925	-	231,845	124,692
Accrued interest payable	588,422	330,985	-	919,407	-
Due to other governments	38,372	-	-	38,372	-
Claims payable	-	-	-	-	1,601,717
Bonds payable	300,000	275,000	-	575,000	-
Customer deposits	1,494,174	7,760	15,879	1,517,813	-
Compensated absences	68,262	18,601	-	86,863	7,639
Total current liabilities	3,761,607	725,539	76,433	4,563,579	1,735,074
Non-current liabilities:					
Bonds payable	11,896,555	2,571,433	-	14,467,988	-
Net Pension liability	725,752	219,926	-	945,678	-
Net OPEB obligations	223,024	41,521	-	264,545	11,080
Compensated absences	552,303	150,496	-	702,799	61,806
Total noncurrent liabilities	13,397,634	2,983,376	-	16,381,010	72,886
Total liabilities	17,159,241	3,708,915	76,433	20,944,589	1,807,960
DEFERRED INFLOWS OF RESOURCES					
Deferred inflows from pensions	487,905	174,016	-	661,921	107,937
	487,905	174,016	-	661,921	107,937
NET POSITION					
Net investment in capital assets	42,544,445	6,305,291	4,312,499	53,162,235	-
Restricted for:					
Renewal and replacement	4,856,867	100,891	-	4,957,758	-
Debt service	896,953	542,512	-	1,439,465	-
Unrestricted	26,403,533	13,111,153	400,641	39,915,327	4,835,225
Total net position	$ 74,701,798	$ 20,059,847	$ 4,713,140	99,474,785	$ 4,835,225
Explanation of difference between proprietary funds statement of net position and the statement of net position:					
Internal service fund is used by management to charge the costs of certain activities, such as insurance, to individual funds. The portion attributable to business-type activities is reflected here and the residual assets and liabilities of the internal service fund are included in the governmental activities in the statement of net position.				636,866	
				$ 100,111,651	

The notes to the financial statements are an integral part of this statement.

CITY OF TAMARAC, FLORIDA

STATEMENT OF REVENUES, EXPENSES
AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Business-type Activities - Enterprise Funds				Governmental Activities
	Major Funds		Non Major		Internal
	Utilities	Stormwater	Enterprise Fund	Total	Service Funds
OPERATING REVENUES:					
Charges for services	$ 26,433,495	$ 5,447,346	$ 2,247,612	$ 34,128,453	$ 6,001,973
Other	87	-	-	87	115,208
Total operating revenues	26,433,582	5,447,346	2,247,612	34,128,540	6,117,181
OPERATING EXPENSES:					
Salaries, wages and employee benefits	4,924,525	1,565,783	-	6,490,308	380,552
Contractual services, materials and supplies	7,222,185	1,185,123	2,129,683	10,536,991	38,411
Claims and claims adjustments	-	-	-	-	6,186,901
Depreciation	3,583,935	588,625	330,826	4,503,386	-
Other services and charges	4,072,450	705,357	-	4,777,807	100,929
Total operating expenses	19,803,095	4,044,888	2,460,509	26,308,492	6,706,793
Operating income (loss)	6,630,487	1,402,458	(212,897)	7,820,048	(589,612)
NONOPERATING REVENUES (EXPENSES):					
Investment income	92,423	43,071	333	135,827	21,211
Interest expense	(606,844)	(131,970)	-	(738,814)	-
Debt service cost	(41,460)	(35,188)	-	(76,648)	-
Gain on disposal of fixed assets	6,324	-	-	6,324	-
Total nonoperating revenues (expenses)	(549,557)	(124,087)	333	(673,311)	21,211
Income (loss)	6,080,930	1,278,371	(212,564)	7,146,737	(568,401)
Capital contributions	1,782,279	-	-	1,782,279	-
Transfers in	-	338,298	309,597	647,895	-
Transfers out	(17,346)	-	-	(17,346)	-
Net contributions and transfers	1,764,933	338,298	309,597	2,412,828	-
Change in net position	7,845,863	1,616,669	97,033	9,559,565	(568,401)
Total net position, October 1, as restated	66,855,935	18,443,178	4,616,107		5,403,626
Total net position, September 30	$ 74,701,798	$ 20,059,847	$ 4,713,140		$ 4,835,225

Explanation of difference between proprietary funds statement of revenues, expenses and changes in fund net position and the statement of activities:

Internal service fund is used by management to charge the costs of certain activities, such as insurance, to individual funds. The portion attributable to business-type activities is reflected here and the residual assets and liabilities of the internal service fund are included in the governmental activities in the statement of net position. (96,628)

$ 9,462,937

The notes to the financial statements are an integral part of this statement.

CITY OF TAMARAC, FLORIDA
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Business-type Activities - Enterprise Funds				Governmental Activities
	Major Funds		Non Major		Internal
	Utilities	Stormwater	Enterprise Fund	Total	Service Funds
Cash flows from operating activities:					
Cash received from customers (including other funds)	$ 25,838,351	$ 5,345,317	$ 2,256,787	$ 33,440,455	$ 6,110,288
Payments to suppliers	(8,902,471)	(1,467,329)	(2,233,000)	(12,602,800)	(38,614)
Cash paid on claims	-	-	-	-	(6,362,483)
Payments to employees	(5,152,091)	(1,645,396)	-	(6,797,487)	(468,559)
Interfund service payments	(2,561,019)	(705,357)	-	(3,266,376)	(100,929)
Net cash provided by (used in) operating activities	9,222,770	1,527,235	23,787	10,773,792	(860,297)
Cash flows from noncapital financing activities:					
Transfers in	-	338,298	309,597	647,895	-
Transfers out	(17,346)	-	-	(17,346)	-
Net cash provided (used in) by noncapital financing activities	(17,346)	338,298	309,597	630,549	-
Cash flows from capital and related financing activities:					
Acquisition and construction of capital assets	(4,443,379)	(1,216,051)	(40,458)	(5,699,888)	-
Proceeds from sale of capital assets	6,324	-	-	6,324	-
Principal paid on long-term debt	(272,893)	(256,429)	-	(529,322)	-
Interest paid	(610,025)	(130,728)	-	(740,753)	-
Net cash used in capital and related financing activities	(5,319,973)	(1,603,208)	(40,458)	(6,963,639)	-
Cash flows from investing activities:					
Proceeds from sales and maturities of investments	3,577,674	1,380,136	45,282	5,003,092	570,529
Purchases of investments	(8,590,210)	(3,313,789)	(108,725)	(12,012,724)	(1,369,875)
Interest income	92,423	43,071	333	135,827	21,211
Net cash used in investing activities	(4,920,113)	(1,890,582)	(63,110)	(6,873,805)	(778,135)
Net increase (decrease) in cash and cash equivalents	(1,034,662)	(1,628,257)	229,816	(2,433,103)	(1,638,432)
Cash and cash equivalents at beginning of year	21,831,693	11,116,304	121,487	33,069,484	6,234,250
Cash and cash equivalents at end of year	$ 20,797,031	$ 9,488,047	$ 351,303	$ 30,636,381	$ 4,595,818
Pooled cash and cash equivalents per statement of net assets:					
Unrestricted	$ 19,302,857	$ 9,480,287	$ 351,303	$ 29,134,447	$ 4,595,818
Restricted	1,494,174	7,760	-	1,501,934	-
Total, September 30	$ 20,797,031	$ 9,488,047	$ 351,303	$ 30,636,381	$ 4,595,818
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:					
Operating income (loss)	$ 6,630,487	$ 1,402,458	$ (212,897)	$ 7,820,048	$ (589,612)
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:					
Depreciation	3,583,935	588,625	330,826	4,503,386	-
Non cash pension expense adjustment	(259,938)	(90,492)	-	(350,430)	(48,357)
Change in assets and liabilities:					
Increase in accounts receivable	(603,808)	(101,915)	-	(705,723)	(6,893)
(Increase) decrease in inventories	(14,288)	-	(25,375)	(39,663)	-
Decrease in prepayments	-	-	168	168	-
Decrease in accounts payable	(161,077)	(282,206)	(78,110)	(521,393)	(203)
Increase (decrease) in accrued liabilities	12,577	(661)	-	11,916	(47,612)
Increase in due to other government	6,510	-	-	6,510	-
Increase (decrease) in compensated absences	(13,131)	(807)	-	(13,938)	6,198
Increase in OPEB obligation	32,926	12,347	-	45,273	1,764
Decrease in estimated insurance claims payable	-	-	-	-	(175,582)
Increase (decrease) in customer deposits	8,577	(114)	9,175	17,638	-
Total adjustments	2,592,283	124,777	236,684	2,953,744	(270,685)
Net cash provided by (used in) operating activities	$ 9,222,770	$ 1,527,235	$ 23,787	$ 10,773,792	$ (860,297)
Non-cash investing, capital and financing activities:					
Capital Contibutions	$ 722,319	$ -	$ -	$ 722,319	$ -
Decrease in fair value of investments	$ (39,014)	$ (18,080)	$ -	$ (57,094)	$ (9,403)

The notes to the financial statements are an integral part of this statement.

CITY OF TAMARAC, FLORIDA

STATEMENT OF FIDUCIARY NET POSITION

FIDUCIARY FUNDS

September 30, 2015

		Pension Trust Funds	Agency Funds
ASSETS			
Cash and cash equivalents		$ 8,368,745	$ 1,563,941
Receivables:			
Interest and dividend receivables		60,863	-
Accounts receivables		-	487,701
Total receivables		60,863	487,701
Investments, at fair value :			
Common stock	59,464,215		
Government securities	12,599,172		
Corporate bonds	11,817,710		
Limited liability partnership	884,144		
Mutual funds	67,278,148	152,043,389	-
Total assets		160,472,997	2,051,642
LIABILITIES			
Accounts payable		75,959	2,051,642
Total liabilities		75,959	$ 2,051,642
Net position restricted for pension and other purposes (A schedule of funding progress for each plan is presented on page 92-104)		$160,397,038	

CITY OF TAMARAC, FLORIDA

STATEMENT OF CHANGES IN FIDUCIARY NET POSITION

FIDUCIARY FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Pension Trust Funds
ADDITIONS	
Contributions:	
Employer	$ 7,234,319
Employee	2,124,310
State	1,070,160
Total contributions	10,428,789
Investment income:	
Net appreciation in fair value of investments	(5,596,927)
Interest and dividends	2,941,321
Total investment loss	(2,655,606)
Less investment expenses	(791,683)
Net investment loss	(3,447,289)
Total additions	6,981,500
DEDUCTIONS	
Benefits paid and refunds	8,862,065
Administrative expenses	213,081
Total deductions	9,075,146
Change in net position	(2,093,646)
Net position, October1	162,490,684
Net position, September 30	$160,397,038

The notes to the financial statements are an integral part of this statement.

NOTES TO THE FINANCIAL STATEMENTS

TAMARAC

The City For Your Life

NOTE 1. ORGANIZATION AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Organization

The City of Tamarac, Florida (the "City") was incorporated in 1963 and is a political subdivision of the State of Florida located in northwestern Broward County. The City operates under a Commission-Manager form of government, with the legislative function being vested in a five-member commission. The City Commission is governed by the City Charter and by state and local laws and regulations. The City Commission is responsible for establishment and adoption of policy. The City provides the following range of municipal services authorized by its charter: public safety (Police and Fire), highways and streets, sanitation, health and social services, culture, recreation, bus transportation, planning and zoning, water and sewer, stormwater utility services and general administrative services.

The accounting policies of the City conform to Generally Accepted Accounting Principles in the United States of America (GAAP) as applicable to governments. The Governmental Accounting Standards Board (GASB) is the standard-setting body for governmental accounting and financial reporting.

B. The Reporting Entity

The financial statements were prepared in accordance with GASB Statement No. 14, *The Financial Reporting Entity*, as amended by GASB Statement No. 39 and 61, which establishes standards for defining and reporting on the financial reporting entity. The definition of the financial reporting entity is based upon the concept that elected officials are accountable to their constituents for their actions. One of the objectives of financial reporting is to provide users of financial statements with a basis for assessing the accountability of the elected officials. The financial reporting entity consists of the primary government, organizations for which the primary government is financially accountable and other organizations for which the nature and significance of their relationship with the primary government are such that exclusion would cause the reporting entity's financial statements to be misleading or incomplete. The City is financially accountable for a component unit if it appoints a voting majority of the organization's governing board and it is able to impose its will on that organization or there is a potential for the organization to provide specific financial benefits to, or impose specific financial burdens on the City. Based on these criteria, there were no organizations which met the criteria described above.

C. Government-wide and Fund Financial Statements

The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all of the non-fiduciary activities of the primary government. The effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from *business-type activities*, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. *Direct expenses* are those that are clearly identifiable with a specific function or segment. *Program revenues* include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as *general revenues*. Separate financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

D. Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The government-wide financial statements are reported using the *economic resources measurement focus* and the *accrual basis of accounting*, as are the proprietary fund and fiduciary fund financial statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the *current financial resources measurement focus* and the *modified accrual basis of accounting*. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be *available* when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers revenues to be available if they are collected within 60 days. Expenditure-driven grants are recognized as revenue when the qualifying expenditure has been incurred and all other eligibility requirements have been met, and the amount is received during the period or within the availability period of the revenue source (within nine (9) months of year-end). All other revenue items are considered to be measurable and available only when cash is received by the government. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Property taxes, sales taxes, utility taxes, franchise taxes, licenses, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period. Only the portion of special assessments receivable due within the current fiscal period are considered to be susceptible to accrual as revenue of the current period. All other revenue items are considered to be measurable and available only when cash is received by the government.

Accounting principles generally accepted in the United States of America set forth minimum criteria (percentage of the assets, deferred outflows, liabilities, deferred inflows, revenue, or expenditures/expenses of the applicable fund category and the governmental and enterprise combined) for the determination of major funds. The nonmajor funds are presented in one column in the respective fund financial statements.

The City reports the following major governmental funds:

The ***General Fund*** is the government's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund.

The ***Fire Rescue* Special Revenue Fund** accounts for revenue sources that are legally restricted for fire rescue purposes, including but not limited to Fire Assessment Fees, EMS fees, transfers from General Fund and other miscellaneous revenues.

The ***General Capital Project Fund*** accounts for the construction of major capital projects other than those financed by the proprietary funds.

The ***Tamarac Village Fund*** accounts for the proceeds from the 2011 Line of Credit used for various Land Acquisition projects related to the Tamarac Village Project.

The City reports the following major proprietary funds:

The ***Utilities Fund*** is used to account for the provision of water and sewer services both internal and external to the City.

The ***Stormwater Management Fund*** is used to account for the provision of stormwater maintenance and capital improvements within the City.

The City reports the following nonmajor proprietary funds:

The ***Colony West Golf Course Fund*** is used to account for services provided by the Colony West Golf Club.

Additionally, the government reports the following fund types:

Debt Service Funds account for resources accumulated and payments made for principal and interest on long-term debt, other than bonds which are payable from proprietary funds.

Special Revenue Funds account for resources that are legally restricted to expenditures for specific purposes.

Capital Project Funds account for the construction of major capital improvements other than those financed by the proprietary funds.

Internal Service Funds are used to account for the financing of insurance services provided to other funds of the City on a cost reimbursement basis.

Pension Trust Funds include General Employee's Pension Fund, Police Officers' Pension Fund, Firefighters' Pension Fund, Elected and Appointed and Non-Represented Employees' Pension Fund, which all account for the accumulation of resources to be used for retirement benefit payments to the City's employees, Elected Officials, Police Officers and Firefighters.

Agency Fund is used to account for the City's collection of the Solid Waste Fees on behalf of Waste Management Inc.; these fees are remitted to Waste Management Inc. after reduction of the City's Franchise Fee revenue.

As a general rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments-in-lieu of taxes and interfund service payments between the City's utilities function and various other functions of the City. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as *program revenues* include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes, whose purpose has not been restricted to a specific program.

Proprietary funds distinguish *operating* revenues and expenses from *nonoperating* items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the City's utilities, stormwater and golf course enterprise funds are charges to customers for services. Operating expenses for enterprise funds and internal service funds include the cost of services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first to the extent possible, then unrestricted resources as necessary.

E. Assets, Liabilities, Deferred Outflows/Inflows of Resources and Net Position

1. Cash, Cash Equivalents and Investments

Equity in pooled cash and cash equivalents includes cash on hand, investments with the State Board of Administration (SBA) and Florida Surplus Asset Fund Trust (FLSAFE) investment pools (Securities and Exchange Commission Rule 2A-7 Pool) and investments with a maturity of three months or less. Resources of all funds, with the exception of the pension trust funds, and certain other cash and investment accounts, have been combined into a pooled cash and investment system for the purpose of maximizing earnings. Interest earned on pooled cash and investments is allocated monthly based upon equity balances of the respective funds. Each funds' equity in pooled investments is calculated based on the funds' pro rata share of equity in pooled cash. The Financial Services Director of the City of Tamarac is a member of the FLSAFE Board of Trustees. The SBA was created by section 218.405, Florida Statutes and FLSAFE was created pursuant to Florida Statute 163.01 and 218.415. The investment pools operate under investment guidelines established by Section 215.47, Florida Statutes and are reported at fair market value.

For the purpose of the statement of cash flows for the proprietary fund types, cash and cash equivalents mean short term, highly liquid investments with an original maturity of three months or less.

In accordance with GASB Statement No. 31 "*Accounting and Financial Reporting for Certain Investments and for External Investment Pools*", all investments are reported at fair value. Fair value is determined by quoted market prices. The fair value of the investment pool is its position in the pool which is the same as the value of the pool shares. Income, including the change in fair value, from investments held by the individual funds is recorded in the respective fund as it is earned. All other investments owned by the City are accounted for in pooled cash and investment accounts. Income earned from this pooling of investments is allocated monthly to the respective funds based upon average daily balances.

2. Investments

The City's investments, except the investment in real estate, are reported at fair value which is the amount a financial instrument could be exchanged for in a current transaction between willing parties. Generally, these are quoted market prices. Investments, including restricted investments, consist of mutual funds, U.S. Government securities, corporate debt and equity securities, mortgage-backed securities, asset-backed securities and securities of governmental agencies unconditionally guaranteed by the U.S. Government. The investment in real estate is valued at cost.

3. Receivables and Payables

Activities between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either "due to/from other funds" or "advances to/from other funds. Any balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

All trade and other receivables are shown net of allowance for uncollectibles. Long-term receivables are analyzed for their collectability based on the terms and conditions of the agreements. In addition to those receivables specifically identified as uncollectible, a general allowance is calculated based on the City's historic bad-debt experience.

4. Inventories and Prepaid Items

Inventories are valued at cost, which approximates market, using the "first-in, first out" (FIFO) method. The costs of inventories, consisting primarily of expendable supplies held for consumption and assets held for resale, are recorded as expenditures when consumed rather than when purchased. The City's Utilities Department maintains inventories for parts needs for line maintenance, and the Golf Course maintain an inventory of equipment, additionally, the Information Technology Department maintain inventories for computer supplies. The Community Development Department holds inventory of Real Property for rehabilitation and resale.

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items or deferred charges in both government-wide and fund financial statements. Payments for services that benefit future periods are recorded as prepaid expenses in accordance with the consumption method.

5. Restricted Assets

Certain proceeds from revenue refunding bonds, as well as other monies as required by several bond indentures, are classified as restricted assets in the government-wide and proprietary fund statement of net assets. Restricted assets are not presented on the balance sheet of the governmental funds; however, certain assets of these funds are restricted as to use.

6. Capital Assets

Capital assets, which include land, intangibles, building and improvements, improvements other than buildings, equipment and infrastructure assets (e.g., roads, sidewalks, stormwater culverts, pump stations, water and sewer lines, light poles, catch basins, and similar items), are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the City as assets with an initial, individual cost of more than $1,000 for equipment and $5,000 for infrastructure (amount not rounded) and an estimated useful life in excess of one year. Such assets are recorded at historical cost or estimated cost if actual historical cost is unavailable. Donated capital assets are recorded at estimated fair market value on the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized, but expensed as incurred.

Capital assets are depreciated using the straight line method over the following estimated useful lives:

Assets	Years
Buildings and Improvements	40-50
Improvements Other Than Buildings	20
Equipment	4-20
Infrastructure:	
Streets	35-40
Sidewalks	30
Light Poles (Concrete)	40
Pump Stations	30
Water and Sewer Lines	30
Culverts	30
Catch Basins	30

7. Deferred Outflows/Inflows of Resources

In addition to assets, the statement of financial position will periodically report a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net position that applies to a future period(s) and so will *not* be recognized as an outflow of resources (expense/expenditure) until then. The government two items that qualifies for reporting in this category. It is the deferred charge on a debt refunding reported in the government-wide and proprietary fund statement of net position. A deferred charge on a debt refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. The government also reports deferred ouflows of pension liabilities.

In addition to liabilities, the statement of financial position will periodically report a separate section for deferred inflows of resources. This separate financial statement element, *deferred inflows of resources,* represents an acquisition of net position that applies to a future period(s) and so will *not* be recognized as an inflow of resources (revenue) until that time. The government has only one item of the type that are deferred and recognized as an inflow of resources in the period that the amounts become available, that is the deferred inflow of pension earnings. See Note 14 for more information on this line item.

8. Unearned Revenue

Inflows that do not yet meet the criteria for revenue recognition, such as occupational licenses collected in advance or reimbursements due from Grantors are recorded as unearned revenue in the government-wide and the fund statements.

9. Compensated Absences

It is the City's policy to permit eligible employees to accumulate earned but unused vacation and sick pay benefits. Upon separation from service, employees receive payment for a portion of unused vacation time and sick leave subject to length of service and contract classification. All vacation and sick pay is accrued when incurred in the government-wide and proprietary fund financial statements to the extent that they are payable at separation. The non-current portion for governmental funds is maintained separately and represents a reconciling item between the fund and government-wide presentations. A liability for these amounts is reported in governmental funds only if they matured, for example, as a result of employee resignation or retirements.

10. Long-Term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, and proprietary fund type statement of net position. In the government-wide financial statements and proprietary funds, bond premiums and discounts are amortized over the life of the bonds using the straight-line method, which does not result in a material difference from the effective interest method. Bonds payable are reported net of the applicable bond premium or discount.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing resources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

11. Nature and Purpose of Classification of Fund Equity and Net Position

In the fund financial statements, governmental funds report fund classifications that comprise a hierarchy based primarily on the extent to which the City is bound to honor constraints on the specific purposes for which amounts in those funds can be spent. Amounts that are restricted to specific purposes either by a) constraints placed on the use of resources by creditors, grantors, contributors, or laws or regulations of other governments or b) imposed by law through constitutional provisions or enabling legislation are classified as restricted fund balances. Amounts that can only be used for specific purposes pursuant to constraints imposed by the City Commission through an ordinance or resolution are classified as committed fund balances. Amounts that are constrained by the City's intent to be used for specific purposes but are neither restricted nor committed are classified as assigned fund balances. Non-spendable fund balances include amounts that cannot be spent because they are either (a) not in spendable form or (b) legally or contractually required to be maintained intact. Unassigned fund balance represents fund balance that has not been assigned to other funds and that has not been restricted, committed, or assigned to specific purposes within the general fund.

Net position of the government-wide and proprietary funds are categorized as invested in capital assets net of related debt, reduced by accumulated depreciation and any outstanding debt incurred to acquire, construct or improve those assets excluding unexpended bond proceeds, restricted or unrestricted. The first category represents investment in capital assets such as, property, plant, equipment and infrastructure. The restricted category represents the balance of assets restricted by requirements of revenue bonds and other externally imposed constraints or by legislation in excess of the related liabilities payable from restricted assets. Unrestricted consists of all assets that do not meet the definition of either of the other two components.

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balance are available, the City considers restricted funds, to the extent possible, to have been spent first. When an expenditure is incurred for which committed, assigned, or unassigned fund balance are available, the City considers amounts to have been spent first out of committed funds, then assigned and finally unassigned funds as needed, unless the City Commission has provided otherwise in its commitment or assignment options. The City Commission which is the highest level of decision making authority commits funds via formal action through adoption of a Resolution or Ordinance (which are equally binding as the highest decision making authority) once adopted the limitations imposed by such Resolution or Ordinance can only be removed or revised by a similar action. Subsequent to the City Commission action, the Mayor or City Manager or designee depending on the agreement is authorized to contract and sign agreements that are legally binding; these funds are considered commitments for fund balance classification purposes. The City Commission also assigns funds via Resolution or Ordinance which require a majority vote of the City Commission, however, unlike commitments an additional action does not normally have to be taken to remove an assignment.

12. Recently Issued Accounting Pronouncements

GASB Statement No 72, *Fair Value Measurement and Application.* This Statement addresses accounting and financial reporting issues related to fair value measurements. The definition of *fair value* is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. This Statement provides guidance for determining a fair value measurement for financial reporting purposes. This Statement also provides guidance for applying fair value to certain investments and disclosures related to all fair value measurements. The requirements of GASB 72 are effective for fiscal year beginning after June 15, 2015. The implementation of this statement is not expected to have a material effect on the City's financial statements.

GASB Statement No. 73 *Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement 68, and Amendments to Certain Provisions of GASB Statements 67 and 68*. The objective of this Statement is to improve the usefulness of information about pensions included in the general purpose external financial reports of state and local governments for making decisions and assessing accountability. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits with regard to providing decision-useful information, supporting assessments of accountability and interperiod equity, and creating additional transparency.The requirements of GASB 73 are effective for fiscal year beginning after June 15, 2016. The implementation of this statement is not expected to have a material effect on the City's financial statements.

GASB Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*. The objective of this Statement is to improve the usefulness of information about postemployment benefits other than pensions (other postemployment benefits or OPEB) included in the general purpose external financial reports of state and local governmental OPEB plans for making decisions and assessing accountability. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and interperiod equity, and creating additional transparency. The requirements of GASB 74 are effective for fiscal year beginning after June 15, 2016. The provisions of this statement are expected to have a material effect on the City's Financial Statements.

GASB Statement No. 76 *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*- The objective of this Statement is to identify—in the context of the current governmental financial reporting environment—the hierarchy of generally accepted accounting principles (GAAP). The "GAAP hierarchy" consists of the sources of accounting principles used to prepare financial statements of state and local governmental entities in conformity with GAAP and the framework for selecting those principles. This Statement reduces the GAAP hierarchy to two categories of authoritative GAAP and addresses the use of authoritative and nonauthoritative literature in the event that the accounting treatment for a transaction or other event is not specified within a source of authoritative GAAP. This Statement supersedes Statement No. 55, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*. The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2015, and should be applied retroactively. The provisions of this statement are not expected to have a material effect on the City's Financial Statements.

GASB Statement No. 77 *Tax Abatement Disclosures* - The requirements of this Statement improve financial reporting by giving users of financial statements essential information that is not consistently or comprehensively reported to the public at present. Disclosure of information about the nature and magnitude of tax abatements will make these transactions more transparent to financial statement users. As a result, users will be better equipped to understand (1) how tax abatements affect a government's future ability to raise resources and meet its financial obligations and (2) the impact those abatements have on a government's financial position and economic condition. The provisions of Statement 77 are effective for financial statements for reporting beginning after December 15, 2015. The implementation of this statement is not expected to have a material effect on the City's financial statements.

GASB Statement No 78 ***Pensions Provided through Certain Multiple-Employer Defined Benefit Pension Plans***- The objective of this Statement is to address a practice issue regarding the scope and applicability of Statement No. 68, *Accounting and Financial Reporting for Pensions*. This issue is associated with pensions provided through certain multiple-employer defined benefit pension plans and to state or local governmental employers whose employees are provided with such pensions. The requirements of GASB 78 are effective for fiscal year beginning after December 15, 2015. The implementation of this statement is not expected to have a material effect on the City's financial statements.

GASB Statement No 79 ***Certain External Investment Pools and Pool Participants***- This Statement addresses accounting and financial reporting for certain external investment pools and pool participants. Specifically, it establishes criteria for an external investment pool to qualify for making the election to measure all of its investments at amortized cost for financial reporting purposes. The requirements of GASB 79 are effective for fiscal year beginning after June 15, 2015. The implementation of this statement is not expected to have a material effect on the City's financial statements.

13. Special Assessments

The City levies four (4) Special Assessments. The City levies the following Special Assessments against benefited property owners:

a. Fire Rescue Fees – Accounted and reported in the major fund, Fire Rescue Fund in the amount of $11,649,251.
b. Stormwater Fees – Accounted and reported in the major fund- Stormwater Fund in the amount of $5,456,804.
c. Solid Waste Fees – Accounted for and Reported in the Agency Fund in the amount of $4,769,273.
d. Nuisaince Abatement Assessment – Accounted and reported in the General Fund in the amount of $13,005.

14. Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States requires management to make estimates and assumptions that affect the amounts reported in the accompanying financial statements. Although these estimates are based on management's knowledge of current events and actions it may undertake in the future, they may ultimately differ from actual results.

NOTE 2. PROPERTY TAXES

Property taxes are assessed as of January 1 each year and are first billed the following November 1.

Under Florida law, the assessment of all properties and the collection of all county, municipal, school board and special district property taxes are consolidated in the offices of the County Property Appraiser and County Tax Collector, respectively. The laws for the State regulating tax assessments are also designed to assure a consistent property valuation method statewide. State statutes permit municipalities to levy property taxes up to 10 mills ($10 per $1,000 of assessed taxable valuation). The operating millage rate assessed by the City for the fiscal year ended September 30, 2015 was 7.2899 mills. The debt service millage rate for the fiscal year ended September 30, 2015 was 0.1010 mills.

Tax liens are placed on the property as of January 1 or the calendar year in which the tax levy occurs. Taxes are billed on November 1 of each fiscal year and taxes are due no later than March 31st of the year in which they were levied. On April 1, taxes become delinquent if unpaid and each year unpaid taxes are sold through tax certificates at public auction prior to June 1 and the proceeds are remitted to the City.

There were no material delinquent property taxes at September 30, 2015; therefore an allowance for uncollectible taxes has not been recorded.

NOTE 3. STEWARDSHIP, COMPLIANCE, AND ACCOUNTABILITY

1. Compliance with Finance-Related Legal and Contractual Provisions

The City has no violations of finance-related legal and contractual provisions.

2. Prior Year's Net Position and Fund Balances

The October 1, 2014 beginning net position of each of the following was restated due to the implementation of GASB Statements 68:

Governmental Activities:

Net position, September 30, 2014, previously reported	$152,605,154
Restatement of net position due to the implementation of GASB 68	(27,619,519)
Net position, September 30, 2014, restated	$124,985,635

The Governmental fund restatement includes $39,861 which is attributable to the Internal Service Funds.

Business Type Activities:

	Utilities	Stormwater
Net position, September 30, 2014, previously reported	$66,614,891	$18,379,799
Restatement of net position due to the implementation of GASB 68	241,044	63,379
Net position, September 30, 2014, restated	$66,855,935	$18,443,178

The September 30, 2014 beginning balances on the net pension liability for both Governmental Activities and Business Type Activities were restated due to the implementation of GASB Statement No. 68 for amounts related to net pension liability for all pension plans.

3. Compliance with Bond Rate Covenant

Water and Waste Water Revenues

Water and Sewer (Utility) Revenue Bond Resolution requires the City to fix, establish and revise the same from time to time, whenever necessary, maintain and collect such fees, rates or other charges for the product, services and facilities of the system, which will always provide in each fiscal year (1) net revenues sufficient to pay one hundred ten percent (110%) of the annual debt service on all outstanding bonds becoming due in such fiscal year through fiscal year 2039 and (2) net revenues in each fiscal year adequate to pay at least one hundred percent (100%) of (a) the annual debt service on all outstanding bonds becoming due in such fiscal year and (b) any amounts required to be deposited into the Reserve Fund, and the Reserve for Renewal, Replacement and Improvement Fund.

For fiscal year ended September 30, 2015, the water and sewer 110% test was 1,364% and the 100% test was 386%.

Stormwater Revenues

Stormwater Revenue Bond Resolution requires the City to fix, establish, revise from time to time whenever necessary, maintain and collect always such fees, rates, rentals, and other charges for the use of the products, services and facilities of the system which will always provide Net Revenues in each fiscal year through fiscal year 2024, sufficient to pay 125% of the Bond Service Requirement in the applicable bond year, plus 100% of any amount required by the terms hereof to be deposited into the Reserve Fund, and the Reserve for Renewal, Replacement and Improvement Fund.

For fiscal year ended September 30, 2015, the stormwater 125% test was 558% and the 100% test was 245%.

Sales Tax Revenue

Sales Tax Bond Resolutions for the Series 2009 and the Series 2010 Sales Tax Bond (collectively, the "Bonds") covenants that the estimated Pledged Revenues will be sufficient to pay the principal of and interest on the Bonds as the same become due through fiscal year 2027.

For fiscal year ended September 30, 2015, the Sales Tax Revenue was 255% of the maximum annual debt service of the bonds.

Covenant to Budget and Appropriate

Resolutions for the City's 2013 Capital Improvement Bond, the 2013 Line of Credit and the 2012 Capital Lease are secured by Covenant to Budget and Appropriate (CB&A), additionally the City's Sales Tax Bonds and Stormwater Revenue Bond are covered by a back-up CB&A. Resolutions for the various Bonds and Note require that the average of the Pledgeable Non-Ad Valorem Revenues for the two most recent Fiscal Years for which audited financial statements of the Issuer are available is equal to or greater than 2.0x the projected maximum annual debt service for all issues.

For fiscal year ended September 30, 2015 and 2014, the CB&A coverage for the City was 4.02 and 3.80 respectively and the average is 3.91.

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NOTE 4. DETAILED NOTES

1. Deposits and Investments

a. Cash and Cash Equivalents

The City, for accounting and investment purposes, maintains a cash and investment pool for use by all City funds, excluding pension funds. This gives the City the ability to invest large amounts of idle cash for short periods of time and to maximize earning potential. Each fund type's portion of this pool is displayed on the combined balance sheet as cash and equity in pooled cash and investments. Income earned on pooled cash and investments is allocated to the respective funds based on each fund's equity balances.

As of September 30, 2015, the City had the following cash equivalents:

		Amounts
Demand Deposits	$	60,571,145
FLSAFE		23,148,934
Short term Portfolio		2,074,766
Total	$	85,794,845

Deposits

The carrying amounts of the City's cash deposits were $60,571,145 including petty cash on hand of $3,300 as of September 30, 2015. Bank balances before reconciling items were $60,612,813 at that date, the total of which is collateralized or insured with securities held by the City or by its agent in the City's name as discussed below.

Custodial Credit Risk. Custodial credit risk for deposits is the risk that in the event of the failure of a depository financial institution a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party. All of the City's deposits are entirely insured by federal depository insurance or collateralized by the multiple financial institution collateral pool pursuant to Florida Statutes, Chapter 280, "*Florida Security for Public Deposits Act*." Under this Act all qualified public depositories are required to pledge eligible collateral having a fair value equal to or greater than the average daily or monthly balance of all public deposits multiplied by the depository's collateral pledging level.

b. Investments Portfolio

Section 218.415, Florida Statutes limits the types of investments that a government can invest in unless specifically authorized in an investment policy. On June 9, 2010, the City of Tamarac adopted a revised comprehensive investment policy pursuant to Section 218.415, Florida Statutes that established permitted investments, asset allocation limits, issuer limits, credit rating requirements, and maturity limits to protect the City's cash and investment assets. The City maintains a common cash and investment pool for the use of all funds. The investment policy applies to all cash and investments held or controlled by the City with the exception of Pension Funds and funds related to the issuance of debt.

The City's investment policy allows for the following investments: The Florida State Board of Administration's Local Government Surplus Funds Trust Fund (Florida PRIME), United States Government Securities, United States Government Agencies, Federal Instrumentalities, Non-Negotiable Interest Bearing Time Certificates of Deposit or Saving Accounts, Repurchase Agreements, Commercial Paper, Bankers' Acceptances, State and/or Local Government Taxable and/or Tax-Exempt Debt, Money Market Mutual Funds, Intergovernmental Investment Pools, Corporate Obligations or Corporate Notes, Mortgage-Backed Securities (MBS), Asset-Backed Securities (ABS), and Bond Funds.

As of September 30, 2015, the City had the following investment types and effective duration presented in terms of years:

Security Type	Fair Value	Weighted Average Duration (Years)	Rating
Florida Prime (SBA)	$ 3,227	0.00	AAAm
Money Market Fund	2,074,766	0.00	AAAm
Florida Safe Investment Pool	23,148,934	0.20	AAAm
Certificates of Deposit	17,009,998	0.00	N/A
US Treasury Notes	2,000,610	1.80	AA+
US Government Agency Securities	952,321	2.00	AA+
Municipals	2,007,830	0.83	AAA
Corporate Notes	15,345,423	1.26	A+
	$ 62,543,109		
Portfolio Weighted Average Duration		1.19	AA-

c. Interest Rate Risk

Interest rate risk is the risk that changes in interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in interest rates. As a means of limiting its exposure to fair value losses arising from rising interest rates, the City's investment policy limits the City's investment portfolio to maturities not to exceed five years at time of purchase.

d. Credit Risk

Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. State law limits investments in commercial paper to the highest credit rating from a nationally recognized rating agency. It is the City's policy to limit investments in these types to have at least A1/P1 rating from Standard and Poor's (S&P) and Moody's Investor Services, respectively.

Commercial Paper of any United States company that is rated, at the time of purchase, "Prime-1" by Moody's and "A-1" by Standard & Poor's (prime commercial paper). If the commercial paper is backed by a letter of credit ("LOC"), the long-term debt of the LOC provider must be rated "A" or better by at least two nationally recognized rating agencies.

As of September 30, 2015, the City had the following exposure as a percentage of total investments:

Security Type	S&P Credit Rating	Percentage of Portfolio
US Treasury Notes	AA+	0.90%
US Government Agency Securities	AA+	1.35%
Corporate Notes	A	10.93%
Municipals	AA+	2.31%

e. Concentration of Credit Risk

The City's investment policy has established asset allocation and issuer limits on the following investments which are designed to reduce concentration of credit risk of the City's investment portfolio.

A maximum of 100% of available funds may be invested in United States Government Securities, 75% of available funds may be invested in United States Government Instrumentalities, 50% of available funds may be invested in the Florida Prime (formally SBA), in United States Government Obligations and in Intergovernmental investment pools, 25% of available funds may be invested in commercial paper by any US Corporation, bankers' acceptances, repurchase agreements, registered investment companies (mutual funds) and in bond funds, 20% of available funds may be invested in state and local government debts, and corporate obligations or corporate notes, 15% of available funds may be invested in mortgage-backed securities and 10% of available funds may be invested in certificates of deposits and asset backed securities.

f. Custodial Credit Risk

Custodial credit risk for investments is the risk that in the event of the failure of the counterparty (e.g., broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party. The City's investment policy requires that a third party commercial bank's trust department hold all securities owned by the City. All securities purchased or sold will be transferred only under the "delivery versus payment" (D.V.P.) method through the City's safekeeping agent. All City investments at September 30, 2015 are being held by a third party commercial trust bank and are fully secured and collateralized in the name of the City or its agent.

g. Local Government Investment Pool

At September 30, 2015, the City had $23,148,933 invested in the Florida Surplus Asset Fund Trust (FLSAFE), an investment vehicle established under state statute for local government entities in Florida to pool surplus funds. The Board of Trustees, which is primarily comprised of five (5) government officials of participating entities that have investment responsibility for their respective government entity, administers and enforces the requirements of creating and operating the FLSAFE. FLSAFE operates similarly to money market funds and each share is equal in value to $1.00. FLSAFE is rated AAAm by Standard & Poor's. Investments are limited to those allowed by the Indenture of Trust. A designated custodial bank provides safekeeping and depository services in connection with the direct investment and withdrawal functions. The custodian's internal records identify the investments owned by the participating governments.

At September 30, 2015 the City had $3,226 invested in the Florida Prime (formally SBA).

h. Investment in Real Property

In December 2010 the City adopted Resolution R-2010-158 and R-2010-163 authorizing the purchase of real property consisting of eight vacant lots located between 91st and 94th Avenues on the North side of Commercial Boulevard and vacant land located immediately East and West of 91st Avenue on the North side of Commercial Boulevard. Additionally, in September 2013 the City adopted Resolution R-2013-93 authorizing the purchase of real property located 9399 West Commercial Boulevard. The total amount paid for all parcels was $10,464,841.

As of September 30, 2015, the market value of the investment properties is estimated to be $17,931,000.

i. Employee Pension Plans

The Employee Pension Plan investments are held separately from those of other City funds. As prescribed by the plan documents, the plan is authorized to invest plan assets in obligations of the U.S. Government, stocks, corporate bonds, and various mutual and money market funds, which are held by the plan and not in the City's name. The plan investments are being held by RBC Global Asset Management, American Realty Advisors, Fifth Third Bank, Florida Municipal Pension Trust Fund, State Street Global Advisors, and USB Trumbull Properties LP, which consisted of the following:

	General Employees Pension	Police Pension	Firefighters Pension	Non-represented Employees Pension
Common stock	$ 13,815,141	$ -	$ 45,649,074	$ -
Government securities, corporate bonds and mortgage backed securities	8,823,254	-	15,593,628	-
Mutual funds	14,310,616	3,583,666	15,049,725	34,334,141
Limited Partnership		884,144		
Money market funds	4,554,686	358,255	3,245,227	-
Total	$ 41,503,697	$ 4,826,065	$ 79,537,654	$ 34,334,141

General Employees' Pension Trust Fund

The general employees' pension trust fund's investments in government securities and corporate bonds has maturities as follows:

		Investment Maturities (in Years)				
Investment type	Fair value	Less than 1	1 to 5	6 to 10	More than 10	N/A
Corporate bonds	4,755,973	$ 154,617	$ 2,672,036	$ 564,419	$ 1,364,901	$ -
Mortgages	1,746,740	-	33,954	42,095	1,670,691	-
CMBS	440,919	-	26,473	51,420	363,026	-
US Treasuries	1,150,428	355,337	429,831	-	365,260	-
Convertible Bonds	390,867	-	-	18,020	-	372,847
Non-Convertible Bonds	338,327	-	-	-	-	338,327
Total	$ 8,823,254	$ 509,954	$ 3,162,294	$ 675,954	$ 3,763,878	$ 711,174

Although the Plan has a formal investment policy, which is established and may be amended by the Board of Trustees, it does not limit investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. However, all investment managers are fiduciaries of the fund and must meet the requirements of Chapter 112.

The Plan's Investment Policy limits investments in corporate bonds and commercial paper to Baa or above, as rated by nationally recognized statistical rating organizations. The fund's corporate bonds were rated by Standard and Poor's Investors Services as follows:

Rating	Fair Value
AAA	$ 3,191,809
AA	592,823
A	1,462,247
BBB	1,415,032
<BBB	787,262
Unrated	1,374,081
Total	$ 8,823,254

In accordance with the Plan's Investment Policy there was no investment in a single issuer exceeding 5% of Plan Net Assets that require concentration of credit risk disclosures. Short term investments totaling $4,554,686 are held in a money market fund at Fifth Third Bank rated AAAm by Standard & Poors.

Police Officers' Pension Trust Fund

The police officers' pension trust fund's investments in government securities and corporate bonds are held in three bond funds: Baird Aggregate Bond Fund, Dodge and Cox Income Fund, and Templeton Gobal Bond Fund. Ratings and maturities vary within each mutal fund.

Although the Plan has a formal investment policy, it does not limit investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. However all investment managers are fiduciaries of the fund and must meet the requirements of Chapter 112.

In accordance with the Plan's Investment Policy, which is established and may be amended by the Board of Trustees, there was no investment in a single issuer exceeding 5% of Plan Net Assets that require concentration of credit risk disclosures. Short term investments totaling $358,255 are held in a money market fund at Fifth Third Bank rated AAAm by Standard & Poors.

Firefighters' Pension Trust Fund

The firefighters' pension trust fund's investments in government securities and corporate bonds has maturities as follows:

		Investment Maturities (in Years)			
Investment type	Fair value	Less than 1	1 to 5	6 to 10	More than 10
US Treasuries	$ 6,436,953	$ 890,279	$ 746,492	$ 2,580,125	$ 2,220,057
US Agencies	700,903	700,903	-	-	-
Agency MBS	2,712,463	5,220	2,707,243	-	-
Asset-Backed Securities	4,658,491	3,015,146	1,643,345	-	-
Corporates	1,084,818	274,571	810,247	-	-
Total	$ 15,593,628	$ 4,886,119	$ 5,907,327	$ 2,580,125	$ 2,220,057

Although the Plan has a formal investment policy, which is established and may be amended by the Board of Trustees, it does not limit investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. However all investment managers are fiduciaries of the fund and must meet the requirements of Chapter 112.

The investment policy limits investments in corporate bonds and commercial paper to the top 3 ratings provided by nationally recognized statistical rating organizations. The Fund's corporate bonds were rated using an average of Moody's, Fitch, and Standard and Poor's Investors Services as follows:

Rating	Fair Value
AAA	$ 14,508,810
AA	485,508
A+	90,939
A	508,371
Total	$ 15,593,628

In accordance with the Plan's Investment Policy there was no investment in a single issuer exceeding 5% of Plan Net Assets that require concentration of credit risk disclosures. Short term investments totaling $3,245,227 are held in a money market fund at Fifth Third Bank rated AAAm by Standard & Poors.

Elected and Appointed Officers and Non-represented Employee Retirement Fund

The Elected and Appointed Officers and Non-represented Employee Retirement Fund's total investments of $34,334,141 is in mutual funds at September 30, 2015.

The Plan's investment policy is established and may be amended by the Board of Trustees. The Trustees have adopted the same policy as that established by the Board of Trustees of the Florida Municipal Investment Turst, which holds the plans assets.

The Fund's Investment Guidelines regarding bond duration states that the Portfolio should maintain a duration equal to the Barclays Capital A+ Aggregate Index plus or minus 30% but no greater than seven years. The Portfolio duration as of September 30, 2015 is within these guidelines with a duration of 4.43 years.

The Fund holds shares in the Florida Municipal Investment Trust Fund. The Fund participates in the Fund A portfolio, which has an asset allocation as follows:

Fund	Allocation
Cash	0.80%
Broad Market High Quality Bond	16.80%
Core Plus Fixed Income	23.00%
High Quality Growth	7.90%
Diversified Value	7.50%
Russell 1000 Enhanced Index	22.90%
Diversified Small to Mid Cap	11.70%
International Blend	9.40%
	100.00%

Interest rate risk exists when there is a possibility that changes in interest rates could adversely affect an investment's fair value. The Florida Municipal Investment Trust Board Market High Quality Bond Fund mitigates interest rate risk by limiting the duration and maturity of its investments. At September 30, 2015 it reported to its investors a duration of 4.43 years. State law limits investment in debt securities to those with the top 3 ratings issued by the nationally recognized statistical rating organizations. The Florida Municipal Investment Trust Broad Market High Quality Fund had a Fitch rating of AA.

2. Receivables and Payables

Receivables at year-end for the City's governmental funds, including the applicable allowance for uncollectible accounts, are as follows:

	General Fund	Fire Rescue Fund	General Capital Projects Fund	Tamarac Village Fund	Internal Service Funds	Nonmajor Governmental Funds	Total
Receivables:							
Gross accounts receivable	$ 1,400,119	$ 1,399,135	$ -	$ -	$ 11,683	$ 353,009	$ 3,163,946
Due from other governments	329,446	22,591	215,344	8,733	-	595,149	1,171,263
Gross receivables	1,729,565	1,421,726	215,344	8,733	11,683	948,158	4,335,209
Less: Allowance for uncollectibles	(11,928)	-	-	-	-	-	(11,928)
Net total receivables	$ 1,717,637	$ 1,421,726	$ 215,344	$ 8,733	$ 11,683	$ 948,158	$ 4,323,281

Receivables at year-end for the City's business-type activities, including the applicable allowance for uncollectible accounts, are as follows:

	Utilities Fund	Stormwater Fund	Total
Receivables:			
Customers, gross	$ 4,781,566	$ 618,010	$ 5,399,576
Less: Allowance for uncollectibles	(22,027)	(4,890)	(26,917)
Net total receivables	$ 4,759,539	$ 613,120	$ 5,372,659

Payables at September 30, 2015 were as follows:

	General Fund	Fire Rescue Fund	General Capital Projects Fund	Tamarac Village Fund	Nonmajor Governmental Funds	Internal Service Fund	Total
Governmental activities:							
Accounts & accrued liabilites	$ 414,006	$ 60,566	$ 51,517	$ 8,825	$ 275,214	$ 1,026	$ 811,154
Accrued payroll	443,067	870,119	-	-	105,139	124,692	1,543,017
Due to other governments	8,223	-	4,749	-	1,380	-	14,352
Total governmental activities	$ 865,296	$ 930,685	$ 56,266	$ 8,825	$ 381,733	$ 125,718	$ 2,368,523

	Utilities Fund	Stormwater Fund	Nonmajor Enterprise Total	Total
Business-type activities:				
Accounts & accrued liabilities	$ 1,088,457	$ 45,268	$ 60,554	$ 1,194,279
Accrued payroll	183,920	47,925	-	231,845
Due to other governments	38,372	-	-	38,372
Total business-type activities	$ 1,310,749	$ 93,193	$ 60,554	$ 1,464,496

3. Intergovernmental Revenue

Intergovernmental revenue at September 30, 2015 is as follows:

Governmental activities:

	General Fund	Fire Rescue Fund	General Capital Projects Fund	Nonmajor Governmental Funds	Total
Shared Revenues:					
Federal shared revenue	$ -	$ 12,904	$ -	$ 1,113,146	$ 1,126,050
State shared revenue	6,127,964	55,622	145,838	291,069	6,620,493
Local shared revenue	257,078	-	-	63,557	320,635
Total	$ 6,385,042	$ 68,526	$ 145,838	$ 1,467,772	$ 8,067,178

4. Investment Income

Investment income as of September 30, 2015 is as follows:

	Governmental Funds	Enterprise Funds	Internal Service Funds	Total
Investment income	$ 207,230	$ 135,286	$ 21,211	$ 363,727
Interest received from tax collector	3,816	541	-	4,357
Total	$ 211,046	$ 135,827	$ 21,211	$ 368,084

5. Other Revenue

Other revenue as of September 30, 2015 is as follows:

	Governmental Funds	Enterprise Funds	Internal Service Fund	Total
Administrative charges	$ 2,951,475	$ -	$ -	$ 2,951,475
Telecommunications tower rental income	653,168			653,168
Rental income	153,985	-	-	153,985
School board shared utilities costs	28,366	-	-	28,366
Fleet charges- Interlocal	191,173	-	-	191,173
Other	1,788,572	87	115,208	1,903,867
Total	$ 5,766,739	$ 87	$ 115,208	$ 5,882,034

NOTE 5. CAPITAL ASSETS

Capital assets activity for the year ended September 30, 2015 was as follows:

	Balance October 1, 2014	Additions	Retirements	Transfers	Balance September 30, 2015
Governmental Activities					
Capital assets not being depreciated:					
Land	$ 24,585,342	$ 84,728	$ -	$ 587,920	$ 25,257,990
Intangibles	114,430	-	-		114,430
Construction in progress	2,631,413	1,252,592	3,082,285		801,720
Other	462,480	-	-	-	462,480
Total assets not being depreciated	27,793,665	1,337,320	3,082,285	587,920	26,636,620
Capital assets being depreciated:					
Buildings and improvements	37,639,210	-	-	(587,920)	37,051,290
Improvements Other Than Buildings	21,775,267	2,893,528	-	-	24,668,795
Infrastructure	56,442,935	-	-		56,442,935
Equipment	15,954,860	1,298,027	1,107,567	-	16,145,320
Total capital assets being depreciated	131,812,272	4,191,555	1,107,567	(587,920)	134,308,340
Less accumulated depreciation for:					
Building and Improvements	(15,198,259)	(983,255)	-	-	(16,181,514)
Improvements other than building	(5,792,337)	(946,036)	-	-	(6,738,373)
Infrastructure	(11,191,907)	(806,065)	-	-	(11,997,972)
Equipment	(13,282,897)	(1,004,965)	1,100,550	-	(13,187,312)
Total accumulated depreciation	(45,465,400)	(3,740,321)	1,100,550	-	(48,105,171)
Net capital assets being depreciated	86,346,872	451,234	7,017	(587,920)	86,203,169
Governmental activity capital assets, net	$ 114,140,537	$ 1,788,554	$ 3,089,302	$ -	$ 112,839,789

The following is a summary of capital assets in the Enterprise Funds at September 30, 2015:

	Balance October 1, 2014	Additions	Retirements	Transfers	Balance September 30, 2015
Business-type activities					
Capital assets not being depreciated:					
Land	$ 10,289,657	$ 41,555	$ -	$ -	$ 10,331,212
Construction in progress	2,545,630	6,157,769	6,771,584	-	1,931,815
Total assets not being depreciated	12,835,287	6,199,324	6,771,584	-	12,263,027
Capital assets being depreciated:					
Buildings and improvements	9,492,902	-	-	-	9,492,902
Improvements Other Than Buildings	97,852,718	5,685,687	-	-	103,538,405
Infrastructure	29,416,445	1,827,716	-	-	31,244,161
Equipment	7,209,181	541,024	112,508	-	7,637,697
Total capital assets being depreciated	143,971,246	8,054,427	112,508	-	151,913,165
Less accumulated depreciation for:					
Building	(2,614,626)	(326,002)	-	-	(2,940,628)
Improvements other than building	(59,264,056)	(3,295,452)	-	-	(62,559,508)
Infrastructure	(26,413,730)	(125,345)	-	-	(26,539,075)
Equipment	(4,099,780)	(756,587)	112,508	-	(4,743,859)
Total accumulated depreciation	(92,392,192)	(4,503,386)	112,508	-	(96,783,070)
Net capital assets being depreciated	51,579,054	3,551,041	-	-	55,130,095
Business-type activity capital assets, net	$ 64,414,341	$ 9,750,365	$ 6,771,584	$ -	$ 67,393,122

Depreciation expense was charged to functions/programs of the City as follows:

General government	$ 925,016
Public Safety	714,469
Transportation	868,145
Culture/recreation	1,205,887
Physical environment	19,521
Human services	7,283
Total depreciation expense - governmental activities	$ 3,740,321

Depreciation expense was charged to functions/programs of the City as follows:

Business-type activities:	
Utilites	$ 3,583,935
Stormwater	588,625
Nonmajor enterprise fund	330,826
Total depreciation expense-business-type activities	$ 4,503,386

NOTE 6. CONSTRUCTION AND OTHER SIGNIFICANT COMMITMENTS

Construction Commitments: The City has active construction projects as of September 30, 2015. The projects include sidewalk installations, infrastructure improvements, park improvements, and water and sewer improvements. At the end of the current fiscal year, the City's commitments with contractors are as follows:

		Total Contract	Spent to Date	Remaining Commitment
Governmental activities:				
Public Service Facilities Fund				
Construction of Bike Lanes Phase 3	(1)	1,304,020	(489,356)	814,664
CIP 05 Revenue Bond Fund				
Design Build - Fire Station 78	(2)	3,804,464	(290,992)	3,513,472
Total governmental activities		$ 5,108,484	$ (780,348)	$ 4,328,136
Business-type activities:				
Utilities Fund:				
Pump Station 8 & 11 Rehabilitation Project	(3)	$ 307,846	$ (11,461)	$ 296,385
Water Treatment Plant Generator Replacement	(4)	1,624,994	(1,578,355)	46,639
Total business-type activities		$ 1,932,840	$ (1,589,816)	$ 343,024

(1) The Bike Lane Phase 3 projects is funded by the public facilities fund and by federal grants.
(2) The Fire Station design/build project is funded by the general capital projects fund.
(3) The Pump Station rehabilitation projects is funded by the utilities fund.
(4) The generator replacement is funded by the utilities fund.

Encumbrances: Encumbrance accounting is utilized to assure budgetary control and accountability and to facilitate effective cash planning and control. At year end the amount of encumbrances expected to be honored upon performance by vendors in the next fiscal year were as follows:

Governmental Funds:	
General Fund	$ 257,944
Fire Rescue	834,987
General Capital	927,724
Nonmajor governmental funds	4,718,500
Total	$ 6,739,155
Business-type Funds:	
Water and Sewer	$ 1,429,736
Stormwater	1,249,623
Total	$ 2,679,359

NOTE 7. OPERATING LEASES

The City has entered into various lease agreements for computers, copiers, cell towers and real property. These leases are accounted for as operating leases. The leases are generally for a 3 or 4-year term and include renewal options. The City paid a total of $120,965 under these arrangements for the fiscal year 2015.

The following schedule reflects the operating lease obligations for governmental activities and business-type activities for the next five years.

Year Ending September 30,	Governmental Activities	Business-Type Acitivities	Total
2016	$ 73,139	$ 1,991	$ 75,130
2017	44,042	1,751	45,793
2018	12,726	-	12,726
2019	3,608	-	3,608
2020	3,789	-	3,789
Total	$ 137,304	$ 3,742	$ 141,046

NOTE 8. INTERFUND TRANSFERS

Interfund Transfers for the year ended September 30, 2015 consisted of the following:

	Transfer In				
Transfer Out	General Fund	Fire Rescue	Nonmajor Governmental	Proprietary Fund	Total
General fund	$ -	$ 6,379,742 (1)	$ 3,782,437 (2)	$ 482,708 (3)	$ 10,644,887
Fire rescue fund	2,269,342 (4)	-	275,000 (5)	3,161 (6)	2,547,503
General capital projects fund	-	-	-	144,680 (7)	144,680
Nonmajor governmental funds	497,572 (8)	-	220,287 (9)	-	717,859
Proprietary funds	-	-	-	17,346 (10)	17,346
Total	$ 2,766,914	$ 6,379,742	$ 4,277,724	$ 647,895	$ 14,072,275

Transfers are used to (1) move funds from the fund that the budget requires to collect them to the fund that the budget requires to expend them, (2) move receipts restricted to debt service from the funds collecting the receipts to the debt service fund as debt service payments become due, and (3) use unrestricted revenues collected in the general fund to finance various capital projects accounted for in other funds in accordance with budgetary authorizations. The following transfers are explained below:

(1) $6,379,742 was transferred from General Fund to Fire Rescue Fund to supplement the cost of Fire Rescue services;

(2) $2,542,538 was transferred from General Fund to Revenue Bond Fund for the cost of debt service for the 2009 Sales Tax Revenue Refunding Bonds, 2010 Sales Tax Revenue Refunding Bonds and the 2013 Capital Improvement Revenue Bonds; $239,899 was transferred from General Fund to Nonmajor Governmental Fund (Capital Equipment Replacement Fund) for the costs of replacing equipments and $1,000,000 was transferred from General Fund to Nonmajor Governmental Fund (Corridor Improvement Fund) for the costs of corridor improvements;

(3) $317,791 was transferred from General Fund to Proprietary Fund (Stormwater Fund) for the annual Stormwater fees for exempt properties from the Stormwater Assessments and $164,917 was transferred from general Fund to Nonmajor Proprietary Fund (Colony West Golf Course) for costs of operating the golf course;

(4) $2,269,342 was transferred from Fire Rescue Fund to General Fund for the costs of interfund service charges;

(5) $275,000 was transferred from Fire Rescue Fund to Nonmajor Governmental Fund (Capital Equipment Replacement Fund) for the costs of replacing equipment;

(6) $3,161 was transferred from Fire Rescue Fund to Proprietary Fund (Stormwater Fund) for the annual Stormwater Assessments;

(7) $144,680 was transferred from Nonmajor Governmental Fund (General Capital Projects) to Nonmajor Proprietary Fund (Colony West Golf Course) fo Colony West area improvements;

(8) $497,572 was transferred from Nonmajor Governmental Fund (Building Fund) to General Fund to cover the costs of interfund service charges;

(9) $183,186 was transferred from Nonmajor Governmental Fund (State Housing Initiative Program Fund) to Nonmajor Governmental Fund (Affordable Housing Assistance Program Fund) for housing assistance; and $37,101 was transferred from Nonmajor Governmental Fund (Building Fund) to Nonmajor Governmental Fund (Capital Equipment Fund) for the costs of capital equipments;

(10) $17,346 was transferred from Proprietary Fund (Stormwater Fund) to Proprietary Fund (Stormwater Fund) for Stormwater fees.

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NOTE 9. LONG-TERM DEBT

Long-term debt at September 30, 2015 is comprised of the following:

General Long-term Debt

The government issues general obligation bonds to provide funds for the acquisition and construction of major capital facilities.

On December 10, 1998, the City of Tamarac issued $3,250,000 of General Obligation Bonds, Series 1998 (Senior and Community Center Project). The 1998 General Obligation bonds bear an interest rate of 4.269% and matures in varying annual installments through 2018. Bond proceeds were used to build the City of Tamarac Community Center. The bonds will be repaid from ad valorem taxes levied by the City upon the taxable real and tangible property within the City. $ 492,959

Revenue Bonds

The government also issues bonds where the government pledges income derived from specific/dedicated revenue sources to pay debt service.

Governmental

Capital Improvement Revenue Bonds Series 2013 in the amount of $13,785,000 issued to refund the Series 2005 Capital Improvement Revenue Bonds. The Revenue Bonds bear interest from 2% to 5% and mature in varying annual installments through 2027. The bonds are secured and payable solely from non-ad valorem revenues appropriated by the City. $ 12,600,000

Sales Tax Revenue Refunding Bonds, Series 2009 in the amount of $5,350,000 issued to refund the Series 1999 Sales Tax Bond. The 2009 Refunding Revenue bonds bear an interest rate of 3.7% and matures in varying annual installments through 2019. The bonds will be repaid solely from and is secured by a lien on and pledge of the half-cent sales tax revenues and, if necessary, from non ad valorem revenues budgeted and appropriated by the City in accordance with Resolution R-2009-92. 2,450,000

On December 8, 2010, the City Commission adopted Resolution R-2010-161, authorizing the issuance of the Sales Tax Refunding Revenue Bond, Series 2010 in the amount of $9,501,000. The purpose is to provide a partial refunding of the Sales Tax Revenue Bond, Series 2002 in order to take advantage of favorable market conditions, to achieve interest savings on the existing bond and to provide new money in the amount of $703,127 to refund a short-term note payable related to real property acquired for a passive park. The bond was issued at an interest rate of 2.25% with no extension of the Series 2002 maturity date of April 1, 2022. The bond is secured by a lien on and pledge of the half-cent sales tax revenue and, if necessary, from non ad valorem Revenues budgeted and appropriated by the City in accordance with Resolution R-2010-161. 7,333,000

$ 22,383,000

Revenue Note

On October 22, 2013, the City issued a $20 million Taxable Redevelopment Revenue Note, Series 2013 initially as a line of credit with PNC Bank and the amount may be drawn until April 1, 2016. The 2013 line of credit replaces and refunded the Taxable Redevelopment Note, Series 2011. The line of credit bears a variable interest rate equal to one (1) month LIBOR rate plus 1.10% per annum and accrues based on the outstanding amount drawn, payable semi-annually beginning April 1, 2016 and on each subsequent April 1 and October 1 through October 1, 2024 (the "Conversion Date"). Interest is capitalized as they fall due and no principal amount is due prior to conversion date.

Effective October 1, 2016, the line of credit shall automatically convert into a term loan with interest rate equal to any of the following based on City's election on September 1, 2016 (a) variable interest rate equal to one (1) month LIBOR rate plus 1.10 per annum; (b) fixed interest rate to be determined one month prior to the conversion date. The principal and interest of the term loan shall be payable semi-annually on each April 1 and October 1 beginning October 1, 2017 through 2024.

The Note was issued to finance the acquisition of real property within the City to be used for development and/or redevelopment purposes and is secured by non-ad valorem revenues. As of September 30, 2015, the City has $16,620,000 outstanding.

Business-type

Water and Sewer Utility Revenue Refunding Bonds, Series 2009 in the amount of $14,020,000. The bonds were a combined refunding and new money issue, partial refunding of the Capital Improvement Revenue Bond Series 2004 and refunding of the Capital Improvement Revenue Note Series 2006. The 2009 Revenue bonds bear interest at rates varying from 3% to 5% and mature in varying annual installments through 2039. The new money as well as the refunding of the Capital Improvement Note will finance acquisition, construction and equipping certain capital improvements to the City's water and wastewater facilities. The bonds will be repaid from revenues derived from water and sewer service charges.	$ 12,475,000
Stormwater System Refunding Bond, Series 2009 in the amount of $4,345,000. The Bond was a partial refunding of the Capital Improvement Revenue Bonds, Series 2004. The 2009 Revenue bonds bear an interest rate of 4.15% and matures in varying annual installments through 2024. These bonds were issued to finance the acquisition, construction and equipping of certain capital improvements to the City's stormwater utility system and related capital expenditures. The bonds and the interest are secured by and payable from revenues derived from the stormwater service charges and, if necessary, from non ad valorem Revenues budgeted and appropriated by the City in accordance with the Resolution.	2,915,000
	$ 15,390,000

Summary of debt service requirements to maturity are as follows:

	Governmental Activities				Business-type activities	
	General Obligation Bonds		Revenue Bonds			
	Principal	Interest	Principal	Interest	Principal	Interest
Year ending September 30,						
2016	$ 241,328	$ 30,925	$ 1,750,000	$ 774,538	$ 575,000	$ 714,991
2017	251,631	21,044	1,836,000	718,245	595,000	690,079
2018	-	10,742	1,925,000	658,760	620,000	664,301
2019	-	-	2,420,000	596,128	655,000	637,434
2020	-	-	2,500,000	526,408	675,000	609,044
2021-2025	-	-	9,122,000	1,386,470	3,440,000	2,603,350
2026-2030	-	-	2,830,000	142,375	2,495,000	1,955,831
Thereafter	-	-	-	-	6,335,000	1,685,250
Total	$ 492,959	$ 62,711	$ 22,383,000	$ 4,802,924	$ 15,390,000	$ 9,560,280

As of September 30, 2015, the City was in compliance with all revenue bond and note covenants.

The City has performed the required arbitrage liability computations in accordance with the Internal Revenue Service (IRS) arbitrage regulations. As of October 1, 2014, there is no rebatable arbitrage liability for any of the outstanding bond issues.

Parking Lot Remediation

As of September 30, 2015, there is a liability for parking lot remediation of $260,800 which was recorded based on the estimated amount necessary to remediate a municipal parking lot from environmental contamination. The City is awaiting instructions from the Florida Department of Environmental Protection before proceeding with clean up.

Conduit Debt Obligations

The City has issued Industrial Revenue Bonds to provide financial assistance to four private-sector entities for the acquisition and construction of warehouses and office facilities. The bonds are secured by the property financed and are payable solely from payments received on the underlying mortgage loans. Neither the City, nor the State, nor any political subdivision thereof is obligated in any manner for repayment of the bonds. Accordingly, the bonds are not reported as liabilities in the accompanying financial statements.

As of September 30, 2013, the City of Tamarac has issued $18,100,000 of Industrial Revenue Bonds.

Long-term liability activity for the year ended September 30, 2015 was as follows:

	October 1, 2014	Additions	Reductions	September 30, 2015	Due within One Year
Governmental activities:					
Bonds, notes and leases payable					
General obligation	$ 724,407	$ -	$ (231,448)	$ 492,959	$ 241,328
Revenue bonds	24,050,000	-	(1,667,000)	22,383,000	1,750,000
Redevelopment note	16,620,000	-	-	16,620,000	-
Capital lease	735,118	546,916	(278,688)	1,003,346	336,158
Bond premium	1,443,468	-	(111,036)	1,332,432	111,036
Total bonds and notes payable	43,572,993	546,916	(2,288,172)	41,831,737	2,438,522
Other liabilities:					
Compensated absences	3,033,279	135,140	(226,353)	2,942,066	323,627
Claims and judgments	1,777,299	6,213,319	(6,388,901)	1,601,717	1,002,751
Net Pension Liability	-	23,025,929	-	23,025,929	-
OPEB obligations	870,037	167,567	-	1,037,604	-
Parking lot remediation	260,800	-	-	260,800	-
Total other liabilities	5,941,415	29,541,955	(6,615,254)	28,868,116	1,326,378
Governmental activity long-term liabilities	$ 49,514,408	$ 30,088,871	$ (8,903,426)	$ 70,699,853	$ 3,764,900
Business-type activities:					
Bonds and notes payable					
Water and sewer revenue refunding bonds	$ 12,760,000	$ -	$ (285,000)	$ 12,475,000	$ 300,000
Stormwater Refunding Revenue Note	3,180,000	-	(265,000)	2,915,000	275,000
Less deferred amounts:					
Bond discounts	(367,690)	-	20,678	(347,012)	(20,677)
Total bonds and notes payable	15,572,310	-	(529,322)	15,042,988	554,323
Other liabilities:					
Compensated absences	803,600	35,222	(49,160)	789,662	86,863
Net Pension Liability	-	945,678		945,678	-
OPEB Obligations	219,272	45,273	-	264,545	-
Total other liabilities	1,022,872	1,026,173	(49,160)	1,999,885	86,863
Business-type activity long-term liabilities	$ 16,595,182	$ 1,026,173	$ (578,482)	$ 17,042,873	$ 641,186

The Internal Service Fund predominantly serves the governmental funds. Accordingly, long-term liabilities for the fund are included as part of the above totals for governmental activities. Also, for the governmental activities, claims and judgments, OPEB obligations and compensated absences are generally liquidated by the General Fund.

NOTE 10. CAPITAL LEASE

$607,667 capital lease to Banc of America Public Capital Corp. to finance Aerial Fire Apparatus acquisition. The lease is collateralized by the related equipment. The lease requires ten semi-annual payments of $63,554, including principal and interest accruing at 1.679% beginning October 1, 2012 through April 1, 2017. Gross amount of assets acquired was $607,667.	$ 187,507
$527,632 capital lease to Banc of America Public Capital Corp. to finance acquisition of two (2) Navistar Ambulances. The lease is collateralized by the related equipment. The lease requires ten semi-annual payments of $54,933, including principal and interest accruing at 1.4795% beginning November 3, 2013 through May 3, 2018. Gross amount of assets acquired was $527,632.	$ 321,234
$546,916 capital lease to Banc of America Public Capital Corp. to finance two (2) Horton Ambulance/Rescue Vehicles acquisition. The lease is collateralized by the related equipment. The lease requires ten semi-annual payments of $57,698, including principal and interest accruing at 1.97% beginning April 6, 2015 through October 6, 2019. Gross amount of assets acquired was $546,916.	$ 494,605
	$ 1,003,346

NOTE 11. FUTURE REVENUES THAT ARE PLEDGED

The City has pledged various future revenue sources for various debt issues. For the water and sewer system and the stormwater system, the City has pledged future customer revenues, net of certain operating expenses. The following table provides a summary of the pledged revenues for the City's outstanding debt issues. Additional information regarding the City's pledged revenue can be found in Note 3.

Pledged Revenue	Total Principal and Interest Outstanding	Current Year Principal and Interest Paid	Current Year Net Revenue	Percent of Revenues to Principal and Interest Paid
Water and Sewer Net Revenue	$ 21,397,425	$ 891,844	$ 12,236,256	1,372 %
Stormwater Net Revenue	3,552,855	396,970	2,213,311	558 %
Half Cent Sales Tax	10,731,998	1,528,480	3,928,977	257 %
Covenant to Budget and Appropriate	33,073,925	1,178,426	32,405,896	2,750 %

NOTE 12. RESTRICTED ASSETS

The balances of the restricted asset accounts in the enterprise funds at September 30, 2015 pertains to the following:

Customer deposits	$ 1,517,813

NOTE 13. FUND BALANCE

As of September 30, 2015, fund balances are composed of the following:

		General	Fire Rescue	General Capital Projects	Tamarac Village	Nonmajor Governmental	Total Governmental Funds
Nonspendable:							
Inventories		$ 104,704	$ -	$ -	$ -	$ 97,854	$ 202,558
Long-term receivable		-	-	-	-	353,009	353,009
Investment- real property		-	-	-	10,464,841	-	10,464,841
Restricted:							
Public safety		10,741	6,565,221	-	-	2,586,413	9,162,375
Transportation		-	-	-	-	499,943	499,943
Debt service		-	-	-	-	262,378	262,378
Economic development		-	-	-	-	1,810,083	1,810,083
Capital projects		-	-	-	-	2,776,322	2,776,322
Committed:							
Economic development		257,944	-	-	-	-	257,944
Capital projects		-	834,987	927,725	-	4,200,764	5,963,476
Assigned:							
Public safety		-	3,727,285	-	-	-	3,727,285
Capital projects:							
Facilities maintenance	$ 400,000		-	-	-	-	
Land acquisition	3,000,000		-	-	-	-	
Technology replacement	100,000	3,500,000	-	-	-	-	3,500,000
Fire Station#36	551,000						
Neighbohood Signage	335,000						
Citywide Entry Signage	364,000						
Residential Corridor Study	1,000,000						
Artificial Field Turf	1,408,000						
Emergency Generators	239,745						
Other projects	4,199,001			8,096,746	-	1,208,610	9,305,356
Economic development		500,000	-	-	44,548	1,767,310	2,311,858
Disaster reserve		1,000,000	-	-	-	-	1,000,000
Subsequent year's budget:appropriation of fund balance		3,671,296	-	-	-	-	3,671,296
Unassigned		24,546,501	-	-	-	-	24,546,501
Total fund balances		$ 33,591,186	$ 11,127,493	$ 9,024,471	$ 10,509,389	$ 15,562,686	$ 79,815,225

NOTE 14. EMPLOYEE RETIREMENT SYSTEMS AND PENSION PLANS

The City has four defined benefit single-employer pension plans:

- General Employees' Pension Plan
- Police Officers' Pension Plan
- Firefighters' Pension Plan
- Elected and Appointed Officers and Non-Represented Employees' Pension Plan

The City accounts for all four plans as pension trust funds; therefore, they are accounted for in substantially the same manner as proprietary funds with an economic resources measurement focus and the accrual basis of accounting. Plan member contributions, employer contributions, and contributions from other entities are recognized in the period in which the contributions are due. Benefits and refunds are recognized when due and payable in accordance with terms of the plans. Plan assets are valued at fair value for financial statement purposes as reported within the annual trustee statements.

The defined benefit plans do not issue stand-alone financial reports and are not included in any other retirement system's or entity's financial report. Financial statements for the individual pension plans are presented below since separate GAAP financial reports have not been issued for the individual plans.

The City also has three (3) employees who are in a defined contribution plan established under the provisions of Section 401(a) of the Internal Revenue Code.

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CITY OF TAMARAC, FLORIDA
COMBINING STATEMENT OF FIDUCIARY NET POSITION
FIDUCIARY FUNDS
September 30, 2015

	Pension Trust Funds				
	General Employees Retirement	Police Officers Retirement	Firefighters Retirement	Elected and Appointed and Non-represented Employees Retirement	Total
ASSETS					
Cash and cash equivalents	$ 4,676,061	$ 363,277	$ 3,329,279	$ 128	$ 8,368,745
Receivables:					
Interest and dividends	-	10,556	50,307	-	60,863
Contributions receivable	-	-	-	-	-
Investments, at fair value:					
Common stock	13,815,141	-	45,649,074	-	59,464,215
Government securities	2,897,168	-	9,702,004	-	12,599,172
Corporate bonds	5,926,086	-	5,891,624	-	11,817,710
Limited liability partnership	-	884,144	-	-	884,144
Mutual funds	14,310,616	3,583,666	15,049,725	34,334,141	67,278,148
Total investments, at fair value	36,949,011	4,467,810	76,292,427	34,334,141	152,043,389
Total assets	41,625,072	4,841,643	79,672,013	34,334,269	160,472,997
LIABILITIES					
Accounts payable	16,276	12,755	35,107	11,821	75,959
Net position restricted for pension benefits (A schedule of funding progress for each plan is presented on page 92-105)	$ 41,608,796	$ 4,828,888	$ 79,636,906	$ 34,322,448	$ 160,397,038

CITY OF TAMARAC, FLORIDA
COMBINING STATEMENT OF CHANGES IN NET POSITION
FIDUCIARY FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2015

	General Employees Retirement	Police Officers Retirement	Firefighters Retirement	Elected and Appointed and Non-represented Employees Retirement	Total
ADDITIONS					
Contributions:					
Employer	$ 1,465,206	$ 459,933	$ 3,179,240	$ 2,129,940	$ 7,234,319
Employee	567,806	-	820,904	735,600	2,124,310
State	-	465,548	604,612	-	1,070,160
Total contributions	2,033,012	925,481	4,604,756	2,865,540	10,428,789
Investment income:					
Net appreciation in fair value of investments	(2,387,599)	(100,185)	(3,066,922)	(42,221)	(5,596,927)
Interest and dividend income	1,131,054	168,332	1,641,927	8	2,941,321
Total investment income (loss)	(1,256,545)	68,147	(1,424,995)	(42,213)	(2,655,606)
Less investment expenses	(194,530)	(44,807)	(511,551)	(40,795)	(791,683)
Net investment income (loss)	(1,451,075)	23,340	(1,936,546)	(83,008)	(3,447,289)
Total additions	581,937	948,821	2,668,210	2,782,532	6,981,500
DEDUCTIONS					
Benefits paid and refunds	1,849,345	1,530,597	4,574,071	908,052	8,862,065
Administrative expenses	54,870	66,189	58,958	33,064	213,081
Total deductions	1,904,215	1,596,786	4,633,029	941,116	9,075,146
Change in net position	(1,322,278)	(647,965)	(1,964,819)	1,841,416	(2,093,646)
Net position, October 1	42,931,074	5,476,853	81,601,725	32,481,032	162,490,684
Net position, September 30	$ 41,608,796	$ 4,828,888	$ 79,636,906	$ 34,322,448	$ 160,397,038

A. General Employees' Pension Plan

Current membership is comprised of the following:

Retirees and beneficiaries of deceased retirees currently receiving benefits	135
Employees no longer with the City entitled to benefits but not yet receiving them	26
Active employees	176

Plan Description

All City full-time permanent employees, except for certain administrative employees, management employees, and Firefighters are required to participate in the General Employees' Pension Plan (General Plan). The Plan was established by the City in accordance with City ordinance and Florida Statutes. The Plan provides retirement, death and disability benefits. The benefit provisions are established by and may be amended under the authority of City Ordinance. The General Plan provides that a cost-of-living adjustment of up to 2% may be payable for any year in which the Plan has an actuarial gain. The General Employees may participate in a Deferred Retirement Option Plan (DROP) for up to 36 months upon reaching normal retirement age. There are currently no participants in the DROP. A Board of Trustees administers the General Plan. All costs of administering the plan are paid from plan assets.

Funded Status and Funding Policy

The funded status as of October 1, 2014, the most recent actuarial valuation date, is as follows (dollar amounts in thousands):

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liabilities (AAL) - Entry Age (b)	Unfunded AAL (UAAL) (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ((b-a)/c)
10/1/14	$ 38,990	$ 40,643	$ 1,653	95.93%	$ 6,599	25%

Employees contribute 7% of their compensation. The City contributes the remaining amounts at actuarially determined rates that are designed to accumulate sufficient assets to pay benefits when due. The current rate is 16.63% of annual covered payroll.

The schedule of funding progress, presented as Required Supplementary Information (RSI) following the notes to the financial statements, presents multiyear trend information about whether the actuarial value of the plan assets are increasing or decreasing over time relative to the actuarial accrued liability for benefits. The funding policy, established by the Financial Services Director, is to fund the actuarially required contribution amount at the beginning of the fiscal year, and then contribute any additional amount required to meet the required percent of payroll after the final payroll of the fiscal year.

General Employees' Pension Plan (continued)

Determination of the Long-term Expected Rate of Return on Assets

Investment Category	Target Allocation	Expected Long-Term Real Return
Domestic equity	37.00%	6.00% per annum
International large cap	15.00%	0.10% per annum
Bonds	28.00%	1.90% per annum
Convertible securities	10.00%	3.90% per annum
Real estate investment trusts	5.00%	4.10% per annum
Master limited partnerships	5.00%	11.30% per annum
Total or weighted arithmetic average	100.00%	3.93% per annum

The 3.93% money weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts acutally invested.

Changes in the Net Pension Liability

	Total Pension Liability	Fiduciary Net Position	Net Pension Liability
Balance as of September 30, 2014	$41,898,648	$(42,931,074)	$(1,032,426)
Change due to:			
Service cost	$1,385,451	$0	$1,385,451
Expected interest growth	$2,837,828	$(3,022,322)	$(184,494)
Unexpected investment income	$0	$4,473,396	$4,473,396
Demographic experience	$(1,062,957)	$0	$(1,062,957)
Employer contributions	$0	$(1,465,206)	$(1,465,206)
Employee contributions	$0	$(567,806)	$(567,806)
Benefit payments & refunds	$(1,849,346)	$1,849,346	$0
Administrative expenses	$0	$54,869	$54,869
Changes in benefit terms	$(258,593)	$0	$(258,593)
Assumption changes	$857,017	$0	$857,017
Balance as of September 30, 2015	$43,808,048	$(41,608,797)	$2,199,251

General Employees' Pension Plan (continued)

Deferred Inflow and Outflow of Resources

For the year ended September 30, 2015, the City recognized pension expense of $1,043,849. At September 30, 2015, the City reported deferred outflows of resources and deferred inflows of resources related to the pension from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Balance as of September 30, 2014	$0	$1,003,850
Change due to:		
Amortization payments	$(1,016,588)	$(402,166)
Investment gain/loss	$4,473,396	$0
Demographic gain/loss	$0	$1,062,957
Assumption changes	$857,017	$0
Total change	$4,313,825	$660,791
Balance as of September 30, 2015	**$4,313,825**	**$1,664,641**

Amounts as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended September 30:	
2016	$614,422
2017	614,422
2018	614,424
2019	865,386
2020	(29,294)
Thereafter	(30,176)

Net Pension Liability as of September 30, 2015

Total pension liability	$43,808,048
Less fiduciary net position	(41,608,797)
Net pension liability	**$2,199,251**
Plan fiduciary net position as a percentage of total pension liability	95%

Information used to determine the Net Pension Liability

Employer's reporting date:	September 30, 2015
Measurement date:	September 30, 2015
Actuarial valuation date:	October 1, 2014

Actuarial assumptions

Discount rate:	6.73% per annum (2.80% per annum is attributable to long-term inflation); this rate was used to discount all future benefit payments.
Salary increases:	4.00% per annum; average earnings is loaded to account for unused leave payments.
Cost-of-living increases:	None assumed

General Employees' Pension Plan (continued)

Mortality basis:	Sex-distinct rates set forth in the RP-2000 Mortality Table for annuitants, projected to 2015 by Scale AA, as published by the Internal Revenue Service (IRS) for purposes of Internal Revenue Code (IRC) section 430; future generational improvements in mortality have not been reflected.
Retirement:	5% of eligible participants are assumed to retire at each of ages 55 through 61 and 100% of eligible participants are assumed to retire at age 62 or upon the attainment of age 55 with at least 30 years of service.
Other decrements:	Assumed employment termination is based on age, ranging from 17.20% at age 20 to 1.10% at age 55; assumed disability is based on age, ranging from 0.07% at age 20 to 1.085% at age 55.
Non-investment expenses:	1.25% of future payroll
Future contributions:	Contributions from the employer and employees are assumed to be made as legally required.
Changes:	Since the prior measurement date, the mortality basis was updated from a 2007 projection of the RP-2000 Mortality Table to a 2015 projection and the discount rate was decreased form 6.75% per annum to 6.73% per annum.

Comparison of Net Pension Liability using alternative Discount Rates

	Discount Rate Minus 1.00%	6.73% Discount Rate	Discount Rate Plus 1.00%
Total pension liability	$48,676,854	$43,808,048	$39,694,747
Less fiduciary net position	(41,608,797)	(41,608,797)	(41,608,797)
Net pension liability	$7,068,057	$2,199,251	$(1,914,050)

Pension Plan Description

Name of the pension plan:	City of Tamarac Employees' Pension Plan
Legal plan administrator:	Board of Trustees of the City of Tamarac Employees' Pension Plan, which consists of five trustees and three alternate trustees. Three trustees and two alternates are elected by plan participants. One trustee is appointed by the Mayor from members of the City Commission, and one trustee is appointed by the City manager
Plan type:	Single-employer defined benefit pension plan
Number of covered individuals:	337 (135 inactive employees and beneficiaries currently receiving benefits; 26 inactive employees entitled to but not yet receiving benefits; 176 active employees)
Contribution requirement:	Employer contributions are actuarially determined; employees must contribute 7% of pensionable earnings; employee contribution requirement may be amended by City ordinance, but employer contribution requirement is subject to State minimums.
Pension plan reporting:	The plan issues a financial report as part of the City's Comprehensive Annual Financial Report each year which contains information about the plan's fiduciary net position. The plan's fiduciary net position has been determined on the same basis used by the pension plan and is equal to the market value of assets calculated under the accrual basis of accounting.

Description of the benefit terms

Employees covered:	Full-time employees of the City of Tamarac, other than employees directly engaged by the City Commission, temporary general employees, management employees, firefighters, police officers, and certain employees who were previously allowed to opt out of the plan.
Types of benefits offered:	Retirement, disability, and pre-retirement death benefits

General Employees' Pension Plan (continued)

Basic pension formula:	2.6% of average earnings x service years
Early retirement adjustment:	Retirement benefit is reduced by $^{7}/_{30}$% for each month by which the participant's early retirement age precedes age 62
Disability pension:	Larger of basic pension formula and the lesser of: (i) current salary offset by worker's compensation, social security, and LTD benefits, or (ii) ⅔ of current salary (payable until normal retirement age for a service-connected disability) Larger of benefit payable prior to normal retirement age and basic pension formula reflecting compensation and service during the period of disability (payable after normal retirement age for a service-connected disability) Larger of basic pension formula and the lesser of: (i) current salary offset by social security and LTD benefits, or (ii) 20% of current salary (payable until normal retirement age for a non-service-connected disability if the participant has at least 10 years of service) Larger of benefit payable prior to normal retirement age and basic pension formula (payable after normal retirement age for a non-service-connected disability if the participant has at least 10 years of service) Lesser of: (i) current salary offset by social security and LTD benefits, or (ii) 20% of current salary (payable until normal retirement age for a non-service-connected disability if the participant has between two and 10 years of service) Basic pension formula (payable after normal retirement age for a non-service-connected disability if the participant has between two and 10 years of service)
Pre-retirement death benefit:	50% of basic pension formula or 100% of the participant's 100% J&C annuity at earliest retirement age (payable to the beneficiary of a fully vested participant for life after the participant's death prior to retirement) Return of accumulated employee contributions (payable to the beneficiary of a non-vested participant who dies prior to retirement)
Normal retirement age:	Age 55 with at least 30 years of service or age 62
Early retirement age:	Age 55 with at least 10 years of service
Vesting requirement:	100% vesting with five years of service
Form of payment:	Actuarially increased single life annuity 10-year certain and life annuity Any other actuarially equivalent form of payment approved by the Board of Trustees Single lump sum payment (automatic if the value of the benefit is $3,500 or less; optional if the participant terminates his employment at least 10 years prior to his early retirement age)
Average earnings:	Average of the highest 60 consecutive months of total cash remuneration from the City, excluding overtime in excess of 300 hours per year earned after November 8, 2011 and payments for unused leave that accrues after that date
Cost-of-living adjustment:	None
DROP:	A deferred retirement option plan (DROP) is available to those participants who have reached their normal retirement age and individuals may participate in the DROP for up to 36 months; participants may only enter the DROP within five years following their normal retirement age and, if DROP participation is elected more than two years after normal retirement age, the maximum DROP participation period is reduced by one month for each month that the election is deferred; DROP accounts receive an interest credit equal to the return on the market value of assets minus a ½% administrative charge (or the actual investment return for those participants who elect the self-directed option). As of September 30, 2015 the amount held for DROP participants is $83,790.
Legal authority:	The plan was established effective June 1, 1975 pursuant to City ordinance and has been amended numerous times since that date.
Changes:	Since the prior measurement date, the plan was amended to add an early retirement window for a limited period of time.

B. Police Officers' Pension Plan

The Police Officers' Pension Plan is a closed plan and has no active employees. Current membership is comprised of the following:

Retirees and beneficiaries of deceased retirees currently receiving benefits	36

Plan Description

Certain members of the Broward Sheriff's Office who were formerly City of Tamarac Police Officers, who chose to stay in the City's Pension Plan are the only participants of the Tamarac Police Officers' Pension Plan (Police Plan). This is a closed plan with no active employees. All participants are retirees or beneficiaries of deceased retirees. The Police Plan was established by the City in accordance with City ordinance and Florida Statutes. The Plan provides retirement, death and disability benefits. The benefit provisions are established and may be amended under the authority of City Ordinance. The Police Plan provides that a cost-of-living adjustment of up to 2% may be payable for any year in which the Plan has an actuarial gain. A Board of Trustees administers the Police Plan. All costs of administering the plan are paid from plan assets.

Funded Status and Funding Policy

The funded status as of October 1, 2014, the most recent actuarial valuation date, is as follows (dollar amounts in thousands):

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liabilities (AAL) - Entry Age (b)	Unfunded AAL (UAAL) (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ((b-a)/c)
10/1/14	$ 5,104	$ 10,973	$ 5,869	47%	$ N/A	N/A

Employees (previously active) effectively contributed 5% of their compensation by taking a 5% reduction in pay upon transferring to the Broward Sheriff's Office. The State of Florida makes contributions from taxes on casualty insurance premiums. The State of Florida's contribution to the Police Officers' Pension Plan for fiscal year 2015 was $465,548. The City recognized $233,874 of these funds as part of the required contribution for fiscal year 2015. The remaining amount of $231,674 is held for distribution to retirees and beneficiaries according to plan provisions. The City contributes the remaining amounts at actuarially determined amounts that are designated to accumulate sufficient assets to pay benefits when due. The current year's required contribution was $459,933.

The schedule of funding progress, presented as Required Supplementary Information (RSI) following the notes to the financial statements, presents multiyear trend information about whether the actuarial value of the plan assets are increasing or decreasing over time relative to the actuarial accrued liability for benefits. The funding policy, established by the Financial Services Director, is to fund the actuarially required contribution amount at the beginning of the fiscal year.

Police Officers' Pension Plan (continued)

Determination of the Long-term Expected Rate of Return on Plan Assets

Investment Category	Target Allocation	Expected Long-Term Real Return
Domestic equity	35.00%	2.625% per annum
International equity	15.00%	1.275% per annum
Domestic bonds	30.00%	0.750% per annum
International Bonds	5.00%	0.175% per annum
REIT	15.00%	0.675% per annum
Total or weighted arithmetic average	100.00%	5.500% per annum

The 5.50% money weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts acutally invested.

Changes in the Net Pension Liability

	Total Pension Liability	Fiduciary Net Position	Net Pension Liability
Balance as of September 30, 2014	$10,368,965	$(5,246,701)	$5,122,264
Change due to:			
Service cost	$0	$0	$0
Expected interest growth	$704,633	$(24,495)	$680,138
Unexpected investment income	$604,430	$0	$604,430
Demographic experience	$0	$0	$0
Employer contributions	$0	$(693,807)	$(693,807)
Employee contributions	$0	$0	$0
Benefit payments & refunds	$(1,068,771)	$1,068,771	$0
Administrative expenses	$0	$67,343	$67,343
Changes in benefit terms	$0	$0	$0
Assumption changes	$0	$0	$0
Other	$0	$0	$0
Balance as of September 30, 2015	$10,609,257	$(4,828,889)	$5,780,368

Police Officers' Pension Plan (continued)

Deferred Inflow and Outflow of Resources

For the year ended September 30, 2015, the City recognized pension expense of $1,100,128. At September 30, 2015, the City reported deferred outflows of resources and deferred inflows of resources related to pension from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Balance as of September 30, 2014	$0	$0
Change due to:		
Amortization payments	0	$0
Investment gain/loss	251,783	$0
Demographic gain/loss	0	$0
Assumption changes	0	$0
Total change	$0	$0
Balance as of September 30, 2015	**$251,783**	**$0**

Amounts as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended September 30:	
2016	$62,946
2017	62,946
2018	62,946
2019	62,945
2020	0
Thereafter	0

Net Pension Liability as of September 30, 2015

Total pension liability	$10,609,257
Less fiduciary net position	(4,828,889)
Net pension liability	**$5,780,368**
Plan fiduciary net position as a percentage of total pension liability	45.52%

Comparison of Net Pension Liability using Alternative Discount Rates

	Discount Rate Minus 1.00%	6.75% Discount Rate	Discount Rate Plus 1.00%
Total pension liability	$11,464,888	$10,609,257	$9,863,984
Less fiduciary net position	(4,828,889)	(4,828,889)	(4,828,889)
Net pension liability	$6,635,999	$5,780,368	$5,035,095

Police Officers' Pension Plan (continued)

Information used to determine the Net Pension Liability

Employer's reporting date:	September 30, 2015
Measurement date:	September 30, 2015
Actuarial valuation date:	October 1, 2014

Actuarial assumptions

Actuarial cost method:	Entry age normal
Amortization method:	Level dollar closed
Remaining amortization period:	14 years
Asset valuation method:	4-year smoothed market
Inflation:	3.0%
Salary increases:	NA
Investment rate of return:	6.75%
Retirement age:	NA
Mortality:	RP-2000 Combined Healthy Participant Mortality Tables for males and females, projected to reflect future mortality improvement using scale AA (sex distinct tables).

Pension Plan Description

Name of the pension plan:	City of Tamarac Police Officers' Pension Plan
Legal plan administrator:	Board of Trustees of the City of Tamarac Police Officers' Pension Plan, which consists of five trustees. Two trustees are legal residents of the City appointed by the City Commission. Two trustees are retired police officers, and one trustee is selected by the other four, and appointed, as a ministerial act by the City Commission.
Plan type:	Qualified, governmental defined benefit retirement plan; for GASB purposes it is a single employer plan. The plan status is closed.
Number of covered individuals:	36 retirees and beneficiaries of retirees.
Contribution requirement:	Employer contributions are actuarially determined for the remaining amount necessary to pay Normal Cost plus amortization of Unfunded Past Service Liability.; Employees must contribute are 5% of earnings. The City shall "pick-up" and pay participant contributions in lieu of after-tax payroll deductions. However, there are no active employees.
Pension plan reporting:	The plan issues, as part of the City's Comprehensive Annual Financial Report, a financial report each year, which contains information about the plan's fiduciary net position. The plan's fiduciary net position has been determined on the same basis used by the pension plan and is equal to the market value of assets calculated under the accrual basis of accounting.

Description of the benefit terms

Employees covered:	Full time Police Officers who were members of and who elected to remain in the City of Tamarac Police Officers' Pension Plan after the City contracted with the Broward Sheriff's Office as of July 1, 1989 .
Types of benefits offered:	Retirement, disability, and pre-retirement death benefits
Basic pension formula:	3% of average earnings x service

Police Officers' Pension Plan (continued)

Early retirement adjustment: Eligible at age 50 with 10 years of service. Retirement benefit is reduced by 3% per year and payable immediately.

Disability pension: **Service connected disability** in the case of permanent incapacity incurred in the line of duty.

Benefit: The following benefits are payable until normal retirement age, at which time the retirement benefit starts, unless the participant had 10 or more years of service or the disability was service connected, in which case the greater of the disability benefit or the retirement benefit will be payable:

The monthly benefit shall equal the greater of:
1. the participant's accrued benefit, or
2. current monthly base pay minus 100% City Long Term Disability Benefit, 100% Social Security, and 100% Worker's Compensation, provided the benefit paid does not exceed 75% of the employees average monthly salary, or
3. 42% of Average Monthly Compensation.

Normal Form of Benefit: Life Annuity with 120 monthly payments guaranteed; other options are also available.

Susidy: For participants retiring on or after 10/1/02, $220 per month, with 120 payments guaranteed.

Non-service connected disability in the case of other permanent incapacity incurred after 2 years of service, if not at early or normal retirement age.

Benefit: The following benefits are payable until normal retirement age, at which time the retirement benefit starts, unless the participant had 10 or more years of service or the disability was service connected, in which case the greater of the disability benefit or the retirement benefit will be payable:

<u>2-9 Years of Service</u> - The monthly benefit shall equal the current monthly base pay minus 100% city Long Term Disability Benefit and 100% Social Security, provided the benefit paid does not exceed 20% of participant's average monthly salary.

<u>10 Years of Service</u> - The monthly benefit shall equal the greater of:
1. the participant's accrued retirement benefit, or
2. current monthly base pay minus 100% City Long Term Disability Benefit and 100% Social Security, provided the benefit paid does not exceed 35% of police officers average monthly salary, or
3. 25% of Average Monthly Compensation.

Normal Form of Benefit:
<u>2-9 Years of Service</u> Life Annuity
<u>10+ Years of Service</u> Life Annuity with 120 monthly payments guaranteed; other options are also available.

Subsidy: For participants retiring on or after *10/1/02,* $220 per month, with 120 payments guaranteed.

Police Officers' Pension Plan (continued)

Pre-retirement death	
Eligbility:	All vested participants, whether or or not still in active employment.
Benefit:	Greatest of: 1. 100% or the value of the participant's accrued benefit, or 2. 100% survivorship annuity, or 3. participant's total accumulated contributions.
Post-retirement death:	Determined by the form of benefit elected upon retirement. A lump sum will be made of any excess of accumulated Employee Contributions over pension payments made.
Normal retirement age:	Earlier of age 57 with 5 years of service, age 55 with 10 years of service, or age 52 with 25 years of service
Early retirement age:	Age 50 with at least 10 years of service
Vesting requirement:	100% vesting with five years of service
Form of payment:	Actuarially increased single life annuity 10-year certain and life annuity Any other actuarially equivalent form of payment approved by the Board of Trustees
Average earnings:	Average of the highest 60 consecutive months of total cash remuneration from the City, or Broward Sheriff's Office.
Cost-of-living adjustment:	Each participant receiving normal retirement benefits shall be eligible for an extra payment of up to 2% of the annual benefit amount paid or payable for the year. Such benefit shall be funded solely by actuarial gains from the corresponding year, if there are accumulated gains.
Share Plan	Excess premium tax revenues from the state are allocated annually among eligible participants on the basis of years of service.
Legal authority:	The plan was established effective June 1, 1975 pursuant to City ordinance and has been amended numerous times since that date.
Changes:	The benefit terms did not change from the prior measurement date since GASB 67 is first effective for this measurement period.

C. Firefighters' Pension Plan

Current membership is comprised of the following:

Retirees and beneficiaries of deceased retirees currently receiving benefits	32
Employees no longer with the City entitled to benefits but not yet receiving them	3
Employees participating in Deferred Retirement Option Plan (DROP)	10
Active employees	88

Plan Description

All City full-time permanent firefighters, and certain Fire Department management employees are required to participate in the Firefighters' Pension Plan (Fire Plan). The Fire Plan was established by the City in accordance with City Ordinance and Florida Statutes. The Plan provides retirement, death and disability benefits. The benefit provisions are established by and may be amended under the authority of City Ordinance. The Fire Plan provides that a cost-of-living adjustment of up to 2% may be payable for any year in which the Plan has an actuarial gain. During fiscal year 2005, the Firefighters' Pension Fund implemented an annual cost-of-living adjustment (COLA) of 2% to those participants who retire on or after October 1, 2002, which replaces the cost-of-living adjustment described above for eligible retirees. The new COLA is payable each January 1 to those eligible participants who retired at least three years prior to such January 1. The cost-of-living adjustment was increased to 2.25% for participants who retire on or after March 1, 2007. And a supplemental benefit (additional benefit) was implemented for eligible active participants based on accrued, unused sick leave at 3% of average final compensation. The Firefighters' Pension Fund also implemented a Deferred Retirement Option Plan (DROP) for participants attaining 25 years of service. Participation may be up to 36 months. DROP payments are held in the fund and earn interest until termination of employment, at which time the balance including interest is paid in a lump sum amount. In 2007, the DROP participation period was increased from 36 months to 60 months with a minimum of 30 years of service. A Board of Trustees administers the Firefighters' Plan. All costs of administering the plan are paid from plan assets.

Effective January 1, 2013 the pension plan instituted certain plan changes, including, (a) employee's contribution rates increased to 10.5%, (b) 100% vesting increased from five (5) to eight (8) vesting credits for employee's hired after January 1, 2013 date, (c) interest on contribution refunds applied at a rate of 2.5%, (d) exclusion of overtime earned in excess of 300 hours, and (e) average final compensation to exclude unused vacation and sick leave hours earned on and after January 1, 2013.

Firefighters' Pension Plan (continued)

Funded Status and Funding Policy

The funded status as of October 1, 2014, the most recent actuarial valuation date, is as follows (dollar amounts in thousands):

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liabilities (AAL) - Entry Age (b)	Unfunded AAL (UAAL) (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ((b-a)/c)
10/1/14					$	
	$ 68,398	$ 85,828	$ 17,431	80%	7,334	238%

Employees contribute 10.5% of their compensation. The State of Florida makes contributions from taxes on casualty insurance premiums. The State of Florida's contribution to the Firefighters' Pension Plan for fiscal year 2015 was $604,612. The City recognized these funds as part of the required contribution for fiscal year 2014. The City contributes the remaining amounts at actuarially determined rates that are designated to accumulate sufficient assets to pay benefits when due. The current rate is 45.11% of annual covered payroll.

The schedule of funding progress, presented as Required Supplementary Information (RSI) following the notes to the financial statements, presents multiyear trend information about whether the actuarial value of the plan assets are increasing or decreasing over time relative to the actuarial accrued liability for benefits. The funding policy, established by the Financial Services Director, is to fund the actuarially required contribution amount at the beginning of the fiscal year, and then contribute any additional amount required to meet the required percent of payroll after the final payroll of the fiscal year.

Determination of the Long-term Expected Rate of Return on Plan Assets

Investment Category	Target Allocation	Expected Long-Term Real Return
Large cap value equity	20.00%	6.00% per annum
Large cap growth equity	25.00%	6.18% per annum
Mid cap value equity	5.00%	6.25% per annum
Mid cap growth equity	5.00%	6.10% per annum
International value equity	5.00%	5.85% per annum
International growth equity	5.00%	5.75% per annum
Core fixed income	30.00%	1.89% per annum
Core private real estate	5.00%	4.62% per annum
Total or weighted arithmetic average	100.00%	4.74% per annum

The 4.74% money weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts acutally invested.

Firefighters' Pension Plan (continued)

Changes in the Net Pension Liability

	Total Pension Liability	Fiduciary Net Position	Net Pension Liability
Balance as of September 30, 2014	$92,566,887	$(81,074,172)	$11,492,715
Change due to:			
Service cost	$2,486,578	$0	$2,486,578
Expected interest growth	$6,292,030	$(5,447,848)	$844,182
Unexpected investment income	$0	$7,384,397	$7,384,397
Demographic experience	$(2,722,163)	$0	$(2,722,163)
Employer contributions	$0	$(3,783,852)	$(3,783,852)
Employee contributions	$0	$(820,904)	$(820,904)
Benefit payments & refunds	$(4,046,517)	$4,046,517	$0
Administrative expenses	$0	$58,957	$58,957
Changes in benefit terms	$0	$0	$0
Assumption changes	$1,052,078	$0	$1,052,078
Balance as of September 30, 2015	$95,628,893	$(79,636,905)	$15,991,988

Deferred Inflows and Outflows of Resources

For the year ended September 30, 2015, the City recognized pension expense of $3,167,067. At September 30, 2015, the City reported deferred outflows and deferred inflows of resources related to pension from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Balance as of September 30, 2014	$0	$2,895,378
Change due to:		
Amortization payments	$(1,574,384)	$(976,130)
Investment gain/loss	$7,384,397	$0
Demographic gain/loss	$0	$2,722,163
Assumption changes	$1,052,078	$0
Total change	$6,862,091	$1,746,033
Balance as of September 30, 2015	**$6,862,091**	**$4,641,411**

Amounts as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended September 30:	
2016	$598,254
2017	598,254
2018	598,252
2019	1,322,100
2020	(154,781)
Thereafter	(741,399)

Firefighters' Pension Plan (continued)

Net Pension Liability as of September 30, 2015

Total pension liability	$95,682,893
Less fiduciary net position	(79,636,905)
Net pension liability	**$15,991,988**
Plan fiduciary net position as a percentage of total pension liability	83%

Comparison of Net Pension Liability using Alternative Discount Rates

	Discount Rate Minus 1.00%	6.74% Discount Rate	Discount Rate Plus 1.00%
Total pension liability	$108,512,666	$95,628,893	$85,251,274
Less fiduciary net position	(79,636,905)	(79,636,905)	(79,636,905)
Net pension liability	$ 28,875,761	$15,991,988	$ 5,614,369

Information used to Determine the Net Pension Liability

Employer's reporting date:	September 30, 2015
Measurement date:	September 30, 2015
Actuarial valuation date:	October 1, 2014

Actuarial assumptions

Discount rate:	6.74% per annum (2.00% per annum is attributable to long-term inflation); this rate was used to discount all future benefit payments.
Salary increases:	4.00% per annum
Cost-of-living increases:	2.00% per annum (for those who retired during the period October 1, 2002 through February 28, 2007) or 2.25% per annum (for those who retire after February 28, 2007 and who have been retired for at least three years) or 2.25% per annum (for those who retire after May 31, 2013 and who have been retired for at least five years); 2.50% per annum (applies to the retirement subsidy); no COLA applies to the retirement supplement.
Mortality basis:	Sex-distinct rates set forth in the RP-2000 Mortality Table for annuitants, projected to 2015 by Scale AA, as published by the Internal Revenue Service (IRS) for purposes of Internal Revenue Code (IRC) section 430; future generational improvements in mortality have not been reflected.
Retirement:	Retirement is assumed to occur at the earlier of age 55 or upon the attainment of 25 years of service.
Other decrements:	Assumed employment termination is based on age, ranging from 6.00% at age 20 to 0.80% at age 50; assumed disability is based on age, ranging from 0.14% at age 20 to 1.00% at age 50.
Non-investment expenses:	0.20% of the actuarial value of assets
Future contributions:	Contributions from the employer and employees are assumed to be made as legally required.
Changes:	Since the prior measurement date, the mortality basis was changed from a 2007 projection of the RP-2000 Mortality Table to a 2015 projection.

Firefighters' Pension Plan (continued)

Pension Plan Description

Name of the pension plan:	City of Tamarac Firefighters' Pension Plan
Legal plan administrator:	Board of Trustees of the City of Tamarac Firefighters' Pension Plan
Plan type:	Single-employer defined benefit pension plan
Number of covered individuals:	133 (32 inactive employees and beneficiaries currently receiving benefits; three inactive employees entitled to but not yet receiving benefits; 88 active employees, and 10 DROP participants)
Contribution requirement:	Employer contributions are actuarially determined; employees must contribute 10.5% of pensionable earnings; employee contribution requirement may be amended by City ordinance, but employer contribution requirement is subject to State minimums.
Pension plan reporting:	The plan issues a financial report each year, as part of the City's Comprehensive Annual Financial Statement, which contains information about the plan's fiduciary net position. The plan's fiduciary net position has been determined on the same basis used by the pension plan and is equal to the market value of assets calculated under the accrual basis of accounting.

Description of the benefit terms

Employees covered:	Full-time firefighters of the City of Tamarac
Types of benefits offered:	Retirement, disability, and pre-retirement death benefits
Basic pension formula:	3% of average earnings x first 15 years of service + 4% of average earnings x next 10 years of service + 3% of average earnings x service in excess of 25 years
Early retirement adjustment:	Retirement benefit is reduced by ¼% for each month by which the participant's early retirement age precedes age 55
Disability pension:	Larger of basic pension formula and the lesser of: (i) average compensation minus worker's compensation and LTD benefits, or (ii) 42% of average compensation (payable until normal retirement age for a service-connected disability) Larger of benefit payable prior to normal retirement age and basic pension formula reflecting compensation and service during the period of disability (payable after normal retirement age for a service-connected disability) Larger of basic pension formula and the lesser of: (i) average compensation minus LTD benefits, or (ii) 25% of average compensation (payable until normal retirement age for a non-service-connected disability) Larger of benefit payable prior to normal retirement age and basic pension formula (payable after normal retirement age for a non-service-connected disability)
Pre-retirement death benefit:	Basic pension formula (payable to the beneficiary of a fully vested participant for life after the participant's death prior to retirement) Return of accumulated employee contributions (payable to the beneficiary of a non-vested participant who dies prior to retirement)
Normal retirement age:	Any age with at least 25 years of service, or Age 55 (requires at least eight years of service if hired after 2012)
Early retirement age:	Age 55 with at least 10 years of service

Firefighters' Pension Plan (continued)

Vesting requirement:	100% vesting with five years of service (if hired prior to 2013) or with eight years of service (otherwise)
Form of payment:	Actuarially increased single life annuity 10-year certain and life annuity Any other actuarially equivalent form of payment approved by the Board of Trustees Single lump sum payment (automatic if the value of the benefit is $3,500 or less)
Average earnings:	Average of the highest 60 consecutive months of total cash remuneration from the City, excluding overtime in excess of 300 hours per year earned after December 31, 2012 and payments for unused leave that accrues after that date
Retirement subsidy:	$10 x service (maximum of $300), payable until age 65
Retirement supplement:	3% of average earnings, reduced for less than 2,496 hours of accrued sick leave
Cost-of-living adjustment:	2.25% per annum (for those who retire after May 31, 2013 and who have been retired for at least five years); 2.50% per annum (applies to the retirement subsidy); no COLA applies to the retirement supplement.
DROP:	A deferred retirement option plan (DROP) is available to those participants who have earned at least 25 years of service and individuals may participate in the DROP for up to 60 months; DROP accounts receive an interest credit equal to the return on the market value of assets subject to a 5% to 9% corridor minus a ½% administrative charge (or the actual investment return for those participants who elect the self-directed option). As of September 30, 2015 the amount held for DROP is $1,955,040.
Legal authority:	The plan was established effective June 1, 1975 pursuant to City ordinance and has been amended numerous times since that date.
Changes:	The benefit terms did not change from the prior measurement date.

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D. Elected and Appointed Officers and Non-Represented Employees' Pension Plan

Current membership is comprised of the following:

Retirees and beneficiaries of deceased retirees currently receiving benefits	26
Employees no longer with the City entitled to benefits but not yet receiving them	18
Active employees	81

Plan Description

All City full-time permanent employees who are not part of a bargaining unit, except for certain administrative and management employees who were participating in the defined contribution plan prior to 10/1/06 who elected to remain in the defined contribution plan are required to participate in the Elected and Appointed Officers and Non-Represented Employees' Pension Plan (Management Plan). The Plan was established by the City in accordance with City ordinance and Florida Statutes. The Plan provides retirement, death and disability benefits. The benefit provisions are established by and may be amended under the authority of City Ordinance. The Management Plan provides that a cost-of-living adjustment of 2% per year compounded annually beginning on January 1st coincident with or immediately following the completion of 60 complete months after the commencement of retirement benefits under the plan. A Board of Trustees administers the Management Plan. All costs of administering the plan are paid from plan assets.

Funded Status and Funding Policy

The funded status as of October 1, 2014, the most recent actuarial valuation date, is as follows (dollar amounts in thousands):

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liabilities (AAL) - Entry Age (b)	Unfunded AAL (UAAL) (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ((b-a)/c)
10/1/14	$ 29,484	$ 37,439	$ 7,954	79%	$ 6,656	120%

Employees contribute 10% of their compensation. The City contributes the remaining amounts at actuarially determined rates that are designated to accumulate sufficient assets to pay benefits when due. The current rate is 30.42% of annual covered payroll.

The schedule of funding progress, presented as Required Supplementary Information (RSI) following the notes to the financial statements, presents multiyear trend information about whether the actuarial value of the plan assets are increasing or decreasing over time relative to the actuarial accrued liability for benefits. The funding policy, established by the Financial Services Director, is to fund the actuarially required contribution amount at the beginning of the fiscal year, and then contribute any additional amount required to meet the required percent of payroll after the final payroll of the fiscal year.

Elected and Appointed Officers and Non-Represented Employees' Pension Plan (continued)

Determination of the Long-term Expected Rate of Return on Plan Assets

Investment Category	Target Allocation	Expected Long-Term Real Return
Core bonds	16.00%	2.48% per annum
Multi-sector	24.00%	2.20% per annum
U.S. large cap equity	39.00%	7.14% per annum
U.S. small cap equity	11.00%	8.45% per annum
Non-U.S. equity	10.00%	8.43% per annum
Total or weighted arithmetic average	100.00%	5.48% per annum

The 5.48% money weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts acutally invested.

Changes in the Net Pension Liability

	Total Pension Liability	Fiduciary Net Position	Net Pension Liability
Balance as of September 30, 2014	$33,477,609	$(32,481,032)	$996,577
Change due to:			
Service cost	$1,320,865	$0	$1,320,865
Expected interest growth	$3,123,686	$(3,034,749)	$88,937
Unexpected investment income	$0	$3,117,758	$3,117,758
Demographic experience	$(1,255,372)	$0	$(1,255,372)
Employer contributions	$0	$(2,129,940)	$(2,129,940)
Employee contributions	$0	$(735,600)	$(735,600)
Benefit payments & refunds	$(908,052)	$908,052	$0
Administrative expenses	$0	$33,063	$33,063
Changes in benefit terms	$0	$0	$0
Assumption changes	$(1,852,845)	$0	$(1,852,845)
Balance as of September 30, 2015	$33,905,891	$(34,322,448)	$(416,557)

Elected and Appointed Officers and Non-Represented Employees' Pension Plan (continued)

Deferred Inflow and Outflow of Resources

For the year ended September 30, 2015, the City recognized pension expense of $921,035. At September 30, 2015, the City reported deferred outflows of resources and deferred inflows of resources related to pension from the following sources:

	Deferred Outflows Of Resources	Deferred Inflows Of Resources
Balance as of September 30, 2014	$0	$107,989
Change due to:		
Amortization payments	$(623,552)	$(409,782)
Investment gain/loss	$3,117,758	$0
Demographic gain/loss	$0	$1,255,372
Assumption changes	$0	$1,852,845
Total change	$2,494,206	$2,698,435
Balance as of September 30, 2015	**$2,494,206**	**$2,806,424**

Amounts as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended September 30:	
2016	$213,770
2017	213,770
2018	213,769
2019	240,765
2020	(382,785)
Thereafter	(811,507)

Net Pension Liability as of September 30, 2015

Total pension liability	$33,905,891
Less fiduciary net position	(34,322,448)
Net pension liability	**$ (416,557)**
Plan fiduciary net position as a percentage of total pension liability	101%

Comparison of Net Pension Liability using Alternative Discount Rates

	Discount Rate Minus 1.00%	9.08% Discount Rate	Discount Rate Plus 1.00%
Total pension liability	$37,114,018	$33,905,891	$31,212,280
Less fiduciary net position	(34,322,448)	(34,322,448)	(34,322,448)
Net pension liability	$2,791,570	$(416,557)	$(3,110,168)

Elected and Appointed Officers and Non-Represented Employees' Pension Plan (continued)

Information used to determine Net Pension Liability

Employer's reporting date:	September 30, 2015
Measurement date:	September 30, 2015
Actuarial valuation date:	October 1, 2014

Actuarial assumptions

Discount rate:	9.08% per annum (3.60% per annum is attributable to long-term inflation); this rate was used to discount all future benefit payments.
Salary increases:	5.00% per annum
Cost-of-living increases:	2.00% per annum after participant has been retired for at least five years
Mortality basis:	Sex-distinct rates set forth in the RP-2000 Mortality Table for annuitants, projected to 2015 by scale AA, aspublished by the Internal Revenue Service (IRS) for purposes of Internal Revenue Code (IRC) section 430; future generational improvements in mortality have not been reflected.
Retirement:	Retirement is assumed to occur at the rate of 5% at each early retirement age and 100% at normal retirement age.
Other decrements:	Assumed disability is based on the Wyatt 1985 Disability Study (Class 1).
Non-investment expenses:	1.00% of covered payroll
Future contributions:	Contributions from the employer and employees are assumed to be made as legally required.
Changes:	Since the prior measurement date, the mortality basis has been updated from the 1994 Goup Annuity Reserving Table, projected to 2002 by scale AA, to the RP-2000 Mortality Table for annuitants, project to 2015 by Scal AA, and the discount rate has been increased from 8.07% per annum to 9.08% per annum.

Pension Plan Description

Name of the pension plan:	City of Tamarac Elected and Appointed Officers and Non-Represented Employees Retirement Plan
Legal plan administrator:	Board of Trustees of the City of Tamarac Elected and Appointed Officers and Non-Represented Employees Retirement Plan, which consists of five trustees who are members of the plan. Two trustees are elected by the members of the plan, two are appointed by the City Manager, and the fifth is appointed by the other four.
Plan type:	Single-employer defined benefit pension plan
Number of covered individuals:	125 (26 inactive employees and beneficiaries currently receiving benefits; 18 inactive employees entitled to but not yet receiving benefits; 81 active employees)
Contribution requirement:	Employer contributions are actuarially determined; employees must contribute 10% of pensionable earnings; employee contribution requirement may be amended by City ordinance, but employer contribution requirement is subject to State minimums.
Pension plan reporting:	The plan issues a financial report each year, as part of the City's Comprehensive Annual Financial Statement, which contains information about the plan's fiduciary net position. The plan's fiduciary net position has been determined on the same basis used by the pension plan and is equal to the market value of assets calculated under the accrual basis of accounting.

Description of the benefit terms

Employees covered:	All managerial and non-bargaining employees, as well as charter officers and elected commissioners, of the City of Tamarac may voluntarily participate in the plan. Subject to certain exceptions, those individuals who were hired on and after October 1, 2005 are required to participate in the plan.
Types of benefits offered:	Retirement, disability, and pre-retirement death benefits

Elected and Appointed Officers and Non-Represented Employees' Pension Plan (continued)

Basic pension formula:	6⅔% of average earnings x service, limited to 80% of average earnings (for elected officials) 4% of average earnings x service, limited to 80% of average earnings (for City manager & City attorney) 3% of average earnings x service, limited to 80% of average earnings (for all other employees)
Early retirement adjustment:	Retirement benefit is reduced by 5% for each year by which the participant's early retirement age precedes age 60
Disability pension:	Basic pension formula
Pre-retirement death benefit:	50% survivor annuity based on the basic pension formula (payable to the beneficiary of a fully vested participant for life after the participant's death prior to retirement) Return of accumulated employee contributions (payable to the beneficiary of a non-vested participant who dies prior to retirement)
Normal retirement age:	Age 55 with at least 25 years of service, or Age 57 with at least 20 years of service, or Age 60 with at least five years of service
Early retirement age:	Age 50 with at least five years of service
Vesting requirement:	20% vesting for each year of service, maximum 100% vesting after five years of service
Form of payment:	Actuarially increased single life annuity 10-year certain and life annuity Actuarially equivalent joint and contingent annuity Actuarially equivalent joint and contingent annuity with "pop-up" feature Actuarially equivalent annuity plus a partial lump sum payment, where the lump sum payment is equal to up to three years of benefit payments with simple interest at 4% per year and a refund of the participant's contributions during this period
Average earnings:	Average of the highest 60 consecutive months of total cash remuneration from the City, excluding bonuses, employer contributions to another insurance program, non-taxable reimbursements, employer contributions to an IRC 457 plan, payments for unused leave, and overtime in excess of 300 hours per year after June 30, 2011
Cost-of-living adjustment:	2.00% per annum for those who have been retired for at least five years
Legal authority:	The plan was established effective October 1, 2005 pursuant to City ordinance and has been amended numerous times since that date.
Changes:	The benefit terms did not change from the prior measurement date.

C. OTHER POST EMPLOYMENT BENEFITS

The City of Tamarac provides Post Employment Benefits Other than Pensions (OPEB) to employees as mandated by Florida Statues 112.0801. The City of Tamarac, Florida has no formal plan that administers the City's post-employment healthcare, dental and life insurance coverage to eligible individuals, which include all regular employees of the City who retire from active service and are eligible for retirement or disability benefits under the general employee, or management pension plan. Under certain conditions, eligible individuals for healthcare coverage also include spouses and dependent children. The retiree healthcare and life insurance plan does not issue a financial report since there are no significant assets and liabilities to report as of the end of the fiscal year 2015.

Funding Policy. Certain retirees who were covered by the early retirement program window are eligible to receive subsidized postemployment health care up to age 65. The subsidy varies by individual depending on the retiree's election to use his/her early retirement window "point" to receive a partial or full subsidy toward the regular monthly premium. The City contributed $18,160 during the fiscal year 2015 as the City's portion of their health costs on a "pay as you go" funding basis.

Retirees not covered by the early retirement program pay the full insurance premium for medical and life insurance coverage as determined by the insurance carrier. Premium varies depending on whether retirees elect coverage under a health maintenance organization (HMO) plan, under a point-of-service (POS) plan, or a preferred provider organization (PPO) plan and whether the retiree elects single or family coverage. The monthly health insurance premium rates for retirees for the fiscal year 2015 range from $529 to $594 for single coverage, from $1,318 to $1,481 for retiree and spousal coverage, and from $1,436 to $1,613 for family coverage. The monthly dental insurance premium rates for the fiscal year 2015 were $16 for retiree up to $119 for retiree with two or more family members.

Annual OPEB Cost and Net OPEB Obligation. The City's annual other post employment benefit (OPEB) cost is calculated based on annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of GASB Statement 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years. The following table shows the components of the City's annual OPEB cost for the year ended September 30, 2015, the amount actually contributed and the changes in the City's net OPEB obligation:

Annual required contributions	$	254,000
Interest on the Net OPEB Obligation		29,000
Adjustment to the ARC		(52,000)
Annual OPEB Cost		231,000
Contribution made		18,160
Increase in Net OPEB obligation		212,840
Net OPEB obligation at beginning of the year		1,089,309
Net OPEB obligation at end of the year	$	1,302,149

The City's annual OPEB cost, the percentage of annual OPEB cost contribution and the net OPEB obligation for fiscal year ended September 30, are as follows:

	2013	2014	2015
Annual OPEB Cost	$ 256,000	$ 257,000	$ 231,000
Percentage of Annual OPEB Cost Contributed	30%	5%	8%
Net OPEB Obligation	$ 884,949	$ 1,089,309	$ 1,302,149

Funded Status and Funding Progress. As of October 1, 2015, the most recent actuarial valuation date, the actuarial accrued liability for benefits was $1,957,000, all of which was unfunded. The covered payroll (annual payroll of active employees) was $20,539,000 and the ratio of the unfunded actuarial accrued liability to the covered payroll was 9.5 percent.

The projection of future benefit payments for an ongoing plan involves estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information following the notes to the financial statements, presents the current year information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Method and Assumptions. Projection of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan member to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effect of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

On the October 1, 2015 actuarial valuation, the projected unit credit cost method was used to determine all liabilities, with the liability for each active employee assumed to accrue over his working lifetime based on elapsed time from his date of hire until retirement. The actuarial assumption included a 4 percent investment rate of return and annual healthcare costs trend rate of 8 percent initially, reduced by decrements to an ultimate rate of 5.5 percent after 5 years, investment rate of return included a 2.75 percent inflation rate assumption. The investment rate was based on the expected long-term return on the assets which will be used to provide the OPEB benefits being valued. If there are no invested assets, which is the case where the City has no benefit trust designated to pay the promised benefits, the actuary used the expected long-term on the City surplus fund in the calculation. The City's OPEB unfunded actuarial accrued liability is being amortized as a level dollar payment on a 20-year open period.

NOTE 15. OTHER INFORMATION

A. RISK MANAGEMENT

The City is exposed to various risks of loss related to torts, theft of, damage to, and destruction of assets, errors and omissions, injuries to employees, and natural disasters. The risk management program is responsible for administering the City's insurance, self-insurance, and general safety and loss prevention programs. The City purchases commercial insurance for all types of claims with nominal deductible amounts except for self-insurance risks discussed below.

The Florida Legislature pursuant to Florida Statute §768.28, must approve liability awards in excess of $200,000 per person, $300,000 per occurrence against municipalities in the State of Florida.

These limits do not apply to action brought in federal courts or to claim relief bills approved by the Florida legislature.

The amount of risk retained by the City is limited through the purchase of excess insurance of $2 million with a deductible per occurrence as follows:

The City adjusts their insurance program limits and deductibles to enhance and refine the protection afforded. Current deductible limits for the primary insurance lines per occurrence are as follows:

General and auto liability	$ 25,000
Automobile physical damage	10,000
Workers' compensation	25,000
Crime	10,000
Property damage	50,000
Property damage (named storm) - 5% of the total insured value per damaged location subject to the minimum property damage deductible of $50,000 whichever is greater in any one occurrence.	

Liabilities are recorded when it is probable that a loss has occurred and the amount of loss can be reasonably estimated. Liabilities include an amount for claims that have been incurred but not reported. Because actual claims liabilities depend on such complex factors as inflation, changes in legal doctrines and damage awards, the process used in computing claims liability does not necessarily result in an exact amount.

Claims liabilities are reevaluated periodically to take into consideration recently settled claims, the frequency of claims, and other economic and social factors. Interfund premiums are based primarily upon the insured funds' claims experience and are reported as interfund services provided and used. The claims liability of $1,135,000 reported at September 30, 2015 in the Insurance Services Fund is based on GASB No. 10, *"Accounting and Financial Reporting for Risk Financing and Related Insurance Issues"* which requires that a liability for claims be reported if information prior to the issuance of the financial statements indicates that a liability has been incurred at the date of the financial statements and the amount of the loss can be reasonably estimated.

Changes in the fund's claims liability during the past two fiscal years are as follows:

September 30	Liability	Estimates	(Credits)	Liability
2014	$ 1,291,000	$ 1,334,185	$ (1,288,185)	$ 1,337,000
2015	1,337,000	1,565,327	(1,767,327)	1,135,000

The City has not had a significant reduction in insurance coverage from coverage in the prior years' major categories of risk, and settled claims have not exceeded the City's retention and excess coverage in force for each of the past three years.

At the end of Fiscal Year 2015, the City has certain amounts set aside for the payments of claims, these claims are being evaluated but have not yet been settled and the amount attributable to the short-term liability is not determinable.

B. EMPLOYEES'S HEALTH INSURANCE

In January 2013, the City became partially self-insured for employee's Health Insurance. Under the self-insured plan the City pays for medical claims directly based on actual claims submitted by the applicants. The City's Health Insurance Internal Service Fund is used to account for and finance both uninsured and insured risk of loss.

Coverages for Health are provided as follows:

Self-Insured Retention	Aggregate Stop Loss
$125,000	$5,141,683

All operating funds in the City participate in the program and make payments in the form of premiums to the Health Insurance Fund based on estimates of the amounts needed to pay prior and current claims. At September 30, 2015 the Health Insurance fund has completed only two years of activities.

Changes in the fund's claims liability during the past two fiscal years are as follows:

September 30	Liability	Estimates	(Credits)	Liability
2014	$ -	$ 440,299	$ -	$ 440,299
2015	440,299	4,647,992	(4,621,574)	466,717

At September 30, 2015 the fund has an unrestricted net position of $815,758 to cover possible claims incurred but not reported.

C COMMITMENTS AND CONTINGENCIES

1. Pending litigation

The City is defendant in various legal proceedings and claims arising in the ordinary course of operations. Management has instructed legal counsel to vigorously defend these actions and does not expect ultimate liability, if any, to have a material adverse effect on the financial statements of the City.

2. Interlocal Agreement with Broward County Sheriff's Office

A contract exists between Broward County Sheriff's Office and the City, whereby Broward County Sheriff's Office provides deputy sheriffs to serve the City of Tamarac. These deputy sheriffs are paid through the Broward County Sheriff's Office payroll. The City of Tamarac pays Broward County for the police services based on an ongoing contract with annual renewals. The City recorded expenses of $13,316,207 under this contract for the fiscal year ended September 30, 2015.

3. Interlocal Agreement with Broward County, Florida

In 1988, the City entered into an agreement with Broward County, Florida for the transmission, treatment and disposal of wastewater. The charges for service provided by the County include operating, maintenance and debt service charges for the facilities and the County Improvement, Repair, and Replacement Fund Surcharge. The charges are adjusted annually based upon actual costs incurred in the prior year. For the fiscal year ended September 30, 2015, the City recorded expenses of $4,965,018 under this agreement. The agreement will continue in existence and cannot be canceled on any condition except by mutual cancellation agreement between the City and Broward County. Management considers cancellation of this agreement as remote.

4. Interlocal Agreement with City of North Lauderdale

In February 2011 the City entered into an agreement with the City of North Lauderdale to provide fleet maintenance and repairs to the City of North Lauderdale's Fire Department. In September 2011, this agreement was extended to include the City of North Lauderdale's Public Works Department. Under this agreement the City of Tamarac provides in-house and contracted service for preventative maintenance and repair services to North Lauderdale's vehicles and equipment, to include the provision of recommendations on replacement cycles of vehicles and equipment serviced under the agreement. The City of North Lauderdale is charged an annual fee for preventative maintenance and additional charges for all unscheduled repairs to include the cost for labor and parts. The agreement is effective for one (1) year beginning October 1, 2013 for two years with a two (2) year renewal but may be terminated by each party with the provision of sixty (60) days' notice of the intention to terminate. The City recorded revenue of $191,173 under this contract for the fiscal year ended September 30, 2015.

5. Golf Course Management Agreement

On October 24, 2013 the City entered into a Management Agreement with Billy Casper Golf LLC for the Management and operation of the Colony West Golf Course. The agreement is for an initial term of five (5) years beginning November 1, 2013 with one five (5) year renewal. The initial annual agreement requires a base management fee of $7,333 per month and an incentive fee of 15% of positive Net Operating Income in excess of $1 for fiscal years 2014 and 2015. Thereafter the incentive fee will be 15% of positive Net Operating Income in excess of $150,000 but not more that 100% of Base Management Fees paid for the fiscal year. Management fees total $97,309 for fiscal year 2015.

NOTE 15. SUBSSEQUENT EVENTS

On November 12, 2015 the City entered into a lease agreement with Banc of America Public Capital Corp. to finance acquisition of a Horton Ambulance/Rescue vehicle in the amount of $277,912. The lease is collateralized by the related equipment. The lease requires ten semi-annual payments of $29,260, including principal and interest accruing at 1.90% beginning May 12, 2016 through November 12, 2020. Gross amount of assets acquired was $277,912.

On December 10, 2015 the City entered into a lease agreement with Banc of America Public Capital Corp. to finance acquisition of a Horton Ambulance/Rescue vehicle in the amount of $277,912. The lease is collateralized by the related equipment. The lease requires ten semi-annual payments of $29,321, including principal and interest accruing at 1.97% beginning June 10, 2016 through December 10, 2020. Gross amount of assets acquired was $277,912.

REQUIRED SUPPLEMENTARY INFORMATION (OTHER THAN MD&A)

TAMARAC

The City For Your Life

CITY OF TAMARAC, FLORIDA
BUDGETARY COMPARISON SCHEDULE
GENERAL FUND
YEAR ENDED SEPTEMBER 30, 2015

	Budgeted Amounts Original	Budgeted Amounts Final	Actual Amounts Budgetary Basis	Variance with Final Budget Positive (Negative)
Revenues:				
Taxes	$ 31,492,786	$ 31,492,786	$ 32,600,349	$ 1,107,563
Charges for services	1,638,705	1,638,705	2,208,755	570,050
Payment in lieu of taxes	1,857,746	1,857,746	1,857,746	-
Intergovernmental	5,892,430	5,892,430	6,385,042	492,612
Licenses and permits	720,644	720,644	763,315	42,671
Fines and forfeitures	1,922,682	1,922,682	1,778,628	(144,054)
Investment income	168,000	168,000	100,015	(67,985)
Miscellaneous	5,758,737	5,775,239	5,489,650	(285,589)
Total revenues	49,451,730	49,468,232	51,183,500	1,715,268
Expenditures:				
Commission	596,814	662,787	649,486	13,301
City manager	1,536,829	1,580,501	1,432,943	147,558
City attorney	590,580	590,580	547,878	42,702
City clerk	569,378	569,378	454,257	115,121
Human resources	1,106,910	1,133,910	1,062,465	71,445
Finance	2,771,328	2,778,064	2,525,153	252,911
Information technology	2,233,269	2,272,383	1,821,029	451,354
Public works	7,170,089	7,483,756	7,253,474	230,282
Parks and recreation	4,531,580	4,692,165	4,502,411	189,754
Police	14,032,136	14,032,136	13,735,038	297,098
Community development	1,967,152	2,154,445	1,836,751	317,694
Red light camera	1,581,932	1,581,932	893,291	688,641
Non-departmental	2,885,760	2,058,222	1,781,078	277,144
Total expenditures	41,573,757	41,590,259	38,495,254	3,095,005
Excess of revenues over expenditures	7,877,973	7,877,973	12,688,246	4,810,273
Other financing sources (uses):				
Transfers in	2,766,914	2,766,914	2,766,914	-
Transfers out	(10,644,887)	(10,644,887)	(10,644,887)	-
Total other financing (uses)	(7,877,973)	(7,877,973)	(7,877,973)	-
Net change in fund balance	$ -	$ -	4,810,273	$ 4,810,273
Budgetary fund balances, October 1			28,780,913	
Budgetary fund balances, September 30			$ 33,591,186	

See notes to required supplementary information.

CITY OF TAMARAC, FLORIDA
BUDGETARY COMPARISON SCHEDULE
FIRE RESCUE SPECIAL REVENUE FUND
YEAR ENDED SEPTEMBER 30, 2015

	Budgeted Amounts		Actual Amounts	Variance with Final Budget Positive
	Original	Final	Budgetary Basis	(Negative)
Revenues:				
Charges for services	$ 2,167,580	$ 2,167,580	$ 2,278,620	$ 111,040
Intergovernmental	74,990	74,990	68,526	(6,464)
Fire rescue assessment	11,385,195	11,385,195	11,676,053	290,858
Investment income	31,015	31,015	34,408	3,393
Miscellaneous	650,000	1,654,143	2,927	(1,651,216)
Total revenues	14,308,780	15,312,923	14,060,534	(1,252,389)
Expenditures:				
Current:				
Public safety	16,949,183	17,103,346	15,423,672	1,679,674
Debt service:				
Principal retirement	346,844	346,844	278,688	68,156
Interest and fiscal charges	19,048	19,048	15,987	3,061
Capital outlay	1,389,524	1,971,955	617,391	1,354,564
Total expenditures	18,704,599	19,441,193	16,335,738	3,105,455
(Deficiency) of revenues (under) expenditures	(4,395,819)	(4,128,270)	(2,275,204)	1,853,066
Other financing sources (uses):				
Issuance of debt	563,580	1,110,496	546,916	(563,580)
Transfers in	6,379,742	6,379,742	6,379,742	-
Transfers out	(2,547,503)	(3,361,968)	(2,547,503)	814,465
Total other financing sources	4,395,819	4,128,270	4,379,155	250,885
Net change in fund balance	$ -	$ -	2,103,951	$ 2,103,951
Budgetary fund balances, October 1			9,023,542	
Budgetary fund balances, September 30			$ 11,127,493	

See notes to required supplementary information.

CITY OF TAMARAC, FLORIDA

NOTE TO BUDGETARY COMPARISON SCHEDULE
FISCAL YEAR ENDED SEPTEMBER 30, 2015

A. Budgetary Information

The following procedures are used to establish the budgetary data reflected in the financial statements:

Annual budgets are adopted on a basis consistent with accounting principles generally accepted in the United States on all governmental funds except for four (4) special revenue funds: Law Enforcement Forfeiture, Donations and Sponsorship, Street Improvement, and Affordable Housing Assistance Funds.

1. Prior to July 30 of each year, the City Manager submits to the City Commission a proposed operating budget for the fiscal year commencing the following October 1. The operating budget includes proposed expenditures and the means of financing them.

2. Public hearings are held to obtain taxpayer comments.

3. On or before September 30, the budget is legally enacted by the City Commission through passage of an Ordinance pursuant to Florida Statute.

4. The level of control at which expenditures may not exceed the budget is at the departmental level. The City Commission approves these levels annually by Ordinance. The City Manager is authorized to transfer budgeted amounts within individual departments; any revisions that alter the total expenditures of any department must be approved by the City Commission. See the separately issued budgetary report on the General Fund's Statement of Revenues, Expenditures and Changes in Fund – Budget and Actual for the departmental legal level of control.

5. Pursuant to Financial Policy, every appropriation, except an appropriation for Capital Improvement Projects and multi-year grants, shall lapse at the close of the fiscal year to the extent that it has not been expended or encumbered. An appropriation for a Capital Improvement Projects or multi-year grant shall continue in force, i.e. not required to be re-budgeted, until the purpose for which it was made has been accomplished or abandoned; the purpose of any such appropriation shall be deemed abandoned if three (3) years pass without any disbursement from an encumbrance of the appropriation unless extended by action of the City Commission.

6. Budgets are adopted on a basis consistent with accounting principles generally accepted in the United States of America. Annual appropriated budgets are adopted for General, certain Special Revenue, and Debt Service Funds. Project length financial plans and budgets are adopted for the Capital Project Funds.

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

The actuarial assumptions presented below were determined as part of the actuarial valuations at the dates indicated.

	Elected and Appointed and Non-represented Employees' Pension Plan	General Employees' Pension Plan	Police Officers' Pension Plan	Firefighters' Pension Plan
Contribution rates (% of Payroll):				
City*	30.42%	16.63%	N/A***	45.11%
State of Florida*	0.00%	0.00%	N/A***	8.14%
Plan members*	10.00%	7.00%	N/A***	10.50%
Annual pension cost*	$1,553,790	$1,229,098	$633,082	$3,643,602
Contributions made	$2,129,940	$1,465,206	$693,807	$3,783,851
Actuarial valuation date	10/1/2014	10/1/2014	10/1/2014	10/1/2014
Actuarial cost method*	Entry age normal	Entry age normal	Entry age normal	Entry age normal
Amortization method*	Level dollar, closed	Level dollar, closed	Level dollar, closed	Level dollar, closed
Asset Valuation Method	5-year smoothed market	3-year smoothed market	4-year smoothed market	3-year smoothed market
Remaining amortization period*	30 years	30 years	14 years	30 years
Actuarial assumptions:				
Investment rate of return*	7.00%	7.00%	6.75%	7.00%
Projected salary increases*	5.00%	4.00%	N/A	4.00%
Includes inflation at *	3.50%	3.50%	3.00%	3.00%
Cost-of-living adjustments applied	2.00%	None**	None**	2.25%

*Per Actuarial Valuation Report on Actuarial valuation date.

**The General Employees', Police Officers' and Firefighters' plans provide for a 2% cost-of-living adjustment for any year in which the Plan has an actuarial gain. The General Employees' had an actuarial gain for fiscal year 2012 and distributed a COLA in fiscal 2013. The Police Officers' Plan did not have actuarial gains in the current year. The non-represented employees' plan provides a 2% annual cost-of-living adjustment beginning January 1 five years after retirement. The firefighters' plan provides a 2% annual cost-of-living adjustment for participants retiring on or after October 1, 2008 and a 2.25% cost-of-living adjustment for participants retiring on or after March 1, 2007, beginning January 1 three years after retirement.

***There is no payroll for the police officers' plan because it is a closed plan with no active employees. All participants have retired or terminated with vested benefits.

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

Elected and Appointed Officers and Non-Represented Employees' Pension Fund

Schedule of Funding Progress

(1) Actuarial Valuation Date	(2) Actuarial Value of Assets (AVA)	(3) Actuarial Accrued Liability (AAL) - Entry Age	(4) Unfunded Actuarial Accrued Liability (UAAL)(3)-(2)	(5) Funded Ratio (2)/(3)	(6) Covered Payroll	(7) UAAL As % of Covered Payroll (4)/(6)
10/1/04	$ N/A	$ N/A	$ N/A	N/A	$ N/A	N/A
10/1/05	3,685,925	12,112,950	8,427,025	30.5%	3,796,333	221.7%
10/1/06	6,051,404	14,140,443	8,089,039	42.8	4,157,248	194.6%
10/1/07	8,287,371	17,271,459	8,984,088	48.0	4,701,787	191.1%
10/1/08	9,628,373	19,348,956	9,720,583	49.8	4,517,584	215.2%
10/1/09	11,195,853	22,028,355	10,832,502	50.8	4,833,856	224.1%
10/1/10	13,583,013	27,179,851	13,596,838	50.0	5,261,520	258.4%
10/1/11	15,665,465	29,623,846	13,958,381	52.9	4,992,711	279.6%
10/1/12	18,675,782	32,519,617	13,843,835	57.4	5,048,120	274.2%
10/1/13	27,153,986	34,834,394	7,680,408	78.0	4,573,118	167.9%
10/1/14	29,484,473	37,438,710	7,954,237	78.8	6,655,576	119.51%

Schedule of Contributions from Employer

Year ended September 30,	Annual Required Contribution	City Contribution	Percentage Contributed
2005	$ N/A	$ N/A	N/A
2006	1,173,947	1,173,947	100%
2007	924,832	924,832	100%
2008	1,423,538	1,423,538	100%
2009	1,363,166	1,693,211	124%
2010	1,582,317[1]	2,356,704	149%
2011	1,763,595[1]	1,958,980	111%
2012	1,805,889[1]	2,211,719	122%
2013	1,777,424[1]	2,278,870	128%
2014	1,545,220[1]	2,129,940	138%
2015	2,024,744[1]	2,129,940	105%

(1) Annual Required Contribution as stated in Actuarial Valuation. Actual Annual Required Contribution based on % of actual payroll was $1,979,591 for FY2010 with Percentage Contributed at 119%, $1,958,980 for FY2011 with Percentage Contributed at 100%, $2,211,719 for FY2012 with Percentage Contributed at 100%, $2,278,870 for FY2013 with Percentage Contributed at 100%, $2,129,940 for FY2014 with Percentage Contributed at 100%, and $1,969,446 for FY2015 with 108% contributed.

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

Elected and Appointed Officers and Non-Represented Employees' Pension Fund

SCHEDULE OF CHANGES IN THE CITY'S NET PENSION LIABILITY AND RELATED RATIOS

LAST TWO FISCAL YEARS

	2015	2014
Total pension liability		
Service Cost	1,320,865	1,042,508
Interest	3,123,686	2,553,550
Changes of benefit terms	-	-
Differences between expected and actual experience	(1,255,372)	(546,091)
Changes of assumptions	(1,852,845)	-
Benefit payments, including refunds of member contributions	(908,052)	(863,463)
Net change in total pension liability	428,282	2,186,504
Total pension liability - beginning	33,477,609	31,291,105
Total pension liability - ending (a)	33,905,891	33,477,609
Plan fiduciary net position		
Contributions - employer	2,129,940	2,129,940
Contributions - members	735,600	630,346
Net investment income	(83,009)	2,479,375
Benefit payments, including refunds of member contributions	(908,052)	(863,463)
Administrative expense	(33,063)	(31,033)
Other	-	-
Net change in plan fiduciary net position	1,841,416	4,345,165
Plan fiduciary net position - beginning	32,481,032	28,135,867
Plan fiduciary net position - ending (b)	34,322,448	32,481,032
City's net pension liability - ending (a) - (b)	(416,557)	996,577
Plan fiduciary net position as a percentage of the total pension liability	101.23%	97.02%
Covered-employee payroll	6,474,181	6,303,446
City's net pension liability as a percentage of covered-employee payroll	-6.43%	15.81%

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

Elected and Appointed Officers and Non-Represented Employees' Pension Fund

Historical Trend Information

Measurement Date	Total Pension Liability	Fiduciary Net Position	Net Pension Liability	Funded Percentage	Covered Payroll	Net Pension Liability as a % of Covered Payroll
September 30,2015	$33,905,891	$34,322,448	$(416,557)	101.23%	$6,655,576	Not Applicable
September 30, 2014	$33,447,609	$32,481,032	$996,557	97.02%	$4,573,118	21.79%
September 30, 2013	$31,291,105	$28,135,867	$3,155,238	89.92%	$4,573,118	69.00%
October 1, 2012	$32,519,617	$18,675,782	$13,843,835	57.43%	$5,048,120	274.24%
October 1, 2011	$29,623,846	$15,665,465	$13,958,381	52.88%	$4,992,711	279.58%
October 1, 2010	$27,179,851	$13,583,013	$13,596,838	49.97%	$5,261,520	258.42%
October 1, 2009	$22,028,355	$11,195,853	$10,832,502	50.82%	$4,833,856	224.10%
October 1, 2008	$19,348,956	$9,628,373	$9,720,583	49.76%	$4,517,584	215.17%
October 1, 2007	$17,271,459	$8,287,371	$8,984,088	47.98%	$4,701,787	191.08%
October 1, 2006	$14,140,443	$6,051,404	$8,089,039	42.80%	$4,157,248	194.58%

Fiscal Year End	(1) Actuarially Determined Contribution	(2) Contributions Recognized By the Plan	(3) Difference Between (1) and (2)	Covered Payroll	Column (3) as a % of Covered Payroll
September 30, 2015	$2,129,940	$2,129,940	$0	$6,655,576	32.00%
September 30, 2014	$2,129,940	$3,111,821	$981,881	$4,573,118	68.05%
September 30, 2013	$2,278,870	$2,278,870	$0	$5,048,120	45.14%
September 30, 2012	$2,211,719	$2,211,719	$0	$4,992,711	44.30%
September 30, 2011	$1,958,981	$1,958,981	$0	$5,261,520	37.23%
September 30, 2010	$1,979,599	$1,979,599	$0	$4,833,856	40.95%
September 30, 2009	$1,363,166	$1,363,166	$0	$4,517,584	30.17%
September 30, 2008	$1,291,224	$1,291,224	$0	$4,701,787	27.46%
September 30, 2007	$896,423	$896,423	$0	$4,157,248	21.56%
September 30, 2006	$1,637,317	$1,637,317	$0	$3,796,333	43.13%

	2015
Annual money-weighted rate of return, net of investment expense	5.48%

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

General Employees' Pension Fund

Schedule of Funding Progress

(1) Actuarial Valuation Date	(2) Actuarial Value of Assets (AVA)	(3) Actuarial Accrued Liability (AAL) - Entry Age	(4) Unfunded Actuarial Accrued Liability (UAAL)(3)-(2)	(5) Funded Ratio (2)/(3)	(6) Covered Payroll	(7) UAAL As % of Covered Payroll (4)/(6)
10/1/04	$ 16,827,267	$ 23,160,488	$ 6,333,221	72.7%	$ 6,087,937	104.0%
10/1/05	18,743,212	21,799,510	3,056,298	86.0	5,460,339	56.0%
10/1/06	20,634,647	26,352,967	5,718,320	78.3	6,278,039	91.1%
10/1/07	23,422,600	28,221,518	4,798,918	83.0	6,189,215	77.5%
10/1/08	24,439,985	30,788,532	6,348,547	79.4	6,222,769	102.0%
10/1/09	25,078,465	31,414,192	6,335,727	79.8	6,544,201	96.8%
10/1/10	26,016,099	33,372,754	7,356,655	78.0	6,275,679	117.2%
10/1/11	27,593,467	34,959,304	7,365,837	78.9	6,411,284	114.9%
10/1/12	30,847,453	36,783,487	5,936,034	83.9	6,591,390	90.06%
10/1/13	34,486,870	38,833,330	4,346,460	88.8	6,495,689	66.91%
10/1/14	38,990,182	40,643,050	1,652,868	95.9	6,599,222	25.05%

Schedule of Contributions from Employer

Year ended September 30,	Annual Required Contribution	City Contribution	Percentage Contributed
2005	$ 1,089,674	$ 1,077,311	99%
2006	788,126	759,534	96%
2007	1,473,927	1,454,833	99%
2008	1,272,374	1,210,466	95%
2009	1,508,999	1,556,604	103%
2010	1,511,787[1]	1,832,030	121%
2011	1,540,679[1]	1,732,015	112%
2012	1,560,203[1]	1,775,842	114%
2013	1,348,136[1]	1,560,203	116%
2014	1,225,889[1]	1,465,206	120%
2015	1,097,500[1]	1,465,206	134%

(1) Annual Required Contribution as stated in Actuarial Valuation. Actual Annual Required Contribution based on % of actual payroll was $1,831,544 for FY2010 with Percentage Contributed at 100%, $1,732,015 for FY2011 with Percentage Contributed at 100%, $1,770,776 with Percentage Contributed at just over 100%, $1,532,135 for FY2013 with Percentage Contributed at 102%, $1,465,206 for FY2014 with Percentage Contributed at 100% and $1,348,942 for FY2015 with Percentage Contributed at 109%.

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

General Employees' Pension Fund

SCHEDULE OF CHANGES IN THE CITY'S NET PENSION LIABILITY AND RELATED RATIOS

LAST TWO FISCAL YEARS

	2015	2014
Total pension liability		
Service Cost	1,385,451	1,327,370
Interest	2,837,828	2,713,538
Changes of benefit terms	(258,593)	-
Differences between expected and actual experience	(1,062,957)	(295,017)
Changes of assumptions	857,017	-
Benefit payments, including refunds of member contributions	(1,849,346)	(1,703,250)
Net change in total pension liability	1,909,400	2,042,641
Total pension liability - beginning	41,898,648	39,856,007
Total pension liability - ending (a)	43,808,048	41,898,648
Plan fiduciary net position		
Contributions - employer	1,465,206	1,465,206
Contributions - members	567,806	543,026
Net investment income	(1,451,074)	3,882,084
Benefit payments, including refunds of member contributions	(1,849,346)	(1,703,250)
Administrative expense	(54,869)	(56,132)
Other	-	-
Net change in plan fiduciary net position	(1,322,277)	4,130,934
Plan fiduciary net position - beginning	42,931,074	38,800,140
Plan fiduciary net position - ending (b)	41,608,797	42,931,074
City's net pension liability - ending (a) - (b)	2,199,251	(1,032,426)
Plan fiduciary net position as a percentage of the total pension liability	94.98%	102.46%
Covered-employee payroll	8,111,500	7,764,738
City's net pension liability as a percentage of covered-employee payroll	27.11%	-13.30%

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

General Employees' Pension Fund

Historical Trend Information

Measurement Date	Total Pension Liability	Fiduciary Net Position	Net Pension Liability	Funded Percentage	Covered Payroll	Net Pension Liability as a % of Covered Payroll
September 30, 2015	$43,808,048	$41,608,797	$2,199,251	94.98%	$6,599,222	33.33%
September 30,2014	$41,898,648	$42,931,074	$(1,032,426)	102.46%	$6,495,689	Not Applicable
September 30, 2013	$39,856,007	$38,800,140	$1,055,867	97.35%	$6,495,689	16.25%
October 1, 2012	$36,783,487	$30,847,453	$5,936,034	83.86%	$6,591,390	90.06%
October 1, 2011	$34,959,304	$27,593,467	$7,365,837	78.93%	$6,411,284	114.89%
October 1, 2010	$33,372,754	$26,016,099	$7,356,655	77.96%	$6,275,679	117.22%
October 1, 2009	$31,414,192	$25,078,465	$6,335,727	79.83%	$6,544,201	96.81%
October 1, 2008	$30,788,532	$24,439,985	$6,348,547	79.38%	$6,222,769	102.02%
October 1, 2007	$28,221,518	$23,422,600	$4,798,918	83.00%	$6,189,215	77.54%
October 1, 2006	$26,352,967	$20,634,647	$5,718,320	78.30%	$6,278,039	91.08%
October 1, 2005	$21,799,510	$18,743,212	$3,056,298	85.98%	$5,460,339	55.97%
October 1, 2004	$23,160,488	$16,827,267	$6,333,221	72.66%	$6,087,937	104.03%

HISTORICAL TREND INFORMATION *(continued)*

Fiscal Year End	(1) Actuarially Determined Contribution	(2) Contributions Recognized By the Plan	(3) Difference Between (1) and (2)	Covered Payroll	Column (3) as a % of Covered Payroll
September 30, 2015	$1,348,945	$1,465,206	$116,261	$6,599,222	22.20%
September 30, 2014	$1,465,206	$1,465,206	$0	$6,495,689	22.56%
September 30, 2013	$1,560,203	$2,374,746	$814,543	$6,591,390	36.03%
September 30, 2012	$1,775,842	$1,775,842	$0	$6,411,284	27.70%
September 30, 2011	$1,732,015	$1,732,015	$0	$6,275,679	27.60%
September 30, 2010	$1,832,030	$1,832,030	$0	$6,544,201	27.99%
September 30, 2009	$1,400,328	$1,400,328	$0	$6,222,769	22.50%
September 30, 2008	$1,170,202	$1,170,202	$0	$6,189,215	18.91%
September 30, 2007	$1,406,440	$1,406,440	$0	$6,278,039	22.40%
September 30, 2006	$734,269	$734,269	$0	$5,460,339	13.45%

	2015
Annual money-weighted rate of return, net of investment expense	3.93%

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

Police Officers' Pension Fund

Schedule of Funding Progress

(1) Actuarial Valuation Date	(2) Actuarial Value of Assets (AVA)	(3) Actuarial Accrued Liability (AAL) - Entry Age	(4) Unfunded Actuarial Accrued Liability (UAAL)(3)-(2)	(5) Funded Ratio (2)/(3)	(6) Covered Payroll	(7) UAAL As % of Covered Payroll (4)/(6)
10/1/04	$ 8,598,813	$ 11,336,920	$ 2,738,107	75.8%	$ 226,090	1,211.1%
10/1/05	8,326,320	11,119,704	2,793,384	74.9	80,391	3,474.7%
10/1/06	8,466,037	11,172,170	2,706,133	75.8	92,805	2,915.9%
10/1/07	8,755,871	11,182,761	2,426,890	78.3	0	N/A
10/1/08	8,414,770	10,919,691	2,504,921	77.1	0	N/A
10/1/09	7,381,283	11,029,438	3,648,155	66.9	0	N/A
10/1/10	6,987,165	10,934,493	3,947,328	63.9	0	N/A
10/1/11	5,917,212	10,774,685	4,857,473	54.9	0	N/A
10/1/12	5,422,607	10,527,937	5,105,330	51.5	0	N/A
10/1/13	5,242,285	10,748,096	5,505,811	48.8	0	N/A
10/1/14	5,103,979	10,973,395	5,869,416	46.5	0	N/A

Schedule of Contributions from Employer and Other Contributing Parties

Year ended September 30,	Annual Required Contribution	City Contribution	State Contribution	Percentage Contributed
2005	$ 270,107	$ 36,233	$ 375,378	152%
2006	268,566	34,962	381,440	155%
2007	280,740	46,866	442,849	174%
2008	238,889	5,015	505,905	214%
2009	247,146	10,215	233,874	99%
2010	364,182	130,308	233,874	100%
2011	400,226	166,352	233,874	100%
2012	523,338	289,464	233,874	100%
2013	568,740	334,866	233,874	135%
2014	634,005	400,131	233,874	100%
2015	693,807	459,933	233,874	100%

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

Police Officers' Pension Fund

SCHEDULE OF CHANGES IN THE CITY'S NET PENSION LIABILITY AND RELATED RATIOS

LAST TWO FISCAL YEARS

	2015	2014
Total pension liability		
Service Cost	-	-
Interest	704,633	689,432
Changes of benefit terms	-	-
Differences between expected and actual experience	604,430	-
Changes of assumptions	-	-
Benefit payments, including refunds of member contributions	(1,068,771)	(1,068,563)
Net change in total pension liability	240,292	(379,131)
Total pension liability - beginning	10,368,965	10,748,096
Total pension liability - ending (a)	10,609,257	10,368,965
Plan fiduciary net position		
Contributions - employer	693,807	634,005
Contributions - members	-	-
Net investment income	24,495	379,485
Benefit payments, including refunds of member contributions	(1,068,771)	(1,068,563)
Administrative expense	(67,343)	(57,817)
Other	-	-
Net change in plan fiduciary net position	(417,812)	(112,890)
Plan fiduciary net position - beginning	5,246,701	5,359,591
Plan fiduciary net position - ending (b)	4,828,889	5,246,701
City's net pension liability - ending (a) - (b)	5,780,368	5,122,264
Plan fiduciary net position as a percentage of the total pension liability	45.52%	50.60%
Covered-employee payroll	-	-
City's net pension liability as a percentage of covered-employee payroll	N/A	N/A

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

Police Officers' Pension Fund

Historical Trend Information

Measurement Date	Total Pension Liability	Fiduciary Net Position	Net Pension Liability	Funded Percentage	Covered Payroll	Net Pension Liability as a % of Covered Payroll
September 30, 2015	$10,609,257	$4,828,889	$5,780,368	45.52%	$0	N/A
September 30, 2014	$10,368,965	$5,246,701	$5,122,264	50.60%	$0	N/A
September 30, 2013	$10,748,096	$5,242,285	$5,505,811	48.77%	$0	N/A
October 1, 2012	$10,527,937	$5,422,607	$5,105,330	51.51%	$0	N/A
October 1, 2011	$10,774,685	$5,917,212	$4,857,473	54.92%	$0	N/A
October 1, 2010	$10,934,493	$6,987,165	$3,947,328	63.90%	$0	N/A
October 1, 2009	$11,029,438	$7,381,283	$3,648,155	66.92%	$0	N/A
October 1, 2008	$10,919,691	$8,414,770	$2,504,921	77.06%	$0	N/A
October 1, 2007	$11,182,761	$8,755,871	$2,426,890	78.30%	$0	N/A
October 1, 2006	$11,172,170	$8,466,037	$2,706,133	75.78%	$92,805	2915.93%
October 1, 2005	$11,119,704	$8,326,320	$2,793,384	74.88%	$80,391	3474.75%
October 1, 2004	$11,336,920	$8,598,813	$2,738,107	75.85%	$226,090	1211.07%

Historical Trend Information

Fiscal Year End	(1) Actuarially Determined Contribution	(2) Contributions Recognized By the Plan	(3) Difference Between (1) and (2)	Covered Payroll	Column (3) as a % of Covered Payroll
September 30, 2015	$693,807	$693,807	$0	$0	N/A
September 30, 2014	$634,005	$634,005	$0	$0	N/A
September 30, 2013	$568,740	$568,740	$0	$0	N/A
September 30, 2012	$523,338	$523,338	$0	$0	N/A
September 30, 2011	$400,226	$400,226	$0	$0	N/A
September 30, 2010	$364,182	$364,182	$0	$0	N/A
September 30, 2009	$247,146	$247,146	$0	$0	N/A
September 30, 2008	$238,889	$238,889	$0	$0	N/A
September 30, 2007	$280,740	$280,740	$0	$0	N/A
September 30, 2006	$268,566	$268,566	$0	$0	N/A

	2015
Annual money-weighted rate of return, net of investment expense	6.75%

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS

(Unaudited)

Firefighters' Pension Fund

Schedule of Funding Progress

(1) Actuarial Valuation Date	(2) Actuarial Value of Assets (AVA)	(3) Actuarial Accrued Liability (AAL) - Entry Age	(4) Unfunded Actuarial Accrued Liability (UAAL)(3)-(2)	(5) Funded Ratio (2)/(3)	(6) Covered Payroll	(7) UAAL As % of Covered Payroll (4)/(6)
10/1/04	$ 21,969,095	$ 35,242,773	$ 13,273,678	62.3%	$ 5,706,950	232.6%
10/1/05	26,370,033	39,185,356	12,815,323	67.3	5,793,827	221.2%
10/1/06	30,210,509	43,488,781	13,278,272	69.5	5,356,655	247.9%
10/1/07	34,978,331	50,390,174	15,411,843	69.4	6,815,386	226.1%
10/1/08	37,279,328	55,016,609	17,737,281	67.8	6,721,811	263.9%
10/1/09	39,571,421	61,732,038	22,160,662	64.1	6,839,210	324.0%
10/1/10	41,934,384	66,529,729	24,595,345	63.0	6,971,283	352.8%
10/1/11	45,934,902	72,534,525	26,599,623	63.3	7,390,906	359.9%
10/1/12	51,957,118	77,521,376	25,564,258	67.0	7,077,620	361.2%
10/1/13	59,013,538	82,274,811	23,261,273	71.7	6,911,704	336.6%
10/1/14	68,397,540	85,828,238	17,430,698	79.7	7,333,643	237.7%

Schedule of Contributions from Employer and Other Contributing Parties

Year ended September 30,	Annual Required Contribution	City Contribution	State Contribution	Percentage Contributed
2005	$ 2,177,432	$ 1,875,217	$ 405,609	105%
2006	2,114,870	1,776,532	436,987	105%
2007	2,335,191	1,840,192	607,139	105%
2008	3,073,819	2,369,256	688,142	99%
2009	3,291,348	2,638,716	599,378	98%
2010	3,585,160[1]	3,927,689	577,192	126%
2011	3,865,619[1]	3,709,823	593,971	111%
2012	4,202,764[1]	4,073,426	592,148	111%
2013	3,825,301[1]	3,459,317	616,524	107%
2014	3,635,993[1]	3,295,745	636,651	108%
2015	3,308,440[1]	3,179,240	735,600	118%

Annual Required Contribution as stated in Actuarial Valuation. Actual Annual Required Contribution based on % of actual payroll was $3,907,085 for FY2010 with Percentage Contributed at 115%, $4,302,532 for FY2011 with Percentage Contributed at 100%, $4,432,477 for FY2012 with 105% Contributed, and $4,067,008 for FY2013 with 100% Contributed, $3,295,745 for FY2014 with 100% Contributed and $3,526,759 for FY2015 with 111% Contributed.

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

Firefighters' Pension Fund

LAST TWO FISCAL YEARS

	2015	2014
Total pension liability		
Service Cost	2,486,578	2,369,205
Interest	6,292,030	5,588,496
Changes of benefit terms	-	-
Differences between expected and actual experience	(2,722,163)	(397,442)
Changes of assumptions	1,052,078	-
Benefit payments, including refunds of member contributions	(4,046,517)	(2,909,521)
Net change in total pension liability	3,062,006	4,650,738
Total pension liability - beginning	92,566,887	87,916,149
Total pension liability - ending (a)	95,628,893	92,566,887
Plan fiduciary net position		
Contributions - employer	3,783,852	3,932,396
Contributions - members	820,904	784,835
Net investment income	(1,936,549)	8,455,590
Benefit payments, including refunds of member contributions	(4,046,517)	(2,909,521)
Administrative expense	(58,957)	(110,635)
Other	-	-
Net change in plan fiduciary net position	(1,437,267)	10,152,665
Plan fiduciary net position - beginning	81,074,172	70,921,507
Plan fiduciary net position - ending (b)	79,636,905	81,074,172
City's net pension liability - ending (a) - (b)	15,991,988	11,492,715
Plan fiduciary net position as a percentage of the total pension liability	83.28%	87.58%
Covered-employee payroll	7,818,131	7,474,618
City's net pension liability as a percentage of covered-employee payroll	204.55%	153.76%

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

Firefighters' Pension Fund

Historical Trend Information

Measurement Date	Total Pension Liability	Fiduciary Net Position	Net Pension Liability	Funded Percentage	Covered Payroll	Net Pension Liability as a % of Covered Payroll
September 30,2015	$95,628,893	$79,636,905	$15,991,988	83.28%	$7,333,643	218.06%
September 30, 2014	$92,566,887	$81,074,172	$11,492,715	8758%	$6,911,704	166.28%
September 30, 2013	$87,916,149	$70,921,507	$16,994,642	80.67%	$6,911,704	245.88%
October 1, 2012	$77,521,376	$51,957,118	$25,564,258	67.02%	$7,077,620	361.20%
October 1, 2011	$72,534,525	$45,934,902	$26,599,623	63.33%	$7,390,906	359.90%
October 1, 2010	$66,529,729	$41,934,384	$24,595,345	63.03%	$6,971,283	352.81%
October 1, 2009	$61,732,083	$39,571,421	$22,160,662	64.10%	$6,839,210	324.02%
October 1, 2008	$55,016,609	$37,279,328	$17,737,281	67.76%	$6,721,811	263.88%
October 1, 2007	$50,390,174	$34,978,331	$15,411,843	69.41%	$6,815,386	226.13%
October 1, 2006	$43,488,781	$30,210,509	$13,278,272	69.47%	$5,356,655	247.88%
October 1, 2005	$39,185,356	$26,370,033	$12,815,323	67.30%	$5,793,827	221.19%

Historical Trend Information

Fiscal Year End	(1) Actuarially Determined Contribution	(2) Contributions Recognized By the Plan	(3) Difference Between (1) and (2)	Covered Payroll	Column (2) as a % of Covered Payroll
September 30, 2015	$3,783,852	$3,783,852	$0	$7,333,643	51.60%
September 30, 2014	$3,932,396	$5,701,022	$1,768,626	$6,911,704	82.48%
September 30, 2013	$4,075,841	$4,075,841	$0	$7,077,620	57.59%
September 30, 2012	$4,432,471	$4,432,471	$0	$7,390,906	59.97%
September 30, 2011	$4,302,532	$4,302,532	$0	$6,971,283	61.72%
September 30, 2010	$3,871,068	$3,871,068	$0	$6,839,210	56.60%
September 30, 2009	$3,188,989	$3,188,989	$0	$6,721,811	47.44%
September 30, 2008	$2,948,608	$2,948,608	$0	$6,815,386	43.26%
September 30, 2007	$2,547,399	$2,547,399	$0	$5,356,655	47.56%
September 30, 2006	$2,130,222	$2,130,222	$0	$5,793,827	36.77%

	2015
Annual money-weighted rate of return, net of investment expense	4.47%

City of Tamarac, Florida
EMPLOYEES' PENSION FUNDS

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS, EMPLOYER CONTRIBUTIONS, CHANGES IN NET PENSION LIABILITY AND RELATED RATIOS
(Unaudited)

City of Tamarac Other Post Employment Benefits (OPEB)

Schedule of Funding Progress

(1)	(2)	(3)	(4)	(5)	(6)	(7)
Actuarial Valuation Date	Actuarial Value of Assets (AVA)	Actuarial Accrued Liability (AAL) - Entry Age	Unfunded Actuarial Accrued Liability (UAAL)(3)-(2)	Funded Ratio (2)/(3)	Covered Payroll	UAAL As % of Covered Payroll (4)/(6)
10/1/07	$ -	$1,250,000	$1,250,000	0%	$19,762,000	6.3%
10/1/08	$ -	1,041,000	1,041,000	0	18,633,000	5.6%
10/1/10	$ -	1,041,000	1,041,000	0	18,633,000	5.6%
10/1/11	$ -	2,092,000	2,092,000	0	20,127,000	10.4%
10/1/12	$ -	2,009,000	2,009,000	0	21,322,000	9.4%
10/1/15	$ -	1,957,000	1,957,000	0	20,539,000	9.5%

Schedule of Contributions from Employer

Year ended September 30,	Annual Required Contribution	City Contribution	Percentage Contributed
2008	$ 107,000	$ 58,267	54%
2009	140,000	52,374	37%
2010	140,000	37,687	27%
2011	267,000	69,591	26%
2012	270,000	65,573	24%
2013	271,000	75,700	28%
2014	276,000	12,640	5%
2015	254,000	18,160	7%

TAMARAC

The City For Your Life

COMBINING FINANCIAL STATEMENTS

TAMARAC

The City For Your Life

NONMAJOR GOVERNMENTAL FUNDS

Special Revenue Funds

Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditures for specified purposes other than debt service or capital projects.

Impact Fee Funds: Consist of: **Drainage Improvement Fund** – used to account for the collection of drainage impact fees to be used for upgrading drainage and drainage retention. **Parks and Recreation Improvement Fund** –used to account for the collection of parks and recreation impact fees to be used for the acquisition and development of park and recreation facilities and sites. **Trafficways Improvement Fund** – used to account for the collection of impact fees to be used for construction or improvement of roads, streets, highways and bridges. **Affordable Housing Impact Fees** – used to account for the collection of impact fees used for the benefit of the provision of affordable housing.

Law Enforcement Forfeiture Fund – to account for law enforcement related projects funded by the proceeds from forfeited confiscated property.

Public Arts Fund – to account for all contributions received from art fees, grants, donations that are restricted for public art projects within the City.

Local Option Gas Tax Fund – to account for the collection of gas taxes used to fund the construction of new roads and sidewalks, intersection improvements and improvements of the City's existing transportation network.

Building Department Fund – to account for the collection of permit fees, inspection fees, and other fees and charges, and for the operational expenditures related to the Building Department.

Housing Grants: Consist of :-Community Development Block Grant Program Fund – used to account for revenue from a grant agreement between the City and the U.S. Department of Housing and Urban Development and expenditures for qualified neighborhood revitalization. The program includes expenditures for housing rehabilitation and public service programs. **State Housing Initiative Partnership** –used to account for funds received from the State Housing Initiatives Partnership for the purpose of providing affordable housing in the City. **Neighborhood Stabilization Program** –used to account for funds received from the U.S. Department of Housing and Urban Development to address foreclosures and abandoned properties within the City.

Donations and Sponsorship Fund – to account for private donations and sponsorships received from citizens and corporate businesses.

Streetscape Improvement Fund – to account for the collection of investment income to be used for public roadways including curbage and medians.

State Affordable Housing Assistance Fund – to account for loan programs financed by the State Housing Initiative Partnership grant.

Debt Service Fund

Debt Service Fund – to account for the accumulation of transfers from other funds and payment of principal and interest and fiscal charges on the City's general obligation bonds which are payable from ad valorem taxes and the City's revenue bonds (Street Improvement Program) which are payable from sales tax revenue and non-ad valorem revenues appropriated by the City.

Capital Projects Funds

Public Service Facilities Construction Fund – to account for the proceeds from the Series 2002 Sales Tax Revenue Bonds and impact fees used for the acquisition and construction of capital projects which includes the purchase of land, street improvements, the construction of a fire station, and a development service building.

2005 Capital Improvement Projects Fund – to account for the proceeds from the Series 2005 Capital Improvement Revenue Bonds used for various construction projects including the Sports Complex Expansion and the Recreation center Demolition/Construction.

Capital Equipment Fund – to budget for and fund purchases of governmental fund vehicles and equipment.

Corridor Improvement Fund – to budget for and fund purchases of governmental fund execution of arterial corridor study results, specifically sound walls, entryway signage, and streetscape improvements.

TAMARAC

The City For Your Life

CITY OF TAMARAC, FLORIDA
COMBINING BALANCE SHEET
NONMAJOR GOVERNMENTAL FUNDS
SEPTEMBER 30, 2015

	Special Revenue									
	Law Enforcement Trust-State	Law Enforcement Trust-Federal	Impact Fee Funds	Public Arts	Local Option Gas Tax	Building Department	Housing Grant Programs	Donations and Sponsorship	Streetscape Improvements	State Affordable Housing Assistance
ASSETS										
Cash and equity in pooled cash	$ 242,554	$ 57,613	$ 195,526	$ 1,395,677	$ 408,209	$ 1,962,238	$ 172,304	$ 38,391	$ 455,085	$ -
Investments	104,494	22,392	81,357	598,603	162,339	815,429	167,937	15,301	197,793	-
Accounts receivable - net	-	-	-	-	-	-	-	-	-	353,009
Due from other governments	-	2,705	-	-	-	-	298,831	-	-	-
Inventories	-	-	-	-	-	-	97,855	-	-	-
Total assets	$ 347,048	$ 82,710	$ 276,883	$ 1,994,280	$ 570,548	$ 2,777,667	$ 736,927	$ 53,692	$ 652,878	$ 353,009
LIABILITIES										
Accounts payable	$ -	$ -	$ -	$ 2,525	$ 70,605	$ 18,020	$ 11,634	$ -	$ -	$ -
Accrued liabilities	-	-	-	-	-	100,008	5,131	-	-	-
Accrued bonds and interest payable	-	-	-	-	-	-	-	-	-	-
Due to other governments	-	-	-	-	-	1,380	-	-	-	-
Customer deposits	-	-	-	-	-	501,604	-	-	-	-
Unearned revenues	-	-	-	-	-	-	333,405	-	-	-
Total liabilities	-	-	-	2,525	70,605	621,012	350,170	-	-	-
FUND BALANCES										
Non spendable:										
Inventories and prepayments	-	-	-	-	-	-	97,854	-	-	-
Long-term receivable	-	-		-	-	-	-	-	-	353,009
Restricted for:										
Public safety	347,048	82,710	-	-	-	2,156,655	-	-	-	-
Transportation	-	-	-	-	499,943	-	-	-	-	-
Debt service	-	-	-	-	-	-	-	-	-	-
Economic development	-	-	276,883	1,190,605	-	-	288,903	53,692	-	-
Capital projects	-	-	-	681,000	-	-	-	-	652,878	-
Assigned:										
Economic development	-	-	-	-	-	-	-	-	-	-
Capital projects	-	-	-	-	-	-	-	-	-	-
Commited for:										
Capital projects	-	-	-	120,150	-	-	-	-	-	-
Total fund balances	347,048	82,710	276,883	1,991,755	499,943	2,156,655	386,757	53,692	652,878	353,009
Total liabilities and fund balances	$ 347,048	$ 82,710	$ 276,883	$ 1,994,280	$ 570,548	$ 2,777,667	$ 736,927	$ 53,692	$ 652,878	$ 353,009

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA
COMBINING BALANCE SHEET (Continued)
NONMAJOR GOVERNMENTAL FUNDS
SEPTEMBER 30, 2015

	Debt Service Fund	Capital Projects Fund				Total Nonmajor Governmental Funds
	Debt Service Fund	Public Services Facilities Construction	2005 Capital Improvement Projects	Capital Equipment	Corridor Improvement	Total
ASSETS						
Cash and equity in pooled cash	$ 929,885	$ 1,383,872	$ 2,078,198	$ 1,011,513	$ 1,324,694	$ 11,655,759
Investments	400,437	669,137	895,666	439,996	574,719	5,145,600
Accounts receivable - net	-	-	-	-	-	353,009
Due from other governments	-	293,613	-	-	-	595,149
Inventories	-	-	-	-	-	97,855
Total assets	$ 1,330,322	$ 2,346,622	$ 2,973,864	$ 1,451,509	$ 1,899,413	$ 17,847,372
LIABILITIES						
Accounts payable	$ -	$ 45,027	$ 60,280	$ 35,869	$ 31,254	$ 275,214
Accrued liabilities	-	-	-	-	-	105,139
Accrued bonds and interest payable	1,067,944	-	-	-	-	1,067,944
Due to other governments	-	-	-	-	-	1,380
Customer deposits	-	-	-	-	-	501,604
Unearned revenues	-	-	-	-	-	333,405
Total liabilities	1,067,944	45,027	60,280	35,869	31,254	2,284,686
FUND BALANCES						
Non spendable:						
Inventories and prepayments	-	-	-	-	-	97,854
Long-term receivable	-	-	-	-	-	353,009
Restricted for:						
Public safety	-	-	-	-	-	2,586,413
Transportation	-	-	-	-	-	499,943
Debt service	262,378	-	-	-	-	262,378
Economic development	-	-	-	-	-	1,810,083
Capital projects	-	1,442,444	-	-	-	2,776,322
Assigned:						
Economic development	-	-	-	-	1,767,310	1,767,310
Capital projects	-	-	-	1,208,610	-	1,208,610
Commited for:						
Capital projects	-	859,151	2,913,584	207,030	100,849	4,200,764
Total fund balances	262,378	2,301,595	2,913,584	1,415,640	1,868,159	15,562,686
Total liabilities and fund balances	$ 1,330,322	$ 2,346,622	$ 2,973,864	$ 1,451,509	$ 1,899,413	$ 17,847,372

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA
COMBINING STATEMENT OF REVENUES, EXPENDITURES
AND CHANGES IN FUND BALANCES
NONMAJOR GOVERNMENTAL FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Special Revenue									
	Law Enforcement Trust-State	Law Enforcement Trust-Federal	Impact Fee Funds	Public Arts	Local Option Gas Tax	Building Department	Housing Grant Programs	Donations and Sponsorship	Streetscape Improvements	State Affordable Housing Assistance
Revenues:										
Taxes	$ -	$ -	$ -	$ -	$ 391,045	$ -	$ -	$ -	$ -	$ -
Charges for services	-	-	-	242,937	-	-	-	-	-	-
Intergovernmental	53,751	9,807	-	-	-	-	1,110,652	-	-	-
Licenses and permits	-	-	-	-	-	2,905,962	-	-	-	-
Fines and forfeitures	-	-	-	-	-	489,014	-	-	-	-
Investment Income	933	220	499	5,627	3,852	5,986	1,560	158	1,929	-
Donations from private sources	-	-	-	-	-	-	-	15,508	-	-
Program repayment	-	-	-	-	-	-	14,342	-	-	-
Miscellaneous	-	-	193,275	-	-	84,895	-	-	-	-
Total revenues	54,684	10,027	193,774	248,564	394,897	3,485,857	1,126,554	15,666	1,929	-
Expenditures:										
Current:										
Public safety	225	-	-	-	-	1,996,843	-	-	-	-
Transportation	-	-	-	-	-	-	-	-	-	-
Culture and recreation	-	-	-	47,426	-	-	-	-	-	-
Physical environment	-	-	-	-	1,414,685	-	-	-	-	-
Economic environment	-	-	-	-	-	-	1,152,390	-	-	-
Human services	-	-	-	-	-	-	-	12,571	-	-
Debt service:										
Principal retirement	-	-	-	-	-	-	-	-	-	-
Interest and fiscal charges	-	-	-	-	-	-	-	-	-	-
Capital outlay:										
General government	-	-	-	-	-	-	-	-	-	-
Public safety	-	-	-	-	-	-	-	-	-	-
Transportation	-	-	-	-	-	-	-	-	-	-
Physical environment	-	-	-	-	-	-	-	-	-	-
Culture and recreation	-	-	-	32,919	-	-	-	-	-	-
Economic environment	-	-	-	-	-	-	11,941	-	-	-
Total expenditures	225	-	-	80,345	1,414,685	1,996,843	1,164,331	12,571	-	-
Excess (deficiency) of revenues over (under) expenditures	54,459	10,027	193,774	168,219	(1,019,788)	1,489,014	(37,777)	3,095	1,929	-
Other financing sources (uses):										
Transfers in	-	-	-	-	-	-	-	-	-	183,186
Transfers out	-	-	-	-	-	(534,673)	(183,186)	-	-	-
Total other financing sources (uses)	-	-	-	-	-	(534,673)	(183,186)	-	-	183,186
Net change in fund balance	54,459	10,027	193,774	168,219	(1,019,788)	954,341	(220,963)	3,095	1,929	183,186
Fund balances, October 1	292,589	72,683	83,109	1,823,536	1,519,731	1,202,314	607,720	50,597	650,949	169,823
Fund balances , September 30	$ 347,048	$ 82,710	$ 276,883	$ 1,991,755	$ 499,943	$ 2,156,655	$ 386,757	$ 53,692	$ 652,878	$ 353,009

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA

COMBINING STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES
NONMAJOR GOVERNMENTAL FUNDS (Continued)
FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Debt Service Fund	Capital Projects Fund				Total Nonmajor Governmental Funds
	Debt Service Fund	Public Services Facilities Construction	2005 Capital Improvement Projects	Capital Equipment	Corridor Improvement	
Revenues:						
Taxes	$ 260,067	$ -	$ -	$ -	$ -	$ 651,112
Charges for services	-	-	-	-	-	242,937
Intergovernmental	-	293,562	-	-	-	1,467,772
Licenses and permits	-	-	-	-	-	2,905,962
Fines and forfeitures	-	-	-	-	-	489,014
Investment Income	3,081	7,190	9,457	4,081	4,574	49,147
Donations from private sources	-	-	-	-	-	15,508
Program repayment	-	-	-	-	-	14,342
Miscellaneous	-	135	127	-	-	278,432
Total revenues	263,148	300,887	9,584	4,081	4,574	6,114,226
Expenditures:						
Current:						
Public safety	-	-	-	-	-	1,997,068
Transportation	-	100,360	-	-	-	100,360
Culture and recreation	-	-	-	-	-	47,426
Physical environment	-	-	-	-	37,838	1,452,523
Economic environment	-	-	-	-	-	1,152,390
Human services	-	-	-	-	-	12,571
Debt service:						
Principal retirement	1,898,448	-	-	-	-	1,898,448
Interest and fiscal charges	855,296	-	-	-	-	855,296
Capital outlay:						
General government	-	-	-	332,279	-	332,279
Public safety	-	-	778	34,303	-	35,081
Transportation	-	451,634	358,020	66,404	-	876,058
Physical environment	-	-	-	-	82,752	82,752
Culture and recreation	-	-	-	-	-	32,919
Economic environment	-	-	-	-	-	11,941
Total expenditures	2,753,744	551,994	358,798	432,986	120,590	8,887,112
Excess (deficiency) of revenues over (under) expenditures	(2,490,596)	(251,107)	(349,214)	(428,905)	(116,016)	(2,772,886)
Other financing sources (uses):						
Transfers in	2,542,538	-	-	552,000	1,000,000	4,277,724
Transfers out	-	-	-	-	-	(717,859)
Total other financing sources (uses)	2,542,538	-	-	552,000	1,000,000	3,559,865
Net change in fund balance	51,942	(251,107)	(349,214)	123,095	883,984	786,979
Fund balances, October 1	210,436	2,552,702	3,262,798	1,292,545	984,175	14,775,707
Fund balances , September 30	$ 262,378	$ 2,301,595	$ 2,913,584	$ 1,415,640	$ 1,868,159	$ 15,562,686

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA
PUBLIC ARTS FUND
BUDGETARY COMPARISON SCHEDULE
FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Budgeted Amounts Original	Budgeted Amounts Final	Actual Amounts Budgetary Basis	Variance with Final Budget Positive (Negative)
Revenues:				
Charges for services	$ 150,000	$ 150,000	$ 242,937	$ 92,937
Investment income	7,500	7,500	5,627	(1,873)
Miscellaneous	1,342,500	1,342,500	-	(1,342,500)
Total revenues	1,500,000	1,500,000	248,564	(1,251,436)
Expenditures:				
Current:				
Culture / recreation	235,000	292,378	47,426	244,952
Capital Outlay:				
Culture / recreation	1,265,000	1,207,622	32,919	1,174,703
Total expenditures	1,500,000	1,500,000	80,345	1,419,655
Excess of revenues over expenditures	-	-	168,219	168,219
Net change in fund balance	$ -	$ -	168,219	$ 168,219
Fund balances at beginning of year			1,823,536	
Fund balances at end of year			$ 1,991,755	

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA
LOCAL OPTION GAS TAX FUND
BUDGETARY COMPARISON SCHEDULE
FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Budgeted Amounts Original	Budgeted Amounts Final	Actual Amounts Budgetary Basis	Variance with Final Budget Positive (Negative)
Revenues:				
Taxes	$ 369,004	$ 369,004	$ 391,045	$ 22,041
Investment income	-	-	3,852	3,852
Miscellaneous	1,492,140	1,492,140	-	(1,492,140)
Total revenues	1,861,144	1,861,144	394,897	(1,466,247)
Expenditures:				
Current:				
Physical environment	500,000	1,435,964	1,414,685	21,279
Total expenditures	500,000	1,435,964	1,414,685	21,279
Excess of revenues over expenditures	1,361,144	425,180	(1,019,788)	(1,487,526)
Other financing uses:				
Reserves	(1,361,144)	(425,180)	-	425,180
Total other financing uses	(1,361,144)	(425,180)	-	425,180
Net change in fund balance	$ -	$ -	(1,019,788)	$ (1,062,346)
Fund balances at beginning of year			1,519,731	
Fund balances at end of year			$ 499,943	

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA
BUILDING DEPARTMENT FUND
BUDGETARY COMPARISON SCHEDULE
FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Budgeted Amounts Original	Budgeted Amounts Final	Actual Amounts Budgetary Basis	Variance with Final Budget Positive (Negative)
Revenues:				
Licenses and permits	$ 2,247,000	$ 2,247,000	$ 2,905,962	$ 658,962
Fines and forfeitures	140,000	140,000	489,014	349,014
Investment Income	2,000	2,000	5,986	3,986
Miscellaneous	273,375	428,596	84,895	(343,701)
Total revenues	2,662,375	2,817,596	3,485,857	668,261
Expenditures:				
Current:				
Public safety	2,127,702	2,268,136	1,996,843	271,293
Total expenditures	2,127,702	2,268,136	1,996,843	271,293
Excess of revenues over expenditures	534,673	549,460	1,489,014	939,554
Other financing uses:				
Transfers out	(534,673)	(549,460)	(534,673)	14,787
Total other financing uses	(534,673)	(549,460)	(534,673)	14,787
Net change in fund balance	$ -	$ -	954,341	$ 954,341
Fund balances at beginning of year			1,202,314	
Fund balances at end of year			$ 2,156,655	

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA
HOUSING GRANT PROGRAMS FUND
BUDGETARY COMPARISON SCHEDULE
FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Budgeted Amounts Original	Budgeted Amounts Final	Actual Amounts Budgetary Basis	Variance with Final Budget Positive (Negative)
Revenues:				
Intergovernmental	$ 963,061	$ 1,646,061	$ 1,110,652	$ (535,409)
Investment income	-	-	1,560	1,560
Program repayment	-	-	14,342	14,342
Total revenues	963,061	1,646,061	1,126,554	(519,507)
Expenditures:				
Current:				
Economic environment	712,020	1,395,020	1,152,390	242,630
Capital Outlay:				
Economic environment	-	-	11,941	(11,941)
Total expenditures	712,020	1,395,020	1,164,331	230,689
Excess (deficiency) of revenues over expenditures	251,041	251,041	(37,777)	(288,818)
Other financing uses:				
Transfers out	(251,041)	(251,041)	(183,186)	67,855
Net change in fund balance	$ -	$ -	(220,963)	$ (220,963)
Fund balances at beginning of year			607,720	
Fund balances at end of year			$ 386,757	

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA
DEBT SERVICE FUND
BUDGETARY COMPARISON SCHEDULE
FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Budgeted Amounts		Actual Amounts	Variance with Final Budget Positive
	Original	Final	Budgetary Basis	(Negative)
Revenues:				
Taxes	$ 263,045	$ 263,045	$ 260,067	$ (2,978)
Investment income	5,600	5,600	3,081	(2,519)
Total revenues	268,645	268,645	263,148	(5,497)
Expenditures:				
Debt service:				
Principal	1,981,500	1,981,500	1,898,448	83,052
Interest and fiscal charges	829,683	829,683	855,296	(25,613)
Total expenditures	2,811,183	2,811,183	2,753,744	57,439
Deficiency of revenues under expenditures	(2,542,538)	(2,542,538)	(2,490,596)	51,942
Other financing sources:				
Transfers in	2,542,538	2,542,538	2,542,538	-
Total other financing sources	2,542,538	2,542,538	2,542,538	-
Net change in fund balance	$ -	$ -	51,942	$ 51,942
Fund balances at beginning of year			210,436	
Fund balances at end of year			$ 262,378	

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA

PUBLIC SERVICE FACILITIES CONSTRUCTION CAPITAL PROJECTS FUND
SCHEDULE OF REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCES - BUDGET AND ACTUAL
FROM INCEPTION AND FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Prior Years	Current Year	Total to Date	Project Authorization
Revenues:				
Intergovernmental	$ 5,275,020	$ 293,562	$ 5,568,582	$ 4,819,920
Investment income	844,497	7,190	851,687	175,000
Miscellaneous	55,404	135	55,539	2,528,925
Total revenues	6,174,921	300,887	6,475,808	7,523,845
Expenditures:				
Public service	-	-	-	15,045
Transportation	2,988,715	551,994	3,540,709	4,170,999
Physical environment	179,812	-	179,812	-
Culture and recreation	21,599	-	21,599	22,450
Capital improvements	14,632,443	-	14,632,443	17,279,857
Debt service:				
Interest and fiscal charges	395,442	-	395,442	-
Total expenditures	18,218,011	551,994	18,770,005	21,488,351
Deficiency of revenues under expenditures	(12,043,090)	(251,107)	(12,294,197)	(13,964,506)
Other financing sources (uses):				
Proceeds from issuance of debt	13,410,000	-	13,410,000	13,001,070
Transfers in	1,185,792	-	1,185,792	1,185,793
Contingencies	-	-	-	(222,357)
Total other financing sources	14,595,792	-	14,595,792	13,964,506
Net change in fund balances	$ 2,552,702	(251,107)	$ 2,301,595	$ -
Fund balances at beginning of year		2,552,702		
Fund balances at end of year		$ 2,301,595		

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA

2005 CAPITAL IMPROVEMENT PROJECT FUND
SCHEDULE OF REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCES - BUDGET AND ACTUAL
FROM INCEPTION AND FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Prior Years	Current Year	Total to Date	Project Authorization
Revenues:				
Intergovernmental	$ 160,215	$ -	$ 160,215	$ 142,587
Investment income	1,775,830	9,457	1,785,287	40,000
Miscellaneous revenues	-	127	127	4,039,276
Total revenues	1,936,045	9,584	1,945,629	4,221,863
Expenditures:				
General government	4,000	-	4,000	-
Public safety	16,381	778	17,159	465
Transportation	1,276,667	358,020	1,634,687	1,874,465
Culture and recreation	726,515	-	726,515	611,680
Capital improvements	11,681,883	-	11,681,883	17,948,818
Debt service:				
Interest and fiscal charges	395,498	-	395,498	349,803
Total expenditures	14,100,944	358,798	14,459,742	20,785,231
Deficiency of revenues under expenditures	(12,164,899)	(349,214)	(12,514,113)	(16,563,368)
Other financing sources (uses):				
Proceeds from issuance of debt	15,027,697	-	15,027,697	15,000,000
Transfers in	400,000	-	400,000	1,214,465
Reserves	-	-	-	940,000
Contingencies	-	-	-	(591,097)
Total other financing sources	15,427,697	-	15,427,697	16,563,368
Net change in fund balances	$ 3,262,798	(349,214)	$ 2,913,584	$ -
Fund balances at beginning of year		3,262,798		
Fund balances at end of year		$ 2,913,584		

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA

CAPITAL EQUIPMENT FUND

SCHEDULE OF REVENUES, EXPENDITURES AND

CHANGES IN FUND BALANCES - BUDGET AND ACTUAL

FROM INCEPTION AND FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Prior Years	Current Year	Total to Date	Project Authorization
Revenues:				
Intergovernmental	$ -	$ -	$ -	$ 2,782,500
Investment income	14,532	4,081	18,613	-
Miscellaneous revenues	68,373	-	68,373	1,120,554
Total revenues	82,905	4,081	86,986	3,903,054
Expenditures:				
General government	1,074,281	332,279	1,406,560	3,391,067
Public safety	600,262	34,303	634,565	3,983,339
Transportation	158,169	66,404	224,573	113,000
Physical environment	-	-	-	10,000
Total expenditures	1,832,712	432,986	2,265,698	7,497,406
Deficiency of revenues under expenditures	(1,749,807)	(428,905)	(2,178,712)	(3,594,352)
Other financing sources:				
Transfers in	3,042,352	552,000	3,594,352	3,594,352
Total other financing sources	3,042,352	552,000	3,594,352	3,594,352
Net change in fund balances	$ 1,292,545	123,095	$ 1,415,640	$ -
Fund balances at beginning of year		1,292,545		
Fund balances at end of year		$ 1,415,640		

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA

CORRIDOR IMPROVEMENT FUND

SCHEDULE OF REVENUES, EXPENDITURES AND

CHANGES IN FUND BALANCES - BUDGET AND ACTUAL

FROM INCEPTION AND FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Prior Years	Current Year	Total to Date	Project Authorization
Revenues:				
Investment income	$ 1,446	$ 4,574	$ 6,020	$ -
Total revenues	1,446	4,574	6,020	-
Expenditures:				
Physical environment	17,271	120,590	137,861	2,000,000
Total expenditures	17,271	120,590	137,861	2,000,000
Deficiency of revenues under expenditures	(15,825)	(116,016)	(131,841)	(2,000,000)
Other financing sources (uses):				
Transfers in	1,000,000	1,000,000	2,000,000	2,000,000
Total other financing sources	1,000,000	1,000,000	2,000,000	2,000,000
Net change in fund balances	$ 984,175	883,984	$ 1,868,159	$ -
Fund balances at beginning of year		984,175		
Fund balances at end of year		$ 1,868,159		

See accompanying independent auditors' report.

TAMARAC

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MAJOR CAPITAL PROJECTS FUND
BUDGETARY COMPARISON SCHEDULE

TAMARAC

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CITY OF TAMARAC, FLORIDA

GENERAL CAPITAL PROJECTS FUND
SCHEDULE OF REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCES - BUDGET AND ACTUAL
FROM INCEPTION AND FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Prior Years	Current Year	Total to Date	Project Authorization
Revenues:				
Intergovernmental	$ 4,107,617	$ 145,838	$ 4,253,455	$ 6,196,144
Investment income	1,662,936	26,667	1,689,603	445,053
Miscellaneous	544,576	-	544,576	4,532,859
Total revenues	6,315,129	172,505	6,487,634	11,174,056
Expenditures:				
General government	1,484,977	339,588	1,824,565	2,188,006
Public safety	195,329	14,480	209,809	2,010,723
Transportation	2,723,149	261,632	2,984,781	389,416
Physical environment	269,209	32,249	301,458	27,385
Economic environment	-	-	-	280,000
Culture and recreation	3,376,662	214,050	3,590,712	1,914,848
Capital improvements	26,431,785	15,180	26,446,965	44,575,984
Debt service:				
Principal	2,000,000	-	2,000,000	2,000,000
Interest and fiscal charges	246,026	-	246,026	246,026
Total expenditures	36,727,137	877,179	37,604,316	53,632,388
Deficiency of revenues under expenditures	(30,412,008)	(704,674)	(31,116,682)	(42,458,332)
Other financing sources (uses):				
Proceeds from issuance of debt	11,267,414	-	11,267,414	11,267,413
Payment on refunded bond and note	(701,001)	-	(701,001)	(701,001)
Transfers in	31,186,553	-	31,186,553	31,473,024
Transfers out	(1,467,133)	(144,680)	(1,611,813)	(1,535,869)
Reserves	-	-	-	1,954,765
Total other financing sources	40,285,833	(144,680)	40,141,153	42,458,332
Net change in fund balances	$ 9,873,825	(849,354)	$ 9,024,471	$ -
Fund balances at beginning of year		9,873,825		
Fund balances at end of year		$ 9,024,471		

See accompanying independent auditors' report.

CITY OF TAMARAC, FLORIDA

TAMARAC VILLAGE FUND

SCHEDULE OF REVENUES, EXPENDITURES AND

CHANGES IN FUND BALANCES - BUDGET AND ACTUAL

FROM INCEPTION AND FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Prior Years	Current Year	Total to Date	Project Authorization
Revenues:				
Intergovernmental	$ -	$ -	$ -	$ 1,800,000
Investment income	4,084	809	4,893	-
Miscellaneous revenues	1,001	8,735	9,736	934,278
Total revenues	5,085	9,544	14,629	2,734,278
Expenditures:				
General government	108,076	155,993	264,069	200,999
Culture and recreation	571,871	-	571,871	19,503,753
Debt service:				
Principal retirement	-	-	-	13,771,509
Interest and fiscal charges	919,888	212,001	1,131,889	1,282,202
Total expenditures	1,599,835	367,994	1,967,829	34,758,463
Deficiency of revenues under expenditures	(1,594,750)	(358,450)	(1,953,200)	(32,024,185)
Other financing sources (uses):				
Proceeds from issuance of debt	30,391,509	-	30,391,509	36,620,000
Payment on refunded bond and note	(19,087,920)	-	(19,087,920)	(5,316,412)
Transfers in	1,159,000	-	1,159,000	1,159,000
Reserves	-	-	-	(438,403)
Total other financing sources	12,462,589	-	12,462,589	32,024,185
Net change in fund balances	$ 10,867,839	(358,450)	$ 10,509,389	$ -
Fund balances at beginning of year		10,867,839		
Fund balances at end of year		$ 10,509,389		

See accompanying independent auditors' report.

INTERNAL SERVICE FUNDS

Internal service funds are used to account for services provided to other departments or agencies of the government, or to other governments on a cost-reimbursement basis.

Risk Management Fund - The Risk Management Fund is an internal service fund that accounts for the administration of risk management and various insurance premiums. Property and liability insurance and workers' compensation are administered through this fund.

Health Insurance Fund - The Health Insurance Fund is an internal service fund that accounts for employee's health insurance, premiums and claims.

TAMARAC

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CITY OF TAMARAC, FLORIDA
COMBINING STATEMENT OF NET POSITION
INTERNAL SERVICE FUNDS
SEPTEMBER 30, 2015

ASSETS	Risk Management	Health Insurance	Total
Current assets:			
Cash and equity in pooled cash	$ 3,654,814	$ 941,004	$ 4,595,818
Investments	1,583,089	444,101	2,027,190
Accounts receivable - net	-	11,683	11,683
Total current assets	5,237,903	1,396,788	6,634,691
Non-current assets:			
Restricted assets:			
Net Pension Asset	16,663	-	16,663
Capital assets:			
Equipment	15,766	-	15,766
Total capital assets	15,766	-	15,766
Less accumulated depreciation	(15,766)	-	(15,766)
Total capital assets - net	-	-	-
Total non-current assets	16,663	-	16,663
Total assets	5,254,566	1,396,788	6,651,354
DEFERRED OUTFLOWS OF RESOURCES			
Deferred outflows from pensions	99,768	-	99,768
LIABILITIES			
Current liabilities:			
Accounts payable and other accrued liabilities	474	552	1,026
Accrued payroll	10,931	113,761	124,692
Claims payable	1,135,000	466,717	1,601,717
Compensated absences	7,639	-	7,639
Total current liabilities	1,154,044	581,030	1,735,074
Non-current liabilities:			
Net OPEB obligations	11,080	-	11,080
Compensated absences	61,806	-	61,806
Total noncurrent liabilities	72,886	-	72,886
Total liabilities	1,226,930	581,030	1,807,960
DEFERRED INFLOWS OF RESOURCES			
Deferred inflows from pensions	107,937	-	107,937
NET POSITION			
Unrestricted	4,019,467	815,758	4,835,225
Total net position	$ 4,019,467	$ 815,758	$ 4,835,225

CITY OF TAMARAC, FLORIDA

COMBINING STATEMENT OF REVENUES, EXPENSES
AND CHANGES IN FUND NET POSITION
INTERNAL SERVICE FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Risk Management	Health Insurance	Total
OPERATING REVENUES:			
Charges for services	$ 1,246,882	$ 4,755,091	$ 6,001,973
Other	93,671	21,537	115,208
Total operating revenues	1,340,553	4,776,628	6,117,181
OPERATING EXPENSES:			
Salaries, wages and employee benefits	346,052	34,500	380,552
Contractual services, materials and supplies	38,411	-	38,411
Claims and claims adjustments	1,565,327	4,621,574	6,186,901
Other services and charges	100,929	-	100,929
Total operating expenses	2,050,719	4,656,074	6,706,793
Operating (income) loss	(710,166)	120,554	(589,612)
NONOPERATING REVENUES:			
Investment income	17,027	4,184	21,211
Total nonoperating revenues	17,027	4,184	21,211
Income (loss) before transfers	(693,139)	124,738	(568,401)
Change in net position	(693,139)	124,738	(568,401)
Total net position, October 1, as restated	4,712,606	691,020	5,403,626
Total net position, September 30	$ 4,019,467	$ 815,758	$ 4,835,225

CITY OF TAMARAC, FLORIDA
COMBINING STATEMENT OF CASH FLOWS
INTERNAL SERVICE FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2015

	Risk Management	Health Insurance	Total
Cash flows from operating activities:			
Cash received from customers (including other funds)	$ 1,340,553	$ 4,769,735	$ 6,110,288
Payments to suppliers	(39,166)	552	(38,614)
Cash paid on claims	(1,767,327)	(4,595,156)	(6,362,483)
Payments to employees	(386,224)	(82,335)	(468,559)
Interfund service payments	(100,929)	-	(100,929)
Net cash provided by (used in) operating activities	(953,093)	92,796	(860,297)
Cash flows from investing activities:			
Proceeds from sales and maturities of investments	404,655	165,874	570,529
Purchases of investments	(971,594)	(398,281)	(1,369,875)
Interest income	17,027	4,184	21,211
Net cash provided by (used in) investing activities	(549,912)	(228,223)	(778,135)
Net increase (decrease) in cash and cash equivalents	(1,503,005)	(135,427)	(1,638,432)
Cash and cash equivalents at beginning of year	5,157,819	1,076,431	6,234,250
Cash and cash equivalents at end of year	$ 3,654,814	$ 941,004	$ 4,595,818
Pooled cash and cash equivalents per			
Statement of net position:			
Unrestricted	$ 3,654,814	$ 941,004	$ 4,595,818
Total, September 30	$ 3,654,814	$ 941,004	$ 4,595,818
Reconciliation of operating income (loss) to net			
cash provided by (used in) operating activities:			
Operating loss	$ (710,166)	$ 120,554	$ (589,612)
Adjustments to reconcile operating loss to net			
cash provided by (used in) operating activities:			
Non cash pension expense adjustment	(48,357)	-	(48,357)
Change in assets and liabilities:			
Increase in accounts receivable	-	(6,893)	(6,893)
Decrease in accounts payable	(755)	552	(203)
Increase (decrease) in accrued liabilities	223	(47,835)	(47,612)
Increase in compensated absences	6,198	-	6,198
Increase in OPEB obligation	1,764	-	1,764
Increase in estimated insurance claims payable	(202,000)	26,418	(175,582)
Total adjustments	(242,927)	(27,758)	(270,685)
Net cash provided by (used in) operating activities	$ (953,093)	$ 92,796	$ (860,297)
Non-cash investing, capital and financing activities:			
Decrease in fair value of investments	$ (7,559)	$ (1,844)	$ (9,403)

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FIDUCIARY FUNDS

Agency Fund

Agency funds are used to account for short-term custodial collections on resources on behalf of another individual, entity, or government.

Solid Waste Fund - used to account for the City's collection of the Solid Waste Fees on behalf of Waste Management Inc.; these fees are remitted to Waste Management Inc. after reduction of the City's Franchise Fee revenue.

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CITY OF TAMARAC, FLORIDA

AGENCY FUND

STATEMENT OF CHANGES IN ASSETS AND LIABILITIES

September 30, 2015

ASSETS	
Cash and cash equivalents	$ 1,563,941
Receivables:	
Accounts receivables	487,701
Total assets	2,051,642
LIABILITIES	
Additions:	
Collections	6,313,348
Total additions	6,313,348
Deductions:	
Remittances to other entities	4,261,706
Total liabilities	$ 2,051,642

TAMARAC

The City For Your Life

STATISTICAL SECTION

TAMARAC

The City For Your Life

STATISTICAL SECTION

This part of the City of Tamarac's comprehensive annual report presents detailed information as a context for understanding what the information in the financial statements, note disclosures, and required supplementary information says about the government's overall financial health.

Contents **Page**

Financial Trends 123-128

These schedules contain trend information to help the reader understand how the government's financial performance and well-being have changed over time.

Revenue Capacity

These schedules contain information to help the reader assess the government's most significant local revenue source, the property tax. 129-134

Debt Capacity

These schedules present information to help the reader assess the affordability of the government's current levels of outstanding debt and the governments' ability to issue additional debt in the future. 135-142

Demographic and Economic Information

These schedules offer demographic and economic indicators to help the reader understand the environment within which the government's financial activities take place. 143-144

Operating Information

These schedules contain service and infrastructure data to help the reader understand how the information in the government's financial report relates to the services the government provides and the activities it performs. 145-147

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual financial reports for the relevant year. The City implemented GASB Statement No. 34 in 2002; schedules presenting government-wide information include information beginning that year.

TAMARAC

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CITY OF TAMARAC

Net Position by Component

Last Ten Fiscal Years

	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
Governmental activities										
Net investment in capital assets	$ 71,850,603	$ 74,006,704	$ 77,300,114	$ 86,076,841	$ 84,104,407	$ 84,047,031	$ 89,098,575	$ 89,007,614	$ 88,016,074	$ 87,647,677
Restricted	27,735,550	33,639,956	17,497,293	17,675,068	14,005,135	15,881,934	18,662,357	19,965,692	18,000,879	18,734,699
Unrestricted	4,281,944	7,997,681	32,787,159	31,682,290	40,089,461	39,839,769	39,319,602	43,784,808	46,588,201	30,326,724
Total governmental activities net position	103,868,097	115,644,341	127,584,566	135,434,199	138,199,003	139,768,734	147,080,534	152,758,114	152,605,154	136,709,100
Business-type activities										
Net investment in capital assets	49,673,822	45,633,402	50,273,220	45,546,743	43,760,949	45,059,260	43,990,534	42,862,218	49,636,287	53,162,235
Restricted	7,313,121	8,599,062	8,599,062	6,909,717	8,520,498	8,174,927	7,851,106	7,428,847	8,039,430	6,397,223
Unrestricted	10,214,142	16,432,180	13,542,094	21,514,450	21,368,742	20,727,336	24,687,666	30,039,279	32,668,574	40,552,193
Total business-type activities net position	67,201,085	70,664,644	72,414,376	73,970,910	73,650,189	73,961,523	76,529,306	80,330,344	90,344,291	100,111,651
Primary Government										
Net investment in capital assets	121,524,425	119,640,106	127,573,334	131,623,584	127,865,356	129,106,291	133,089,109	131,869,832	137,652,361	140,809,912
Restricted	35,048,671	42,239,018	26,096,355	24,584,785	22,525,633	24,056,861	26,513,463	27,394,539	26,040,309	25,131,922
Unrestricted	14,496,086	24,429,861	46,329,253	53,196,740	61,458,203	60,567,105	64,007,268	73,824,087	79,256,775	70,878,917
Total primary government net position	$ 171,069,182	$ 186,308,985	$ 199,998,942	$ 209,405,109	$ 211,849,192	$ 213,730,257	$ 223,609,840	$ 233,088,458	$ 242,949,445	$ 236,820,751

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

CITY OF TAMARAC

Changes in Net Position

Last Ten Fiscal Years

	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
Expenses										
Governmental activities:										
General government	$ 10,688,546	$ 11,504,582	$ 11,432,868	$ 12,597,059	$ 11,026,034	$ 11,907,718	$ 12,197,860	$ 13,172,537	$ 13,186,504	$ 13,156,821
Public safety	35,495,924	28,264,994	28,472,914	30,471,668	31,489,221	30,961,029	30,837,435	31,874,454	33,433,457	33,902,418
Transportation	2,699,076	2,330,808	1,748,860	1,881,356	1,904,168	1,857,501	1,958,527	1,916,467	2,080,132	2,277,480
Culture and recreation	2,226,264	5,496,590	5,168,340	4,097,080	4,249,737	2,976,038	3,053,031	3,114,106	5,861,128	5,500,440
Physical environment	703,430	2,610,684	2,452,233	3,319,120	3,276,239	2,397,899	1,396,958	1,661,414	3,502,203	5,253,489
Economic environment	4,511,057	1,559,614	1,263,812	2,600,159	4,869,005	4,641,173	5,027,797	5,384,425	1,759,016	1,605,029
Human services	319,229	333,332	286,630	335,523	294,665	268,033	286,589	301,201	309,607	288,099
Interest on long-term debt	1,591,058	1,624,593	1,607,303	1,727,200	1,482,104	1,892,592	1,333,856	1,518,847	1,331,112	1,202,719
Total governmental activities expenses	58,234,584	53,725,197	52,432,960	57,029,165	58,591,173	56,901,983	56,092,053	58,943,451	61,463,159	63,186,495
Business-type activities:										
Water and sewer	18,212,679	17,976,618	19,207,646	19,425,830	20,726,556	20,510,633	20,926,131	20,732,351	21,051,084	20,548,027
Stormwater	3,660,473	3,017,732	3,112,292	3,401,976	3,894,763	4,295,863	3,835,057	4,114,237	4,096,611	4,212,046
Colony West	-	-	-	-	-	-	-	-	1,962,695	2,460,509
Total business-type activities expenses	21,873,152	20,994,350	22,319,938	22,827,806	24,621,319	24,806,496	24,761,188	24,846,588	27,110,390	27,220,582
Total primary government expenses	$ 80,107,736	$ 74,719,547	$ 74,752,898	$ 79,856,971	$ 83,212,492	$ 81,708,479	$ 80,853,241	$ 83,790,039	$ 88,573,549	$ 90,407,077
Program Revenues										
Governmental activities:										
Charges for services:										
General government	$ 1,372,508	$ 872,023	$ 1,145,570	$ 1,322,983	$ 5,398,147	$ 5,550,906	$ 5,217,332	$ 6,672,175	$ 6,233,276	$ 7,647,508
Public safety	11,998,145	11,859,118	11,300,837	13,790,107	15,205,661	13,935,434	17,669,883	16,831,036	18,195,233	19,626,281
Transportation	30,067	66,357	25,722	22,916	20,732	25,586	44,806	30,439	32,119	30,813
Culture and recreation	1,154,936	830,025	774,582	617,553	688,892	781,946	881,550	1,039,216	1,108,933	1,134,633
Physical environment	683,942	733,360	1,320,064	474,243	1,721,461	1,098,831	1,047,223	874,239	1,048,901	1,265,048
Operating grants and contributions	9,507,364	2,625,239	1,684,420	2,812,190	4,522,583	2,486,725	1,286,377	1,416,266	1,402,578	1,124,992
Capital grants and contributions	1,476,469	617,827	2,850,100	3,970,632	120,572	300,793	1,353,899	907,321	315,084	439,400
Total governmental activities program revenues	26,223,431	17,603,949	19,101,295	23,010,624	27,678,048	24,180,221	27,501,070	27,770,692	28,336,124	31,268,675
Business-type activities:										
Charges for services:										
Water and sewer	17,939,735	18,694,290	18,790,162	19,603,121	19,743,109	20,022,360	21,663,441	23,240,537	24,458,676	26,433,582
Stormwater	4,190,487	4,383,991	4,498,587	4,718,123	4,824,703	5,014,883	5,107,852	5,268,150	5,468,692	5,447,346
Colony West	-	-	-	-	-	-	-	-	1,245,893	2,247,612
Capital grants and contributions	3,283,961	348,154	374,304	33,453	24,747	4,701	96,620	25,925	376,667	1,782,279
Total business-type activities program revenues	25,414,183	23,426,435	23,663,053	24,354,697	24,592,559	25,041,944	26,867,913	28,534,612	31,549,928	35,910,819
Total primary government program revenues	$ 51,637,614	$ 41,030,384	$ 42,764,348	$ 47,365,321	$ 52,270,607	$ 49,222,165	$ 54,368,983	$ 56,305,304	$ 59,886,052	$ 67,179,494

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

CITY OF TAMARAC
Changes in Net Position
Last Ten Fiscal Years

	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
Net (Expense) Revenue										
Governmental activities	$ (32,011,153)	$ (36,121,248)	$ (33,331,665)	$ (34,018,541)	$ (30,913,125)	$ (32,721,762)	$ (28,590,983)	$ (31,172,759)	$ (33,127,035)	$ (31,917,820)
Business-type activities	3,541,031	2,432,085	1,343,115	1,526,891	(28,760)	235,448	2,106,725	3,688,024	4,439,538	8,690,237
Total primary government net expense	(28,470,122)	(33,689,163)	(31,988,550)	(32,491,650)	(30,941,885)	(32,486,314)	(26,484,258)	(27,484,735)	(28,687,497)	(23,227,583)
General Revenue and Other Changes in Net Position										
Governmental activities:										
Taxes:										
Property taxes, levied for general purpose	18,765,605	22,940,448	21,284,960	19,970,716	18,615,754	16,158,683	16,031,177	17,144,382	17,793,441	18,777,604
Property taxes, levied for debt service	1,060,180	483,058	267,384	261,027	249,729	222,831	222,068	265,894	265,523	260,067
Other taxes	4,107,779	4,182,926	4,266,849	4,212,917	4,255,717	8,219,801	8,556,815	8,685,834	8,963,290	9,034,439
Franchise fees	4,676,348	4,842,600	4,784,526	4,628,491	4,680,810	4,409,431	4,858,123	4,714,971	5,001,885	5,179,351
Unrestricted grants and contributions	6,278,084	6,162,220	5,716,941	4,799,972	5,155,111	5,138,584	5,971,497	5,805,252	6,226,204	6,517,126
Interest earnings	2,074,320	3,133,291	1,841,268	857,983	308,708	131,485	244,526	152,129	209,895	211,046
Miscellaneous	5,997,907	5,824,558	5,912,810	6,754,945	-	-	289,351	45,279	109,014	202,275
Transfers	283,000	297,200	361,000	380,100	412,100	-	(329,508)	-	(5,636,152)	(630,549)
Gain (loss) on sale of capital assets	(45,374)	31,191	836,152	2,023	-	10,678	58,734	36,598	101,207	82,709
Total governmental activities	43,197,849	47,897,492	45,271,890	41,868,174	33,677,929	34,291,493	35,902,783	36,850,339	33,034,307	39,634,068
Business-type activities:										
Investment earnings	854,005	1,255,811	754,467	314,330	117,618	61,082	119,298	81,579	131,182	135,827
Transfers	(283,000)	(297,200)	(361,000)	(380,100)	(412,100)	-	329,508	-	5,636,152	630,549
Gain on sale of capital assets	(867)	72,863	13,150	95,413	2,521	14,804	12,252	31,435	29,574	6,324
Total business-type activities	570,138	1,031,474	406,617	29,643	(291,961)	75,886	461,058	113,014	5,796,908	772,700
Total primary government	43,767,987	48,928,966	45,678,507	41,897,817	33,385,968	34,367,379	36,363,841	36,963,353	38,831,215	40,406,768
Change in Net Position										
Governmental activities	11,186,696	11,776,244	11,940,225	7,849,633	2,764,804	1,569,731	7,311,800	5,677,580	(92,728)	7,716,248
Business-type activities	4,111,169	3,463,559	1,749,732	1,556,534	(320,721)	311,334	2,567,783	3,801,038	10,236,446	9,462,937
Total primary governmental	$ 15,297,865	$ 15,239,803	$ 13,689,957	$ 9,406,167	$ 2,444,083	$ 1,881,065	$ 9,879,583	$ 9,478,618	$ 10,143,718	$ 17,179,185

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

CITY OF TAMARAC

Fund Balances of Governmental Funds

Last Ten Fiscal Years

	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
General Fund										
Reserved	$ 973,332	$ 833,219	$ 642,923	$ 590,453	$ -	$ -	$ -	$ -	$ -	$ -
Unreserved	15,745,195	16,685,842	19,454,677	22,159,672	-	-	-	-	-	-
Non-spendable	-	-	-	-	112,523	150,157	128,239	122,894	123,480	104,704
Restricted	-	-	-	-	11,188	10,741	10,741	10,741	10,741	10,741
Committed	-	-	-	-	41,352	87,840	152,340	230,882	281,123	257,944
Assigned	-	-	-	-	10,200,000	9,200,000	10,200,000	6,663,981	6,781,518	8,671,296
Unassigned	-	-	-	-	14,229,231	16,824,295	13,230,150	20,550,932	21,584,051	24,546,501
Total general fund	16,718,527	17,519,061	20,097,600	22,750,125	24,594,294	26,273,033	23,721,470	27,579,430	28,780,913	33,591,186
All Other Governmental Funds										
Reserved	28,711,979	21,024,595	14,575,011	17,677,302	-	-	-	-	-	-
Unreserved, reported in										
Special revenue funds	-	-	-	(220,379)	-	-	-	-	-	-
Capital projects funds	-	12,259,715	19,043,205	15,390,008	-	-	-	-	-	-
Debt service funds	181,296	355,651	404,029	191,933	-	-	-	-	-	-
Non-spendable, reported in										
Special revenue funds	-	-	-	-	-	99,766	566,704	607,720	437,348	450,863
Capital projects funds	-	-	-	-	106,867	8,450,548	8,450,548	8,450,548	10,634,664	10,464,841
Restricted, reported in										
Special revenue funds	-	-	-	-	5,561,895	5,456,031	7,061,984	9,824,508	9,363,582	12,795,538
Debt service funds	-	-	-	-	399,528	494,706	728,004	194,462	210,436	262,378
Capital projects funds	-	-	-	-	9,160,308	9,772,289	10,294,924	9,328,262	7,808,949	1,442,444
Committed, reported in										
Special revenue funds	-	-	-	-	110,792	13,443	-	-	86,395	955,137
Capital projects funds	-	-	-	-	432,655	1,749,681	2,869,104	2,082,946	1,307,832	5,008,339
Assigned reported in										
Capital projects funds	-	-	-	-	15,611,124	13,306,282	12,819,687	12,383,204	10,312,914	11,117,214
Special revenue funds	-	-	-	-	-	-	-	-	4,378,793	3,727,285
Unassigned reported in										
Capital projects funds	-	-	-	-	-	-	-	(328,924)	-	-
Total all other government funds	28,893,275	33,639,961	34,022,245	33,038,864	31,383,169	39,342,746	42,790,955	42,542,726	44,540,913	46,224,039
Total Government Funds	$ 45,611,802	$ 51,159,022	$ 54,119,845	$ 55,788,989	$ 55,977,463	$ 65,615,779	$ 66,512,425	$ 70,122,156	$ 73,321,826	$ 79,815,225

Source: City of Tamarac, Financial Services Department

Fund balance classifications were changed in fiscal year 2010 in compliance with GASB Statement No.54

See accompanying independent auditors' report.

CITY OF TAMARAC

Changes in Fund Balances of Governmental Funds

Last Ten Fiscal Years

	2005	2006	2007	2008	2009	2010	2011	2012	2013	2015
REVENUES										
Taxes	$ 28,609,913	$ 32,449,025	$ 31,313,801	$ 29,791,213	$ 28,546,010	$ 29,010,746	$ 29,668,182	$ 30,811,081	$ 32,024,139	$ 33,251,461
Licenses and permits	3,880,250	2,671,892	2,406,897	2,376,229	2,486,764	2,752,376	2,889,091	2,747,173	3,040,164	3,669,277
Intergovernmental	17,261,915	9,405,276	10,200,171	9,009,504	9,794,883	7,791,667	8,601,588	8,128,840	7,891,704	8,067,178
Charges for Services	4,781,856	4,372,195	3,975,639	3,803,768	3,697,083	3,615,862	4,181,545	3,664,156	4,595,001	4,730,312
Fines and forfeitures	678,751	598,039	446,866	583,158	686,232	1,004,325	1,153,113	917,045	1,318,087	2,267,642
Investment earnings	2,074,322	3,134,750	1,841,269	857,984	308,714	131,486	244,525	152,127	209,895	211,046
Special assessments	5,898,740	6,723,891	6,715,675	8,760,258	8,704,112	8,791,417	11,787,249	11,694,360	11,609,729	11,689,058
Miscellaneous	5,997,907	5,939,824	6,311,869	6,759,450	6,754,546	5,377,604	5,210,526	6,506,960	6,329,270	7,654,335
Total revenues	69,183,654	65,294,892	63,212,187	61,941,564	60,978,344	58,475,483	63,735,819	64,621,742	67,017,989	71,540,309
EXPENDITURES										
General government	10,422,938	10,697,895	10,824,676	11,634,921	11,908,896	11,472,407	11,217,405	11,898,550	11,523,177	11,853,038
Public safety	34,172,300	28,388,447	27,991,426	29,569,781	31,810,830	30,556,661	30,640,931	31,321,080	32,562,872	33,789,019
Transportation	1,413,425	1,418,702	1,158,425	1,260,665	1,226,271	1,079,216	1,204,504	1,152,629	1,242,455	1,424,695
Economic environment	708,196	1,654,950	1,266,711	2,608,447	5,051,557	2,393,996	1,393,321	1,655,512	1,750,430	1,608,589
Physical environment	2,451,930	2,654,791	2,181,900	3,239,801	3,230,078	2,915,140	2,930,078	3,032,937	3,429,419	5,396,992
Human Services	325,499	354,446	293,005	340,625	243,480	263,872	282,064	293,721	295,803	291,020
Culture and recreation	3,996,031	5,020,571	4,543,692	3,314,474	3,293,390	3,465,730	3,740,221	4,033,774	4,460,240	4,286,466
Capital outlay	8,027,957	6,828,861	16,803,869	3,625,716	3,160,859	1,841,508	8,758,358	5,128,406	6,027,064	3,053,038
Debt service:										
Principal	2,339,619	1,400,658	1,247,730	3,300,103	1,262,792	2,001,329	1,647,131	1,890,275	2,042,798	2,177,136
Interest	1,990,171	1,625,551	1,607,303	1,957,267	1,459,097	1,952,404	1,303,320	1,391,883	1,204,149	1,083,284
Total expenditures	65,848,066	60,044,872	67,918,737	60,851,800	62,647,250	57,942,263	63,117,333	61,798,767	64,538,407	64,963,277
Excess (deficiency) of revenues over (under) expenditures	3,335,588	5,250,020	(4,706,550)	1,089,764	(1,668,906)	533,220	618,486	2,822,975	2,479,582	6,577,032

(Continued on next page)

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

CITY OF TAMARAC

Changes in Fund Balances of Governmental Funds

Last Ten Fiscal Years

(Continued)

	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
Other financing sources (uses)										
Capital leases	-	-	-	-	-	-	607,667	527,632	-	546,916
Proceeds from issuance of debt	15,027,697	-	6,818,373	5,474,280	1,445,280	23,272,509	-	15,450,541	16,620,000	-
Payments on refunded debt	-	-	-	(5,275,000)	-	(14,167,413)	-	(15,191,417)	(13,771,508)	-
Transfers in	14,485,585	20,867,785	16,347,134	11,420,722	9,919,287	13,459,815	14,520,914	11,920,559	13,623,378	13,424,380
Transfers out	(14,202,585)	(20,570,585)	(15,498,134)	(11,040,622)	(9,507,187)	(13,459,815)	(14,850,422)	(11,920,559)	(15,751,782)	(14,054,929)
Total other financing sources (uses)	15,310,697	297,200	7,667,373	579,380	1,857,380	9,105,096	278,159	786,756	720,088	(83,633)
Net changes in fund balance	$ 18,646,285	$ 5,547,220	$ 2,960,823	$ 1,669,144	$ 188,474	$ 9,638,316	$ 896,645	$ 3,609,731	$ 3,199,670	$ 6,493,399
Ratio of total debt service to noncapital expenditures										
Total debt service	$ 4,329,790	$ 3,026,209	$ 2,855,033	$ 5,257,370	$ 2,721,889	$ 3,953,733	$ 2,950,451	$ 3,282,158	$ 3,246,947	$ 3,260,420
Total noncapital expenditures	57,820,109	53,216,011	51,114,868	57,226,084	59,486,391	56,100,755	55,842,649	56,670,361	58,511,343	61,910,239
Ratio	7%	6%	6%	9%	5%	7%	5%	6%	6%	5%

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

CITY OF TAMARAC

Program Revenues by Function/Program

Last Ten Fiscal Years

Function/Program	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
Governmental activities:										
General government	$ 1,372,508	$ 872,023	$ 1,222,872	$ 1,563,149	$ 5,606,358	$ 6,367,056	$ 5,313,275	$ 6,720,841	$ 6,233,276	$ 7,647,508
Public safety	20,945,895	12,549,719	11,488,382	14,700,096	15,410,338	14,070,909	18,333,287	16,942,707	18,251,574	19,626,281
Transportation	306,880	66,357	555,495	352,279	20,732	63,630	44,806	814,334	49,430	324,375
Culture/recreation	2,362,405	994,457	1,245,768	3,375,988	823,862	786,424	1,538,024	1,124,718	1,311,237	1,262,632
Physical environment	683,942	767,491	1,320,064	474,243	1,721,461	1,145,400	1,178,904	874,239	1,144,370	1,282,887
Economic environment	551,801	2,353,902	3,268,714	2,544,869	4,095,297	1,746,802	1,092,774	1,293,853	1,346,237	1,124,992
Subtotal governmental activities	26,223,431	17,603,949	19,101,295	23,010,624	27,678,048	24,180,221	27,501,070	27,770,692	28,336,124	31,268,675
Business-type activities										
Water/wastewater	19,923,696	19,042,444	19,164,466	19,636,574	19,767,856	20,027,061	21,760,061	23,266,462	24,835,343	28,215,861
Stormwater	5,490,487	4,383,991	4,498,587	4,718,123	4,824,703	5,014,883	5,107,852	5,268,150	5,468,692	5,447,346
Colony West	-	-	-	-	-	-	-	-	1,245,893	2,247,612
Subtotal business-type activities	25,414,183	23,426,435	23,663,053	24,354,697	24,592,559	25,041,944	26,867,913	28,534,612	31,549,928	35,910,819
Total primary government	$ 51,637,614	$ 41,030,384	$ 42,764,348	$ 47,365,321	$ 52,270,607	$ 49,222,165	$ 54,368,983	$ 56,305,304	$ 59,886,052	$ 67,179,494

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

City of Tamarac

Tax Revenues by Source - Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

Fiscal Year	Property	Sales & Use	Local Option Gas Tax	Total
2006	19,825,785	3,688,932	1,094,177	24,608,894
2007	23,423,506	4,035,998	1,081,652	28,541,156
2008	21,552,344	4,120,406	1,073,542	26,746,292
2009	20,231,743	3,037,695	972,074	24,241,512
2010	18,865,483	3,016,203	1,037,421	22,919,107
2011	16,381,514	3,140,797	1,045,839	20,568,150
2012	16,253,245	3,319,822	1,034,710	20,607,777
2013	17,410,277	3,545,802	1,032,099	21,988,178
2014	18,058,964	3,760,479	1,067,547	22,886,990
2015	19,037,671	3,928,976	1,085,206	24,051,853
Change 2006 - 2015	-4.0%	6.5%	-0.8%	-2.3%

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

CITY OF TAMARAC

Assessed Value and Estimated Actual Value of Taxable Property
Last Ten Fiscal Years
(in thousand of dollars)

		Real Property							
Tax Year	Fiscal Year	Residential Property	Non-Residential Property	Personal Property	Less: Tax Exemptions	Total Taxable Value	Total Direct Tax Rate	Estimated Actual Market Value	Taxable Value as a Percentage of Market Value
2005	2006	3,015,505	698,347	186,695	745,318	3,155,229	6.6029	4,910,369	64.26%
2006	2007	3,595,772	812,384	201,088	756,359	3,852,885	6.3529	6,242,664	61.72%
2007	2008	4,076,990	954,591	407,699	877,960	4,561,320	5.1126	7,158,234	63.72%
2008	2009	3,992,061	1,019,696	163,052	1,303,330	3,871,479	5.3916	6,056,062	63.93%
2009	2010	3,272,001	1,062,921	158,771	1,486,624	3,007,069	6.0800	4,709,447	63.85%
2010	2011	2,578,120	1,039,343	158,840	1,486,624	2,289,679	6.5894	3,723,029	61.50%
2011	2012	2,497,140	989,638	153,089	1,144,478	2,495,389	6.7774	3,632,374	68.70%
2012	2013	2,442,151	971,166	168,941	1,136,378	2,445,880	7.4027	3,530,134	69.29%
2013	2014	2,508,291	981,145	178,237	1,128,021	2,539,652	7.3985	3,695,728	68.72%
2014	2015	2,671,825	1,001,529	178,117	1,125,020	2,726,451	7.3985	4,233,269	64.41%

Source: Broward County Property Appraiser

See accompanying independent auditors' report.

CITY OF TAMARAC

Property Tax Rates

Direct and Overlapping Governments

Last Ten Fiscal Years

	City of Tamarac			Overlapping Rates										
				County			School District							
Fiscal Year	Operating Millage	Debt Service Millage	Total City Millage	Operating Millage	Debt Service Millage	Total County Millage	Operating Millage	Debt Service Millage	Total School Millage	Children's Services	South Florida Water Management District	Broward Health	Florida Inland Navigation District	Total Direct & Overlapping Rates
2006	6.2499	0.3530	6.6029	6.2942	0.4888	6.7830	7.8410	0.2213	8.0623	0.4231	0.6970	2.1746	0.0385	24.7814
2007	6.2224	0.1305	6.3529	5.6433	0.4228	6.0661	7.6790	0.1897	7.8687	0.4073	0.6970	1.8317	0.0385	23.2622
2008	5.0496	0.0630	5.1126	4.8889	0.3979	5.2868	7.4770	0.1714	7.6484	0.3572	0.6240	1.6255	0.0345	20.6890
2009	5.3215	0.0701	5.3916	4.8889	0.4256	5.3145	7.4170	0.0000	7.4170	0.3754	0.6240	1.7059	0.0345	20.8629
2010	5.9999	0.0801	6.0800	4.8889	0.5000	5.3889	7.4310	0.0000	7.4310	0.4243	0.6240	1.7059	0.0345	21.6886
2011	6.5000	0.0894	6.5894	5.1021	0.3670	5.4691	7.6310	0.0000	7.6310	0.4696	0.6240	1.8750	0.0345	22.6926
2012	6.6850	0.0924	6.7774	5.1860	0.3670	5.5530	7.4180	0.0000	7.4180	0.4789	0.4363	1.8750	0.0345	22.5731
2013	7.2899	0.1128	7.4027	5.2576	0.2954	5.5530	7.4560	0.0000	7.4560	0.4902	0.4289	1.8564	0.0345	23.2217
2014	7.2899	0.1086	7.3985	5.4440	0.2830	5.7270	7.4800	0.0000	7.4800	0.4882	0.4110	1.7554	0.0345	23.2946
2015	7.2899	0.1010	7.3909	5.4584	0.2646	5.7230	7.4380	0.0000	7.4380	0.4882	0.3842	1.5939	0.0345	23.0527

Source: Broward County Property Appraiser

See accompanying independent auditors' report.

CITY OF TAMARAC

Principal Property Taxpayers

Current and Nine Years Ago

	2015			2006		
Taxpayer	**Taxable Assessed Value**	**Rank**	**Percentage of Total City Taxable Assessed Value**	**Taxable Assessed Value**	**Rank**	**Percentage of Total City Taxable Assessed Value**
Florida Power & Light, Co.	$ 54,908,843	1	2.01%	$ 49,356,003	2	1.56%
Advance Business Assoc	39,732,840	2	1.46%	61,785,557	1	1.96%
Coral Vista Investors, LLC	30,300,000	3	1.11%			
BH IGF Hidden Harbour	28,966,880	4	1.06%			
DDRM Midway Plaza LLC	27,683,310	5	1.02%			
Alliance Partners LLC	19,347,560	6	0.71%	$ 24,279,914	8	0.77%
University Hospital	19,213,940	7	0.70%	$ 42,826,478	3	1.36%
Tamarac Point LTD Partner	16,615,160	8	0.61%			
Fairfield Woodmont Park LLC	16,268,620	9	0.60%			
Wells Operating Partner	13,744,970	10	0.50%			
Samson Mgmt, Inc. (Hidden Harbour)				29,877,243	4	0.95%
Inland Southeast Midway LLC				27,121,410	5	0.86%
Monadnock Property Trust, LLC				25,852,349	6	0.82%
Jasmine at Tamarac				16,929,736	7	0.54%
Ramco-Gershenson Properties				18,239,980	9	0.58%
T T of Commerical Inc.				19,726,690	10	0.63%
Total	$ 266,782,123		9.75%	$ 315,995,360		10.02%

Source: Broward County Revenue Collection Division 2015

See accompanying independent auditors' report.

CITY OF TAMARAC

Property Tax Levies and Collections

Last Ten Fiscal Years

(in thousands of dollars)

Fiscal Year Ended September 30	Total Tax Levy for Fiscal Year	Collected within the Fiscal Year of the Levy		Collections in Subsequent Years	Total Collections to Date	
		Amount	Percentage Collected		Amount	Percentage of Levy
2006	20,619	20,528	99.6%	7	20,535	99.6%
2007	24,280	24,165	99.5%	20	24,185	99.6%
2008	22,363	21,440	95.9%	-	21,440	95.9%
2009	20,859	18,843	90.3%	295	19,138	91.7%
2010	19,703	18,630	94.6%	121	18,751	95.2%
2011	16,863	16,016	95.0%	142	16,158	95.8%
2012	16,692	16,014	95.9%	17	16,031	96.0%
2013	17,830	17,131	96.1%	13	17,144	96.2%
2014	18,514	17,788	96.1%	5	17,793	96.1%
2015	19,876	18,777	94.5%	-	18,777	94.5%

Source: Broward County Revenue Collection Division

See accompanying independent auditors' report.

CITY OF TAMARAC

Ratios of Outstanding Debt by Type

Last Ten Fiscal Years

	Governmental Activities					Business-Type Activities					
Fiscal Year	General Obligation Bonds	Sales Tax Increment Bonds	Capital Improvement Bonds[a]	Taxable Redevelopment Note	Capital Leases	Water & Sewer Revenue Bonds	Term Loan	Stormwater System Refunding Bonds	Total Primary Government[b]	Percentage of Personal Income[c]	Per Capita[d]
2006	2,619,398	18,090,000	15,000,000	-	-	3,495,000	6,000,000	9,030,000	54,234,398	3.21%	910.19
2007	2,265,523	17,200,000	14,850,000	-	-	2,705,000	6,000,000	8,680,000	51,700,523	2.92%	862.41
2008	1,927,135	16,275,000	14,550,000	6,818,373	-	1,860,000	5,090,000	8,325,000	54,845,508	2.43%	925.32
2009	1,747,032	15,315,000	14,395,000	4,942,653	-	14,020,000	-	4,345,000	54,764,685	3.25%	922.90
2010	1,559,240	14,425,000	14,210,000	6,017,414	370,520	13,785,000	-	4,130,000	54,497,174	3.33%	915.76
2011	1,363,431	14,556,000	13,995,000	13,771,509	-	13,540,000	-	3,905,000	61,130,940	3.75%	1,011.65
2012	1,159,263	13,422,000	13,745,000	13,771,509	584,704	13,290,000	-	3,670,000	59,642,476	3.41%	969.13
2013	946,379	12,243,000	14,959,504	13,771,509	957,944	13,030,000	-	3,430,000	59,338,336	3.37%	948.55
2014	724,407	11,030,000	14,463,468	16,620,000	735,118	12,760,000	-	3,180,000	59,512,993	3.29%	942.33
2015	492,959	9,783,000	13,932,432	16,620,000	1,003,346	12,196,555 a	-	2,846,433 a	56,874,725	3.04%	891.55

Notes:

Details regarding the City's outstanding debt can be found in note 9 of the financial statements.

[a] Includes original issuance discounts and premiums

[b] Includes general bonded debt, sales tax increment debt, and business-type activities.

[c] Personal Income based on an estimate of 2012 median household income ($41,972) of the City of Tamarac.

[d] Population data can be found on Page 143, Demographic Statistics and Information

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

CITY OF TAMARAC

Ratios of General Bonded Debt Outstanding

Last Ten Fiscal Years

Fiscal Year	General Obligation Bonds	Less: Amounts available in Debt Service Fund	Net General Bonded Debt Outstanding	Percentage of Estimated Actual Taxable Value of Property	Per Capita[a]
2006	2,619,398	68,857	2,550,541	0.081%	42.80
2007	2,265,523	103,330	2,162,193	0.056%	36.07
2008	1,927,135	116,727	1,810,408	0.040%	30.54
2009	1,747,032	119,050	1,627,982	0.042%	27.43
2010	1,559,240	107,805	1,451,435	0.048%	24.39
2011	1,363,431	68,850	1,294,581	0.057%	21.42
2012	1,159,263	29,454	1,129,809	0.045%	18.36
2013	946,379	33,540	912,839	0.037%	14.59
2014	724,407	37,368	687,039	0.027%	10.88
2015	492,959	35,796	457,163	0.017%	7.17

Notes:
Details regarding the City's outstanding debt can be found in note 9 of the financial statements

[a] See the Schedule of Demographic and Economic Statistics for population data

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

City of Tamarac

Direct and Overlapping Governmental Debt

September 30, 2015

Name of Government	Net Debt Outstanding	Estimated Percentage Applicable [1]	Estimated Share of Overlapping Debt
Broward County	$ 274,813	1.93%	$ 5,304
City of Tamarac - Direct Debt			41,831,737
Total Direct and Overlapping Debt			$ 41,837,041

Sources:
Assessed value data used to estimate applicable percentages provided by
Broward County Property Appraiser. The total debt outstanding provided by Broward County.

Overlapping governments are those that coincide, at least, in part, with the geographic boundaries of the city. This schedule estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the City of Tamarac. This process recognizes that, when considering the government's ability to issue and repay long-term debt, the entire debt burden borne by the residents and businesses should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

[1] The percentage of overlapping debt applicable is estimated using taxable assessed property values. Applicable percentages were estimated by determing the portion of Broward County's taxable assessed value that is within the government's boundaries and dividing it by Broward County's total taxable assessed value.

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

CITY OF TAMARAC

Legal Debt Margin Information

September 30, 2015

The Charter of the City of Tamarac imposes no bonded debt limit. Details regarding the City's outstanding debt can be found in the note 9 of the financial statements.

CITY OF TAMARAC

Pledged Revenue Coverage
Utilities Fund
Last Ten Fiscal Years

Fiscal Year	Utility Service Charges [a]	Less: Operating Expenses[b]	Net Available Revenue	Debt Service Requirements			
				Principal	Interest	Total	Coverage
2006	17,942,292	14,098,735	3,843,557	960,450	522,613	1,483,063	2.59
2007	18,694,290	14,501,880	4,192,410	1,140,000	667,747	1,807,747	2.32
2008	18,790,162	15,425,826	3,364,336	2,110,000	680,392	2,790,392	1.21
2009	19,795,236	15,729,539	4,065,697	2,037,755	340,924	2,378,679	1.71
2010	19,830,341	16,259,240	3,571,101	235,000	653,794	888,794	4.02
2011	20,060,648	15,334,980	4,725,668	245,000	646,744	891,744	5.30
2012	21,740,226	16,567,804	5,172,422	250,000	639,394	889,394	5.82
2013	23,293,876	15,515,170	7,778,706	260,000	629,394	889,394	8.75
2014	24,893,289	16,089,566	8,803,723	270,000	618,994	888,994	9.90
2015	27,592,589	15,356,033	12,236,556	285,000	618,994	903,994	13.54

Notes:
Details regarding the government's outstanding debt can be found in note 9 of the financial statements.

(a) Includes water and sewer service charges, and meter installations. For 2010-2011 also includes investment and other income.
(b) Does not include depreciation and amortization expenses. For 2010-2011 includes all expenses except for Payments in lieu of taxes.

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

CITY OF TAMARAC

Pledged Revenue Coverage
Stormwater Fund
Last Six Fiscal Years

Fiscal Year	Stormwater Service Charges [a]	Less: Operating Expenses[b]	Net Available Revenue	Debt Service Requirements			
				Principal	Interest	Total	Coverage
2010	4,843,393	3,529,073	1,314,320	215,000	180,318	395,318	3.32
2011	4,997,126	1,040,095	3,957,031	225,000	171,395	396,395	9.98
2012	5,150,365	3,218,957	1,931,408	235,000	162,058	397,058	4.86
2013	5,314,171	3,360,207	1,953,964	240,000	152,305	392,305	4.98
2014	5,513,848	3,285,625	2,228,223	250,000	142,345	392,345	5.68
2015	5,490,417	3,277,106	2,213,311	265,000	131,970	396,970	5.58

Notes:

(a) Includes storwater service charges, investment income and other income.
(b) Does not include depreciation and payment in lieu of taxes expense.

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

CITY OF TAMARAC

Pledged Revenue Coverage

Sales Tax

Last Ten Fiscal Years

Fiscal Year	Sales Tax Revenue	Debt Service Requirements			
		Principal	Interest	Total	Coverage
2006	3,688,932	855,000	890,595	1,745,595	2.11
2007	3,559,744	890,000	859,225	1,749,225	2.04
2008	3,358,616	925,000	824,840	1,749,840	1.92
2009	3,037,695	965,000	785,500	1,750,500	1.74
2010	3,016,203	890,000	666,335	1,556,335	1.94
2011	3,140,797	1,220,000	627,940	1,847,940	1.70
2012	3,319,822	1,134,000	397,295	1,531,295	2.17
2013	3,545,802	1,179,000	351,245	1,530,245	2.32
2014	3,760,479	1,213,000	316,900	1,529,900	2.46
2015	3,928,976	1,247,000	281,479	1,528,479	2.57

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

CITY OF TAMARAC

Pledged Revenue Coverage
Covenant to Budget and Appropriate
Last Ten Fiscal Years

Fiscal Year	Pledgeable Non-Ad Valorem Revenue	Debt Service Requirements			
		Principal	Interest	Total	Coverage
2006	28,733,526	2,339,619	1,990,171	4,329,790	6.64
2007	28,093,862	1,400,658	1,625,551	3,026,209	9.28
2008	27,145,330	1,247,730	1,607,303	2,855,033	9.51
2009	25,377,671	3,300,103	1,957,267	5,257,370	4.83
2010	24,293,283	1,262,792	1,459,097	2,721,889	8.93
2011	25,586,829	2,001,329	1,952,404	3,953,733	6.47
2012	26,891,715	1,647,131	1,303,320	2,950,451	9.11
2013	28,071,406	1,890,275	1,391,883	3,282,158	8.55
2014	29,650,623	2,042,798	1,204,149	3,246,947	9.13
2015	32,405,896	2,177,136	1,083,284	3,260,420	9.94

Source: City of Tamarac, Financial Services Department

See accompanying independent auditors' report.

City of Tamarac

Demographic and Economic Statistics

Last Ten Calendar Years

Year	Population	Median Household Income	Total Personal Income (amounts in thousand)	Per Capita Income	Median[1] Age	Percent High[1] School Graduate or Higher	School Enrollment	Unemployment Rate
2006	59,586	41,104	1,607,511	26,978	52.9	83.5%	3,792	3.5%
2007	59,949	42,092	1,337,342	22,308	45.5	83.5%	3,792	4.7%
2008	59,272	47,483	1,483,697	25,032	49.1	83.5%	3,792	7.1%
2009	59,340	41,029	1,547,366	25,820	49.3	86.8%	3,792	11.9%
2010	59,510	40,447	1,502,270	25,244	47.6	87.1%	4,244	10.4%
2011	60,427	40,389	1,476,836	24,440	47.1	88.7%	4,155	6.5%
2012	61,542	41,837	1,570,552	25,520	47.4	89.1%	4,652	7.7%
2013	62,557	41,972	1,551,288	24,798	47.1	89.7%	4,446	7.1%
2014	63,155	42,548	1,570,981	24,875	46.5	90.8%	5,547	6.1%
2015	63,793	43,250	1,590,870	24,938	45.3	90.0%	5,315	5.2%

Sources:

2000-2007 Per Capita Income source from 2001 & 2005 Bureau of Economic and Business Research.
2000-2007 Per Capita Income and Median Household Income other than 1999 are derived from an estimate of Broward County data.
2007 - 2009 Median Household Income, Per Capita Income and Median Age derived from an estimate of 2006-2008 American Community Survey.
2009 Population from 2000 U.S. Census - 2010 Estimate.
2011 Data is derived from the 2010 Census
2013 Median Household Income, Per Capita Income and Median Age derived from 2008-2012 American Community Survey 5-Year Estimates.
2013 Population based on 2012 Population Estimates (U.S. Census Bureau)
2013 Median Household Income, Per Capita Income and Median Age derived from 2009-2014 American Community Survey 5-Year Estimates.
2014 Population based on 2013 Population Estimates (U.S. Census Bureau)
2015 Population based on 2014 Population Estimates (U.S. Census Bureau)
2015 US Department of Labor Local Area Unemployment Statistics

Notes:

[1] Median Age (2000-2009) and Percent High School Graduate or Higher (2000-2009), from 2000 Census. No data available outside of 2000 U.S. Census

CITY OF TAMARAC

Major Employers - Number of Employees

Current and Nine Years Ago

	2015		2006	
Employer	**Employees**	**Percentage of Total City Employment**	**Employees**	**Percentage of Total City Employment**
Convergys Customer Mgmt CP	700	20.41%	1,290	18.85%
Publix Supermarkets (3)	531	15.48%	510	7.45%
University Hospital	500	14.58%	1,000	14.61%
City Furniture (Opened in 2001)	400	11.66%	1,800	26.30%
Arrigo Dodge Chrysler Jeep	300	8.75%		
City of Tamarac	369	10.76%	398	5.82%
Treatment Center	200	5.83%		
Woodmont Country Club	160	4.66%		
Walgreens	140	4.08%	185	2.70%
Applebees/IHOP Restaurant	130	3.79%		
Toshiba CP		0.00%	250	3.65%
Richline Group (formerly Aurafin CP)		0.00%	250	3.65%
Heartland of Tamarac		0.00%	220	3.21%
Technion Communications		0.00%	650	9.50%
Arch Aluminum & Glass		0.00%	290	4.24%

Source:
* Tamarac Chambers of Commerce for 2006
* 2015 Data provided by Tamarac Community Development Dpt.

See accompanying independent auditors' report.

CITY OF TAMARAC

Full-Time Equivalent City Employees by Function/Program

Last Ten Fiscal Years

Function/Program	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
Governmental activities:										
General Government	102	103	97	89	88	67	73	73	75	77
Public Safety*	108	109	104	104	102	119	127	128	130	133
Transportation	16	17	10	10	10	14	13	11	10	10
Culture and recreation	36	36	34	42	35	40	46	47	52	50
Physical environment	68	69	65	64	59	26	26	26	31	34
Economic Development						3	2	1	1	1
Business-type activities:										
Water and Wastewater	50	51	50	51	50	61	64	64	63	63
Stormwater	18	18	18	18	21	21	21	23	20	21
Total	398	403	378	378	365	351	372	373	382	387

Notes:

* The City contracts for police services with the Broward County Sheriff's Office and in doing so does not maintain a municipal police force.

Sources:

City of Tamarac Adopted Budget Documents 2006-2015

See accompanying independent auditors' report.

CITY OF TAMARAC

Operating Indicators by Function/Program

Last Ten Fiscal Years

Function/Program	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
General Government										
Building Permits Issued	9,843	7,587	5,634	5,104	5,723	6,029	6,203	6,218	5,770	8,019
Building Inspections Conducted	43,649	33,215	17,103	16,834	16,058	15,654	15,112	15,667	14,181	20,133
Police										
Physical Arrests	874	1,197	1,579	1,605	1,099	1,680	1,663	1,184	952	1,080
Traffic Violations	3,514	4,908	1,216	8,959	7,884	5,560	5,192	4,841	7,548	7,766
Fire										
Emergency Responses	8,563	10,694	10,735	10,896	11,081	11,274	11,324	11,856	10,453	11,059
Inspections	1,669	1,684	2,652	2,714	2,667	2,639	2,824	2,710	2,313	2,500
Refuse Collection										
Recyclables Collected (tons)	3,800	3,439	3,482	3,430	3,243	2,972	4,203	4,354	4,058	4,048
Other Public Works										
Street Resurfacing (miles)	3.00	2.00	0.00	0.00	0.00	0.00	0.00	0.00	1.78	118.00
Potholes Repaired	6	64	115	82	122	180	171	296	221	231
Parks and Recreation										
Athletic Field Permits Issued	28	87	2	90	130	158	508	809	833	925
Water										
New Connections	727	350	74	14	17	11	19	15	43	253
Water Main Breaks	35	18	13	11	26	12	24	24	13	6
Average Daily Consumption (millions of gallons)	6.5	5.7	5.4	5.7	5.9	6.1	5.9	5.9	5.7	5.7
Peak Daily Consumption (millions of gallons)	10.0	11.2	14.0	7.5	6.6	6.9	6.4	8.5	6.5	6.7
Wastewater										
Average Daily Sewage Treatment (millions of gallons)	6.767	6.480	6.512	6.600	6.800	7.485	8.500	8.413	8.437	8.437
Transit										
Total Route Miles	78,022	80,244	73,450	98,281	112,324	121,340	128,960	120,595	109,516	108,595
Passengers	43,781	47,145	16,304	36,345	35,024	53,973	52,172	70,509	65,423	65,277

Sources:

City of Tamarac Building and Code, Fire Rescue, Parks and Recreation, Public Works, Utilities departments; and Broward Sheriff's Office (District 7)

See accompanying independent auditors' report.

CITY OF TAMARAC

Capital Asset Statistics by Function

Last Ten Fiscal Years

Function	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
Public safety										
Police:										
Stations	1	1	1	1	1	1	1	1	1	1
Patrol units	90	89	74	72	82	85	101	118	107	107
Fire stations	3	3	3	3	3	3	3	3	3	3
Highways and Streets										
Streets (miles)	120	136	140	137	137	137	136	136	136	136
Street lights	385	239	385	239	242	255	255	255	255	255
Culture and recreation										
Parks acreage	147.6	150.55	159.05	153.6	153.6	153.6	176.6	640.6	416.0	416.0
Parks	10	10	11	10	10	10	10	10	11	11
Tennis courts	4	4	4	4	4	4	4	4	4	4
Community centers	1	1	1	3	3	3	3	3	3	3
Aquatic Center	1	1	1	1	1	1	1	1	1	1
Golf Course	N/A	N/A	N/A	N/A	N/A	N/A	N/A	1	1	1
Water										
Water mains (miles)	249.7	250.9	251.2	253.9	253.9	254.0	254.0	255.0	254.3	254.5
Fire hydrants	2,029	2,043	2,045	2,077	2,079	2,083	2,084	2,091	2,094	2,101
Maximum daily capacity (millions of gallons)	20	20	20	20	20	20	16	16	16	16
Sewer										
Sanitary Sewers (miles)	185.00	185.50	186.00	188.30	188.30	188.30	188.00	188.00	188.40	188.40
Storm Sewers (miles)	76.0	77.0	78.6	77.0	82.0	82.0	82.0	82.0	82.3	82.3
Maximum daily capacity (millions of gallons)	8.0	8.0	8.0	8.5	8.5	8.5	8.5	8.5	8.2	8.5

Sources:
City of Tamarac Fire Rescue, Parks and Recreation, Public Works, Utilities departments; and Broward Sheriff's Office (District 7)

See accompanying independent auditors' report.

TAMARAC

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COMPLIANCE SECTION

TAMARAC

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INDEPENDENT AUDITORS' REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

To the Honorable Mayor, City Commission, Pension Board of Trustees,
and City Manager
City of Tamarac, Florida

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Tamarac, Florida, as of and for the year ended September 30, 2015, and the related notes to the financial statements, which collectively comprise the City of Tamarac, Florida's basic financial statements, and have issued our report thereon dated March 2, 2016. We also audited the Police Officer's Pension Trust Fund, the General Employees' Pension Trust Fund, the Elected and Appointed Officers and Non-Represented Employees Retirement Fund, and the Firefighters' Pension Trust Fund included in the accompanying notes to the financial statements as combining statements as of and for the year ended September 30, 2015.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City of Tamarac, Florida's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City of Tamarac, Florida's internal control. Accordingly, we do not express an opinion on the effectiveness of the City of Tamarac, Florida's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or, significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

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Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City of Tamarac, Florida's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

GLSC & Company, PLLC

Miami, Florida
March 2, 2016

GLSC & COMPANY, PLLC
certified public accountants

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MANAGEMENT LETTER PURSUANT TO THE RULES OF THE AUDITOR GENERAL FOR THE STATE OF FLORIDA

To the Honorable Mayor, City Commissioners, Pension Board of Trustees,
and City Manager
City of Tamarac, Florida

Report on the Financial Statements

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of City of Tamarac, Florida (the "City"), as of and for the year ended September 30, 2015, which collectively comprise the City's basic financial statements and have issued our report thereon dated March 2, 2016. We also have audited the Police Officers' Pension Trust Fund, the General Employees' Pension Trust Fund, the Elected and Appointed Officers and Non-Represented Employees Retirement Fund, and the Firefighters' Pension Trust Fund included in the accompanying notes to the financial statements as combining statements as of and for the year ended September 30, 2015.

Auditors' Responsibility

We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; OMB Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations;* and Chapter 10.550, Rules of the Auditor General.

Other Reports and Schedules

We have issued our Independent Auditors' Report on Internal Control over Financial Reporting and Compliance and Other Matters based on an Audit of the Financial Statements Performed in Accordance with *Government Auditing Standards;* Independent Auditors' Report on Compliance for Each Major Federal Program and Report on Internal Control over compliance; Schedule of Findings and Questioned Costs; and Independent Accountants' Report on an examination conducted in accordance with *AICPA Professional Standards*, Section 601, regarding compliance requirements in accordance with Chapter 10.550, Rules of the Auditor General. Disclosures in those reports and schedule, which are dated March 2, 2016, should be considered in conjunction with this management letter.

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Purpose of this Letter

Additionally, our audit was conducted in accordance with Chapter 10.550, Rules of the Auditor General, which governs the conduct of local governmental entity audits performed in the State of Florida. This letter includes the following information, which is not included in the aforementioned auditor's report or schedule:

I. Current year findings and recommendations
II. Status of prior year findings and recommendations
III. Compliance with the Provisions of the Auditor General of the State of Florida

Our management letter is intended solely for the information and use of the Legislative Auditing Committee, members of the Florida Senate and the Florida House of Representatives, the Florida Auditor General, Federal and other granting agencies, and applicable management, and is not intended to be and should not be used by anyone other than these specified parties.

We wish to thank the City of Tamarac, Florida and the personnel associated with it, for the opportunity to be of service to them in this endeavor as well as future engagements and the courtesies extended to us.

GLSC & Company, PLLC

Miami, Florida
March 2, 2016

LETTER TO MANAGEMENT

I. CURRENT YEAR FINDINGS AND RECOMMENDATIONS

NONE

II. STATUS OF PRIOR YEAR FINDINGS AND RECOMMENDATIONS

NONE

III. COMPLIANCE WITH THE PROVISIONS OF THE AUDITOR GENERAL OF THE STATE OF FLORIDA

1. Unless otherwise required to be reported in the auditors' report on internal control over financial reporting and on compliance and other matters or schedule of finding and questioned costs, the management letter shall include, but not be limited to, a statement as to whether or not corrective actions have been taken to address findings and recommendations made in the preceding financial audit report pursuant to Rule 10.557(3)(b) or (c). There were no recommendations made in the preceding annual financial audit.

2. There were no significant findings and recommendations to improve the City's financial management, accounting procedures, and internal control for the fiscal year ended September 30, 2015.

3. There were no findings of noncompliance with provisions of contracts or grant agreements, or abuse, that have occurred, or are likely to have occurred, that have an effect on the financial statements that is less than material but which warrants the attention of those charged with governance.

4. The City of Tamarac, Florida was incorporated in accordance with House Bill No. 1413 on June 20, 1960. There are no component units related to the City.

5. The City of Tamarac did not meet any of the conditions described in Section 218.503(1), Florida Statutes.

6. The annual financial report filed with the Florida Department of Financial Services pursuant to Section 218.32(1)(a), Florida Statutes agrees with the September 30, 2015 financial audit report.

7. We applied financial condition assessment procedures pursuant to Sections 10.554(1)(i)5.c. and 10.556(8), Rules of the Auditor General and no deteriorating financial conditions were noted. It is management's responsibility to monitor the City of Tamarac, Florida's financial condition, and our financial condition assessment was based in part on representations made by management and the review of financial information provided by the same.

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INDEPENDENT ACCOUNTANTS' REPORT

Honorable Mayor, City Commission, and City Manager
City of Tamarac, Florida

We have examined City of Tamarac, Florida's (the "City") compliance with the requirements of Section 218.415, Florida Statutes, *Local Government Investment Policies*, during the year ended September 30, 2015. Management is responsible for the City's compliance with those requirements. Our responsibility is to express an opinion on the City's compliance based on our examination.

Our examination was conducted in accordance with attestation standards established by the American Institute of Certified Public Accountants and, accordingly, included examining, on a test basis, evidence about the City's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our examination provides a reasonable basis for our opinion. Our examination does not provide a legal determination on the City's compliance with specified requirements.

In our opinion, the City complied, in all material respects, with the aforementioned requirements for the year ended September 30, 2015.

This report is intended solely for the information and use of management and the State of Florida Auditor General and is not intended to be and should not be used by anyone other than these specified parties.

GLSC & Company, PLLC

Miami, Florida
March 2, 2016

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INDEPENDENT AUDITORS' REPORT ON COMPLIANCE FOR EACH MAJOR PROGRAM AND ON INTERNAL CONTROL OVER COMPLIANCE REQUIRED BY OMB CIRCULAR A-133

To the Honorable Mayor, City Commission,
and City Manager
City of Tamarac, Florida

Report on Compliance for Each Major Federal Program

We have audited the City of Tamarac, Florida's (the "City") compliance with the types of compliance requirements described in the *OMB Circular A-133 Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended September 30, 2015. The City's major federal programs are identified in the summary of auditors' results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts, and grants applicable to its federal programs.

Auditors' Responsibility

Our responsibility is to express an opinion on compliance for each of the City's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and OMB Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. Those standards and OMB Circular A-133 require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the City's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the City's compliance.

Opinion on Each Major Federal Program

In our opinion, the City of Tamarac, Florida, complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended September 30, 2015.

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Report on Internal Control Over Compliance

Management of the City of Tamarac, Florida, is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the City's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with OMB Circular A-133, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the City's internal control over compliance.

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of OMB Circular A-133. Accordingly, this report is not suitable for any other purpose.

GLSC & Company, PLLC

Miami, Florida
March 2, 2016

CITY OF TAMARAC
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS AND STATE FINANCIAL ASSISTANCE PROJECTS
FOR THE FISCAL YEAR ENDED SEPTEMBER 30, 2015

Federal Agency, Pass-through Entity Federal Program	CFDA Number	Contract Grant Number	Expenditures
U.S. Department of Housing and Urban Development			
Community Development Block Grant	14.218	FY2011-2014	$ 401,458
Pass-Through Broward County			
Home Development Partnership Program	14.239	N/A	51,040
Total U.S. Department of Housing and Urban Development			452,498
U.S. Department of Homeland Security			
Pass-Through Florida Division of Emergency Management			
Homeland Security Grant Program	97.067	15-DS-L5-11-16-01-233	12,904
U.S. Department of Transportation			
Pass-Through Federal Highway Administration			
Highway Planning and Construction	20.205	425535-2-58/68-01	206,197
Pass-Through Florida Department of Environmental Protection			
Recreational Trails Program	20.219	T10023	128,000
Total U.S. Department of Transportation			334,197
TOTAL EXPENDITURES OF FEDERAL AWARDS			$ 799,599

State/Local - Agency/Program	CFSA Number	Contract Grant Number	Expenditures
Florida Department of Transportation			
Florida Highway Beautification Program	55.023	429965-1-58-01/ ARB90	$ 17,839
Florida Division of Emergency Management			
Residential Construction Mitigation Program	31.01	15RC-E6-11-16-02-270	224,489
Florida Housing Finance Agency			
State Housing Initiative Partnership (S.H.I.P.)	52.901	N/A	231,577
TOTAL EXPENDITURES OF STATE/LOCAL FINANCIAL ASSISTANCE			$ 473,905

See Notes to Schedule of Expenditures of Federal Awards and State Financial Assistance Projects.

CITY OF TAMARAC, FLORIDA
NOTE TO THE SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS AND STATE FINANCIAL ASSISTANCE PROJECTS
FOR THE YEAR ENDED SEPTEMBER 30, 2015

NOTE A - SCOPE OF AUDIT PURSUANT TO OMB CIRCULAR A-133

Federal Awards Programs

All Federal grant operations of the City of Tamarac, Florida are included in the scope of the Office of Management and Budget (OMB) Circular A-133 audit (the Single Audit). The Single Audit was performed in accordance with the provisions of the OMB Circular A-133 Compliance Supplement (Revised June 2015, the "Compliance Supplement"). Compliance testing of all requirements, as described in the Compliance Supplement, was performed for the grant programs noted below. These programs represent all Federal awards and other grants with fiscal 2015 cash and noncash expenditures in excess of $500,000 that ensure coverage of at least 25 percent of Federally granted funds. Actual coverage is approximately 50 percent of total cash and noncash Federal program expenditures.

Major Federal Program Description	Federal CFDA Number	Fiscal 2015 Expenditures
Community Development Block Grant	14.218	$ 401,458

NOTE B - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accompanying Schedule of Expenditures of Federal Awards and State Financial Assistance Projects includes all Federal grants and State projects to the City of Tamarac, Florida that had activity during the fiscal year ended September 30, 2015. The basis of accounting is described in Note 1 to the City of Tamarac, Florida's basic financial statements.

Contingency

The grant revenue amounts received are subject to audit and adjustment. If any expenditures are disallowed by grantor agency as a result of such an audit, any claim for reimbursement to the grantor agencies would become liability for the City. In the opinion of management, all grant expenditures are in compliance with the terms of the grant agreements and applicable federal and state laws and regulations.

NOTE C - FINDINGS OF NONCOMPLIANCE

None

NOTE D - AUDITS PERFORMED BY OTHER ORGANIZATIONS

There we no audits performed by other organizations.

CITY OF TAMARAC, FLORIDA
SCHEDULE OF FINDINGS AND QUESTIONED COSTS - FEDERAL AWARDS
FOR THE YEAR ENDED SEPTEMBER 30, 2015

A. SUMMARY OF AUDIT RESULTS

1. The auditors' report expresses an unmodified opinion on the basic financial statements of the City of Tamarac, Florida.

2. There were no significant deficiencies relating to the audit of the basic financial statements reported in the independent auditors' report on internal control over financial reporting and on compliance and other matters based on an audit of financial statements performed in accordance with *Government Auditing Standards*. The audit did not disclose noncompliance that is material to the financial statements.

3. There were no significant deficiencies relating to the audit of the major federal programs reported in the independent auditors' report on compliance for each major program and on internal control over compliance in accordance with OMB Circular A-133.

4. The auditors' report on compliance for the major federal programs for the City of Tamarac, Florida expresses an unmodified opinion.

5. Audit findings relative to the major federal programs for the City of Tamarac, Florida are reported in Parts C and D. of this Schedule.

6. The program tested as a major program includes:

Federal Programs	CFDA No.	Amount
Community Development Block Grant	14.218	$ 401,458

Dollar threshold to distinguish Type A and Type B Programs $300,000

7. The City of Tamarac, Florida, was determined to be a low-risk audit pursuant to OMB Circular A-133.

B. FINDINGS - FINANCIAL STATEMENTS AUDIT

NONE

C. FINDINGS AND QUESTIONED COSTS - MAJOR FEDERAL AWARDS

NONE

D. OTHER ISSUES

1. No summary schedule of prior audit findings is required because there were no prior audit findings related to federal programs or state projects.

2. No corrective action plan is required because there were no findings required to be reported under the federal Single Audit Act.

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CITY OF TAMARAC, FLORIDA
STATEMENT OF NET POSITION
WATER AND WASTEWATER FUND
PRELIMINARY UNAUDITED AND UNADJUSTED
SEPTEMBER 30, 2016

ASSETS	
Current assets:	
Cash and equity in pooled cash	$ 17,536,971
Investments	14,999,956
Accounts receivable - net	4,775,749
Inventories	289,199
Prepaid expenses	500
Total current assets	37,602,375
Non-current assets:	
Restricted assets:	
Cash and equity in pooled cash and investments	1,584,738
Net Pension Asset	41,655
Capital assets:	
Land	7,415,829
Buildings and improvements	7,334,209
Improvements other than building	104,027,788
Equipment	5,052,664
Infrastructure	58,974
Construction in progress	1,865,835
Total capital assets	125,755,300
Less accumulated depreciation	(69,694,887)
Total capital assets - net	56,060,413
Total non-current assets	57,686,806
Total assets	95,289,181
DEFERRED OUTFLOWS OF RESOURCES	
Deferred outflows from pensions	1,672,983
Deferred charges on refunding	675,127
Total deferred outflows of resources	2,348,110
LIABILITIES	
Current liabilities:	
Accounts payable and other accrued liabilities	680,382
Accrued payroll	171,996
Due to other governments	45,369
Bonds payable	300,000
Customer deposits	1,584,738
Compensated absences	68,262
Total current liabilities	2,850,747
Non-current liabilities:	
Bonds payable	11,896,556
Net Pension liability	725,752
Net OPEB obligations	223,024
Compensated absences	552,303
Total noncurrent liabilities	13,397,635
Total liabilities	16,248,382
DEFERRED INFLOWS OF RESOURCES	
Deferred inflows from pensions	487,905
	487,905
NET POSITION	
Net investment in capital assets	40,179,057
Restricted for:	
Renewal and replacement	10,710,525
Debt service	896,953
Unrestricted	29,114,470
Total net position	$ 80,901,004

CITY OF TAMARAC, FLORIDA

STATEMENT OF REVENUES, EXPENSES
AND CHANGES IN FUND NET POSITION
WATER AND WASTEWATER FUND
PRELIMINARY UNAUDITED AND UNADJUSTED
FOR THE YEAR ENDED SEPTEMBER 30, 2016

OPERATING REVENUES:		
Charges for services	$	26,231,326
Other		15,871
Total operating revenues		26,247,197
OPERATING EXPENSES:		
Salaries, wages and employee benefits		4,847,539
Contractual services, materials and supplies		7,484,838
Depreciation		3,120,498
Other services and charges		4,473,912
Total operating expenses		19,926,787
Operating income (loss)		6,320,411
NONOPERATING REVENUES (EXPENSES):		
Investment income		103,664
Interest expense		(596,448)
Gain on disposal of fixed assets		1,294
Total nonoperating revenues (expenses)		(491,490)
Income (loss)		5,828,921
Capital contributions		388,149
Transfers out		(17,863)
Net contributions and transfers		370,286
Change in net position		6,199,206
Total net position, October 1,		74,701,798
Total net position, September 30	$	80,901,004

CITY OF TAMARAC, FLORIDA
STATEMENT OF CASH FLOWS
WATER AND WASTEWATER FUND
PRELIMINARY UNAUDITED AND UNADJUSTED
FOR THE YEAR ENDED SEPTEMBER 30, 2016

Cash flows from operating activities:		
Cash received from customers (including other funds)	$	26,321,552
Payments to suppliers		(9,720,929)
Payments to employees		(5,119,401)
Interfund service payments		(2,952,251)
Net cash provided by (used in) operating activities		8,528,971
Cash flows from noncapital financing activities:		
Transfers out		(17,863)
Net cash provided (used in) by noncapital financing activities		(17,863)
Cash flows from capital and related financing activities:		
Acquisition and construction of capital assets		(4,390,990)
Proceeds from sale of capital assets		1,294
Interest paid		(887,861)
Net cash used in capital and related financing activities		(5,277,558)
Cash flows from investing activities:		
Proceeds from sales and maturities of investments		3,577,674
Purchases of investments		(8,590,210)
Interest income		103,664
Net cash used in investing activities		(4,908,872)
Net increase (decrease) in cash and cash equivalents		(1,675,322)
Cash and cash equivalents at beginning of year		20,797,031
Cash and cash equivalents at end of year	$	19,121,709
Pooled cash and cash equivalents per statement of net assets:		
Unrestricted	$	17,536,971
Restricted		1,584,738
Total, September 30	$	19,121,709
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:		
Operating income (loss)	$	6,320,410
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Depreciation		3,120,498
Non cash pension expense adjustment		(259,938)
Change in assets and liabilities:		
Increase in accounts receivable		(16,211)
(Increase) decrease in inventories		(16,344)
Decrease in accounts payable		(705,081)
Increase (decrease) in accrued liabilities		(11,924)
Increase in due to other government		6,997
Increase (decrease) in customer deposits		90,564
Total adjustments		2,208,561
Net cash provided by (used in) operating activities	$	8,528,971
Non-cash investing, capital and financing activities:		
Decrease in fair value of investments	$	(39,014)
Contributions of capital assets from developers	$	-

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APPENDIX B

General Information – City of Tamarac

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APPENDIX B

GENERAL INFORMATION REGARDING THE CITY OF TAMARAC, FLORIDA

The following statistical information concerning Tamarac, Florida (the "City") has been derived from the City's Comprehensive Annual Financial Report for its fiscal year ending September 30, 2015, and is included only for purposes of supplying general information regarding the City. See "THE CITY" in the body of the Official Statement and Appendix A to the Official Statement for additional information regarding the City.

CITY PROFILE AND GOVERNMENTAL STRUCTURE

Created in 1963 by the Legislature of the State of Florida, the City of Tamarac occupies approximately twelve square miles in the northwestern portion of Broward County, the second most populated county in the State. The City has a population of approximately 63,793. The City is primarily residential with a diverse population with 55.8% of the population between the ages of 18 and 65. The City has an estimated average age for 2010 of 47.6 years, versus 52.9 years in 2000.

The City operates under the Commission/City Manager form of government. The policy-making body of the City is a City Commission composed of five members, four members elected by district on a nonpartisan basis and the Mayor. The Mayor is elected at-large on a nonpartisan basis and has one (1) vote. All terms run for a four (4) year period with the Mayor and two (2) commissioners being elected at one election and two years later, the remaining two (2) commissioners are elected. The City Commission is responsible for all policy-making functions of the government and retains the services of a City Manager and City Attorney. The City Manager is responsible for the administration of the City.

MAJOR INITIATIVES

The City of Tamarac has a long-term Vision Statement. It represents the collective aspirations, dreams and desires of the City Commission, the Executive Team, employees and the residents offered through a series of meetings and workshops. The Vision Statement embodies where the City would like to be, and provides an image for what the City wants to become in the future:

> *"The City of Tamarac, our community of choice-leading the nation in quality of life through safe neighborhoods, a vibrant economy, exceptional customer service and recognized excellence."*

The City has developed a Strategic Plan in order to set a uniform direction towards achieving its mission, vision and values. The City's Executive Team reviews the City's Strategic Plan on an annual basis and updates the plan every year. The annual process identifies major issues or concerns through an environmental scan and strength, weaknesses, opportunities and threats (S.W.O.T.) analysis. Departments then develop action plans designed to achieve the City's five strategic goals. The City then allocates resources providing for uniform progress

towards the City's stated strategic goals. Each goal further contributes to moving the City towards its long term vision.

Strategic Goals

1. **Inclusive Community** – The City is committed to providing programs and services that meet the needs of an increasingly diverse community.

2. **Health Financial Environment** – The City will utilize financial management to develop and maintain a healthy financial environment, encouraging and supporting economic development and redevelopment.

3. **Dynamic Organizational Culture** – The City will create and sustain a culture conducive to development and retention of a skilled workforce.

4. **Clear Communication** – The City will ensure effective communication within the organization and throughout the City, and enhance the visibility of City programs and services.

5. **A Vibrant Community** – The City will provide resources, initiatives and opportunities to continually revitalize our community and preserve the environment.

CITY OF TAMARAC

Assessed Value and Estimated Actual Value of Taxable Property

Last Ten Fiscal Years

(in thousands of dollars)

		Real Property							
Tax Year	**Fiscal Year**	**Residential Property**	**Non-Residential Property**	**Personal Property**	**Less: Tax Exemptions**	**Total Taxable Value**	**Total Direct Tax Rate**	**Estimated Actual Market Value**	**Taxable Value as a Percentage of Market Value**
2006	2007	$3,595,772	$812,384	$201,088	$756,359	$3,852,885	6.3529	$6,242,664	61.72%
2007	2008	4,076,990	954,591	407,699	877,960	4,561,320	5.1126	7,158,234	63.72%
2008	2009	3,992,061	1,019,696	163,052	1,303,330	3,871,479	5.3916	6,056,062	63.93%
2009	2010	3,272,001	1,062,921	158,771	1,486,624	3,007,069	6.0800	4,709,447	63.85%
2010	2011	2,578,120	1,039,343	158,840	1,486,624	2,289,679	6.5894	3,723,029	61.50%
2011	2012	2,497,140	989,638	153,089	1,144,478	2,495,389	6.7774	3,632,374	68.70%
2012	2013	2,442,151	971,166	168,941	1,136,378	2,445,880	7.4027	3,530,134	69.29%
2013	2014	2,508,291	981,145	178,237	1,128,021	2,539,652	7.3985	3,695,728	68.72%
2014	2015	2,671,825	1,001,529	178,117	1,125,020	2,726,451	7.3985	4,233,269	64.41%
2015	2016	3,059,158	1,093,886	170,015	1,148,519	3,174,540	7.3638	5,112,796	62.09%

Source: Broward County Property Appraiser

City of Tamarac
Tax Revenues by Source – Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)

Fiscal Year	Property	Sales & Use	Local Option Gas Tax	Total
2006	$ 19,825,785	$ 3,688,932	$ 1,094,177	$ 24,608,894
2007	23,423,506	4,035,998	1,081,652	28,541,156
2008	21,552,344	4,120,406	1,073,542	26,746,292
2009	20,231,743	3,037,695	972,074	24,241,512
2010	18,865,483	3,016,203	1,037,421	22,919,107
2011	16,381,514	3,140,797	1,045,839	20,568,150
2012	16,253,245	3,319,822	1,034,710	20,607,777
2013	17,410,277	3,545,802	1,032,099	21,988,178
2014	18,058,964	3,760,479	1,067,547	22,886,990
2015	19,037,671	3,928,976	1,085,206	24,051,853
Change 2006-2015	-4.0%	6.5%	-0.8%	-2.3%

Source, City of Tamarac, Financial Services Department

CITY OF TAMARAC

Property Tax Rates
Direct and Overlapping Governments
Last Ten Fiscal Years

	City of Tamarac			Overlapping Rates										
				County			School District							
Fiscal Year	Operating Millage	Debt Service Millage	Total City Millage	Operating Millage	Debt Service Millage	Total County Millage	Operating Millage	Debt Service Millage	Total School Millage	Children's Services	South Florida Water Management District	Broward Health	Florida Inland Navigation District	Total Direct & Overlapping Rates
2006	6.2499	0.3530	6.6029	6.2942	0.4888	6.7830	7.8410	0.2213	8.0623	0.4231	0.6970	2.1746	0.0385	24.7814
2007	6.2224	0.1305	6.3529	5.6433	0.4228	6.0661	7.6790	0.1897	7.8687	0.4073	0.6970	1.8317	0.0385	23.2622
2008	5.0496	0.0630	5.1126	4.8889	0.3979	5.2868	7.4770	0.1714	7.6484	0.3572	0.6240	1.6255	0.0345	20.6890
2009	5.3215	0.0701	5.3916	4.8889	0.4256	5.3145	7.4170	0.0000	7.4170	0.3754	0.6240	1.7059	0.0345	20.8629
2010	5.9999	0.0801	6.0800	4.8889	0.5000	5.3889	7.4310	0.0000	7.4310	0.4243	0.6240	1.7059	0.0345	21.6886
2011	6.5000	0.0894	6.5894	5.1021	0.3670	5.9200	7.6310	0.0000	7.6310	0.4696	0.6240	1.8750	0.0345	23.1435
2012	6.6850	0.0924	6.7774	5.1860	0.3670	5.5530	7.4180	0.0000	7.4180	0.4789	0.4363	1.8750	0.0345	22.5731
2013	7.2899	0.1128	7.4027	5.2576	0.2954	5.5530	7.4560	0.0000	7.4560	0.4902	0.4289	1.8564	0.0345	23.2217
2014	7.2899	0.1086	7.3985	5.4440	0.2830	5.7270	7.4800	0.0000	7.4800	0.4882	0.4110	1.7554	0.0345	23.2946
2015	7.2899	0.1010	7.3909	5.4584	0.2646	5.7230	7.4380	0.0000	7.4380	0.4882	0.3842	1.5939	0.0345	23.0527

Source: Broward County Property Appraiser

CITY OF TAMARAC
Principal Property Taxpayers
Current and Nine Years Ago

	2015			2006		
Taxpayer	**Taxable Assessed Value**	**Rank**	**Percentage of Total City Taxable Assessed Value**	**Taxable Assessed Value**	**Rank**	**Percentage of Total City Taxable Assessed Value**
Florida Power & Light Co	$ 54,908,843	1	2.01%	$ 49,356,003	2	1.56%
Advance Business Assoc	39,732,840	2	1.46%	61,785,557	1	1.96%
Coral Vista Investors, LLC	30,300,000	3	1.11%			
BH IGF Hidden Harbour	28,996,880	4	1.06%			
DDRM Midway Plaza LLC	27,683,310	5	1.02%			
Alliance Partners LLC	19,347,560	6	0.71%	24,279,914	8	0.77%
University Hospital	19,213,940	7	0.70%	42,826,478	3	1.36%
Tamarac Point LTD Partner	16,615,160	8	0.61%			
Fairfield Woodmont Park LLC	16,268,620	9	0.60%			
Wells Operating Partner	13,744,970	10	0.50%			
Samson Mgmt, Inc. (Hidden Harbour)				29,877,243	4	0.95%
Inland Southeast Midway LLC				27,121,410	5	0.86%
Monadnock Property Trust, LLC				25,852,349	6	0.82%
Jasmine At Tamarac				16,929,736	7	0.54%
Ramco-Gershenson Properties				18,239,980	9	0.58%
T T of Commercial Inc.				19,726,690	10	0.63%
Total	$ 266,782,123		9.75%	$ 315,995,360		10.02%

Source Broward County Revenue Collection Division 2015

CITY OF TAMARAC
Property Tax Levies and Collections
Last Ten Fiscal Years
(in thousands of dollars)

Fiscal Year Ended September 30	Total Tax Levy for Fiscal year	Collected within the Fiscal Year of the Levy		Collections in Subsequent Years	Total Collections to Date	
		Amount	Percentage Collected		Amount	Percentage of Levy
2006	$20,619	$20,528	99.6%	7	$20,535	99.6%
2007	24,280	24,165	99.5%	20	24,185	99.6%
2008	22,363	21,440	95.9%	-	21,440	95.9%
2009	20,859	18,843	90.3%	295	19,138	91.7%
2010	19,703	18,630	94.6%	121	18,751	95.2%
2011	16,863	16,016	95.0%	142	16,158	95.8%
2012	16,692	16,014	95.9%	17	16,031	96.0%
2013	17,830	17,131	96.1%	13	17,144	96.2%
2014	18,514	17,788	96.1%	5	17,793	96.1%
2015	19,876	18,777	94.5%	-	18,777	94.5%

Source: Broward County Revenue Collection Division

CITY OF TAMARAC

Ratios of Outstanding Debt by Type

Last Ten Fiscal Years

	Governmental Activities				Bussiness-Type Activities						
Fiscal Year	General Obligation Bonds	Sales Tax Increment Bonds	Capital Improvement Bonds[a]	Taxable Redevelopment Note	Water & Sewer Revenue Bonds	Term Loan	Capital Improvement Revenue Bonds	Capital Leases	Total Primary Government[b]	Percentage of Personal Income[c]	Per Capita
2006	$2,619,398	$18,090,000	$15,000,000	-	$3,495,000	$6,000,000	$9,030,000	-	$4,234,398	3.21%	$910.19
2007	2,265,523	17,200,000	14,850,000	-	2,705,000	6,000,000	8,680,000	-	1,700,523	2.92%	862.41
2008	1,927,135	16,275,000	14,550,000	$6,818,373	1,860,000	5,090,000	8,325,000	-	4,845,508	2.43%	925.32
2009	1,747,032	15,315,000	14,395,000	4,942,653	14,020,000	-	4,345,000	-	4,764,685	3.25%	922.90
2010	1,559,240	14,425,000	14,210,000	6,017,414	13,785,000	-	4,130,000	$370,520	54,497,174	3.33%	915.76
2011	1,363,431	14,556,000	13,995,000	13,771,509	13,540,000	-	3,905,000	-	61,130,940	3.75%	1,011.65
2012	1,159,263	13,422,000	13,745,000	13,771,509	13,290,000	-	3,670,000	584,704	59,642,476	3.41%	969.13
2013	946,379	12,243,000	14,959,504	13,771,509	957,944	13,030,000	-	3,430,000	59,338,336	3.37%	948.55
2014	724,407	11,030,000	14,463,468	16,620,000	735,118	12,760,000	-	3,180,000	59,512,993	3.29%	942.33
2015	492,959	9,793,000	13,932,423	16,620,000	1,003,346	12,196,555[a]	-	2,846,433[a]	56,874,725	3.04%	891.55

[a] Includes original issue discounts and premiums

[b] Includes general bonded debt, sales tax increment debt, and business-type activities

[c] Personal Income based on an estimate of 2012 median household income ($41,972) of the City of Tamarac

Source: City of Tamarac, Financial Services Department

City of Tamarac
Direct and Overlapping Governmental Debt
September 30, 2015

Name of Government	Net Debt Outstanding	Estimated Percentage Applicable[1]	Estimated Share of Overlapping Debt
Broward County[2]	$ 274,813	1.93%	$ 5,304
City of Tamarac – Direct Debt			41,831,737
Total Direct and Overlapping Debt			$ 41,837,041

[1]The percentage of overlapping debt is estimated using taxable assessed property values. Applicable percentages were estimated by determining the portion of Broward County's taxable assessed value that is within the government's boundaries and dividing it by Broward County's taxable assessed value.

[2]In Thousands of Dollars.

Source: Assessed value data used to estimate applicable percentages provided by Broward County Property Appraiser. The total debt outstanding provided by Broward County. City of Tamarac, Financial Services Department.

Overlapping governments are those that coincide, at least, in part, with the geographic boundaries of the City. This schedule estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the City of Tamarac. This process recognizes that, when considering the government's ability to issue and repay long-term debt, the entire debt burden borne by the residents and businesses should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

CITY OF TAMARAC
Major Employers – Number of Employees
Current and Nine Years Ago

	2015[2]		2006[1]	
Employer	**Employees**	**Percentage of Total City Employment**	**Employees**	**Percentage of Total City Employment**
Convergys Customer Mgmt CP	700	20.41%	1,290	18.85%
Publix Supermarkets	531	15.48%	510	7.45%
University Hospital	500	14.58%	1,000	14.61%
City Furniture	400	11.66%	1,800	26.30%
City of Tamarac	369	10.76%	398	5.82%
Arrigo Dodge Chrysler Jeep	300	8.75%		
Treatment Center	200	5.83%		
Woodmont Country Club	160	4.66%		
Walgreens	140	4.08%	185	2.70%
Applebees/IHOP Restaurant	130	3.79%		
Toshiba CP		0.00%	250	3.65%
Richline Group (formerly Aurafin CP)		0.00%	250	3.65%
Heartland of Tamarac		0.00%	220	3.21%
Technion Communications		0.00%	650	9.50%
Arch Aluminum & Glass		0.00%	290	4.24%

Sources:
[1] 2006 data provided by Tamarac Chamber of Commerce.
[2] 2015 data provided by Tamarac Community Development Department.

APPENDIX C

Form of Bond Resolution

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MASTER UTILITY SYSTEM BOND RESOLUTION

RESOLUTION NO. R-2009-96, AS AMENDED AND RESTATED IN ITS ENTIRETY BY RESOLUTION NO. R-2016-109

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TABLE OF CONTENTS

Page

Section 1. Authority for this Resolution. 4

Section 2. Definitions. 4

Section 3. Findings. 15

Section 4. Authorization of the 2016A Project and Refunding of Refunded 2009 Bonds. 16

Section 5. This Resolution to Constitute Contract. 16

Section 6. Authorization of Bonds. 17

Section 7. Description of the Series 2016 Bonds. 17

Section 8. Execution of Bonds. 18

Section 9. Authentication of Bonds. 19

Section 10. Exchange of Bonds. 19

Section 11. Negotiability, Registration and Transfer of Bonds. 19

Section 12. Ownership of Bonds. 20

Section 13. Bonds Mutilated, Destroyed, Stolen or Lost. 20

Section 14. Provisions for Redemption. 20

Section 15. Form of Bonds. 21

Section 16. Creation of Funds. 28

Section 17. Application of Bond Proceeds. 29

Section 18. Disbursements from Project Fund. 29

Section 19. Special Obligations of Issuer. 30

Section 20. Covenants of the Issuer. 31

Section 21. Defaults; Events of Default and Remedies. 45

Section 22. Amending and Supplementing of Resolution without Consent of Holders of Bonds. 47

Section 23. Amendment of Resolution with Consent of Holders of Bonds. 48

Section 24. Defeasance. 49

Section 25. Governmental Reorganization. 51

Section 26. Additional Utility Functions. 51

Section 27. Utility Cost Containment Bonds. 51

Section 28. Qualified Agreements. 51
Section 29. Payments to Credit Facility. 52
Section 30. Capital Appreciation Bonds. 52
Section 31. Tax Covenants. 52
Section 32. Bond Anticipation Notes Authorized for Interim Financing. 53
Section 33. Additional Rights to Insurers. 54
Section 34. Severability. 54
Section 35. Sale of Bonds. 54
Section 36. General Authority. 54
Section 37. No Third Party Beneficiaries. 54
Section 38. No Personal Liability. 55
Section 39. Amendment and Restatement; Repeal of Inconsistent Instruments. 55
Section 40. Effective Date. 55

CITY OF TAMARAC, FLORIDA
RESOLUTION NO. R-2016-109

A RESOLUTION AMENDING AND RESTATING RESOLUTION NO. R-2009-96 IN ITS ENTIRETY; AUTHORIZING THE ISSUANCE OF NOT TO EXCEED $22,000,000 UTILITY SYSTEM REFUNDING REVENUE BONDS, SERIES 2016A FOR THE PURPOSE OF REFUNDING A PORTION OF THE OUTSTANDING CITY OF TAMARAC, FLORIDA UTILITY SYSTEM REFUNDING REVENUE BONDS, SERIES 2009 AND FINANCING THE COST OF IMPROVEMENTS TO THE CITY'S UTILITY SYSTEM, AND PAYING COSTS RELATED THERETO; AND AUTHORIZING THE ISSUANCE OF NOT TO EXCEED $5,000,000 UTILITY SYSTEM REFUNDING REVENUE BONDS, SERIES 2016B (TAXABLE) FOR THE PURPOSE OF REFUNDING A PORTION OF THE OUTSTANDING CITY OF TAMARAC, FLORIDA UTILITY SYSTEM REFUNDING REVENUE BONDS, SERIES 2009, AND PAYING COSTS RELATED THERETO; PLEDGING CERTAIN NET REVENUES OF THE UTILITY SYSTEM FOR THE PAYMENT OF SUCH BONDS; PROVIDING FOR THE RIGHTS OF THE HOLDERS OF SUCH BONDS; MAKING OTHER COVENANTS AND AGREEMENTS IN CONNECTION THEREWITH; AND PROVIDING FOR AN EFFECTIVE DATE.

WHEREAS, the City Commission of the City of Tamarac, Florida (the "Issuer") previously adopted Resolution No. R-2009-96 on July 22, 2009 (the "Original Resolution"); and

WHEREAS, the Issuer then issued $14,020,000 of its Utility System Refunding Revenue Bonds, Series 2009 (the "Series 2009 Bonds") to refinance certain indebtedness and to finance the costs of improvements to the System (as such term is hereinafter defined) pursuant to the Original Resolution; and

WHEREAS, all of such Series 2009 Bonds are insured by a financial guaranty insurance policy issued by Assured Guaranty Corp. (the "2009 Insurer"); and

WHEREAS, the Issuer desires to make certain amendments to the Original Resolution; and

WHEREAS, in accordance with Section 23 of the Original Resolution, attached hereto as Exhibit A, the Issuer has obtained the prior written consent of the 2009 Insurer and by purchase of the Series 2016 Bonds, the Series 2016 Bondholders shall be deemed to have consented to the amendments included within this Resolution which amends and restates the Original Resolution, which amendments shall become effective upon the later of receipt of prior written consent of the

2009 Insurer and consent of at least 51% of the Holders of Bonds then Outstanding, which is expected to occur not later than the issuance of the Series 2016 Bonds.

BE IT RESOLVED BY THE CITY COMMISSION OF THE CITY OF TAMARAC, FLORIDA:

Section 1. Authority for this Resolution. This Resolution is adopted pursuant to the provisions of Article VIII, Section 2 of the Constitution of the State of Florida, Chapter 159, Florida Statutes, Part I, Chapter 166, Part II, Florida Statutes, the municipal charter of the City of Tamarac, Florida, and other applicable provisions of law (collectively, the "Act") and the Original Resolution.

Section 2. Definitions. Unless the context otherwise requires, the terms used in this Resolution shall have the meanings specified in this Section 2. Words importing singular number shall include the plural number in each case and vice versa, and words importing persons shall include firms and corporations.

"Accreted Value" shall mean, as of any date of computation with respect to any Capital Appreciation Bond, an amount equal to the principal amount of such Capital Appreciation Bond (the principal amount at its initial offering) plus the interest accrued on such Capital Appreciation Bond from the date of delivery to the original purchasers thereof to the Interest Date next preceding the date of computation or the date of computation if an Interest Date, such interest to accrue at a rate not exceeding the legal rate, compounded semiannually, plus, with respect to matters related to the payment upon redemption of the Capital Appreciation Bonds, if such date of computation shall not be an Interest Date, a portion of the difference between the Accreted Value as of the immediately preceding Interest Date and the Accreted Value as of the immediately succeeding Interest Date, calculated based on the assumption that Accreted Value accrues during any semi-annual period in equal daily amounts on the basis of a 360-day year.

"Acquired Obligations" shall mean cash, direct non-callable obligations of the United States of America and securities fully and unconditionally guaranteed as to the timely payment of principal and interest by the United States of America, to which direct obligation or guarantee the full faith and credit of the United States of America has been pledged, Refcorp interest strips, CATS, TIGRS, STRPS, defeased municipal bonds rated AAA by S&P or Aaa by Moody's (or any combination thereof) or direct obligations or fully guaranteed certificates of beneficial ownership of the U.S. Export-Import Bank, certificates of beneficial ownership of the Farmers Home Administration, obligations of the Federal Financing Bank, participation certificates of the General Services Administration, Guaranteed Title XI financings of the U.S. Maritime Administration and project notes of the U.S. Department of Housing and Urban Development.

With respect to any Series of Bonds, the definition of Acquired Obligations set forth above may be further limited as set forth in a Supplemental Resolution of the Issuer adopted prior to the issuance of such Bonds.

"Additional Parity Obligations" shall mean additional obligations issued or incurred in compliance with the terms, conditions and limitations contained herein and which (i) shall have a lien on the Pledged Revenues equal to that of the Outstanding Bonds and any Parity Contract Obligations, (ii) shall be payable from the Pledged Revenues on a parity with the Outstanding Bonds and any Parity Contract Obligations, and (iii) shall rank equally in all other respects with the Outstanding Bonds and any Parity Contract Obligations.

"Amortization Installment" shall mean an amount designated as such by Supplemental Resolution of the Issuer and established with respect to any Term Bonds.

"Average Annual Bond Service Requirement" shall mean, as of each date on which a Series of Bonds is issued, the total amount of Bond Service Requirement which is to become due on all Bonds deemed to be Outstanding immediately after the issuance of such Series of Bonds divided by the total number of years for which Bonds are deemed to be Outstanding, except that with respect to any Bonds for which Amortization Installments have been established, the amount of principal coming due on the final maturity date with respect to such Bonds shall be reduced by the aggregate principal amount of such Bonds that are to be redeemed from Amortization Installments to be made in prior Bond Years.

"Bond Anticipation Notes" shall mean notes described in Section 31 hereof of the Issuer issued in anticipation of any Series of Bonds and shall be secured by, amongst other things, a first lien on the proceeds of the Bonds for which such Bond Anticipation Notes were issued.

"Bond Counsel" shall mean Bryant Miller Olive P.A., or any other attorney at law or firm of attorneys of nationally recognized standing in matters pertaining to the exclusion from gross income for federal income tax purposes of interest on obligations issued by states and political subdivisions, and duly admitted to practice law before the highest court of any state of the United States of America.

"Bond Insurance Policy" shall mean the municipal bond new issue insurance policy or policies issued by an Insurer guaranteeing the scheduled payment of principal of and interest on any portion of such Series of Bonds when due as determined by Supplemental Resolution, if any.

"Bond Service Fund" shall mean the Bond Service Fund created and established pursuant to Section 16 of this Resolution.

"Bond Service Requirement" shall mean, for any Bond Year, at any time, the amount required to be deposited in such Bond Year into the Bond Service Fund, as provided herein including any Reimbursement Obligations (any interest shall not include interest to the extent it is to be paid from a direct subsidy payment expected to be received from the United States Treasury relating to Build America Bonds issued pursuant to the Code, or any other interest subsidy or similar payments made by the Federal government). In calculating such amount, the Issuer shall subtract therefrom any amounts to be transferred from the Project Fund for the purpose of paying interest on the Bonds. With respect to Variable Rate Bonds which are not

subject to a Qualified Agreement, if any, the interest rate used to calculate the Bond Service Requirement shall be the higher of (i) the actual rate on the date of calculation, or if the indebtedness is not yet outstanding, the initial rate (if established and binding), (ii) if the indebtedness has been outstanding for at least twelve months, the average rate over the twelve months immediately preceding the date of calculation, and (iii) if the indebtedness has been outstanding for twelve months or less, (1) if interest on the indebtedness is excludable from gross income under the applicable provisions of the Internal Revenue Code, the most recently published Bond Buyer 25 Bond Revenue Index (or comparable index if no longer published) plus fifty (50) basis points, or (2) if interest is not so excludable, the interest rate on direct U.S. Treasury Obligations with comparable maturities plus fifty (50) basis points; provided, however, that for purposes of any rate covenant measuring actual debt service coverage during a test period, Variable Rate Bonds which are not subject to a Qualified Agreement shall be deemed to bear interest at the actual rate per annum applicable during the test period. If Bonds are Option Bonds, the date or dates of tender shall be disregarded, unless actually tendered and not remarketed, and the stated maturity dates thereof shall be used for purposes of this calculation. If the Issuer has entered into a Qualified Agreement with respect to Variable Rate Bonds Outstanding hereunder or to be issued hereunder, the interest coming due on such Variable Rate Bonds for purposes of this definition shall be deemed to be based upon the synthetic fixed interest rate under the Qualified Agreement, without giving any regard to fees and expenses incurred in connection with the purchase of a liquidity facility. If the Issuer has entered into a Qualified Agreement with respect to certain Bonds Outstanding hereunder or to be issued hereunder which have a fixed rate of interest, the interest coming due on such Bonds for purposes of this definition shall be deemed to be based upon the assumptions described above for Variable Rate Bonds, without giving any regard to fees and expenses incurred in connection with the purchase of a liquidity facility.

"Bond Year" shall mean the period commencing on October 2 of the preceding year and ending twelve months later on October 1.

"Bonds" shall mean (i) any Series 2009 Bonds not being refunded, (ii) the Series 2016 Bonds herein authorized to be issued, and (iii) any Additional Parity Obligations issued hereafter in accordance with the provisions hereof.

"Build America Bond" shall mean any taxable bond issued by the Issuer pursuant to the Code for which either (1) the Issuer receives direct subsidy payments in an amount equal to a percentage of the interest paid on such bond, or (2) the holder of such bond receives a tax credit in an amount equal to a percentage of the interest paid on such bond.

"Capital Appreciation Bonds" shall mean the aggregate principal amount of the Bonds that bear interest payable solely at maturity or upon redemption prior to maturity in the amounts determined by reference to the Accreted Value, all as shall be determined by Supplemental Resolution of the Issuer. In the case of Capital Appreciation Bonds that are convertible to Bonds with interest payable prior to maturity or redemption of such Bonds, such

Bonds shall be considered Capital Appreciation Bonds only during the period of time prior to such conversion.

"Capital Appreciation Income Bonds" shall mean those Bonds initially issued as Capital Appreciation Bonds and which become Serial Bonds when the original issue amount and the Accreted Value equals $5,000 principal amount or an integral multiple thereof as determined by Supplemental Resolution of the Issuer.

"City Attorney" shall mean the City Attorney of the Issuer, or any assistant or deputy City Attorney of the Issuer.

"City Clerk" shall mean the City Clerk of the Issuer, or any assistant or deputy City Clerk of the Issuer.

"City Manager" shall mean the City Manager of the Issuer, or any assistant or deputy City Manager of the Issuer.

"Code" shall mean the Internal Revenue Code of 1986, as amended, and the regulations and rules thereunder in effect or proposed.

"Connection Fees" shall mean the charges imposed on those connecting to the System for the actual cost of physically connecting into the System; provided, however, that "Connection Fees" shall not include impact fees.

"Consulting Engineers" shall mean one or more independent, qualified and recognized consulting engineers or firm of consulting engineers having favorable repute, skill and experience with respect to the planning and operation of the System who shall be retained from time to time by the Issuer.

"Contributions in Aid of Construction" shall mean any amount or item of money, services, or property received by the Issuer, any portion of which is provided at no cost to the System, which represents an addition or transfer to the capital of the System, and which is utilized to offset the acquisition, improvement or construction costs of the System.

"Cost of Operation and Maintenance" of the System shall mean the then current expenses, paid or accrued, in the operation, maintenance and repair of the System as calculated in accordance with generally accepted accounting principles, including, but not limited to, general administrative and indirect labor costs, personal services, contractual services, repairs and maintenance, and materials and supplies, but shall not include capital expenditures, any reserve for renewals and replacements, any allowance for depreciation, any Bond Service Requirement, any payments in lieu of taxes, franchise fees or other transfers.

"Credit Facility" or "Credit Facilities" shall mean either individually or collectively, as appropriate, any bond insurance policy, surety bond, letter of credit, line of credit, guaranty or other instrument or instruments that would enhance the credit of the Bonds.

"Credit Facility Issuer" or "Credit Facility Issuers" shall mean the provider or providers of a Credit Facility or Credit Facilities.

"Director of Financial Services" shall mean the Director of Financial Services of the Issuer, or any assistant or deputy Director of Financial Services of the Issuer.

"Federal Securities" shall mean direct obligations of the United States of America and obligations the principal of and interest on which are unconditionally guaranteed by the United States of America, none of which permit redemption prior to maturity at the option of the obligor. Federal Securities shall also include direct obligations of the Treasury which have been stripped by the Treasury itself, CATS, TIGRS and similar securities and the interest component of Resolution Funding Corp. (REFCORP) strips which have been stripped by request to the Federal Reserve Bank of New York in book entry form.

With respect to any Series of Bonds, the definition of Federal Securities set forth above may be further limited as set forth in a Supplemental Resolution of the Issuer adopted prior to the issuance of such Bonds.

"Financial Advisor" shall mean Larson Consulting Services, LLC, or any other appropriately licensed financial advisor appointed from time to time by the Issuer.

"Fiscal Year" shall mean the period commencing on October 1 of each year and ending on the next succeeding September 30 or such other annual period as may be prescribed by law from time to time for the Issuer.

"Fitch" shall mean Fitch Ratings, and any assigns or successors thereto.

"Gross Revenues" or "Revenues" shall mean all income and earnings, including Connection Fees, received by the Issuer or accrued to the Issuer from the ownership, use or operation of the System and all parts thereof, including, without limitation, unencumbered, non-ad valorem special assessments which are not pledged for the repayment of, or as security for, any indebtedness of the Issuer, whether currently outstanding or hereafter issued, other than the Bonds and which are legally available to be used as contemplated hereunder, moneys deposited from the Rate Stabilization Fund into the Revenue Fund in accordance with the terms hereof, provided any moneys transferred from the Rate Stabilization Fund into the Revenue Fund within 90 days following the end of a Fiscal Year may be designated by the Issuer as Gross Revenues of such prior Fiscal Year, and shall also include investment income, if any, earned on any fund or account created pursuant to this Resolution, except the Rebate Fund, all as calculated in accordance with generally accepted accounting principles, and any payment received by the Issuer as contemplated in Section 27 hereof, but "Gross Revenues" or "Revenues" shall not include any direct subsidy payments received from the United States Treasury relating to Build America Bonds issued pursuant to the Code or any other interest subsidy or similar payments made by the Federal government, non-ad valorem special assessments which are pledged for the repayment of, or as security for, any indebtedness of the City, whether currently outstanding or hereafter issued, other than the Bonds, proceeds from the sale or other

disposition of the System or any part thereof, condemnation awards or proceeds of insurance received with respect to the System, moneys deposited to the Rate Stabilization Fund from the Surplus Fund, including any moneys transferred from the Surplus Fund to the Rate Stabilization Fund within 90 days following the end of a Fiscal Year which the Issuer determines not to be Gross Revenues of such prior Fiscal Year, Contributions in Aid of Construction, unrealized gains or losses from investments or any "utility project charge" or the like as contemplated in Section 27 hereof.

"Holder" or "Bondholders" or any similar term shall mean any persons who shall be the registered owner of any Outstanding Bonds.

"Insurer" shall mean, with respect to any Series of Bonds, such Person, as specifically designated by Supplemental Resolution, as shall be insuring or guaranteeing the scheduled payment of principal of and interest on such Series of Bonds, when due.

"Interest Account" shall mean the special account of the same name created within the Bond Service Fund.

"Interest Date" or "interest payment date" shall be such date or dates for the payment of interest on a Series of Bonds as shall be provided in the Bonds themselves.

"Issuer" or "City" shall mean the City of Tamarac, Florida.

"Maximum Bond Service Requirement" shall mean, as of any particular date of calculation, the greatest amount of aggregate Bond Service Requirement for the then current or any future Bond Year, except that with respect to any Bonds for which Amortization Installments have been established, the amount of principal coming due on the final maturity date with respect to such Bonds shall be reduced by the aggregate principal amount of such Bonds that are to be redeemed from Amortization Installments which were to be made in prior Bond Years.

"Mayor" shall mean the Mayor or the Vice Mayor of the Issuer.

"Moody's" or "Moody's Investors Service" shall mean Moody's Investors Services, Inc., and any assigns or successors thereto.

"Net Revenues" of the System shall mean the Gross Revenues or Revenues, after deduction of the Cost of Operation and Maintenance.

"Option Bonds" shall mean Bonds subject to tender for payment prior to their maturity at the option of the Holder thereof.

"Outstanding" or "Bonds Outstanding" shall mean all Bonds which have been issued pursuant to this Resolution, except:

(i) Bonds canceled after purchase in the open market or because of payment at or redemption prior to maturity;

(ii) Bonds for the payment or redemption of which cash funds or Acquired Obligations or any combination thereof shall have been theretofore irrevocably set aside in a special account with an escrow agent (whether upon or prior to the maturity or redemption date of any such Bonds) in an amount which, together with earnings on such Acquired Obligations, will be sufficient to pay the principal of, interest on and any redemption premium with respect to such Bonds at maturity or upon their earlier redemption; provided that, if such Bonds are to be redeemed before the maturity thereof, notice of such redemption shall have been given according to the requirements of this Resolution or irrevocable instructions directing the timely publication of such notice and directing the payment of the principal of and interest on all such Bonds at such redemption dates shall have been given; and

(iii) Bonds which are deemed paid pursuant to this Resolution or in lieu of which other Bonds have been issued under Sections 11 and 13 hereof.

"Parity Contract Obligation" shall have the meaning set forth in Section 28 hereof.

"Parity Contract Obligation Account" shall mean the special account of the same name created within the Bond Service Fund.

"Paying Agent" shall mean any paying agent for Bonds appointed by or pursuant to a Supplemental Resolution and its successors or assigns, and any other Person which may at any time be substituted in its place pursuant to a Supplemental Resolution. Once appointed, no resignation or removal of the Paying Agent shall become effective until a successor has been appointed and has accepted the duties of Paying Agent. Each of the Insurers of Bonds, if any, shall be furnished with written notice of the resignation or removal of the Paying Agent and the appointment of any successor thereto.

"Permitted Investments" shall mean investments permitted by applicable law and the Issuer's written investment policy, if any, as may be further limited as set forth in a Supplemental Resolution of the Issuer.

"Person" shall mean an individual, a corporation, a partnership, an association, a joint stock company, a trust, any unincorporated organization or governmental entity.

"Pledged Revenues" shall mean (i) the Net Revenues of the System, and (ii) until applied in accordance with this Resolution, the moneys on deposit in the various funds and accounts created pursuant to this Resolution, except (A) as for the Rebate Fund, (B) to the extent moneys therein shall be required to pay the Cost of Operation and Maintenance in accordance with the terms hereof, and (C) to the extent moneys on deposit in a subaccount of the Reserve Fund or the Project Fund shall be pledged solely for the payment of the Series of Bonds for which it was established in accordance with the provisions hereof.

"Principal Account" shall mean the special account of the same name created within the Bond Service Fund.

"Project" or "Projects" shall mean any actual, proposed or potential acquisition, addition, extension, supplement, or replacement of the System or joint ownership of similar properties or any interest therein or any right to use the capacity from any facilities or services thereof, or any other lawful purpose related to the System, all as determined by the Issuer and in accordance with plans and specifications on file or to be filed with the Issuer.

"2016A Project" shall mean the Project authorized to be financed with the proceeds of the Series 2016A Bonds, consisting of the design, permitting, acquisition, construction and reconstruction of water and sewer capital projects.

"Project Costs" shall mean all costs authorized to be paid from the Project Fund pursuant to Section 18 hereof to the extent permitted under the laws of the State. It is intended that this definition be broadly construed to encompass all costs, expenses and liabilities of the Issuer related to the System which on the date of this Resolution or in the future shall be permitted to be funded with the proceeds of any Series of Bonds pursuant to the laws of the State.

"Project Fund" shall mean the Project Fund created and established pursuant to Section 16 of this Resolution.

"Prudent Utility Practice" shall mean, in respect of any particular municipal utility industry, any of the practices, methods and acts which, in the exercise of reasonable judgment, in light of the facts, including but not limited to the practices, methods and acts engaged in or approved by a significant portion of such utility industry prior thereto, known at the time the decision was made, would have been expected to accomplish the desired result at the lowest reasonable cost consistent with reliability, safety, and expedition. It is recognized that Prudent Utility Practice is not intended to be limited to the optimum practice, method or act to the exclusion of all others, but rather is a spectrum of possible practices, methods or acts which could have been expected to accomplish the desired result at the lowest reasonable cost consistent with reliability, safety and expedition.

"Qualified Agreement" means, to the extent from time to time permitted pursuant to law, any contract or contracts entered into in connection with Bonds under which payments are, in whole or in part, based on interest rate, cashflow, or other basis desired by the Issuer, including, without limitation, contracts commonly known as current or forward interest rate swap or swaption agreements and interest rate floors or caps. Notwithstanding anything herein to the contrary, "Qualified Agreement" shall not include goods and service supply contracts.

"Qualified Agreement Provider" means, an entity whose senior long term obligations, other senior long term obligations or claims paying ability or whose payment obligations under a Qualified Agreement are guaranteed by an entity whose senior long term debt obligations, other senior unsecured long term obligations or claims paying ability are rated at the time of execution of such Qualified Agreement either (i) at least as high as A3 by Moody's, and A- by

S&P, or the equivalent thereof by any successor thereto for so long as such rating agency is then maintaining a rating on the Bonds Outstanding, or (ii) any such lower rating categories which each such rating agency then maintaining a rating on the Bonds Outstanding indicates in writing to the Issuer will not, by itself, result in a reduction or withdrawal of its rating on the Bonds Outstanding that is in effect prior to entering into such Qualified Agreement.

"Qualified Independent Consultant" shall mean one or more qualified and recognized independent consultants, having favorable repute, skill and experience with respect to the acts and duties of the Qualified Independent Consultant to be provided to the Issuer, as shall from time to time be retained by the Issuer to perform the acts and carry out the duties herein provided for such consultants.

"Rate Stabilization Fund" shall mean the "Rate Stabilization Fund" established pursuant to Section 16 of this Resolution.

"Rebate Amount" means the excess of the future value, as of a computation date, of all receipts on nonpurpose investments (as defined in Section 1.148-1(b) of the Income Tax Regulations) over the future value, as of that date, of all payments on nonpurpose investments, all as provided by regulations under the Code implementing Section 148 thereof.

"Rebate Fund" shall mean the City of Tamarac Utility System Revenue Bonds Rebate Fund established pursuant to Section 30 hereof.

"Rebate Year" shall mean, with respect to a particular Series of Bonds issued hereunder, a one-year period (or shorter period from the date of issue) that ends at the close of business on the day in the calendar year selected by the Issuer as the last day of a Rebate Year. The final Rebate Year with respect to a particular Series of Bonds issued hereunder, however, shall end on the date of final maturity of that Series of Bonds.

"Record Date" shall mean each date that is on the 15th day of the calendar month immediately preceding an interest payment date on the Bonds.

"Redemption Account" shall mean the special account of the same name created within the Bond Service Fund.

"Refunded 2009 Bonds" shall mean all or a portion of the Issuer's Series 2009 Bonds authorized to be refunded hereby, to be specifically designated by Supplemental Resolution.

"Refunding Bonds" shall mean that amount of any Series of Bonds, the proceeds of which will be applied to the refunding of any previously issued Bonds.

"Registrar" shall mean any registrar for the Bonds appointed by or pursuant to Supplemental Resolution and its successors and assigns, and any other Person which may at any time be substituted in its place pursuant to Supplemental Resolution. Once appointed, no resignation or removal of the Registrar shall become effective until a successor has been

appointed and has accepted the duties of Registrar. The Insurers of Bonds shall be furnished with written notice of the resignation or removal of the Registrar and the appointment of any successor thereto.

"Reimbursement Obligation" shall have the meaning set forth in Section 29 hereof.

"Renewal, Replacement and Improvement Fund" shall mean the Renewal, Replacement and Improvement Fund created and established pursuant to Section 16 of this Resolution.

"Reserve Fund" shall mean the Reserve Fund created and established pursuant to Section 16 of this Resolution.

"Reserve Fund Insurance Policy" shall mean an insurance policy or surety bond deposited in the Reserve Fund or a subaccount therein in lieu of or in substitution for cash on deposit therein pursuant to Section 20(B)(2) hereof.

"Reserve Fund Letter of Credit" shall mean an unconditional irrevocable letter of credit or line of credit (other than a Reserve Fund Insurance Policy) deposited in the Reserve Fund or a subaccount therein in lieu of or in substitution for cash on deposit therein pursuant to Section 20(B)(2) hereof.

"Reserve Requirement" shall be the lesser of (i) the Maximum Bond Service Requirement with respect to Bonds secured by the Reserve Fund, (ii) 125% of the Average Annual Bond Service Requirement with respect to Bonds secured by the Reserve Fund, or (iii) the largest amount as shall not adversely affect the exclusion of interest on the Bonds from gross income for Federal income tax purposes with respect to Bonds secured by the Reserve Fund; provided, however, the Issuer may establish by Supplemental Resolution a different Reserve Requirement for a subaccount of the Reserve Fund which secures one or more Series of Bonds pursuant to Section 20(B)(2) hereof.

"Resolution" shall mean the Original Resolution, as amended and restated in its entirety by this Resolution, as from time to time may be amended or supplemented by Supplemental Resolution, in accordance with the terms hereof.

"Revenue Fund" shall mean the Revenue Fund created and established pursuant to Section 16 of this Resolution.

"Serial Bonds" shall mean all of the Bonds other than Term Bonds.

"Series" or "Series of Bonds" or "Bonds of a Series" shall mean all Bonds designated as being of the same Series issued and delivered on original issuance in a simultaneous transaction, and any Bonds thereafter delivered in lieu thereof or in substitution therefor pursuant to this Resolution.

"Series 2016 Bonds" shall mean, collectively, the Series 2016A Bonds and the Series 2016B Bonds.

"Series 2016A Bonds" shall mean the Issuer's Utility System Refunding Revenue Bonds, Series 2016A, the net proceeds of which will be primarily used to refund a portion of the Refunded 2009 Bonds and to finance the 2016A Project.

"Series 2016B Bonds" shall mean the Issuer's Utility System Refunding Revenue Bonds, Series 2016B (Taxable), the net proceeds of which will be primarily used to refund a portion of the Refunded 2009 Bonds. The Series 2016B Bonds are Taxable Bonds.

"Sewer System" shall mean the complete sewer, wastewater and residential reuse system now owned, operated and maintained by the Issuer and which the Issuer is, or shall be responsible for maintaining, together with any and all acquisitions, improvements, extensions and additions thereto, hereafter constructed or acquired, together with all lands or interests therein, including plants, buildings, machinery, franchises, pipes, mains, fixtures, equipment and all property, real or personal, tangible or intangible (including agreements for the providing of such services), now or hereafter constructed and/or owned or used in connection therewith.

"State" shall mean the State of Florida.

"S&P" shall mean S&P Global Ratings Inc. and any assigns and successors thereto.

"Subordinated Debt" shall mean any obligations payable on a junior, inferior and subordinate basis under Section 20(L) hereof. "Subordinated Debt" shall include, but shall not be limited to, (i) Subordinated Contract Obligations, (ii) payments to a Qualified Agreement Provider pursuant to a Qualified Agreement which the Issuer has designated as Subordinated Debt, (iii) Reimbursement Obligations, and (iv) any other obligations payable from any of the Pledged Revenues on a junior, inferior and subordinate basis to the Bonds.

"Subordinated Debt Service Fund" shall mean the Subordinated Debt Service Fund.

"Supplemental Resolution" shall mean any resolution of the Issuer amending or supplementing this Resolution enacted and becoming effective in accordance with the terms of Sections 22 and 23 hereof.

"System" or "Utility System" shall mean, collectively, the Water System and the Sewer System of the Issuer. Upon compliance with the provisions of Section 26 hereof, the term "System" may be deemed to include other utility functions added to the System, including, but not limited to, the acquisition, distribution and sale of natural gas, the providing of electricity, the providing of cable television services, the providing of telecommunication services or other utility functions that are authorized from time to time pursuant to the Act. Notwithstanding the foregoing definition of the term System, (i) such term shall not include any properties or interest in properties of the Issuer which the Issuer determines shall not constitute a part of the

System for the purpose of this Resolution, and (ii) such term shall not include the stormwater system of the Issuer.

"Taxable Bond" shall mean any Bond (other than Build America Bonds) which states, in the body thereof, that the interest income thereon is includable in the gross income of the Holder thereof for federal income tax purposes or that such interest is subject to federal income taxation. The Series 2016B Bonds are Taxable Bonds.

"Term Bonds" shall mean the Bonds other than Serial Bonds which shall be stated to mature on one date, and shall have such Amortization Installments, as shall be determined by Supplemental Resolution of the Issuer.

"Variable Rate Bonds" shall mean obligations issued with a variable, adjustable, convertible or other similar rate which is not fixed in percentage at the date of issue for the entire term thereof as shall be determined by Supplemental Resolution of the Issuer.

"Water System" shall mean the complete water system now owned, operated and maintained by the Issuer or which is proposed to be acquired by and operated and maintained by the Issuer and which the Issuer is, or shall be responsible for maintaining, together with any and all acquisitions, improvements, extensions and additions thereto, hereafter constructed or acquired, together with all lands or interests therein, including plants, buildings, machinery, franchises, pipes, mains, fixtures, equipment and all property, real or personal, tangible or intangible (including agreements for the providing of such services), now or hereafter constructed and/or owned or used in connection therewith.

The terms "herein," "hereunder," "hereby," "hereto," "hereof" and any similar terms shall refer to this Resolution; the term "heretofore" shall mean before the date of adoption of this Resolution; and the term "hereafter" shall mean after the date of adoption of this Resolution.

Words importing the masculine gender include every other gender. Words importing the singular number include the plural number, and vice versa.

Section 3. Findings. It is hereby ascertained, determined and declared that:

(A) The Issuer currently owns, operates and maintains the System and derives certain revenue from rates, fees, rentals and other charges made and collected for the services of such System, which such revenues are not now pledged or encumbered in any manner except in favor of the Series 2009 Bonds. The Refunded 2009 Bonds are to be refunded with proceeds of the Series 2016A Bonds and Series 2016B Bonds and other legally available funds of the Issuer, if any.

(B) The Issuer has determined that it is in the best interest of the health and welfare of the residents of the Issuer and other users of the System to issue the Series 2016A Bonds for the primary purpose of refunding a portion of the Refunded Series 2009 Bonds and financing

the costs of the 2016A Project and to issue the Series 2016B Bonds for the primary purpose of refunding a portion of the Refunded 2009 Bonds.

(C) The costs associated with issuance of the Series 2016 Bonds shall be deemed to include, but not limited be to, legal and financial advisory fees and expenses, engineering expenses, fiscal expenses, underwriting fees and expenses, rating agency fees, expenses for estimates of costs and of revenues, accounting expenses, escrow and verification fees and expenses, municipal bond insurance premiums, if applicable, surety policy premiums, if applicable, costs of printing, fees and expenses for the paying agent and registrar, accrued and capitalized interest, if any, provisions for reserves, and such other fees and expenses as may be necessary or incidental for the financing herein authorized.

(D) Furthermore, in order to modify and modernize certain of the bond covenants to provide more financial flexibility, the Issuer desires to amend and restate the Original Resolution.

(E) Any Series of Bonds, after the issuance of the Series 2016 Bonds, shall be issued upon approval by Supplemental Resolution of the Issuer and compliance with the terms hereof. The proceeds of any Series of Bonds shall be applied as provided in a Supplemental Resolution.

(F) The principal of and interest and redemption premium on the Series 2016 Bonds and all reserve and other payments contemplated hereunder shall be payable solely from the Pledged Revenues on parity with the Series 2009 Bonds not being refunded, if any. The Issuer shall never be required to levy ad valorem taxes on any real or personal property therein to pay the principal of and interest on the Bonds herein authorized or to make any other payments provided for herein. The Bonds shall not constitute a lien upon any properties owned by or located within the boundaries of the Issuer or upon any property other than the Pledged Revenues.

(G) The Pledged Revenues should be sufficient to pay all principal of and interest and redemption premium on the Bonds to be issued hereunder, as the same become due, and to make all required deposits or payments required by this Resolution.

Section 4. Authorization of the 2016A Project and Refunding of Refunded 2009 Bonds. The Issuer does hereby authorize the 2016A Project, and the refunding of the Refunded 2009 Bonds.

Section 5. This Resolution to Constitute Contract. In consideration of the acceptance of the Bonds authorized to be issued hereunder by those who shall hold the same from time to time, this Resolution shall be deemed to be and shall constitute a contract between the Issuer and such Holders. The covenants and agreements herein set forth to be performed by the Issuer shall be for the equal benefit, protection and security of the legal Holders of any and all of the Bonds, all of which shall be of equal rank and without preference, priority or distinction of any of the Bonds over any other thereof, except as expressly provided therein and herein.

Section 6. Authorization of Bonds. Subject and pursuant to the provisions hereof, obligations of the Issuer to be known as "Utility System Revenue Bonds" which may be issued from time to time are hereby authorized to be issued. The aggregate principal amount of the Bonds which may be executed and delivered under this Resolution is not limited except as is or may hereafter be provided in this Resolution or as limited by the Act or by law.

The Bonds may, if and when authorized by the Issuer pursuant to this Resolution, be issued in one or more Series, with such further appropriate particular designations added to or incorporated in such title for the Bonds of any particular Series as the Issuer may determine and as may be necessary to distinguish such Bonds from the Bonds of any other Series. Each Bond shall bear upon its face the designation so determined for the Series to which it belongs.

The Bonds shall be issued for such purpose or purposes; shall bear interest at such rate or rates not exceeding the maximum rate permitted by law; and shall be payable in lawful money of the United States of America on such dates; all as determined herein or by Supplemental Resolution of the Issuer.

The Bonds shall be issued in such denominations and such form, whether coupon or registered; shall be dated such date; shall bear such numbers; shall be payable at such place or places; shall contain such redemption provisions; shall have such Paying Agents and Registrars; shall mature in such years and amounts; and the proceeds shall be used in such manner; all as determined by Supplemental Resolution of the Issuer, and, in the case of the Series 2016 Bonds, by Section 7 hereof. The Issuer may issue Bonds which may be secured by a Credit Facility or by a Bond Insurance Policy all as shall be determined by Supplemental Resolution of the Issuer.

Section 7. Description of the Series 2016 Bonds. The Series 2016A Bonds and the Series 2016B Bonds are hereby authorized to be issued in the aggregate principal amounts of not to exceed $22,000,000 and $5,000,000, respectively, with further details provided in a Supplemental Resolution prior to their delivery.

The Series 2016A Bonds and the Series 2016B Bonds shall each be issued hereunder in fully registered form without coupons; may be Capital Appreciation Bonds, Serial Bonds or Term Bonds; shall be dated; shall be numbered consecutively from one upward in order of maturity preceded by the letter "RA" and "RB," respectively, if Serial Bonds or Term Bonds, and preceded by the letters "CABR" if Capital Appreciation Bonds; shall be in the denomination of $5,000 each, or integral multiples thereof for the Serial Bonds and Term Bonds, and in $5,000 Accreted Values at maturity for the Capital Appreciation Bonds or in $5,000 multiples thereof, or such other denominations as shall be approved by the Issuer in a Supplemental Resolution prior to the delivery of such Bonds shall bear interest at such rate or rates not exceeding the maximum rate allowed by State law, the actual rate to be approved by the governing body of the Issuer prior to or upon the sale of such Bonds; such interest to be payable semiannually at such times as are fixed by Supplemental Resolution of the Issuer if Serial Bonds or Term Bonds or payable at maturity if Capital Appreciation Bonds, and shall mature annually on such date in such years and such amounts as will be fixed by Supplemental Resolution of the Issuer prior to

or upon the sale of such Bonds, and may be issued with variable, adjustable, convertible or other rates with original issue discounts and as zero coupon bonds; all as the Issuer shall provide herein or hereafter by Supplemental Resolution.

Each Serial or Term Bond shall bear interest from the interest payment date next preceding the date on which it is authenticated, unless authenticated on an interest payment date, in which case it shall bear interest from such interest payment date, or, unless authenticated prior to the first interest payment date, in which case it shall bear interest from its date; provided, however, that if at the time of authentication, payment of any interest which is due and payable has not been made, such Serial or Term Bond shall bear interest from the date to which interest shall have been paid.

Unless otherwise set forth in a Supplemental Resolution adopted prior to the issuance of a Series of Bonds, interest shall be calculated based upon a 360 day year consisting of 12-30 day months.

Each Capital Appreciation Bond shall bear interest only at maturity or upon redemption prior to maturity in the amount determined by reference to the Accreted Value.

The principal of and the interest and redemption premium, if any, on such Bonds shall be payable in any coin or currency of the United States of America which on the respective dates of payment thereof is legal tender for the payment of public and private debts. The interest on the Serial or Term Bonds shall be payable by the Paying Agent on each interest payment date, or the first business day following an interest payment date if such interest payment date is not a business day, to the person appearing on the registration books of the Issuer hereinafter provided for as the registered Holder thereof, by check or draft mailed to such registered Holder at his address as it appears on such registration books or by wire transfer to Holders of $1,000,000 or more in principal amount of such Bonds. Payment of the principal of all Serial or Term Bonds (reduced by any Amortization Installments previously paid by the Issuer on any Term Bonds) and the Accreted Value with respect to the Capital Appreciation Bonds shall be made upon the presentation and surrender of such Bonds as the same shall become due and payable.

As long as any such Bonds are outstanding in book-entry form, the provisions of this Resolution inconsistent with such system of book-entry registration shall not be applicable to such Bonds, and the Issuer covenants to cause adequate records to be kept with respect to the ownership of any Series of Bonds issued in book-entry form or the beneficial ownership of bonds issued in the name of a nominee.

Section 8. Execution of Bonds. The Bonds in the form herein below set forth shall be signed by, or bear the facsimile signature of the Mayor and City Manager and shall be attested by, or bear the facsimile signature of, the City Clerk, shall be approved as to form by the City Attorney, and a facsimile of the official seal of the Issuer shall be imprinted on the Bonds.

In case any officer whose signature or a facsimile of whose signature shall appear on any Bonds shall cease to be such officer before the delivery of such Bonds, such signature or such facsimile shall nevertheless be valid and sufficient for all purposes the same as if such Person remained in office until such delivery. Any Bond may bear the facsimile signature of or may be signed by such persons who, at the actual time of the execution of such Bond, shall be the proper officers to sign such Bonds although, at the date of such Bond, such persons may not have been such officers.

Section 9. Authentication of Bonds. Only such of the Bonds as shall have endorsed thereon a certificate of authentication substantially in the form hereinbelow set forth, duly executed by the Registrar, as authenticating agent, shall be entitled to any benefit or security under this Resolution. No Bond shall be valid or obligatory for any purpose unless and until such certificate of authentication shall have been duly executed by the Registrar, and such certificate of the Registrar upon any such Bond shall be conclusive evidence that such Bond has been duly authenticated and delivered under this Resolution. The Registrar's certificate of authentication on any Bond shall be deemed to have been duly executed if signed by an authorized officer of the Registrar, but it shall not be necessary that the same officer sign the certificate of authentication of all of the Bonds that may be issued hereunder at any one time.

Section 10. Exchange of Bonds. Any Bonds, upon surrender thereof at the designated corporate trust office of the Registrar, together with an assignment duly executed by the Bondholder or his attorney or legal representative in such form as shall be satisfactory to the Registrar, may, at the option of the Bondholder, be exchanged for an aggregate principal amount of Bonds of the same Series equal to the principal amount of the Bond or Bonds so surrendered.

The Registrar shall make provision for the exchange of Bonds at the designated corporate trust office of the Registrar.

Section 11. Negotiability, Registration and Transfer of Bonds. The Registrar shall keep books for the registration of and for the registration of transfers of Bonds as provided in this Resolution. The transfer of any Bonds may be registered only upon such books and only upon surrender thereof to the Registrar together with an assignment duly executed by the Bondholder or his attorney or legal representative in such form as shall be satisfactory to the Registrar. Upon any such registration of transfer, the Issuer shall execute and the Registrar shall authenticate and deliver in exchange for such Bond, a new Bond or Bonds registered in the name of the transferee, and in an aggregate principal amount equal to the principal amount of such Bond or Bonds so surrendered and of the same Series.

In all cases in which Bonds shall be exchanged, the Issuer shall execute and the Registrar shall authenticate and deliver, at the earliest practicable time, a new Bond or Bonds of the same type (e.g., Serial Bonds will be exchanged for Serial Bonds and Capital Appreciation Bonds will be exchanged for Capital Appreciation Bonds) and of the same Series in accordance with the provisions of this Resolution. All Bonds surrendered in any such exchange or registration of

transfer shall forthwith be canceled by the Registrar. The Issuer or the Registrar may make a charge for every such exchange or registration of transfer of Bonds sufficient to reimburse it for any tax or other governmental charge required to be paid with respect to such exchange or registration of transfer, but no other charge shall be made to any Bondholder for the privilege of exchanging or registering the transfer of Bonds under the provisions of this Resolution. Neither the Issuer nor the Registrar shall be required to make any such exchange, registration or transfer of Bonds after the Record Date.

Section 12. Ownership of Bonds. The person in whose name any Bond shall be registered shall be deemed and regarded as the absolute owner thereof for all purposes, and payment of or on account of the principal or redemption price of any such Bond, and the interest on any such Bonds shall be made only to or upon the order of the registered owner thereof or his legal representative. All such payments shall be valid and effectual to satisfy and discharge the liability upon such Bond including the premium, if any, and interest thereon to the extent of the sum or sums so paid.

Section 13. Bonds Mutilated, Destroyed, Stolen or Lost. In case any Bond shall become mutilated, or be destroyed, stolen or lost, the Issuer may, in its discretion, cause to be executed, and the Registrar shall authenticate and deliver, a new Bond of like date and tenor as the Bond so mutilated, destroyed, stolen or lost (e.g., Serial Bonds shall be issued in exchange for Serial Bonds and Capital Appreciation Bonds shall be issued in exchange for Capital Appreciation Bonds) in exchange and substitution for such mutilated Bond upon surrender and cancellation of such mutilated Bond or in lieu of and substitution for the Bond destroyed, stolen or lost, and upon the Holder furnishing the Issuer and the Registrar proof of his ownership thereof and satisfactory indemnity and complying with such other reasonable regulations and conditions as the Issuer and the Registrar may prescribe and paying such expenses as the Issuer and the Registrar may incur. All Bonds so surrendered shall be canceled by the Issuer. If any of the Bonds shall have matured or be about to mature, instead of issuing a substitute Bond, the Issuer may pay the same, upon being indemnified as aforesaid, and if such Bond be lost, stolen or destroyed, without surrender thereof.

Any such duplicate Bonds issued pursuant to this Section 13 shall constitute original, additional contractual obligations on the part of the Issuer whether or not the lost, stolen or destroyed Bonds be at any time found by anyone, and such duplicate Bonds shall be entitled to equal and proportionate benefits and rights as to lien on and source and security for payment from the funds, as hereinafter pledged, to the same extent as all other Bonds issued hereunder.

Section 14. Provisions for Redemption. The Bonds shall be subject to redemption prior to their maturity, at the option of the Issuer, at such times and in such manner as shall be fixed by Supplemental Resolution of the Issuer prior to or at the time of sale of such Bonds. The provisions of this Section may be modified as to any Series of Bonds by Supplemental Resolution adopted prior to the issuance thereof.

Notice of such redemption shall, at least thirty (30) days prior to the redemption date, be filed with the Registrar, and mailed by the Registrar on behalf of the Issuer, first class mail, postage prepaid, to all Holders of Bonds to be redeemed at their addresses as they appear on the registration books hereinbefore provided for on the Record Date, but failure to mail such notice to one or more Holders of such Bonds, or any defect therein, shall not affect the validity of the proceedings for such redemption with respect to Holders of Bonds to which notice was duly mailed hereunder and no defect occurred. Such notice shall also be sent to the registered securities depositories and two or more nationally recognized municipal securities information repositories. Each such notice shall set forth the date fixed for redemption, the redemption price to be paid and, if less than all of such Bonds, of one maturity are to be called, the distinctive numbers of such Bonds to be redeemed and, in the case of Bonds to be redeemed in part only, the portion of the principal amount thereof to be redeemed.

Any notice of optional redemption given pursuant to this Section 14 may state that it is conditional upon receipt by the Paying Agent of moneys sufficient to pay the redemption price, plus interest accrued to the redemption date, or upon the satisfaction of any other condition, or that it may be rescinded upon the occurrence of any other event, and any conditional notice so given may be rescinded at any time before payment of such redemption price and accrued interest if any such condition so specified is not satisfied or if any such other event occurs. Notice of such rescission shall be given by the Paying Agent to affected Holders of such Bonds as promptly as practicable upon the failure of such condition or the occurrence of such other event.

Official notice of redemption having been given as aforesaid, such Bonds or portions of Bonds to be redeemed shall, on the redemption date, become due and payable at the redemption price therein specified, and from and after such date (unless the Issuer shall default in the payment of the redemption price) such Bonds or portions of Bonds shall cease to bear interest. Upon surrender of such Bonds for redemption in accordance with said notice, such Bonds shall be paid by the Registrar at the redemption price. Each check or other transfer of funds issued by the Registrar for the purpose of the payment of the redemption price of Bonds being redeemed shall bear the CUSIP number identifying, by issue and maturity, such Bonds being redeemed with the proceeds of such check or other transfer. Installments of interest due on or prior to the redemption date shall be payable as herein provided for payment of interest. Upon surrender for any partial redemption of any such Bond, there shall be prepared for the Holder a new Bond or Bonds of the same maturity in the amount of the unpaid principal of such partially redeemed Bond. All such Bonds which have been redeemed shall be canceled and destroyed by the Registrar and shall not be reissued.

Section 15. Form of Bonds. The text of the Bonds, together with the certificate of authentication to be endorsed therein, shall be in substantially the following form, with such omissions, insertions and variations as may be necessary, desirable, authorized or permitted by this Resolution or by any Supplemental Resolution adopted prior to the issuance of a Series of Bonds, or as may be necessary if such Bonds or a portion thereof are issued as Capital Appreciation Bonds, Capital Appreciation Income Bonds, Option Bonds, Variable Rate Bonds,

or as may be necessary to comply with applicable laws, rules and regulations of the United States and of the State in effect upon the issuance thereof.

[Remainder of page intentionally left blank]

[FORM OF BOND]

No. R[A/B]-____
$_____

UNITED STATES OF AMERICA
STATE OF FLORIDA
COUNTY OF BROWARD
CITY OF TAMARAC
UTILITY SYSTEM [REFUNDING] REVENUE BONDS, SERIES _____ [TAXABLE]

MATURITY DATE: INTEREST RATE: DATED DATE: CUSIP:

Registered Owner:

Principal Amount:

The City of Tamarac, Florida (hereinafter called the "Issuer") for value received, hereby promises to pay to the order of the Registered Owner identified above or registered assigns, as herein provided, on the Maturity Date identified above, upon the presentation and surrender hereof at the designated corporate trust office of _____, _____, Florida from the sources hereinafter mentioned, the Principal Amount identified above in any coin or currency of the United States of America which on the date of payment thereof is legal tender for the payment of public and private debts, and to pay, solely from said sources, to the Registered Owner hereof by wire transfer or check transmitted to the Registered Owner at his address as it appears on the Bond registration books of the Issuer as it appears on the 15th day of the calendar month preceding the applicable interest payment date, interest on said Principal Amount at the Interest Rate per annum identified above on each April 1 and October 1 commencing _____ 1, 20__ from the interest payment date next preceding the date of registration and authentication of this Bond, unless this Bond is registered and authenticated as of an interest payment date, in which case it shall bear interest from said interest payment date, or unless this Bond is registered and authenticated prior to _____, _____, in which event this Bond shall bear interest from _____, ____.

[Interest income on this Bond is includable in the gross income to the Registered Owner for federal income tax purpose.] [Taxable Bond only].

(Insert Optional and/or Mandatory Redemption Provisions)

Notice of such redemption shall be given in the manner required by the Resolution (as defined below).

This Bond is one of an authorized issue of Bonds in the aggregate principal amount of $_____ of like date, tenor and effect, except as to number, principal amount, maturity, redemption provisions and interest rate, issued to _____, all in full compliance with Article VIII, Section 2 of the Constitution of the State of Florida, Chapter 159, Part I, Florida Statutes, Chapter 166, Part II, Florida Statutes, the municipal charter of the City of Tamarac, Florida, and other applicable provisions of law and Resolution No. R-2009-96 duly adopted by the Issuer on July 22, 2009, as amended and restated in its entirety by Resolution No. R-2016-__ duly adopted by the Issuer on _____, 2016, as amended and supplemented (hereinafter collectively called the "Resolution") and is subject to all the terms and conditions of such Resolution. All capitalized undefined terms used herein shall have the meaning set forth in the Resolution.

[On parity with _____,] this Bond is payable solely from and secured by a pledge of the Net Revenues of the System levied and collected by the Issuer, and the moneys in certain funds and accounts created pursuant to the Resolution (collectively, the "Pledged Revenues") in the manner and to the extent provided in the Resolution. Reference is made to the Resolution for more complete definition and description of the System and the Pledged Revenues.

This Bond does not constitute a general indebtedness of the Issuer within the meaning of any constitutional, statutory or charter provision or limitation, and it is expressly agreed by the Holder of this Bond that such Bondholder shall never have the right to require or compel the exercise of the ad valorem taxing power of the Issuer or taxation of any real or personal property therein for the payment of the principal of and interest on this Bond or the making of any debt service fund, reserve or other payments provided for in the Resolution.

It is further agreed between the Issuer and the Holder of this Bond that this Bond and the indebtedness evidenced thereby shall not constitute a lien upon the System, or any part thereof, or on any other property of or in the Issuer, but shall constitute a lien only on the Pledged Revenues all in the manner provided in the Resolution.

The Issuer has covenanted, in the Resolution, to fix, establish, revise from time to time whenever necessary, maintain and collect always such fees, rates, rentals and other charges for the use of the products, services and facilities of the System which will always provide, Net Revenues in each Fiscal Year sufficient to pay one hundred ten percent (110%) of the Bond Service Requirement on all Outstanding Bonds in the applicable Bond Year.

In addition to compliance with the paragraph above, such Net Revenues in each Fiscal Year shall also be sufficient to provide one hundred percent (100%) of the Bond Service Requirement on all Outstanding Bonds in the applicable Bond Year, any amounts required by the terms of the Resolution to be deposited into the Reserve Fund (including any subaccount therein) or with any Credit Facility Issuer as a result of a withdrawal from the Reserve Fund (including any subaccount therein), the Renewal, Replacement and Improvement Fund and debt service on other obligations payable from the Revenues of the System, and other payments, and all allocations and applications of revenues in the Resolution required in such Fiscal Year.

Net Revenues will not be reduced so as to render them insufficient to provide revenues for the purposes provided therefor by the Resolution.

The Issuer has entered into certain further covenants with the Holders of the Bonds of this issue for the terms of which reference is made to the Resolution.

It is certified that this Bond is authorized by and is issued in conformity with the requirements of the Constitution and Statutes of the State of Florida.

This Bond is and has all the qualities and incidents of a negotiable instrument under Article 3 of the Uniform Commercial Code, the State of Florida, Chapter 673, Florida Statutes, as amended.

The transfer of this Bond is registrable by the Bondholder hereof in person or by his attorney or legal representative at the designated corporate trust office of the Registrar but only in the manner and subject to the conditions provided in the Resolution and upon surrender and cancellation of this Bond.

This Bond shall not be valid or become obligatory for any purpose or be entitled to any benefit or security under the Resolution until it shall have been authenticated by the execution by the Registrar of the certificate of authentication endorsed hereon.

[Remainder of page intentionally left blank]

IN WITNESS WHEREOF, said City of Tamarac, Florida, by resolution duly adopted by its City Commission, has caused this Bond to bear the signatures of its Mayor and City Manager, to be attested by the signature of its City Clerk, to be approved as to form by the City Attorney, and a facsimile of the official seal of the City to be affixed, impressed, imprinted, lithographed or reproduced hereon, all as of the _____ day of _____, _____.

(SEAL)

CITY OF TAMARAC, FLORIDA

By:_____
Mayor

ATTESTED:

By:_____
City Clerk

By:_____
City Manager

APPROVED AS TO FORM:

By:_____
City Attorney

CERTIFICATE OF AUTHENTICATION

This Bond is one of the Bonds issued under the provisions of the within mentioned Resolution.

Date of Authentication:

_____

_____
Registrar, as Authenticating Agent

By:_____
Authorized Officer

ASSIGNMENT AND TRANSFER

For value received the undersigned hereby sells, assigns and transfers unto _____ _____(Please insert Social Security or other identifying number of transferee) _____ _____ the attached bond of the City of Tamarac, Florida, and does hereby constitute and appoint, _____, attorney, to transfer the said Bond on the books kept for Registration thereof, with full power of substitution in the premises.

Date: _____

Signature Guaranteed by _____
[member firm of the New York Stock Exchange or a commercial bank or a trust company.]

By: ___(manual or facsimile)_____
Authorized Officer

_____

_____

NOTICE: No transfer will be registered and no new Bonds will be issued in the name of the transferee, unless the signature to this assignment corresponds with the name as it appears upon the face of the within Bond in every particular, without alteration or enlargement or any change whatever and the Social Security or Federal Employer Identification Number of the transferee is supplied.

[END OF FORM OF BOND]

Section 16. Creation of Funds. There are hereby created and established the following funds and accounts, which funds and accounts shall be trust funds held by the Issuer for the purposes herein provided and used only in the manner herein provided:

(A) The "City of Tamarac Utility System Revenue Fund" (hereinafter sometimes called the "Revenue Fund") to be held by the Issuer and to the credit of which deposits of Gross Revenues shall be made as required by Section 20(A) hereof.

(B) The "City of Tamarac Utility System Bond Service Fund" (hereinafter sometimes called the "Bond Service Fund") to be held by the Issuer and to the credit of which deposits shall be made as required by Section 20(B)(l) hereof. In such fund there shall be maintained the following accounts: the Principal Account, the Interest Account, the Parity Contract Obligation Account and the Redemption Account.

(C) The "City of Tamarac Utility System Reserve Fund" (hereinafter sometimes called the "Reserve Fund") to be held by the Issuer and to the credit of which deposits shall be made as required by Section 20(B)(2) hereof. In such Fund, there may hereafter be established subaccounts pursuant to Supplemental Resolution.

(D) The "City of Tamarac Utility System Subordinated Debt Service Fund" (hereinafter sometimes called the "Subordinated Debt Service Fund") to be held by the Issuer and to the credit of which deposits shall be made as required by Section 20(B)(3) hereof.

(E) The "City of Tamarac Utility System Renewal, Replacement and Improvement Fund" (hereinafter sometimes called the "Renewal, Replacement and Improvement Fund") to be held by the Issuer and to the credit of which deposits shall be made as required by Section 20(B)(4) hereof.

(F) The "City of Tamarac Utility System Project Fund" (hereinafter sometimes called the "Project Fund") to be held by the Issuer and to the credit of which deposits shall be made as required by Section 17 hereof. Within such fund there shall be created, established and maintained separate accounts for each Series of Bonds. There is hereby created the Series 2016A Project Account (hereafter the "Series 2016A Project Account") which shall be held solely for the benefit of the Holders of the Series 2016A Bonds.

(G) The "City of Tamarac Utility System Rate Stabilization Fund" (hereinafter sometimes called the "Rate Stabilization Fund") to be held by the Issuer and to the credit of which deposits may be made as required by Section 20(R) hereof.

(H) The "City of Tamarac Utility System Surplus Fund" (hereinafter sometimes called the "Surplus Fund") to be held by the Issuer and to the credit of which deposits may be made as required by Section 20(B)(6) hereof.

The Revenue Fund, the Bond Service Fund (including the accounts therein), the Reserve Fund (including any subaccounts that may hereafter be created therein pursuant to

Supplemental Resolution), the Renewal, Replacement and Improvement Fund, the Project Fund, the Rate Stabilization Fund, the Surplus Fund and any other special funds herein established and created shall be deemed to be held in trust for the purposes provided herein for such funds. The money in all such funds shall be continuously secured in the same manner as state and municipal deposits are authorized to be secured by the laws of the State of Florida.

The cash required to be accounted for in each of the funds and accounts described in this Section 16 may be deposited in a single bank account, provided that adequate accounting records are maintained to reflect and control the restricted allocation of the cash on deposit therein for the various purposes of such funds and accounts as herein provided. The designation and establishment of the various funds in and by this Resolution shall not be construed to require the establishment of any completely independent, self-balancing funds as such term is commonly defined and used in governmental accounting, but rather is intended solely to constitute an earmarking of certain revenues and assets of the System for certain purposes and to establish certain priorities for application of such revenues and assets as herein provided.

The Issuer may at any time and from time to time appoint one or more depositaries to hold, for the benefit of the Bondholders, any one or more of the funds, accounts and subaccounts established hereby. Such depository or depositaries shall perform at the direction of the Issuer the duties of the Issuer in depositing, transferring and disbursing moneys to and from each of such funds and accounts as herein set forth, and all records of such depositary in performing such duties shall be open at all reasonable times to inspection by the Issuer and its agent and employees. Any such depositary shall be a bank or trust company duly authorized to exercise corporate trust powers and subject to examination by federal or state authority, of good standing, and having a combined capital, surplus and undivided profits aggregating not less than fifty million dollars ($50,000,000).

Section 17. Application of Bond Proceeds. The proceeds, including accrued interest and premium, if any, received from the sale of a Series of the Bonds shall be applied by the Issuer simultaneously with the delivery of such Series of the Bonds to the purchaser thereof, as provided in a Supplemental Resolution adopted at or prior to sale of such Series of the Bonds.

Section 18. Disbursements from Project Fund. Moneys on deposit from time to time in the Project Fund shall be used to pay or reimburse the following Project Costs:

(A) Costs incurred directly or indirectly for or in connection with a Project or a proposed or future Project or acquisition including, but not limited to, those for preliminary planning and studies, architectural, legal, financial, engineering and supervisory services, labor, services, materials, equipment, accounts receivable, acquisitions, land, rights-of-way, improvements and installation;

(B) Premiums attributable to all insurance required to be taken out and maintained during the period of construction with respect to a Project to be acquired or constructed, the

premium on each surety bond, if any, required with respect to work on such facilities, and taxes, assessments and other charges hereof that may become payable during the period of construction with respect to such a Project;

(C) Costs incurred directly or indirectly in seeking to enforce any remedy against a contractor or subcontractor in respect of any default under a contract relating to a Project or costs incurred directly or indirectly in defending any claim by a contractor or subcontractor with respect to a Project;

(D) Financial, legal, accounting, appraisals, title evidence and printing and engraving fees, charges and expenses, and all other such fees, charges and expenses incurred in connection with the authorization, sale, issuance and delivery of such Series of Bonds;

(E) Capitalized interest funded from Bond proceeds, if any, for a reasonable period of time;

(F) Any other incidental and necessary costs including without limitation any expenses, fees and charges relating to the acquisition, construction or installation of a Project, and the making of extraordinary repairs, renewals and replacements, decommissioning or retirement of any portion of the System, including the cost of temporary employees of the Issuer retained to carry out duties in connection with the acquisition, construction or erection of a Project and costs related to transition of such Project into ownership by the Issuer;

(G) Costs incurred directly or indirectly in placing any Project in operation in order that completion of such Project may occur;

(H) Costs of acquiring an existing utility system from a Person, including but not limited to the costs relating to any real estate transaction related thereto;

(I) Any other costs relating to the System authorized pursuant to a Supplemental Resolution of the Issuer and permitted under the laws of the State subject to the prior written approval of Bond Counsel; and

(J) Reimbursements to the Issuer for any of the above items hereinbefore paid by or on behalf of the Issuer, to the extent deemed advisable by Bond Counsel.

Notwithstanding anything else in this Resolution to the contrary, in the Event of Default, the trustee acting for the Holders of Bonds shall, to the extent there are no other available funds held hereunder, use the remaining funds in the Project Fund to pay principal and interest on the Series of Bonds to which such funds relate and were provided by.

Section 19. Special Obligations of Issuer. The Bonds and any Parity Contract Obligations shall not be or constitute general obligations or indebtedness of the Issuer as "bonds" within the meaning of the Constitution of the State, but shall be payable solely from and secured by a lien upon and a pledge of the Pledged Revenues as herein provided. No

Holder or Holders of any Bonds issued hereunder or Qualified Agreement Provider shall ever have the right to compel the exercise of the ad valorem taxing power of the Issuer or taxation in any form of any real or personal property therein, or to compel the Issuer to pay such principal and interest from any other funds of the Issuer.

The payment of principal of and interest on the Bonds and any Parity Contract Obligations shall be secured forthwith equally and ratably by, and the Issuer hereby grants to the Bondholders and any Qualified Agreement Provider (to the extent set forth in the related Qualified Agreement) an irrevocable lien on the Pledged Revenues, prior and superior to all other liens or encumbrances on such Pledged Revenues and the Issuer does hereby irrevocably pledge such Pledged Revenues to the payment of the principal of, redemption premium, if any, and interest on the Bonds and any Parity Contract Obligations, for the reserves therefor and for all other payments required hereunder. Such amounts hereby pledged and assigned shall immediately be subject to the lien of this pledge without any further physical delivery thereof or any further act, and the lien of this pledge shall be valid and binding as against all parties having claims of any kind in tort, contract or otherwise against the Issuer, irrespective of whether such parties have notice thereof.

Section 20. Covenants of the Issuer. For so long as any of the principal of and interest on any of the Bonds shall be Outstanding and unpaid or until the Issuer has made provision for payment of principal, interest and redemption premiums, if any, with respect to the Bonds, as provided herein, the Issuer covenants with the Holders of any and all Bonds as follows:

(A) REVENUE FUND. All Gross Revenues of the System shall, upon receipt thereof, be deposited in the Revenue Fund. All deposits into such Revenue Fund shall be deemed to be held in trust for the purposes herein provided and used only for the purposes and in the manner herein provided.

(B) DISPOSITION OF REVENUES. All Net Revenues in the Revenue Fund shall be disposed of monthly, but not later than the twenty-fifth (25th) day of each month commencing in the month immediately following the delivery of the first Series of Bonds issued hereunder only in the following manner and the following order of priority:

(1) The Issuer shall first deposit into the Bond Service Fund and credit to the following accounts, in the following order (except that payments into the Interest Account and the Parity Contract Obligations Account shall be on parity with each other, and the payments into the Principal Account and the Redemption Account shall be on a parity with each other), the following identified sums:

(a) Interest Account: Taking into account actual and anticipated earnings in the Interest Account of the Bond Service Fund within the current Bond Year, such sum as will be sufficient to pay one-sixth (1/6th) of all interest coming due on all Outstanding Bonds, on the next interest payment date;

provided, however, that monthly deposits of interest, or portions thereof, shall not be required to be made to the extent that money on deposit within such Interest Account is sufficient for such purpose. In the event the Issuer has issued Variable Rate Bonds pursuant to the provisions hereof, Net Revenues shall be deposited at such other or additional times and amounts as necessary to pay any interest coming due on such Variable Rate Bonds on the next interest payment date, all in the manner provided in a Supplemental Resolution of the Issuer. Any monthly payment out of Net Revenues to be deposited as set forth above, for the purpose of meeting interest payments for any Series of Bonds, shall be adjusted, as appropriate, to reflect the frequency of interest payment dates applicable to such Series. Moneys in the Interest Account may be used only for the purposes set forth in this paragraph (a).

(b) Parity Contract Obligations Account: Taking into account the actual and anticipated earnings in the Parity Contract Obligations Account in the Bond Service Fund within the current Bond Year, a pro rata estimated amount necessary to build up over time the amount of any Parity Contract Obligation which will next be due and payable or reasonably expected to be due and payable under any Qualified Agreement on the next payment date thereunder; provided, however, that the monthly amount to be so deposited may be adjusted, as appropriate, to reflect the frequency of payment dates thereunder (e.g., if such Parity Contract Obligations are required to be paid semi-annually, the Issuer shall be required to deposit monthly an amount which is estimated to equal one-sixth ($1/6^{th}$) of the next such payment). Moneys in the Parity Contract Obligations Account may be used only for the purposes set forth in this paragraph (b).

(c) Principal Account: Taking into account actual and anticipated earnings in the Principal Account of the Bond Service Fund within the current Bond Year, such sum as will be sufficient to pay one-twelfth ($1/12^{th}$) of the principal amount of the Outstanding Bonds which will mature and become due on such annual maturity dates beginning the month which is twelve (12) months prior to the first principal maturity date; provided, however, that monthly deposits for principal, or portions thereof, shall not be required to be made to the extent that money on deposit within such Principal Account is sufficient for such purpose. Any monthly payment out of Net Revenues to be deposited as set forth above, for the purpose of meeting principal payments for any Series of Bonds, shall be adjusted, as appropriate, to reflect the frequency of principal payment dates applicable to such Series. Moneys in the Principal Account may be used only for the purposes set forth in this paragraph (c).

(d) Redemption Account: Taking into account actual and anticipated earnings in the Redemption Account of the Bond Service Fund within the current Bond Year, such sum as will be sufficient to pay one-twelfth ($1/12^{th}$) of any Amortization Installment established for the mandatory redemption of

Outstanding Bonds on such annual maturity date beginning the month which is twelve (12) months prior to the first Amortization Installment date; provided, however, that monthly deposits into the Redemption Account, or portions thereof, shall not be required to be made to the extent that money on deposit in the Redemption Account is sufficient for such purpose. Any monthly payment out of Net Revenues to be deposited as set forth above, for the purpose of meeting Amortization Installments for any Series of Bonds, shall be adjusted, as appropriate, to reflect the frequency of dates established for Amortization Installments applicable to such Series. The moneys in the Redemption Account shall be used solely for the purchase or redemption of the Term Bonds payable therefrom. The Issuer may at any time purchase any of said Term Bonds at prices not greater than the then redemption price of said Term Bonds. If the Term Bonds are not then redeemable prior to maturity, the Issuer may purchase said Term Bonds at prices not greater than the redemption price of such Term Bonds on the next ensuing redemption date. If Term Bonds are so purchased by the Issuer, the Issuer shall credit the account of such purchased Term Bonds against any current Amortization Installment to be paid by the Issuer. If the Issuer shall purchase or call for redemption in any year Term Bonds in excess of the Amortization Installment requirement for such year, such excess of Term Bonds so purchased or redeemed shall be credited in such manner and at such times as the Issuer shall determine. Moneys in the Redemption Account in the Debt Service Fund may be used only for the purposes set forth in this paragraph (d).

(2) To the extent that the amounts on deposit in the Reserve Fund (or any subaccount therein) are less than the applicable Reserve Requirement, the Issuer shall next make deposits into the Reserve Fund (or any subaccount therein) in the manner described below from moneys remaining in the Revenue Fund. Any withdrawals from the Reserve Fund (or any subaccount therein) shall be subsequently restored from the first moneys available in the Revenue Fund, after all required current payments for Cost of Operation and Maintenance as set forth above and all current applications and allocations to the Bond Service Fund, including all deficiencies for prior payments have been made in full. Notwithstanding the foregoing, in case of withdrawal from the Reserve Fund (or any subaccount therein), in no event shall the Issuer be required to deposit into the Reserve Fund (or any subaccount therein) an amount greater than that amount necessary to ensure that the difference between the applicable Reserve Requirement and the amounts on deposit in the Reserve Fund (or any subaccount therein) on the date of calculation shall be restored not later than sixty (60) months after the date of such deficiency (assuming equal monthly payments into the Reserve Fund (or any subaccount therein) for such sixty (60) month period).

Notwithstanding anything herein to the contrary, the Issuer may establish a separate subaccount in the Reserve Fund for any one or more Series of Bonds and provide a pledge of such subaccount to the payment of such Series of Bonds apart from

the pledge provided herein. To the extent one or more Series of Bonds is secured separately by a subaccount of the Reserve Fund, the Holders of such Bonds shall not be secured by any other moneys in the Reserve Fund or any other subaccount therein. Moneys in a separate subaccount of the Reserve Fund shall be maintained at the Reserve Requirement applicable to such Series secured by the subaccount; provided the Supplemental Resolution or Supplemental Resolutions authorizing such Series of Bonds may establish the Reserve Requirement relating to such separate subaccount of the Reserve Fund at such level as the Issuer deems appropriate. Moneys shall be deposited in the separate subaccounts in the Reserve Fund on a pro-rata basis.

In the event the Issuer shall maintain a Reserve Fund Insurance Policy or Reserve Fund Letter of Credit and moneys in the Reserve Fund or any subaccount therein, the moneys shall be used prior to making any disbursements under such Reserve Fund Insurance Policy or Reserve Fund Letter of Credit.

Notwithstanding the foregoing, in lieu of or in substitution for the required deposits into the Reserve Fund (or any subaccount therein), the Issuer may cause to be deposited into the Reserve Fund (or any subaccount therein) a Reserve Fund Insurance Policy and/or a Reserve Fund Letter of Credit in an amount equal to the difference between the applicable Reserve Requirement and the sums then on deposit in the Reserve Fund (or any subaccount therein) plus the amounts to be deposited therein pursuant to the preceding paragraph.

In the event the Reserve Fund (or any subaccount therein) contains both a Reserve Fund Insurance Policy or Reserve Fund Letter of Credit and cash, the cash shall be drawn down completely prior to any draw on the Reserve Fund Insurance Policy or Reserve Fund Letter of Credit. In the event more than one Reserve Fund Insurance Policy or Reserve Fund Letter of Credit is on deposit in the Reserve Fund (or any subaccount therein), amounts required to be drawn thereon shall be done on a pro-rata basis calculated by reference to the maximum amounts available thereunder. The Issuer agrees to pay all Reimbursement Obligations in regard to any Reserve Fund Insurance Policy or Reserve Fund Letter of Credit from the Pledged Revenues. Pledged Revenues shall be applied in accordance with this Section 20(B)(2), on a pro-rata basis, to pay Reimbursement Obligations to the issuer of the Reserve Fund Insurance Policy or Reserve Fund Letter of Credit for amounts advanced under such instruments, replenish any cash deficiencies in the Reserve Fund, and to pay the issuer of the Reserve Fund Insurance Policy or Reserve Fund Letter of Credit interest on amounts advanced under such instruments. Notwithstanding anything herein to the contrary, this Resolution shall not be discharged or defeased while any Reimbursement Obligations are owing in regard to a Reserve Fund Insurance Policy or Reserve Fund Letter of Credit on deposit in the Reserve Fund. The Issuer agrees not to optionally redeem or exercise its rights to an extraordinary mandatory redemption or refund Bonds unless all Reimbursement Obligations owing in regard to a Reserve Fund Insurance Policy or Reserve Fund Letter of Credit on deposit in the Reserve Fund have been paid in full.

If five (5) days prior to an interest payment date, principal payment date or date an Amortization Installment is due or such other period of time as shall be established pursuant to a Supplemental Resolution, the Issuer shall determine that a deficiency exists in the amount of moneys available to pay in accordance with the terms hereof interest, principal or Amortization Installment due on the Bonds on such date, the Issuer shall immediately notify (1) the issuer of the applicable Reserve Fund Insurance Policy and/or the issuer of the Reserve Fund Letter of Credit and submit a demand for payment pursuant to the provisions of such Reserve Fund Insurance Policy and/or Reserve Fund Letter of Credit, and (2) the Paying Agent of the amount of such deficiency and the date on which such payment is due, and shall take all action to cause such issuer to provide moneys sufficient to pay all amounts due on such interest payment date.

The Issuer may evidence its obligation to reimburse the issuer of any Reserve Fund Letter of Credit or Reserve Fund Insurance Policy by executing and delivering a reimbursement agreement therefore which evidences a Reimbursement Obligation; provided, however, any reimbursement agreement (1) shall not be or create a general obligation of the Issuer the payment of which is secured by the full faith and credit or taxing power of the Issuer, and (2) shall be payable or obligate the Issuer to pay solely from the Pledged Revenues in a manner which is not inconsistent with the terms hereof.

Notwithstanding anything herein to the contrary, Reimbursement Obligations relating to a Reserve Fund Insurance Policy or Reserve Fund Letter of Credit for any fees, expenses, claims or draws upon such Reserve Fund Insurance Policy or Reserve Fund Letter of Credit shall be subordinate to the payment of debt service on the Bonds and to the payment of any Parity Contract Obligations. The right of the issuer of a Reserve Fund Insurance Policy or Reserve Fund Letter of Credit to payment of reimbursement of its fees and expenses shall be subordinated to cash replenishment of the Reserve Fund, and subject to the second succeeding sentence, its right to reimbursement for claims or draws shall be prior to the replenishment of the cash drawn from the Reserve Fund. The Reserve Fund Insurance Policy or Reserve Fund Letter of Credit shall provide for a revolving feature under which the amount available thereunder will be reinstated to the extent of any reimbursement of draws or claims paid. If the revolving feature is suspended or terminated for any reason, the right of the issuer of the Reserve Fund Insurance Policy or Reserve Fund Letter of Credit reimbursement will be further subordinated to cash replenishment of the Reserve Fund to an amount equal to the difference between the full original amount available under the Reserve Fund Insurance Policy or Reserve Fund Letter of Credit and the amount then available for further draws or claims.

If any Reserve Fund Letter of Credit or Reserve Fund Insurance Policy shall terminate prior to the stated expiration date thereof, the Issuer agrees that it shall fund the Reserve Fund over a period not to exceed twelve (12) months during which it shall make consecutive equal monthly payments in order that the amount on deposit in the Reserve Fund shall equal the Reserve Requirement; provided, the Issuer may obtain a

new Reserve Fund Letter of Credit or a new Reserve Fund Insurance Policy in lieu of making the payments required by this paragraph.

Moneys in the Reserve Fund and subaccounts therein shall be used only for the purpose of the payment of Amortization Installments, principal of, or interest on the Outstanding Bonds secured thereby when the other moneys allocated to the Bond Service Fund are insufficient therefor, and for no other purpose.

Permitted Investments on deposit in the Reserve Fund (or any subaccount therein) shall be valued at fair value pursuant to generally accepted accounting principles at least annually. In the event of the refunding of any Series of Bonds, the Issuer may withdraw from the Reserve Fund or subaccount securing such Series, all or any portion of the amounts accumulated therein with respect to the Bonds being refunded and deposit such amounts as required by the Supplemental Resolution authorizing the refunding of such Series of Bonds; provided that such withdrawal shall not be made unless (a) immediately thereafter, the Bonds being refunded shall be deemed to have been paid pursuant to the provisions hereof, and (b) the amount remaining in the Reserve Fund (or any subaccount therein) after giving effect to the issuance of such refunding obligations and the disposition of the proceeds thereof shall not be less than the applicable Reserve Requirement for any Bonds then Outstanding which are secured thereby.

(3) From the moneys remaining in the Revenue Fund, the Issuer shall next deposit into the Subordinated Debt Service Fund an amount required to be paid as provided in the resolution or agreement of the Issuer authorizing such Subordinated Debt, but for no other purposes.

(4) The Issuer shall next apply and deposit monthly from the moneys remaining on deposit in the Revenue Fund into the Renewal, Replacement and Improvement Fund, an amount at least equal to one-twelfth (1/12th) of five percent (5%) of the Gross Revenues received during the immediately preceding Fiscal Year. The moneys in the Renewal, Replacement and Improvement Fund shall be used only for the purpose of paying the cost of extraordinary repairs, extensions, enlargements or additions to, or the replacement of capital assets of the System or emergency repairs thereto. Notwithstanding anything herein to the contrary, the minimum balance in the Renewal, Replacement and Improvement Fund shall be an amount equal to five hundred thousand dollars ($500,000), or such other amount as may be determined from time to time by the Consulting Engineers. Funds on hand in the Renewal, Replacement and Improvement Fund may be used to pay current Cost of Operation and Maintenance to the extent moneys on deposit in the Revenue Fund are insufficient for such purposes. The moneys on deposit in such fund may also be used to supplement the Reserve Fund (or any subaccount therein), if necessary, in order to prevent a default in the payment of the principal and interest on the Bonds.

(5) The Issuer may next make monthly transfers of remaining Gross Revenues of the System to its General Fund as payments in lieu of taxes; provided, however, such transfers in any Fiscal Year shall not exceed ten percent (10%) of Gross Revenues of the System received by the Issuer during the immediately preceding Fiscal Year.

(6) The balance of any moneys remaining in the Revenue Fund after the above required payments have been made shall be deposited into the Surplus Fund and may be used for any lawful purpose of the System; provided, however, so long as the amount on deposit in the Surplus Fund exceeds $5,000,000 (after giving effect to the proposed interfund loan or loans), the Issuer may make an interfund loan or loans for purposes of financing the Issuer's various non-System capital improvements to the extent permitted by law and approved by the City Commission following a recommendation from the City Manager and Financial Services Director, and only if all current payments, including any deficiencies for prior payments, have been made in full and the Issuer is in full compliance with all the covenants and provisions of this Resolution.

(C) INVESTMENTS. Moneys in any fund or account created hereunder may be invested and reinvested in Permitted Investments which mature not later than the dates on which the moneys on deposit therein will be needed for the purpose of such fund. All income on such investments, except as otherwise provided, shall be deposited in the respective funds and accounts from which such investments were made and be used for the purposes thereof unless and until the maximum required amount (or, with respect to the Project Fund, the amount required to acquire, construct and erect the Project) is on deposit therein, and thereafter shall be deposited in the Revenue Fund.

In determining the amount of any of the payments required to be made pursuant to this Section 20(C), credit may be given for all investment income accruing to the respective funds and accounts described herein, except as otherwise provided.

(D) OPERATION AND MAINTENANCE. The Issuer will maintain the System and all parts thereof in good condition and will operate the same in an efficient and economical manner, making such expenditures for equipment and for renewals, repairs and replacements as may be proper for the economical operation and maintenance thereof.

(E) RATE COVENANT. The Issuer will fix, establish, revise from time to time whenever necessary, maintain and collect always such fees, rates, rentals and other charges for the use of the products, services and facilities of the System which will always provide, Net Revenues in each Fiscal Year sufficient to pay one hundred ten percent (110%) of the Bond Service Requirement on all Outstanding Bonds in the applicable Bond Year.

In addition to compliance with the paragraph above, Net Revenues in each Fiscal Year shall also be sufficient to provide one hundred percent (100%) of the Bond Service Requirement

on all Outstanding Bonds in the applicable Bond Year, any amounts required by the terms hereof to be deposited into the Reserve Fund (including any subaccount therein) or with any Credit Facility Issuer as a result of a withdrawal from the Reserve Fund (including any subaccount therein), the Renewal, Replacement and Improvement Fund and debt service on other obligations payable from the Revenues of the System, and other payments, and all allocations and applications of revenues herein required in such Fiscal Year.

Net Revenues shall not be reduced so as to render them insufficient to provide revenues for the purposes provided therefor by this Resolution.

(F) BOOKS AND ACCOUNTS; AUDIT. The Issuer shall keep proper books, records and accounts, separate and apart from all other records and accounts, showing correct and complete entries of all transactions of the System, and the Holders of any of the Bonds or any duly authorized agent or agents of such Holders shall have the right at any and all reasonable times to inspect such books, records and accounts. The Issuer shall cause, within two hundred seventy (270) days following the close of each Fiscal Year of the Issuer, an audit of such books, records and accounts to be made by an independent firm of certified public accountants.

Copies of each such audit report shall be placed on file with the Issuer and be made available at reasonable times for inspection by Holders of the Bonds.

(G) DISPOSITION OF SYSTEM.

The System may be sold or otherwise disposed of as a whole or substantially as a whole, only if the net proceeds to be realized, together with other moneys available for such purpose, shall be sufficient to fully retire all of the Outstanding Bonds issued pursuant to this Resolution and all interest thereon to their respective dates of maturity or earlier redemption dates and to make any termination payments required under any Qualified Agreement. The proceeds from such sale or other disposition of the System shall immediately be deposited first in the Bond Service Fund and then in the Subordinated Debt Service Fund and shall be used only for the purpose of paying Parity Contract Obligations, and paying the principal of and interest on the Bonds and Subordinated Debt as the same shall become due, or the redemption of callable Bonds and Subordinated Debt, or the purchase of Bonds and Subordinated Debt at a price not greater than the redemption price of said Bonds and Subordinated Debt, or, if the Bonds or Subordinated Debt are not then redeemable prior to maturity, at prices not greater than the redemption price of such Bonds or Subordinated Debt on the next ensuing redemption date.

The foregoing provision notwithstanding, the Issuer shall have and hereby reserves the right to sell, lease, exchange or otherwise dispose of any of the tangible property or ownership interest in tangible property comprising a part of the System in the following manner, if any one of the following conditions exist: (a) such property is not necessary for the operation of the System or (b) such property is not useful in the operation of the System or (c) such property is not profitable in the operation of the System.

Prior to any sale, lease, exchange or other disposition of said property:

(1) if the amount to be received therefor is not in excess of one-half (1/2) of one percent (1%) of the value of the gross plant investment in the System, the officer of the Issuer charged with the normal acquisition, construction, operation, maintenance and repair of the portion of the System for which disposition is sought, may determine that such property comprising a part of such System is either no longer necessary, useful or profitable in the operation thereof.

(2) if the amount to be received therefor is in excess of one-half (1/2) of one percent (1%) of the value of the gross plant investment in the System, the officer of the Issuer charged with the normal acquisition, construction, operation, maintenance and repair of the portion of the System for which disposition is sought and the Consulting Engineers shall each first make a finding in writing determining that such property comprising a part of such System is either no longer necessary, useful or profitable in the operation thereof, and the Issuer shall, by resolution duly adopted, approve and concur in the finding of such authorized officer and the Consulting Engineers.

The net proceeds realized from such disposal of a part of the System shall be deposited in the Renewal, Replacement and Improvement Fund to the extent necessary to make the amount on deposit therein equal to the amount then required to be on deposit therein; and any additional moneys not needed for said fund shall be used for any capital expenditures in connection with the System or the purchase or redemption of Outstanding Bonds.

Notwithstanding any other provision of this Section 20(G) or this Resolution to the contrary, except for the initial paragraph of this Section 20(G), the Issuer may sell, lease, exchange or otherwise dispose of tangible property or an ownership interest in tangible property comprising a part of the System provided the duly authorized officer charged with the normal acquisition, construction, operation, maintenance and repair of the portion of the System for which disposition is sought, and the Qualified Independent Consultant each make a finding in writing, adopted and confirmed by resolution of the Issuer, determining that (i) such sale, lease, exchange or other disposition will not materially impair or restrict the Issuer's ability to realize Gross Revenues in compliance with the requirements therefor as set forth herein, and (ii) such sale, lease, exchange or other disposition is in the economic best interests of the Issuer.

Notwithstanding any other provision of this Section 20(G) or this Resolution to the contrary, the Issuer may transfer ownership and/or operation of all or a portion of the System to any public body authorized by the laws of the State to own and/or operate such System on an installment sale basis provided that the Issuer (i) has received an opinion of Bond Counsel stating the federal income tax exemption of the interest on the Bonds (not including taxable Bonds) will not be affected and has received an opinion of Bond Counsel stating that such sale is not prohibited by any applicable Florida law, and (ii) the Issuer adopts a resolution to the effect that, based upon such certificates and opinions of its Consulting Engineers, independent certified public accountants, Bond Counsel, Financial Advisor or other Qualified Independent

Consultant as the Issuer shall deem necessary, desirable or appropriate, such transfer will not materially adversely affect the rights of the Holders of the Bonds.

(H) INSURANCE. The Issuer shall provide protection for the System both in accordance with the requirements of all agreements, if any, to which the Issuer may at the time be a party with respect to joint ownership of properties by the Issuer with others which is part of the System, and in accordance with Prudent Utility Practice. Said protection may consist of insurance, self-insurance and indemnities. The Issuer will keep, or cause to be kept, the works, plants and facilities comprising the properties of the System insured, and will carry such other insurance against fire and other risks, accidents or casualties at least to the extent and of the kinds that insurance is usually carried by utilities operating like properties. Any insurance shall be in the form of policies or contracts for insurance with insurers of good standing, shall be payable to the Issuer and may provide for such deductibles, exclusions, limitations, restrictions, and restrictive endorsements customary in policies for similar coverage issued to entities operating properties similar to the properties of the System. Any self-insurance shall be in the amounts, manner and of the type provided by entities operating properties similar to the properties of the System. In the event of any loss or damage to the System covered by insurance, the Issuer will, with respect to each such loss, promptly repair, reconstruct or replace the parts of the System affected by such loss or damage to the extent necessary to the proper conduct of the operation of the business of the System in accordance with Prudent Utility Practice, shall cause the proceeds of such insurance to be applied for that purpose to the extent required therefor, and pending such application, shall hold the proceeds of any insurance policy covering such damage or loss in trust to be applied for that purpose to the extent required therefor. Any excess insurance proceeds received by the Issuer may be used by the Issuer for any lawful purpose. Notwithstanding the foregoing or any provisions of this Resolution to the contrary, the Issuer shall not be required to maintain insurance with respect to facilities for which insurance shall not be available at reasonable cost or for facilities which, in accordance with Prudent Utility Practice, are not customarily insured.

(I) NO FREE SERVICE. To the extent permitted by law, so long as any Bonds are Outstanding, the Issuer shall not furnish or supply the facilities, services and commodities of the System either free of charge or for a nominal charge to any person, firm or corporation, public or private, including the Issuer's departments, agencies and instrumentalities which avail themselves of the services of the System. To the extent permitted by law, the Issuer shall promptly enforce the payment of any and all accounts owing to the Issuer and delinquent, by discontinuing service or by filing suits, actions or proceedings, or by both discontinuance of service and filing suit.

(J) MANDATORY CUT OFF. To the extent permitted by law, the Issuer shall establish a written policy consistent with sound business judgment for the disconnection from the System of any customer who fails to pay for services rendered by the System, and shall enforce such policy diligently and fairly.

(K) ENFORCEMENT OF COLLECTIONS. The Issuer will diligently enforce and collect the rates, fees and other charges for the services and facilities of the System and will take all steps, actions and proceedings for the enforcement and collection of such rates, charges and fees as shall become delinquent to the full extent permitted or authorized by law; and will maintain accurate records with respect thereof. All such fees, rates, charges and revenues shall, as collected, be held in trust to be applied as herein provided.

(L) OPERATING BUDGET. The Issuer shall annually, prior to commencement of each of its Fiscal Years, prepare and adopt a budget of the estimated expenditures for the operation and maintenance of the System during such next succeeding Fiscal Year. In the event that electronic copies of the budgets are not available on the Issuer's official website, and upon reasonable request in writing by any Holder or Holders of Bonds or anyone acting for and on behalf of such Holder or Holders, the Issuer shall mail copies of such annual budgets (including any amendments thereto) to such Holder or Holders of Bonds or to anyone acting for and on behalf of such Holder or Holders who shall file his/her address with the Issuer. Bondholders shall pay reasonable actual cost of printing and mailing of such copies.

(M) MANDATORY CONNECTIONS; NO COMPETING SYSTEM. So long as service is in fact available as reasonably determined by the Issuer, the Issuer will, to the full extent permitted by law, require all lands, buildings and structures within the area being served by the System, to connect with and use such facilities within one year after notification. To the extent permitted by law, the Issuer will not grant a franchise for the operation of any competing utility system or systems within the area served by the System until all Bonds issued hereunder, together with the interest thereon, and premium, if any, have been paid in full. Notwithstanding the foregoing, the Issuer shall not be required to duplicate services being provided by private or public utilities in the area being served by such private or public utilities on the date of issuance of the first Series of Bonds hereunder. In addition, the Issuer shall not be prohibited from allowing other private or public utilities to provide water or sewer services within the area being served by the System, if the Issuer shall not be providing such service in such area on that date. Nothing herein shall be deemed to constitute the approval of the Issuer for any private or public utility (other than the System) to provide any services within the boundaries of the Issuer or within the area being served by the System or within any other area of the Issuer.

(N) SUPERVISORY PERSONNEL. The Issuer, in operating the System, will employ or designate, as manager, one or more of its qualified employees, or an independent contractor, who have demonstrated ability and experience in operating similar facilities, and will require all such employees or independent contractors, as the case may be, who may have possession of money derived from the operation of the System to be covered by a fidelity bond, written by a responsible indemnity company in amounts fully adequate to protect the Issuer from loss.

(O) PAYMENT OF TAXES, ASSESSMENTS AND OTHER CLAIMS. The Issuer shall from time to time duly pay and discharge, or cause to be paid and discharged, all taxes, assessments and other governmental charges, or payments in lieu thereof, lawfully imposed

upon the properties constituting the System or the Gross Revenues when the same shall become due, as well as all lawful claims for labor and materials and supplies which, if not paid, might become a lien or charge upon such properties or any part thereof, or upon the Gross Revenues or which might in any way impair the security of the Bonds, except assessments, charges or claims which the Issuer shall in good faith contest by proper legal proceedings.

(P) ISSUANCE OF OTHER OBLIGATIONS. The Issuer shall issue no bonds or obligations of any kind or nature payable from or enjoying a lien on the Pledged Revenues if such obligations have priority over the Bonds or any Parity Contract Obligations with respect to payment or lien, nor shall the Issuer create or cause or permit to be created any debt, lien, pledge, assignment, encumbrance or other charge having priority to or being on a parity with the lien of the Bonds and any Parity Contract Obligations upon said Pledged Revenues. Notwithstanding any other provision in this Section 20(P), the Issuer may issue Additional Parity Obligations under the conditions and in the manner provided herein. Any obligations of the Issuer, other than the Bonds and any Parity Contract Obligations, which are payable from the Pledged Revenues shall contain an express statement that such obligations are junior and subordinate in all respects to the Bonds and any Parity Contract Obligations as to lien on and source and security for payment from such Pledged Revenues.

(Q) ISSUANCE OF ADDITIONAL PARITY OBLIGATIONS. No Additional Parity Obligations shall be issued after the issuance of the Series 2009 Bonds herein authorized, except upon the conditions and in the manner hereinafter provided:

(1) There shall have been obtained and filed with the Clerk a certificate of the Director of Financial Services stating: (a) that the books and records of the Issuer relative to the System and the Net Revenues have been reviewed by the Director of Financial Services; and (b) that the amount of the Net Revenues derived for any consecutive twelve (12) months out of the preceding thirty (30) months preceding the date of issuance of the proposed Additional Parity Obligations (the "Test Period") adjusted as provided in paragraphs (2), (3), (4), (5) and/or (6) below, is equal to and not less than 110% of the Maximum Bond Service Requirement becoming due in any Bond Year thereafter on (A) all Bonds issued under this Resolution, if any, then Outstanding, and (B) on the Additional Parity Obligations with respect to which such certificate is made.

(2) Upon recommendation of the Qualified Independent Consultants, the Net Revenues certified pursuant to (b) in the previous paragraph may be adjusted for purposes of this Section 20(Q) by including: (a) 100% of the additional Net Revenues which in the opinion of the Qualified Independent Consultant would have been derived by the Issuer from rate increases adopted before the Additional Parity Obligations are issued, if such rate increases had been adopted before the issuance of the Additional Parity Obligations, and (b) 100% of the additional Net Revenues estimated by the Qualified Independent Consultant to be derived during the first full twelve month period after the facilities of the System are extended, enlarged, improved or added to

with the proceeds of the Additional Parity Obligations with respect to which such certificate is made.

(3) Upon recommendation of the Qualified Independent Consultants, if the Additional Parity Obligations are to be issued for the purpose of acquiring an existing water system and/or sewer system and/or any other utility system in accordance with Section 26 hereof, the Net Revenues certified pursuant to Section 20(Q)(1)(b) may be adjusted by including: 100% of the additional estimated Net Revenues which in the written opinion of the Qualified Independent Consultants will be derived from the acquired facilities during the first full 12-month period after the issuance of such Additional Parity Obligations (the Qualified Independent Consultants' report shall be based on the actual operating revenues of the acquired utility for a recent 12-month period adjusted to reflect the Issuer's ownership and the Issuer's rate structure in effect with respect to the System at the time of the issuance of the Additional Parity Obligations).

(4) Upon recommendation of the Qualified Independent Consultants, if the number of connections as of the first day of the month in which the proposed Additional Parity Obligations are to be issued exceeds the average number of such connections during such twelve (12) consecutive month period, then the Net Revenues certified pursuant to Section 20(Q)(1)(b) may be adjusted to include the Net Revenues which would have been received in such twelve (12) consecutive months if those additional connections had also been connected to the System during all of such twelve (12) consecutive months.

(5) Upon recommendation of the Qualified Independent Consultant, if the Issuer shall have entered into a contract, which contract shall be for a duration of not less than the final maturity of the proposed Additional Parity Obligations, with any public body, whereby the Issuer shall have agreed to furnish services for the collection, treatment or disposal of sewage or agreed to furnish services in connection with any water system or any other utility system, then the Net Revenues certified pursuant to Section 20(Q)(1)(b) may be increased (to the extent such amounts were not reflected in such Net Revenues) by the minimum amount which the public body shall guarantee to pay in any one year for the furnishing of services by the Issuer, after deducting from such payment the estimated Cost of Operation and Maintenance attributable in such year to such services.

(6) Upon recommendations of the Qualified Independent Consultants, if there is an estimated increase in Net Revenues to be received by the Issuer as a result of additions, extensions or improvements to the System during the period of three (3) years following the completion of such additions, extensions or improvements financed with the proceeds of Bonds or Additional Parity Obligations, then the Net Revenues derived from the System certified pursuant to Section 20(Q)(1)(b) may be increased by fifty

percent (50%) of the average annual additional Net Revenues calculated for such three year period.

(7) The Issuer need not comply with the provisions of paragraph (1) of this Section 20(Q) if and to the extent the Additional Parity Bonds to be issued are refunding bonds, if the Issuer shall cause to be delivered a certificate of the Director of Financial Services of the Issuer setting forth the Maximum Annual Debt Service Requirement (i) for the Bonds then Outstanding and (ii) for all Series of Bonds to be immediately Outstanding thereafter and stating that the Maximum Annual Debt Service Requirement pursuant to (ii) above is not greater than that set forth pursuant to (i) above. Furthermore, the Issuer need not comply with the provisions of paragraph (1) of this Section 20(Q) if and to the extent the Additional Parity Bonds to be issued legally defease all theretofore Outstanding Bonds.

(8) The Issuer need not comply with the provisions of paragraph (1) of this Section 20(Q) if and to the extent the Bonds to be issued are for the purpose of providing any necessary additional funds required for completion of any improvements to the System ("Completion Bonds") if originally financed with the proceeds of Bonds; provided that such Completion Bonds for which the Issuer need not comply with the provision of such paragraph (1) of this Section 20(Q) may not exceed 10% of the total principal amount of Bonds estimated to be required for such improvements to the System at the time of issuance of the initial Series of Bonds to finance such improvements.

(9) The Director of Financial Services of the Issuer shall have certified that the Issuer is not in default in the carrying out of any of the obligations assumed under this Resolution and no event of default shall have occurred under this Resolution and shall be continuing, and all payments required by this Resolution to be made into the funds and accounts established hereunder shall have been made to the full extent required.

(10) The Supplemental Resolution authorizing the issuance of the Additional Parity Obligations shall recite that all of the covenants contained herein will be applicable to such Additional Parity Obligations.

(R) RATE STABILIZATION FUND. The Issuer may transfer into the Rate Stabilization Fund such moneys which are on deposit in the Surplus Fund as it deems appropriate. The Issuer may transfer such amount of moneys from the Rate Stabilization Fund to the Revenue Fund as it deems appropriate; provided, however, that on or prior to each principal and interest payment date for the Bonds (in no event earlier than the 25th day of the month next preceding such payment date), moneys in the Rate Stabilization Fund shall be applied for the payment into the Interest Account, the Parity Contract Obligation Account, the Principal Account and the Redemption Account when the moneys therein are insufficient to pay the principal of and interest on the Bonds coming due and to pay any Parity Contract

Obligations, but only to the extent moneys transferred from the Surplus Fund and Renewal, Replacement and Improvement Fund for such purposes pursuant to Sections 20(B)(4) and 20(B)(5) hereof, shall be inadequate to fully provide for such insufficiency.

Section 21. Defaults; Events of Default and Remedies. Except as provided below, if any of the following events occur, it is hereby defined as and declared to be and to constitute an "Event of Default:"

(A) Default in the due and punctual payment of any interest on the Bonds;

(B) Default in the due and punctual payment of the principal of and premium, if any, on any Bond, at the stated maturity thereof, or upon proceedings for redemption thereof;

(C) Default in the performance or observance of any other of the covenants, agreements or conditions on the part of the Issuer contained in this Resolution or in the Bonds and the continuance thereof for a period of thirty (30) days after written notice to the Issuer given by the Holders of not less than twenty-five percent (25%) of aggregate principal amount of Bonds then Outstanding (provided, however, that with respect to any obligation, covenant, agreement or condition which requires performance by a date certain, if the Issuer performs such obligation, covenant, agreement or condition within thirty (30) days of written notice as provided above, the default shall be deemed to be cured);

(D) Failure by the Issuer promptly to remove any execution, garnishment or attachment of such consequence as will materially impair its ability to carry out its obligations hereunder; or

(E) Any act of bankruptcy or the rearrangement, adjustment or readjustment of the obligations of the Issuer under the provisions of any bankruptcy or moratorium laws or similar laws relating to or affecting creditors' rights.

The term "default" shall mean default by the Issuer in the performance or observance of any of the covenants, agreements or conditions on its part contained in this Resolution, any Supplemental Resolution or in the Bonds, exclusive of any period of grace required to constitute a default or an "Event of Default" as hereinabove provided.

Notwithstanding the foregoing, the occurrence of any default under a Qualified Agreement, including without limitation failure on the part of the Issuer to pay Parity Contract Obligations or to pay a termination fee under a Qualified Agreement, shall not be construed as or deemed to constitute an "Event of Default" hereunder; rather, such occurrence shall be remedied pursuant to such Qualified Agreement and applicable legal and equitable principles taking into account the parity status as to lien on Pledged Revenues which the counterparty to such Qualified Agreement enjoys as to Parity Contract Obligations only, relative to that of the Bondholders and their rights to payments hereunder.

For purposes of Section 21(A) and (B) hereof, no effect shall be given to any payments made under any Bond Insurance Policy.

Any Holder of Bonds issued under the provisions hereof or any trustee acting for the Holders of such Bonds may, either at law or in equity, by suit, action, mandamus or other proceedings in any court of competent jurisdiction, protect and enforce any and all rights, including the right to the appointment of a receiver, existing under State or federal law, or granted and contained herein, and may enforce and compel the performance of all duties required herein or by any applicable law to be performed by the Issuer or by any officer thereof.

Nothing herein, however, shall be construed to grant to any Holder of the Bonds any lien on any property of the Issuer, except the Pledged Revenues.

The foregoing notwithstanding:

(i) No remedy conferred upon or reserved to the Bondholders is intended to be exclusive of any other remedy, but each remedy shall be cumulative and shall be in addition to any other remedy given to the Bondholders hereunder.

(ii) No delay or omission to exercise any right or power accruing upon any default or Event of Default shall impair any such right or power or shall be construed to be a waiver of any such default or acquiescence therein, and every such right and power may be exercised as often as may be deemed expedient.

(iii) No waiver of any default or Event of Default hereunder by the Bondholders shall extend to or shall affect any subsequent default or Event of Default or shall impair any rights or remedies consequent thereon.

(iv) Acceleration of the payment of principal of and interest on the Bonds shall not be a remedy hereunder in the case of an Event of Default.

Upon the occurrence of an Event of Default, and upon the filing of a suit or other commencement of judicial proceedings to enforce the rights of the Bondholders under this Resolution, the Bondholders shall be entitled, as a matter of right, to the appointment of a receiver or receivers of the System and the funds pending such proceedings, with such powers as the court making such appointment shall confer.

Notwithstanding any provision of this Resolution to the contrary, for all purposes of this Section 21, except the giving of notice of any Event of Default to the Holder of the Bonds, any Insurer shall be deemed to be the Holder of the Bonds it has insured.

On the occurrence of an Event of Default, to the extent such rights may then lawfully be waived, neither the Issuer nor anyone claiming through or under it, shall set up, claim or seek to take advantage of any stay, extension or redemption laws now or hereafter in force, in order to prevent or hinder the enforcement of this Resolution, and the Issuer, for itself and all who

may claim through or under it, hereby waives, to the extent it may lawfully do so, the benefit of all such laws and all right of redemption to which it may be entitled.

Within 30 days of knowledge thereof, both the Issuer and the Paying Agent shall provide notice to any and all Insurers of Bonds, if any, of the occurrence of any Event of Default.

The respective Insurers of Bonds, if any, shall be included as a party in interest and as a party entitled to (i) notify the Issuer or any applicable receiver of the occurrence of an Event of Default, and (ii) request the receiver to intervene in judicial proceedings that affect the Bonds or the security therefor. The receiver is required to accept notice of default from each Insurer of Bonds.

Anything in this Resolution to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Insurers of Bonds, if any, in default shall be entitled to control and direct the enforcement of all rights and remedies granted to the Bondholders under this Resolution, and the Insurers of Bonds, if any, in default shall also be entitled to approve all waivers of events of default.

Section 22. Amending and Supplementing of Resolution without Consent of Holders of Bonds. The Issuer, from time to time and at any time and without the consent or concurrence of any Holder of any Bonds, may adopt a Supplemental Resolution amendatory hereof or supplemental hereto if the provisions of such Supplemental Resolution shall not materially adversely affect the rights of the Holders of the Bonds then Outstanding, for any one or more of the following purposes:

(A) To make any changes or corrections in this Resolution as to which the Issuer shall have been advised by Bond Counsel that are required for the purpose of curing or correcting any ambiguity or defective or inconsistent provisions or omission or mistake or manifest error contained in this Resolution, or to insert in this Resolution such provisions clarifying matters or questions arising under this Resolution as are necessary or desirable;

(B) To add additional covenants and agreements of the Issuer for the purpose of further securing the payments of the Bonds and any Parity Contract Obligations;

(C) To surrender any right, power or privilege reserved to or conferred upon the Issuer by the terms of this Resolution;

(D) To confirm, as further assurance, any lien, pledge or charge or the subjection to any lien, pledge or charge, created or to be created by the provisions of this Resolution;

(E) To grant to or confer upon the Holders or any Qualified Agreement Provider any additional right, remedies, powers, authority or security that lawfully may be granted to or conferred upon them;

(F) To assure compliance with federal "arbitrage" provisions in effect from time to time;

(G) To provide such changes as may be necessary in order to adjust the terms hereof (but not including the provisions of Section 20(E) and Section 20(Q) hereof) so as to facilitate the issuance of Variable Rate Bonds, Option Bonds, the execution of any Qualified Agreement, or to obtain a Credit Facility;

(H) To provide for the combination of the System with any other utility provided the conditions set forth in Section 26 hereof are satisfied;

(I) To provide for the transfer of the ownership and/or operation of the System pursuant to a governmental reorganization as set forth in Section 25 hereof;

(J) To facilitate the issuance of utility cost containment bonds by some legal entity other than the Issuer to be secured by a "utility project charge" or the like as contemplated in Section 27 hereof; or

(K) To modify any of the provisions of this Resolution in any other aspects provided that such modifications shall not be effective until after the Bonds Outstanding at the time such Supplemental Resolution is adopted shall cease to be Outstanding, or until the holders thereof consent thereto pursuant to Section 23 hereof, and any Bonds issued subsequent to any such modification shall contain a specific reference to the modifications contained in such Supplemental Resolution.

Except for Supplemental Resolutions providing for the issuance of Bonds pursuant hereto, the Issuer shall not adopt any Supplemental Resolution authorized by the foregoing provisions of this Section unless, in the opinion of Bond Counsel, the adoption of such Supplemental Resolution is permitted by the foregoing provisions of this Section.

Notwithstanding anything else in this Resolution to the contrary, any amendment or supplement to this Resolution, with the exception of the Supplemental Resolution relating to the issuance of Additional Parity Obligations, shall be subject to the prior written consent of each of the Insurers of the Bonds, if any. Each of the Insurers of the Bonds shall be provided with a full transcript of all proceedings relating to the execution of any such amendment or supplement.

Section 23. Amendment of Resolution with Consent of Holders of Bonds. Except as provided in Section 22 hereof, no material modification or amendment of this Resolution or of any resolution supplemental hereto shall be made without the consent in writing of the Holders of fifty-one percent (51%) or more in the principal amount of the Bonds of each Series so affected and then Outstanding and any Qualified Agreement Provider. For purposes of this Section, to the extent any Bonds are insured by a Bond Insurance Policy or are secured by a Credit Facility and such Bonds are then rated in as high a rating category as the rating category in which such Bonds were rated at the time of initial issuance and delivery thereof by either

S&P, Moody's or Fitch or successors and assigns, then the consent of the Insurer or Insurers of such Bond Insurance Policy or the issuer or issuers of such letter of credit shall be deemed to constitute the consent of the Holder of such Bonds. No modification or amendment shall permit a change in the maturity of such Bonds or a reduction in the rate of interest thereon or in the amount of the principal obligation thereof or reduce the percentage of the Holders of the Bonds required to consent to any material modification or amendment hereof without the consent of the Holder or Holders of all such obligations. For purposes of the immediately preceding sentence, the issuer or issuers of a Bond Insurance Policy or a Credit Facility shall not consent on behalf of the Holders of the Bonds. No amendment or supplement pursuant to this Section 23 (but not including Section 22 hereof) shall be made without the consent of each of the Insurers of Bonds.

Notwithstanding anything else in this Resolution to the contrary, any amendment or supplement to this Resolution, with the exception of the Supplemental Resolution relating to the issuance of Additional Parity Obligations, shall be subject to the prior written consent of each of the Insurers of the Bonds. Any rating agency rating the Bonds must receive notice of each amendment and a copy thereof at least fifteen (15) days in advance of its execution or adoption. Each of the Insurers of the Bonds shall be provided with a full transcript of all proceedings relating to the execution of any such amendment or supplement.

Section 24. Defeasance. The covenants and obligations of the Issuer shall be defeased and discharged under terms of this Resolution as follows:

(A) If the Issuer shall pay or cause to be paid, or there shall otherwise be paid, to any Qualified Agreement Provider any and all Parity Contract Obligations and to the Holders of all Bonds the principal, redemption premium, if any, and interest due or to become due thereon, at the times and in the manner stipulated herein, then the pledge of the Pledged Revenues and all covenants, agreements and other obligations of the Issuer to any Qualified Agreement Provider and the Bondholders shall thereupon cease, terminate and become void and be discharged and satisfied. If the Issuer shall pay or cause to be paid, or there shall otherwise be paid, to any Qualified Agreement Provider any and all Parity Contract Obligations and to the Holders of any Outstanding Bonds the principal, redemption premium, if any, and interest due or to become due thereon, at the times and in the manner stipulated herein, such Parity Contract Obligations and such Bonds shall cease to be entitled to any lien, benefit or security under this Resolution, and all covenants, agreements and obligations of the Issuer to any Qualified Agreement Provider and the Holders of such Bonds shall thereupon cease, terminate and become void and be discharged and satisfied.

(B) The Bonds, redemption premium, if any, and interest due or to become due for the payment or redemption of which moneys shall have been set aside and shall be held in trust (through deposit by the Issuer of funds for such payment or redemption or otherwise) at the maturity or redemption date thereof shall be deemed to have been paid within the meaning and with the effect expressed in paragraph (A) of this Section 24. Subject to the provisions of paragraph (C) and (D) of this Section 24, any Outstanding Bonds shall, prior to the maturity or

redemption date thereof, be deemed to have been paid within the meaning and with the effect expressed in paragraph (A) of this Section if (i) in case any of said Bonds are to be redeemed on any date prior to their maturity, the Issuer shall have given to the escrow agent instructions accepted in writing by the escrow agent to notify Holders of Outstanding Bonds in the manner required herein of the redemption of such Bonds on said date, and (ii) there shall have been deposited with the escrow agent either moneys in an amount which shall be sufficient, or Acquired Obligations (including any Acquired Obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States) the principal of and the interest on which when due will provide moneys which, together with the moneys, if any, deposited with the escrow agent at the same time, shall be sufficient, to pay when due the principal of and premium, if any, and interest due and to become due on said Bonds on or prior to the redemption date or maturity date thereof, as the case may be. In the event of a defeasance pursuant to clause (ii) above, the Issuer shall cause to be delivered a verification report of an independent nationally recognized certified public accountant. If a forward supply contract is employed in connection with the refunding, (i) such verification report shall expressly state that the adequacy of the escrow to accomplish the refunding project relies solely on the initial escrowed investments and the maturing principal thereof and interest income thereon and does not assume performance under or compliance with the forward supply contract, and (ii) the applicable escrow agreement shall provide that in the event of any discrepancy or difference between the terms of the forward supply contract and the escrow agreement and this Resolution, the terms of the escrow agreement and this Resolution shall be controlling.

(C) For purposes of determining whether Variable Rate Bonds shall be deemed to have been paid prior to the maturity or redemption date thereof, as the case may be, by the deposit of moneys, or Acquired Obligations and moneys, if any, in accordance with paragraph (B) of this Section 24, the interest to come due on such Variable Rate Bonds on or prior to the maturity date or redemption date thereof, as the case may be, shall be calculated assuming that interest thereon will accrue at the maximum rate of interest such Variable Rate Bonds may bear pursuant to the Supplemental Resolution authorizing the issuance thereof, or the maximum rate permitted by law if such Supplemental Resolution provides no maximum rate of interest.

(D) Option Bonds shall be deemed to have been paid in accordance with the second sentence of paragraph (B) of this Section 24 only if, in addition to satisfying the requirements of clauses (i) and (ii) of such sentence, there shall have been deposited with the escrow agent moneys in an amount which shall be sufficient to pay when due the maximum amount of principal of and redemption premium, if any, and interest on such Bonds which could become payable to the Holders of such Bonds upon the exercise of any options provided to the Holders of such Bonds; provided, however, that if, at the time a deposit is made with the escrow agent pursuant to paragraph (B) of this Section 24, the options originally exercisable by the Holder of an Option Bond are no longer exercisable, such Bond shall not be considered an Option Bond for purposes of this paragraph (D). If any portion of the moneys deposited with the escrow agent for the payment of the principal of and redemption premium, if any, and interest on Option Bonds is not required for such purpose, the escrow agent shall, if requested by the

Issuer, pay the amount of such excess to the Issuer free and clear of any trust, lien, security interest, pledge or assignment securing said Bonds or otherwise existing under the Resolution.

Section 25. Governmental Reorganization. Notwithstanding any other provisions of this Resolution, this Resolution shall not prevent any lawful reorganization of the governmental structure of the Issuer, including a merger or consolidation of the Issuer with another public body or the transfer of a public function of the Issuer to another public body, provided that any reorganization which affects the System shall provide that the System shall be continued as a single enterprise and that any public body which succeeds to the ownership and operation of the System shall also assume all rights, powers, obligations, duties and liabilities of the Issuer under this Resolution and pertaining to all Bonds and any Qualified Agreement.

Section 26. Additional Utility Functions. The Issuer may expand the utility functions of the System as they exist on the date hereof as permitted in the definition of "System" contained herein, provided that the Issuer has received the prior written consent of the Insurer, if any, (provided the Insurer is not in default of its obligations under its Credit Facility), and adopted resolutions of the Issuer to the effect that, based upon such certificates and opinions of its Consulting Engineers, independent certified public accountants, Bond Counsel, Financial Advisor or other Qualified Independent Consultants as the Issuer shall deem necessary, desirable or appropriate, the addition of such utility functions (a) will not impair the ability of the Issuer to comply with the provisions of this Resolution, and (b) will not materially adversely affect the rights of the Holders of the Bonds.

Section 27. Utility Cost Containment Bonds. Pursuant to section 163.09, Florida Statutes, notwithstanding anything herein to the contrary, (i) if permitted by applicable law, the Issuer may in the future cause or permit the creation of a property right referred to as a "utility project charge" or the like, levied on customers of the System as a separate charge on the utility bill, to secure utility cost containment bonds or other indebtedness issued or incurred by an interlocal agency or limited liability company in order to finance or refinance a utility project of the Issuer or the System; (ii) revenues from a utility project charge shall not constitute a Gross Revenue of the Issuer or the System for any purpose, including any dedication, commitment, or pledge of revenue, receipts, or other income that the Issuer or the System has made or will make for the security of any of its obligations; and (iii) if the Issuer or the System shall hold the money collected in trust from such utility project charge, such money shall not become a Gross Revenue by virtue of possession by the Issuer or the System.

Section 28. Qualified Agreements. Any payments received by the Issuer from a Qualified Agreement Provider shall constitute Gross Revenues hereunder. Any payments to a Qualified Agreement Provider under a Qualified Agreement so designated by the Issuer, can constitute Parity Contract Obligations or Subordinated Debt. Notwithstanding the foregoing, termination payments, indemnification payments, or other fees to be paid by the Issuer to a Qualified Agreement Provider under a Qualified Agreement and which do not constitute regularly scheduled payments determined by reference to interest on a notional amount may only constitute Subordinated Debt, and may not constitute Parity Contract Obligations.

The Issuer may enter into one or more Qualified Agreements with respect to one or more Series of Bonds (or portions thereof); provided, however, that if such Qualified Agreement is not entered into at the time of initial issuance of the Series of Bonds to which it relates, the requirements of Section 20(Q)(1) hereof must be met, applying the same as if $1.00 in principal amount of Additional Parity Bonds is being issued as of the effective date of such Qualified Agreement.

Section 29. Payments to Credit Facility. In connection with any Bonds, the Issuer may obtain or cause to be obtained one or more Credit Facilities and agree with any Credit Facility Issuer to reimburse such issuer directly for amounts paid under the terms of such Credit Facility, together with interest thereof; provided, however, that no obligation to reimburse a Credit Facility Issuer shall be created, for purposes of this Resolution, until amounts are paid under such Credit Facility. Such payments are referred to herein as "Reimbursement Obligations." Any Reimbursement Obligation may be secured by a pledge of and a lien on the Pledged Revenues on a subordinate basis to the lien created herein in favor of the Holders of the Bonds and any Qualified Agreement Provider. Any such Reimbursement Obligation shall be deemed to be a part of the Series to which the Credit Facility which gave rise to such Reimbursement Obligation relates. Payments to reimburse the issuer of a Credit Facility shall constitute Subordinated Debt.

Section 30. Capital Appreciation Bonds. For the purposes of (i) receiving payment of the redemption price of a Capital Appreciation Bond if redeemed prior to maturity, (ii) computing Bond Service Requirement, and (iii) computing the amount of Holders required for any notice, consent, request or demand hereunder for any purpose whatsoever, the principal amount of a Capital Appreciation Bond shall be deemed to be its Accreted Value.

Section 31. Tax Covenants.

(A) The Issuer covenants with the Holders of each Series of Bonds (other than Taxable Bonds) that it shall not use the proceeds of such Series of Bonds in any manner which would cause the interest on such Series of Bonds to be or become includable in the gross income of the Holder thereof for federal income tax purposes.

(B) The Issuer covenants with the Holders of each Series of Bonds (other than Taxable Bonds) that neither the Issuer nor any Person under its control or direction will make any use of the proceeds of such Series of Bonds (or amounts deemed to be proceeds under the Code) in any manner which would cause such Series of Bonds to be "arbitrage bonds" within the meaning of Section 148 of the Code and neither the Issuer nor any other Person shall do any act or fail to do any act which would cause the interest on such Series of Bonds to become includable in the gross income of the Holder thereof for federal income tax purposes.

(C) The Issuer hereby covenants with the Holders of each Series of Bonds (other than Taxable Bonds) that it will comply with all provisions of the Code necessary to maintain the exclusion of interest on the Bonds from the gross income of the Holder thereof for federal

income tax purposes, including, in particular, the payment of any amount required to be rebated to the U.S. Treasury pursuant to the Code.

(D) The Issuer hereby covenants with the Holders of each Series of Build America Bonds that it will comply with all provisions of the Code necessary to maintain the status of such bonds as Build America Bonds within the meaning of the Code. In the case of Build America Bonds for which the Issuer irrevocably elects to receive a refundable credit from the United States Treasury, the Issuer covenants to comply with all provisions of the Code necessary to maintain the status of such bonds as "qualified bonds" within the meaning of the Code.

(E) The Issuer may, if it so elects, issue one or more Series of Taxable Bonds the interest on which is (or may be) includable in the gross income of the Holder thereof for federal income tax purposes, so long as each Bond of such Series states in the body thereof that interest payable thereon is (or may be) subject to federal income taxation and provided that the issuance thereof will not cause the interest on any other Bonds theretofore issued hereunder to be or become includable in the gross income of the Holder thereof for federal income tax purposes. The covenants set forth in paragraphs (A), (B) and (C) above shall not apply to any Taxable Bonds.

(F) There is hereby created and established a fund to be known as the "City of Tamarac Utility System Revenue Bonds Rebate Fund" (the "Rebate Fund"), and a separate account therein for each Series of Bonds. The Issuer shall deposit into the appropriate account in the Rebate Fund, from investment earnings on moneys deposited in the other funds and accounts created hereunder, or from any other legally available funds of the Issuer, an amount equal to the Rebate Amount for such Rebate Year. The Issuer shall use such moneys deposited in the appropriate account in the Rebate Fund only for the payment of the Rebate Amount to the United States as required by this Section 30. In complying with the foregoing, the Issuer may rely upon any instructions or opinions from Bond Counsel.

If any amount shall remain in the Rebate Fund after payment in full of all Bonds issued hereunder that are not Taxable Bonds and after payment in full of the Rebate Amount to the United States in accordance with the terms hereof, such amounts shall be available to the Issuer for any lawful purpose.

The Rebate Fund shall be held separate and apart from all other funds and accounts of the Issuer, shall not be impressed with a lien in favor of the Bondholders and the moneys therein shall be available for use only as herein provided.

Section 32. Bond Anticipation Notes Authorized for Interim Financing. Pursuant to authority granted by Section 215.431, Florida Statutes, the Issuer is authorized to issue Bond Anticipation Notes (which may include Grant Anticipation Notes for all purposes of this Section 32) in one or more series, from time to time for the purposes authorized by this Resolution, and for the purpose of obtaining interim financing. Prior to the sale of Bonds

authorized by this Resolution, the Issuer may issue its Bond Anticipation Notes as provided herein and as provided in Section 215.431, Florida Statutes. Any such Bond Anticipation Notes authorized by the Issuer shall be issued upon the adoption of a resolution by the Issuer specifying the amount of Bond Anticipation Notes to be issued, the series designation, the maturity of such Bond Anticipation Notes, the denomination, date and the rate of interest which shall be borne by such Bond Anticipation Notes which shall not be at a rate greater than the highest rate authorized by law. Any such Bond Anticipation Notes issued may be sold in the manner provided by Section 215.431, Florida Statutes and shall satisfy all other requirements contained therein, including those related to the maturity of such Bond Anticipation Notes.

Section 33. Additional Rights to Insurers. All notices required to be given to any party hereunder shall also be given to the Insurer, if any. Pursuant to one or more Supplemental Resolutions, the Issuer may provide additional rights, covenants, agreements and restrictions relating to any Insurer and any Bond Insurance Policy.

Section 34. Severability. If any one or more of the covenants, agreements or provisions of this Resolution should be held contrary to any express provision of law or contrary to the policy of express law, though not expressly prohibited, or against public policy, or shall for any reason whatsoever be held invalid or shall in any manner be held to adversely affect the validity of the Bonds, then such covenants, agreements or provisions shall be null and void and shall be deemed separate from the remaining covenants, agreements or provisions of this Resolution or of the Bonds issued hereunder.

Section 35. Sale of Bonds. The Bonds may be issued and sold at public or private sale at one time or in installments from time to time and at such price or prices as shall be consistent with the provisions of the requirements of this Resolution and other applicable provisions of law.

Section 36. General Authority. The members of the City Commission of the Issuer and the Issuer's officers, attorneys and other agents and employees are hereby authorized to perform all acts and things required of them by this Resolution or desirable or consistent with the requirements hereof for the full, punctual and complete performance of all of the terms, covenants and agreements contained in the Bonds and this Resolution, and they are hereby authorized to execute and deliver all documents which shall be required by Bond Counsel to effectuate the sale of the Bonds to said initial purchasers.

Section 37. No Third Party Beneficiaries. Except such other Persons as may be expressly described herein, in the Bonds, or in a Qualified Agreement, nothing in this Resolution, or in the Bonds, expressed or implied, is intended or shall be construed to confer upon any Person, other than the Issuer and the Holders, any right, remedy or claim, legal or equitable, under and by reason of this Resolution or any provision hereof, or of the Bonds or any Qualified Agreement, all provisions hereof and thereof being intended to be and being for the sole and exclusive benefit of the Issuer and the Persons who shall from time to time be the Holders and any Qualified Agreement Provider.

Section 38. No Personal Liability. Neither the members of the City Commission of the Issuer, any person executing the Bonds, any other charter employees, nor employees of the Issuer shall be personally liable therefor or be subject to any personal liability or accountability by reason of the issuance thereof.

Section 39. Amendment and Restatement; Repeal of Inconsistent Instruments. Resolution No. R-2009-96 previously adopted by the City Commission of the Issuer is hereby amended and restated in its entirety. All other resolutions or parts or resolutions in conflict herewith are hereby repealed to the extent of such conflict.

Section 40. Effective Date. This Resolution shall become effective upon such time as (i) its adoption, (ii) the Issuer is in receipt of written consent of the 2009 Insurer, and (iii) the Issuer is in receipt of evidence of 51% Bondholder consent.

PASSED AND ADOPTED 11th day of October, 2016.

CITY OF TAMARAC, FLORIDA

_____

Harry Dressler, Mayor

ATTEST:

_____

Patricia A. Teufel, CMC
City Clerk

I HEREBY CERTIFY that I have
approved this Resolution as to form

_____

Samuel S. Goren
City Attorney

EXHIBIT ON FILE WITH CITY CLERK

CITY OF TAMARAC, FLORIDA

RESOLUTION NO. R-2016-110

A RESOLUTION SUPPLEMENTING A RESOLUTION ADOPTED ON EVEN DATE HEREWITH AUTHORIZING THE ISSUANCE OF NOT TO EXCEED $22,000,000 UTILITY SYSTEM REFUNDING REVENUE BONDS, SERIES 2016A FOR THE PURPOSE OF REFUNDING A PORTION OF THE OUTSTANDING CITY OF TAMARAC, FLORIDA UTILITY SYSTEM REFUNDING REVENUE BONDS, SERIES 2009 AND FINANCING THE COST OF IMPROVEMENTS TO THE CITY'S UTILITY SYSTEM, AND PAYING COSTS RELATED THERETO, AND AUTHORIZING THE ISSUANCE OF NOT TO EXCEED $5,000,000 UTILITY SYSTEM REFUNDING REVENUE BONDS, SERIES 2016B (TAXABLE) FOR THE PURPOSE OF REFUNDING A PORTION OF THE OUTSTANDING CITY OF TAMARAC, FLORIDA UTILITY SYSTEM REFUNDING REVENUE BONDS, SERIES 2009, AND PAYING COSTS RELATED THERETO, SUBJECT TO THE SATISFACTION OF CERTAIN CONDITIONS CONTAINED HEREIN AND SUBJECT TO THE TERMS AND CONDITIONS OF A BOND PURCHASE AGREEMENT; APPROVING THE FORM OF THE BOND PURCHASE AGREEMENT, PRELIMINARY OFFICIAL STATEMENT, DISCLOSURE DISSEMINATION AGENT AGREEMENT AND ESCROW DEPOSIT AGREEMENT; AUTHORIZING THE EXECUTION AND DELIVERY OF A BOND PURCHASE AGREEMENT, FINAL OFFICIAL STATEMENT, DISCLOSURE DISSEMINATION AGENT AGREEMENT AND ESCROW DEPOSIT AGREEMENT; APPOINTING A PAYING AGENT, REGISTRAR AND ESCROW AGENT; DELEGATING TO THE MAYOR AND CITY MANAGER TO AWARD THE SALE OF THE BONDS TO THE UNDERWRITER NAMED HEREIN PURSUANT TO A NEGOTIATED SALE AND SUBJECT TO THE CONDITIONS AND TERMS SET FORTH HEREIN AND IN THE BOND PURCHASE AGREEMENT; AUTHORIZING OTHER REQUIRED ACTIONS; AND PROVIDING FOR SEVERABILITY AND AN EFFECTIVE DATE.

WHEREAS, the City Commission (the "City Commission") of the City of Tamarac, Florida (the "Issuer") has, by resolution adopted on the date hereof (the "Master Resolution" and, as supplemented hereby, the "Resolution"), authorized the issuance of not to exceed $22,000,000 City of Tamarac, Florida Utility System Refunding Revenue Bonds, Series 2016A

(the "Series 2016A Bonds") and not to exceed $5,000,000 City of Tamarac, Florida Utility System Refunding Revenue Bonds, Series 2016B (Taxable) (the "Series 2016B Bonds", and together with the Series 2016A Bonds, the "Series 2016 Bonds"); and

WHEREAS, RBC Capital Markets LLC, on behalf of itself, Stifel, Nicholas& Company, Inc., and Raymond James & Associates, Inc. (collectively, the "Underwriter") has indicated that it is willing to enter into the hereinafter defined Bond Purchase Agreement with the Issuer pursuant to which the Underwriter will agree to purchase the Series 2016 Bonds; and

WHEREAS, due to the present volatility of the market for public obligations such as the Series 2016 Bonds, the need to access such market very quickly, the willingness of the Underwriter to purchase the Series 2016 Bonds at interest rates favorable to the Issuer, and the critical importance of timing of the sale of the Series 2016 Bonds, the Issuer has determined to sell the Series 2016 Bonds through a negotiated sale to the Underwriter, and it is hereby determined that it is in the best interest of the public and the Issuer to delegate to the Mayor and the City Manager the authority to fix the final details of the Series 2016 Bonds, based upon the advice of the Financial Advisor, and accept the offer of the Underwriter to purchase the Series 2016 Bonds at a negotiated sale pursuant to the terms of a Bond Purchase Agreement, the form of which is attached hereto as Exhibit A (the "Bond Purchase Agreement"), if certain conditions set forth in this resolution are satisfied; and

WHEREAS, prior to acceptance by the Issuer of the offer of the Underwriter to purchase the Series 2016 Bonds, the Underwriter will provide the Issuer with all applicable disclosure information required by Section 218.385, Florida Statutes, to be attached to, or otherwise included as part of, the Bond Purchase Agreement; and

WHEREAS, the Series 2016A Bonds are being issued to (i) refund a portion of the Refunded 2009 Bonds; (ii) finance cost of the 2016A Project; and (iii) pay the costs of issuance of the Series 2016A Bonds; and

WHEREAS, the Series 2016B Bonds are being issued to (i) refund a portion of the Refunded 2009 Bonds; and (ii) pay the costs of issuance of the Series 2016B Bonds; and

WHEREAS, the Issuer has determined it to be in its best interests and to serve a public purpose to provide in this resolution for the issuance of the Series 2016 Bonds for the purposes heretofore described, and this resolution shall constitute a Supplemental Resolution for purposes of the Master Resolution; and

WHEREAS, on parity with any Series 2009 Bonds not being refunded, the Series 2016 Bonds will be secured by a lien on the Pledged Revenues and, as of the date hereof, except as to the Series 2009 Bonds, the Pledged Revenues are not pledged or encumbered in any manner, and upon issuance of the Series 2016 Bonds, the lien of the holders of the Series 2016 Bonds and any Series 2009 Bonds not being refunded will be the senior lien on the Pledged Revenues; and

WHEREAS, in connection with the offering and sale of the Series 2016 Bonds, the Issuer desires to approve the distribution of the Preliminary Official Statement, a form of which is attached hereto as Exhibit C, and delegate to the Mayor, the City Manager or the Director of Financial Services the authority to deem the Preliminary Official Statement "final" for purposes of Rule 15c2-12 of the Securities and Exchange Commission (the "Rule") and to execute and deliver a final Official Statement with respect to the Series 2016 Bonds (the "Official Statement"); and

WHEREAS, the Issuer desires to appoint U.S. Bank National Association, as a paying agent with respect to the Series 2016 Bonds and authorize the execution and delivery of a Registrar and Paying Agent Agreement (the "Registrar and Paying Agent Agreement"); and

WHEREAS, in connection with its continuing disclosure obligations under the Rule, the Issuer desires to approve the form of, and authorize the execution and delivery of, a Disclosure Dissemination Agent Agreement by and between the Issuer and Digital Assurance Certification, LLC, as disclosure dissemination agent, a form of which is attached hereto as Exhibit D (the "Disclosure Dissemination Agent Agreement"); and

WHEREAS, if the conditions in the Master Resolution do not become effective on the date of the issuance of the Series 2016 Bonds, in accordance with the conditions described in Section 40 of the Master Resolution, until all such conditions are met, for all purposes hereunder, "Master Resolution" shall mean the Original Resolution, which means that any amendments intended to be effected through the adoption of the Master Resolution and the corresponding amendment and restatement of the Original Resolution shall not be effective until such conditions are met; and

WHEREAS, "Original Resolution" means Resolution No. R-2009-96 adopted by the City Commission on July 22, 2009, as amended and supplemented from time to time, and as particularly supplemented by Resolution No. R-2009-98 adopted by the City Commission on July 22, 2009;

NOW, THEREFORE, BE IT RESOLVED BY THE CITY COMMISSION OF THE CITY OF TAMARAC, FLORIDA:

SECTION 1. Authority for this Resolution. This resolution is adopted pursuant to the provisions of the Act.

SECTION 2. Definitions. All capitalized undefined terms shall have the meaning ascribed thereto in the Master Resolution. In addition, the following terms, unless the context otherwise requires, shall have the meanings specified in this Section. Words importing singular number shall include plural number in each case and vice versa, and words importing persons shall include firms and corporations.

"Escrow Agent" means U.S. Bank National Association as the bank or trust company which shall execute the Escrow Deposit Agreement with the Issuer simultaneous with the issuance of the Series 2016 Bonds.

"Escrow Deposit Agreement" means that certain Escrow Deposit Agreement by and between the Issuer and the Escrow Agent, for the purpose of providing for the payment of the Refunded 2009 Bonds, which agreement shall be in substantially the form attached hereto as Exhibit B.

"Underwriter" shall mean RBC Capital Markets LLC, on behalf of itself, Stifel, Nicholas& Company, Inc., and Raymond James & Associates, Inc..

SECTION 3. Approval of Issuance of Series 2016 Bonds; Terms of Series 2016 Bonds; Authorization to Refund the Refunded 2009 Bonds and Finance the Costs of the 2016A Project. The Issuer hereby delegates to the Mayor and City Manager the authority to determine the final terms of the Series 2016 Bonds, based upon the advice of the Financial Advisor, including (i) the dated date, (ii) the principal amount and whether the Series 2016 Bonds shall be issued as Serial Bonds and/or Term Bonds, (iii) the maturity dates and amounts, (iv) the interest rates, prices and yields, (v) the optional redemption features, if any, (vi) the Amortization Installments and other mandatory redemption features, if any, (vii) the sale date and the delivery date, (viii) all other details of the Series 2016 Bonds, and to take such further action as shall be required for carrying out the purposes of this resolution all with respect to the Series 2016 Bonds. All covenants contained in the Master Resolution with respect to the Bonds shall be applicable to the Series 2016 Bonds.

SECTION 4. Award of Sale of the Series 2016 Bonds; Execution of Bond Purchase Agreement. Due to the indication by the Underwriter of its willingness to purchase the Series 2016 Bonds by negotiated sale at interest rates favorable to the Issuer, the present volatility of the market for public obligations such as the Series 2016 Bonds and the critical importance of timing of the sale of the Series 2016 Bonds, the Issuer hereby approves the negotiated sale of the Series 2016 Bonds to the Underwriter and delegates to the Mayor and City Manager the authority to accept the offer of the Underwriter to purchase the Series 2016 Bonds and to execute and deliver, on behalf of the Issuer, the Bond Purchase Agreement, in the form attached hereto as Exhibit A, which form is hereby approved; provided, however, that the Mayor and City Manager shall not have the authority to execute and deliver the Bond Purchase Agreement, unless the Mayor and City Manager shall have received from the Underwriter (i) all applicable disclosure information required by Section 218.385, Florida Statutes, and (ii) such other information as the Mayor and City Manager shall deem necessary, upon the advice of the Financial Advisor, which demonstrates to the Mayor and City Manager that (A) the aggregate principal amount of the Series 2016A Bonds is not in excess of $22,000,000 and the aggregate principal amount of the Series 2016B Bonds is not in excess of $5,000,000, (B) the final maturity of the Series 2016A Bonds shall not be later than October 1, 2046, and the final maturity of the

Series 2016B Bonds shall not be later than October 1, 2039, (C) the underwriting discount is not greater than 0.5% of the original principal amount of the Series 2016 Bonds, (D) the true interest cost rate on the Series 2016 A Bonds is not greater than 4.50%, the true interest cost rate on the Series 2016 B Bonds is not greater than 5.00%, and (E) the net present value debt service savings relating to the refunding of the Refunded 2009 Bonds by the Series 2016A Bonds and the Series 2016B Bonds shall not be less than 3.00% of the par amount of the Refunded 2009 Bonds.

All actions of the Mayor and City Manager taken pursuant to the authority contained in Sections 1 and 2 of this resolution shall be evidenced by the execution and delivery of the Bond Purchase Agreement, which shall be filed with the City Clerk. The execution and delivery of the Bond Purchase Agreement shall constitute complete evidence of the actions of the Mayor and City Manager and shall constitute the action of the Issuer. Subject to satisfaction of the conditions in this Section 2, the Mayor and City Manager is hereby authorized and directed to execute and deliver, the City Clerk is hereby authorized to attest under seal, and the City Attorney is hereby authorized to approve as to form, the Bond Purchase Agreement. The execution and delivery thereof in the manner described in the preceding sentence shall constitute complete approval of such Bond Purchase Agreement by the Issuer, including any changes to the form attached hereto as Exhibit A, and shall be deemed to be a part of this instrument as fully and to the same extent as if incorporated verbatim herein.

SECTION 5. Authorization of Series 2016 Bonds. Subject and pursuant to the provisions hereof, obligations of the Issuer to be known as "Utility System Refunding Revenue Bonds, Series 2016A" are authorized to be issued in the aggregate principal amount of not to exceed $22,000,000, subject to the provisions hereof, obligations of the Issuer to be known as "Utility System Refunding Revenue Bonds, Series 2016B (Taxable)" are authorized to be issued in the aggregate principal amount of not to exceed $5,000,000, and subject to the provisions hereof.

SECTION 6. Book Entry System. The Issuer has previously executed a blanket letter of representation dated August 22, 1997 (the "Letter of Representation") with The Depository Trust Company ("DTC"). It is intended that the Series 2016 Bonds be registered so as to participate in a global book-entry system with DTC as set forth herein and in such Letter of Representation. The Series 2016 Bonds shall be initially issued in the form of a single fully registered Series 2016 Bond for each subseries and maturity. Upon initial issuance, the ownership of such Series 2016 Bonds shall be registered by the Registrar and Paying Agent in the name of Cede & Co., as nominee for DTC. With respect to Series 2016 Bonds registered by the Registrar and Paying Agent in the name of Cede & Co., as nominee of DTC, the Issuer and the Registrar and Paying Agent shall have no responsibility or obligation to any broker-dealer, bank or other financial institution for which DTC holds Series 2016 Bonds from time to time as securities depositary (each such broker-dealer, bank or other financial institution being referred to herein as a "Depository Participant") or to any person on behalf of whom such a Depository Participant holds an interest in the Series 2016 Bonds (each such person being herein referred to as an "Indirect Participant"). Without limiting the immediately preceding sentence, the Issuer and the

Registrar and Paying Agent shall have no responsibility or obligation with respect to (a) the accuracy of the records of DTC, Cede & Co., or any Depository Participant with respect to the ownership interest in the Series 2016 Bonds, (b) the delivery to any Depository Participant or any Indirect Participant or any other person, other than a registered owner of a Series 2016 Bond as shown in the bond register, of any notice with respect to the Series 2016 Bonds, including any notice of redemption, if applicable, or (c) the payment to any Depository Participant or Indirect Participant or any other person, other than a registered owner of a Series 2016 Bond as shown in the bond register, of any amount with respect to principal of, premium, if any, or interest on, if applicable, the Series 2016 Bonds. No person other than a registered owner of a Series 2016 Bond as shown in the bond register shall receive a Series 2016 Bond certificate with respect to any Series 2016 Bond. Upon delivery by DTC to the Registrar and Paying Agent of written notice to the effect that DTC has determined to substitute a new nominee in place of Cede & Co., and subject to the provisions hereof with respect to the payment of interest by the mailing of checks or drafts to the registered owners of Series 2016 Bonds appearing as registered owners in the registration books maintained by the Registrar and Paying Agent at the close of business on a regular record date, the name "Cede & Co." in this resolution shall refer to such new nominee of DTC.

In the event that (a) the Issuer determines that DTC is incapable of discharging its responsibilities described herein and in the Letter of Representation, (b) the agreement among the Issuer, the Registrar and Paying Agent and DTC evidenced by the Letter of Representation shall be terminated for any reason or (c) the Issuer determines that it is in the best interests of the beneficial owners of the Series 2016 Bonds that they be able to obtain certificated Series 2016 Bonds, the Issuer shall notify DTC of the availability through DTC of Series 2016 Bond certificates and the Series 2016 Bonds shall no longer be restricted to being registered in the bond register in the name of Cede & Co., as nominee of DTC, but only in accordance with the Letter of Representation. At that time, the Issuer may determine that the Series 2016 Bonds shall be registered in the name of and deposited with a successor depository operating a universal book-entry system, as may be acceptable to the Issuer, or such depository's agent or designee, and if the Issuer does not select such alternate universal book-entry system, then the Series 2016 Bonds may be registered in whatever name or names registered owners of Series 2016 Bonds transferring or changing Series 2016 Bonds designate, in accordance with the provisions hereof. Notwithstanding any other provision of the Resolution to the contrary, so long as any Series 2016 Bond is registered in the name of Cede & Co., as nominee of DTC, all payments with respect to principal of, premium, if any, and interest on, if applicable, such Series 2016 Bond and all notices with respect to such Series 2016 Bond shall be made and given, respectively, in the manner provided in the Letter of Representation.

As long as any Series 2016 Bonds are outstanding in book-entry form, the provisions of the Resolution inconsistent with such system of book-entry registration shall not be applicable to such Series 2016 Bonds, and the Issuer covenants to cause adequate records to be kept with respect to the ownership of any Series 2016 Bonds issued in book-entry form or the beneficial ownership of Series 2016 Bonds issued in the name of a nominee.

SECTION 7. Application of Series 2016 Bond Proceeds.

A. The proceeds, including any accrued interest received from the sale of the Series 2016A Bonds, shall be applied by the Issuer as follows:

1. Accrued interest, if any, shall be deposited in the Interest Account in the Bond Service Fund, and shall be used only for the purpose of paying interest becoming due on the Series 2016A Bonds.

2. To the extent not reimbursed therefor by the Underwriter of the Series 2016A Bonds, the Issuer shall pay all costs and expenses in connection with the preparation, issuance and sale of the Series 2016A Bonds.

3. Subject to the execution and delivery of the Series 2016A Bonds to refund a portion of the Refunded 2009 Bonds, a sum which, together with other legally available funds of the Issuer, proceeds of the Series 2016B Bonds, and investment earnings thereon, is equal to the principal of and interest and redemption premiums, if any, on the Refunded 2009 Bonds when due in accordance with the schedules to be attached to the Escrow Deposit Agreement to pay principal and interest on such Refunded 2009 Bonds and to pay applicable call premiums and any costs with respect thereto.

4. The remaining proceeds of the Series 2016A Bonds shall be deposited to the Series 2016A Project Account and shall be used the pay Project Costs relating to the 2016A Project. The Issuer agrees and covenants to commence and proceed with due diligence to complete the construction, erection and acquisition of the 2016A Project.

B. The proceeds, including any accrued interest received from the sale of any or all of the Series 2016B Bonds, shall be applied by the Issuer as follows:

1. Accrued interest, if any, shall be deposited in the Interest Account in the Bond Service Fund, and shall be used only for the purpose of paying interest becoming due on the Series 2016B Bonds.

2. To the extent not reimbursed therefor by the Underwriter of the Series 2016B Bonds, the Issuer shall pay all costs and expenses in connection with the preparation, issuance and sale of the Series 2016B Bonds.

3. Subject to the execution and delivery of the Series 2016B Bonds to refund a portion of the Refunded 2009 Bonds, a sum which, together with other legally available funds of the Issuer, proceeds of the Series 2016A Bonds, and investment earnings thereon, is equal to the principal of and interest and redemption premiums, if any, on the Refunded 2009 Bonds when due in accordance with the schedules to be

attached to the Escrow Deposit Agreement to pay principal and interest on such Refunded 2009 Bonds and to pay applicable call premiums and any costs with respect thereto.

SECTION 8. Appointment of Escrow Agent; Execution of Escrow Deposit Agreement; Redemption of Refunded 2009 Bonds; Transfer of Funds; Bidding Agent Services.

U.S. Bank National Association is hereby appointed to serve as Escrow Agent in connection with the refunding of the Refunded 2009 Bonds.

The Issuer hereby approves the Escrow Deposit Agreement as set forth in the form attached hereto as Exhibit B. The Escrow Deposit Agreement shall be executed in the name of the Issuer by the Mayor and the City Manager, such signatures to be attested to by the City Clerk, the official seal of the Issuer to be imprinted thereon, and shall be approved as to form by the City Attorney, with such additional changes and insertions therein as are subsequently approved, and such execution and delivery shall be conclusive evidence of the approval thereof by such officers. The Issuer hereby also approves GNP Services, CPA, P.A. to serve as verification agent in connection with the refunding of the Refunded 2009 Bonds.

The specific maturities (which could be all maturities) which constitute Refunded 2009 Bonds shall be specifically designated pursuant to the Escrow Deposit Agreement.

Subject to the execution and delivery of the Series 2016 Bonds to refund the Refunded 2009 Bonds, there is hereby authorized a deposit of proceeds of the Series 2016 Bonds which, together with other legally available funds of the Issuer and investment earnings thereon, is equal to the principal of and interest and redemption premiums, if any, the Refunded 2009 Bonds when due in accordance with the schedules to be attached to the Escrow Deposit Agreement to pay principal and interest on the Refunded 2009 Bonds and to pay applicable call premiums and any costs with respect thereto.

Subject to the execution and delivery of the Series 2016 Bonds for the purpose of refunding the Refunded 2009 Bonds, the Issuer hereby irrevocably calls the callable Refunded 2009 Bonds for early redemption on October 1, 2019, or such other date as determined by the Mayor and the City Manager in the Escrow Deposit Agreement, at a redemption price of 100% of the principal amount of such callable Refunded 2009 Bonds to be redeemed, plus accrued interest thereon to the redemption date. At least thirty (30) days prior to the date fixed for redemption, the Issuer hereby directs TD Bank, National Association, in its capacity as Paying Agent and Registrar for the Refunded 2009 Bonds (the "2009 Paying Agent"), to mail by first class mail, postage prepaid a notice of the redemption of the callable Refunded 2009 Bonds to each holder of Refunded 2009 Bonds to be redeemed at the address of such holder shown on the registration books maintained by the 2009 Paying Agent or at such other address as shall be furnished in writing by such holder to the 2009 Paying Agent in accordance with the requirements of Section 14 of the Original Resolution in the form to be prepared by Bond

Counsel. Furthermore, upon issuance of the Series 2016 Bonds for the purposes of refunding the Refunded 2009 Bonds, the Issuer hereby directs the 2009 Paying Agent to mail a notice of defeasance to each holder of the Refunded 2009 Bonds in the form to be prepared by Bond Counsel.

On the date of issuance of the Series 2016 Bonds, the Issuer may transfer moneys on deposit in the Principal Account and Interest Account created pursuant to the Original Resolution which were being held for the benefit of the Refunded 2009 Bonds to the Escrow Agent to be held on behalf of the Issuer and to be used pursuant to the terms of the Escrow Deposit Agreement.

The Issuer hereby designates Larson Consulting Services, LLC and RBC Capital Markets LLC for the sole purpose of causing the subscription for the State and Local Government Securities (SLGS) and/or bidding Acquired Obligations, to be purchased and deposited in the Advance Refundable Escrow Account and Non-Advance Refundable Escrow Account (as such terms are defined in the Escrow Deposit Agreement) pursuant to the Escrow Deposit Agreement, and if bidding is undertaken, to pay Larson Consulting Services, LLC and RBC Capital Markets LLC the agreed upon bidding fees.

SECTION 9. 2016 Subaccount in the Reserve Fund. The Issuer hereby establishes a 2016 Subaccount in the Reserve Fund to initially secure the Series 2016 Bonds. The Issuer hereby determines that the 2016 Subaccount in the Reserve Fund shall secure the Series 2016 Bonds and that such 2016 Subaccount in the Reserve Fund will be funded at the Reserve Requirement applicable to the Series 2016 Bonds as of the date of issuance of the Series 2016 Bonds.

"Reserve Requirement" with respect to the 2016 Subaccount in the Reserve Fund shall equal zero dollars ($0).

SECTION 10. Approval of Distribution of Preliminary Official Statement and Authorization of Final Official Statement. The preparation and distribution of the Preliminary Official Statement relating to the Series 2016 Bonds, in the form attached hereto as Exhibit C, is hereby approved and authorized. The Mayor, the City Manager or the Director of Financial Services are hereby authorized to execute and deliver a certificate of the Issuer which deems such Preliminary Official Statement "final" within the contemplation of the Rule. Such Preliminary Official Statement is hereby authorized to be used and distributed in connection with the sale and marketing of the Series 2016 Bonds. The distribution of the final Official Statement relating to the Series 2016 Bonds is hereby authorized, and the execution of such Official Statement by the Mayor, the City Manager and the Director of Financial Services is hereby authorized, which execution and delivery shall constitute complete evidence of the approval of such final Official Statement by the Issuer.

SECTION 11. Appointment of Registrar and Paying Agent; Authorization of Execution and Delivery of Registrar and Paying Agent Agreement. U.S. Bank National Association is

hereby appointed to serve as Registrar and Paying Agent with respect to the Series 2016 Bonds. The Registrar and Paying Agent shall perform such duties as are more fully described in the Resolution and an agreement to be entered into with the Issuer in connection with the Series 2016 Bonds.

The Registrar and Paying Agent shall fulfill such functions with respect to Registrar and Paying Agent Agreement until a qualified successor shall have been designated by the Issuer and accepts such duties, such designation to be subject to written notice to the Registrar and Paying Agent, or until the Series 2016 Bonds have been paid in full pursuant to the Resolution.

The Registrar and Paying Agent Agreement shall be executed in the name of the Issuer by the Mayor and the City Manager, such signatures to be attested to by the City Clerk, the official seal of the Issuer to be imprinted thereon, and shall be approved as to form by the City Attorney, with such additional changes and insertions therein as are subsequently approved, and such execution and delivery shall be conclusive evidence of the approval thereof by such officers.

SECTION 12. Continuing Disclosure. The Issuer hereby covenants and agrees that, in order to assist the Underwriter in complying with the continuing disclosure requirements of the Rule with respect to the Series 2016 Bonds, it will comply with and carry out all of the provisions of the Disclosure Dissemination Agent Agreement to be executed by the Issuer prior to the time the Issuer delivers the Series 2016 Bonds to the Underwriter, as may be amended from time to time in accordance with the terms thereof. The form of the Disclosure Dissemination Agent Agreement, attached hereto as Exhibit D is hereby approved and ratified, all of the provisions of which, when executed and delivered by the Issuer as authorized herein shall be deemed to be a part of this instrument as fully and to the same extent as if incorporated verbatim herein. Notwithstanding any other provision of the Resolution, failure of the Issuer to comply with such Disclosure Dissemination Agent Agreement shall not be considered an event of default under the Resolution. However, the Disclosure Dissemination Agent Agreement shall be enforceable by the Series 2016 Bondholders in the event that the Issuer fails to cure a breach thereunder within a reasonable time after written notice from a 2016 Bondholder to the Issuer that a breach exists. Any rights of the Series 2016 Bondholders to enforce the provisions of this covenant shall be on behalf of all Series 2016 Bondholders and shall be limited to a right to obtain specific performance of the Issuer's obligations thereunder.

The Disclosure Dissemination Agent Agreement shall be executed in the name of the Issuer by the Mayor and City Manager, attested to by the City Clerk under seal, and shall be approved as to form by the City Attorney, with such additional changes and insertions therein as are subsequently approved, and such execution and delivery shall be conclusive evidence of the approval thereof by such officers.

SECTION 13. Prior Resolutions. All prior resolutions of the Issuer inconsistent with the provisions of the Resolution are hereby amended and supplemented to conform with the

provisions herein contained and, except as may otherwise amended and supplemented hereby, the Resolution shall remain in full force and effect.

SECTION 14. No Personal Liability. Neither the members of the City Commission nor any person executing the Series 2016 Bond shall be personally liable therefor or be subject to any personal liability or accountability by reason of the issuance thereof.

SECTION 15. General Authority. The Mayor, the City Manager, the Director of Financial Services, the City Clerk, the City Attorney and any other proper officials of the Issuer are hereby authorized to perform all acts and things required of them by this resolution, the Master Resolution, the Escrow Deposit Agreement, the Series 2016 Bonds, or any other agreement or contract relating to the Series 2016 Bonds, or that may otherwise be desirable or consistent with accomplishing the full, punctual and complete performance of all the terms, covenants and agreements contained in any of the foregoing and each member, employee, attorney and officer of the Issuer is hereby authorized and directed to execute and deliver all documents which shall be required by Bond Counsel to effectuate the sale of the Series 2016 Bonds to said Underwriter.

SECTION 16. Severability and Invalid Provisions. If any one or more of the covenants, agreements or provisions herein contained shall be held contrary to any express provision of law or contrary to the policy of express law, but not expressly prohibited or against public policy, or shall for any reason whatsoever be held invalid, then such covenants, agreements or provisions shall be null and void and shall be deemed separable from the remaining covenants, agreements or provisions and shall in no way affect the validity of the other provisions hereof or of the Series 2016 Bonds.

SECTION 17. Master Resolution to Continue in Force. The Master Resolution and all the terms and provisions thereof, are and shall remain in full force and effect.

SECTION 18. Effective Date. This Resolution shall become effective upon such time as its adoption.

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PASSED AND ADOPTED the 11th day of October, 2016.

CITY OF TAMARAC, FLORIDA

_____

Harry Dressler, Mayor

ATTEST:

_____

Patricia A. Teufel, CMC
City Clerk

I HEREBY CERTIFY that I have
approved this Resolution as to form

_____

Samuel S. Goren
City Attorney

EXHIBITS ON FILE WITH CITY CLERK

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APPENDIX D

Form of Bond Counsel Opinion

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APPENDIX D

Form of Bond Counsel Opinion

November 9, 2016

City Commission
City of Tamarac
Tamarac, Florida

Re: $17,760,000 City of Tamarac, Florida
Utility System Refunding Revenue Bonds, Series 2016A and
$4,105,000 City of Tamarac, Florida
Utility System Refunding Revenue Bonds, Series 2016B (Taxable)

Ladies and Gentlemen:

We have acted as Bond Counsel to the City of Tamarac, Florida (the "Issuer") in connection with the issuance by the Issuer of its $17,760,000 City of Tamarac, Florida Utility System Refunding Revenue Bonds, Series 2016A and $4,105,000 City of Tamarac, Florida Utility System Refunding Revenue Bonds, Series 2016B (Taxable) (collectively, the "Series 2016 Bonds") pursuant to Article VIII, Section 2 of the Constitution of the State of Florida, Chapter 159, Part I, Florida Statutes, Chapter 166, Part II, Florida Statutes, the municipal charter of the City of Tamarac, Florida, and other applicable provisions of law and Resolution No. R-2009-96 duly adopted by the City Commission of the Issuer (the "City Commission") on July 22, 2009, as amended and restated in its entirety by Resolution No. R-2016-109 duly adopted by the City Commission on October 11, 2016, as amended and supplemented from time to time, and as particularly supplemented by Resolution No. R-2016-110 adopted by the City Commission on October 11, 2016 (collectively, the "Bond Resolution"). In such capacity, we have examined such law and certified proceedings, certifications and other documents as we have deemed necessary to render this opinion. Any capitalized undefined terms used herein shall have the meaning set forth in the Bond Resolution.

As to questions of fact material to our opinion, we have relied upon representations of the Issuer contained in the Bond Resolution and in the certified proceedings and other certifications of public officials and others furnished to us, without undertaking to verify the same by independent investigation. We have not undertaken an independent audit, examination, investigation or inspection of such matters and have relied solely on the facts, estimates and circumstances described in such proceedings and certifications. We have assumed the genuineness of signatures on all documents and instruments, the authenticity of

documents submitted as originals and the conformity to originals of documents submitted as copies.

In rendering this opinion, we have examined and relied upon the opinion of even date herewith of Goren, Cherof, Doody & Ezrol, P.A., the City Attorney, as to the due creation and valid existence of the Issuer, the due adoption of the Bond Resolution, the due execution and delivery of the Series 2016 Bonds and the compliance by the Issuer with all conditions contained in ordinances and resolutions of the Issuer precedent to the issuance of the Series 2016 Bonds.

The Series 2016 Bonds are payable from the Pledged Revenues, which consist primarily of Net Revenues in the manner and to the extent provided in the Bond Resolution. Pursuant to the terms, conditions and limitations contained in the Bond Resolution, the Issuer has reserved the right to issue Additional Parity Obligations in the future which shall have a lien on the Pledged Revenues equal to that of the Series 2016 Bonds.

The Series 2016 Bonds do not constitute a general obligation or indebtedness of the Issuer within the meaning of any constitutional, statutory or other limitation of indebtedness, and the holders thereof shall never have the right to compel the exercise of any ad valorem taxing power of the Issuer or taxation in any form on any real or personal property for the payment of the principal of or interest on the Series 2016 Bonds.

The opinions set forth below are expressly limited to, and we opine only with respect to, the laws of the State of Florida and the federal income tax laws of the United States of America.

Based on our examination, we are of the opinion that, under existing law:

1. The Bond Resolution constitutes a valid and binding obligation of the Issuer enforceable against the Issuer in accordance with its terms.

2. The Series 2016 Bonds are valid and binding limited obligations of the Issuer enforceable in accordance with their terms, payable solely from the Pledged Revenues in the manner and to the extent provided in the Bond Resolution.

3. The Bond Resolution creates a valid lien upon the Pledged Revenues for the security of the Series 2016 Bonds on parity with any Additional Parity Obligations hereafter issued, all in the manner and to the extent provided in the Bond Resolution.

4. Interest on the Series 2016A Bonds (including any original issue discount properly allocable to an owner thereof) is excludable from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations. However, interest on the Series 2016A Bonds will be taken into account in determining adjusted current earnings for purposes of computing the

alternative minimum tax on corporations. The opinions set forth in the preceding two sentences are subject to the condition that the Issuer complies with all requirements of the Internal Revenue Code of 1986, as amended (the "Code") that must be satisfied subsequent to the issuance of the Series 2016A Bonds in order that the interest thereon be, and continue to be, excludable from gross income for federal income tax purposes. The Issuer has covenanted in the Bond Resolution to comply with all such requirements. Failure to comply with certain of such requirements may cause interest on the Series 2016A Bonds to be included in gross income for federal income tax purposes retroactively to the date of issuance of the Series 2016A Bonds.

5. Interest on the Series 2016B Bonds is not excludable from gross income for federal income tax purposes.

It is to be understood that the rights of the owners of the Series 2016 Bonds and the enforceability thereof may be subject to the exercise of judicial discretion in accordance with general principles of equity, to the valid exercise of the sovereign police powers of the State of Florida and of the constitutional powers of the United States of America and to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted.

For purposes of this opinion, we have not been engaged or undertaken to review and, therefore, express no opinion herein regarding the accuracy, completeness or adequacy of the Official Statement or any other offering material relating to the Series 2016 Bonds. This opinion should not be construed as offering material, an offering circular, prospectus or official statement and is not intended in any way to be a disclosure statement used in connection with the sale or delivery of the Series 2016 Bonds. Furthermore, we are not passing on the accuracy or sufficiency of any CUSIP numbers appearing on the Series 2016 Bonds. In addition, we have not been engaged to and, therefore, express no opinion as to compliance by the Issuer or the underwriter or underwriters with any federal or state statute, regulation or ruling with respect to the sale and distribution of the Series 2016 Bonds or regarding the perfection or priority of the lien, except as provided in paragraph 3. with respect to the parity status of the Series 2016 Bonds on the Pledged Revenues created by the Bond Resolution. Further, we express no opinion regarding federal income or state tax consequences arising with respect to the Series 2016 Bonds other than as expressly set forth herein.

Our opinions expressed herein are predicated upon present law, facts and circumstances, and we assume no affirmative obligation to update the opinions expressed herein if such laws, facts or circumstances change after the date hereof.

Respectfully submitted,

BRYANT MILLER OLIVE P.A.

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APPENDIX E

Form of Disclosure Dissemination Agent Agreement

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DISCLOSURE DISSEMINATION AGENT AGREEMENT

This Disclosure Dissemination Agent Agreement (the "Disclosure Agreement"), dated as of November 9, 2016, is executed and delivered by City of Tamarac, Florida (the "Issuer") and Digital Assurance Certification, L.L.C., as exclusive Disclosure Dissemination Agent (the "Disclosure Dissemination Agent" or "DAC") for the benefit of the Holders (hereinafter defined) of the Bonds (hereinafter defined) and in order to assist the Issuer in processing certain continuing disclosure with respect to the Bonds in accordance with Rule 15c2-12 of the United States Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time (the "Rule").

The services provided under this Disclosure Agreement solely relate to the execution of instructions received from the Issuer through use of the DAC system and do not constitute "advice" within the meaning of the Dodd-Frank Wall Street Reform and Consumer Protection Act (the "Act"). DAC will not provide any advice or recommendation to the Issuer or anyone on the Issuer's behalf regarding the "issuance of municipal securities" or any "municipal financial product" as defined in the Act and nothing in this Disclosure Agreement shall be interpreted to the contrary. DAC is not a "Municipal Advisor" as such term is defined in Section 15B of the Securities Exchange Act of 1934, as amended, and related rules.

SECTION 1. Definitions. Capitalized terms not otherwise defined in this Disclosure Agreement shall have the meaning assigned in the Rule or, to the extent not in conflict with the Rule, in the Official Statement (hereinafter defined). The capitalized terms shall have the following meanings:

"Annual Filing Date" means the date, set in Sections 2(a) and 2(f) hereof, by which the Annual Report is to be filed with the MSRB.

"Annual Financial Information" means annual financial information as such term is used in paragraph (b)(5)(i) of the Rule and specified in Section 3(a) of this Disclosure Agreement.

"Annual Report" means an Annual Report containing Annual Financial Information described in and consistent with Section 3 of this Disclosure Agreement.

"Audited Financial Statements" means the annual financial statements of the Issuer for the prior fiscal year, certified by an independent auditor as prepared in accordance with generally accepted accounting principles or otherwise, as such term is used in paragraph (b)(5)(i)(B) of the Rule and specified in Section 3(b) of this Disclosure Agreement.

"Bonds" means the bonds as listed on the attached Exhibit A, with the 9-digit CUSIP numbers relating thereto.

"Certification" means a written certification of compliance signed by the Disclosure Representative stating that the Annual Report, Audited Financial Statements, Notice Event notice, Failure to File Event notice, Voluntary Event Disclosure or Voluntary Financial Disclosure delivered to the Disclosure Dissemination Agent is the Annual

Report, Audited Financial Statements, Notice Event notice, Failure to File Event notice, Voluntary Event Disclosure or Voluntary Financial Disclosure required to be submitted to the MSRB under this Disclosure Agreement. A Certification shall accompany each such document submitted to the Disclosure Dissemination Agent by the Issuer and include the full name of the Bonds and the 9-digit CUSIP numbers for all Bonds to which the document applies.

"Disclosure Dissemination Agent" means Digital Assurance Certification, L.L.C, acting in its capacity as Disclosure Dissemination Agent hereunder, or any successor Disclosure Dissemination Agent designated in writing by the Issuer pursuant to Section 9 hereof.

"Disclosure Representative" means the Director of Financial Services of the Issuer or his or her designee, or such other person as the Issuer shall designate in writing to the Disclosure Dissemination Agent from time to time as the person responsible for providing Information to the Disclosure Dissemination Agent.

"Failure to File Event" means the Issuer's failure to file an Annual Report on or before the Annual Filing Date.

"Force Majeure Event" means: (i) acts of God, war, or terrorist action; (ii) failure or shut-down of the Electronic Municipal Market Access system maintained by the MSRB; or (iii) to the extent beyond the Disclosure Dissemination Agent's reasonable control, interruptions in telecommunications or utilities services, failure, malfunction or error of any telecommunications, computer or other electrical, mechanical or technological application, service or system, computer virus, interruptions in Internet service or telephone service (including due to a virus, electrical delivery problem or similar occurrence) that affect Internet users generally, or in the local area in which the Disclosure Dissemination Agent or the MSRB is located, or acts of any government, regulatory or any other competent authority the effect of which is to prohibit the Disclosure Dissemination Agent from performance of its obligations under this Disclosure Agreement.

"Holder" means any person (a) having the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries) or (b) treated as the owner of any Bonds for federal income tax purposes.

"Information" means, collectively, the Annual Reports, the Audited Financial Statements, the Notice Event notices, the Failure to File Event notices, the Voluntary Event Disclosures and the Voluntary Financial Disclosures.

"MSRB" means the Municipal Securities Rulemaking Board, or any successor thereto, established pursuant to Section 15B(b)(1) of the Securities Exchange Act of 1934.

"Notice Event" means any of the events enumerated in paragraph (b)(5)(i)(C) of the Rule and listed in Section 4(a) of this Disclosure Agreement.

"Obligated Person" means any person, including the Issuer, who is either generally or through an enterprise, fund, or account of such person committed by contract or other arrangement to support payment of all, or part of the obligations on the Bonds (other than providers of municipal bond insurance, letters of credit, or other liquidity facilities), as shown on Exhibit A.

"Official Statement" means that Official Statement prepared by the Issuer in connection with the Bonds, as listed in Exhibit A.

"Trustee" means the institution, if any, identified as such in the document under which the Bonds were issued.

"Voluntary Event Disclosure" means information of the category specified in any of subsections (e)(vi)(1) through (e)(vi)(11) of Section 2 of this Disclosure Agreement that is accompanied by a Certification of the Disclosure Representative containing the information prescribed by Section 7(a) of this Disclosure Agreement.

"Voluntary Financial Disclosure" means information of the category specified in any of subsections (e)(vii)(1) through (e)(vii)(9) of Section 2 of this Disclosure Agreement that is accompanied by a Certification of the Disclosure Representative containing the information prescribed by Section 7(b) of this Disclosure Agreement.

SECTION 2. Provision of Annual Reports.

(a) The Issuer shall provide, annually, an electronic copy of the Annual Report and Certification to the Disclosure Dissemination Agent not later than the Annual Filing Date. Promptly upon receipt of an electronic copy of the Annual Report and the Certification, the Disclosure Dissemination Agent shall provide an Annual Report to the MSRB not later than the 210 days after the end of each fiscal year of the Issuer, commencing with the fiscal year ending September 30, 2016. Such date and each anniversary thereof is the Annual Filing Date. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 3 of this Disclosure Agreement.

(b) If on the fifteenth (15th) day prior to the Annual Filing Date, the Disclosure Dissemination Agent has not received a copy of the Annual Report and Certification, the Disclosure Dissemination Agent shall contact the Disclosure Representative by telephone and in writing (which may be by e-mail) to remind the Issuer of its undertaking to provide the Annual Report pursuant to Section 2(a). Upon such reminder, the Disclosure Representative shall either (i) provide the Disclosure Dissemination Agent with an electronic copy of the Annual Report and the Certification no later than two (2) business days prior to the Annual Filing Date, or (ii) instruct the Disclosure Dissemination Agent in writing that the Issuer will not be able to file the Annual Report within the time required under this Disclosure Agreement, state the date by which the Annual Report for such year will be provided and instruct the Disclosure Dissemination Agent to immediately send a Failure to File Event notice to the MSRB in substantially the form attached as Exhibit B, which may be accompanied by a cover sheet completed by the Disclosure Dissemination Agent in the form set forth in Exhibit C-1.

(c) If the Disclosure Dissemination Agent has not received an Annual Report and Certification by 10:00 a.m. Eastern time on Annual Filing Date (or, if such Annual Filing Date falls on a Saturday, Sunday or holiday, then the first business day thereafter) for the Annual Report, a Failure to File Event shall have occurred and the Issuer irrevocably directs the Disclosure Dissemination Agent to immediately send a Failure to File Event notice to the MSRB in substantially the form attached as Exhibit B without reference to the anticipated filing date for the Annual Report, which may be accompanied by a cover sheet completed by the Disclosure Dissemination Agent in the form set forth in Exhibit C-1.

(d) If Audited Financial Statements of the Issuer are prepared but not available prior to the Annual Filing Date, the Issuer shall, when the Audited Financial Statements are available, provide at such time an electronic copy to the Disclosure Dissemination Agent, accompanied by a Certification, together with a copy for the Trustee, if any, for filing with the MSRB.

(e) The Disclosure Dissemination Agent shall:

(i) verify the filing specifications of the MSRB each year prior to the Annual Filing Date;

(ii) upon receipt, promptly file each Annual Report received under Sections 2(a) and 2(b) hereof with the MSRB;

(iii) upon receipt, promptly file each Audited Financial Statement received under Section 2(d) hereof with the MSRB;

(iv) upon receipt, promptly file the text of each Notice Event received under Sections 4(a) and 4(b)(ii) hereof with the MSRB, identifying the Notice Event as instructed by the Issuer pursuant to Section 4(a) or 4(b)(ii) hereof (being any of the categories set forth below) when filing pursuant to Section 4(c) of this Disclosure Agreement:

1. "Principal and interest payment delinquencies;"

2. "Non-Payment related defaults, if material;"

3. "Unscheduled draws on debt service reserves reflecting financial difficulties;"

4. "Unscheduled draws on credit enhancements reflecting financial difficulties;"

5. "Substitution of credit or liquidity providers, or their failure to perform;"

6. "Adverse tax opinions, IRS notices or events affecting the tax status of the security;"

7. "Modifications to rights of securities holders, if material;"

8. "Bond calls, if material;"

9. "Defeasances;"

10. "Release, substitution, or sale of property securing repayment of the securities, if material;"

11. "Rating changes;"

12. "Tender offers;"

13. "Bankruptcy, insolvency, receivership or similar event of the obligated person;"

14. "Merger, consolidation, or acquisition of the obligated person, if material;" and

15. "Appointment of a successor or additional trustee, or the change of name of a trustee, if material;"

(v) upon receipt (or irrevocable direction pursuant to Section 2(c) of this Disclosure Agreement, as applicable), promptly file a completed copy of Exhibit B to this Disclosure Agreement with the MSRB, identifying the filing as "Failure to provide annual financial information as required" when filing pursuant to Section 2(b)(ii) or Section 2(c) of this Disclosure Agreement;

(vi) upon receipt, promptly file the text of each Voluntary Event Disclosure received under Section 7(a) hereof with the MSRB, identifying the Voluntary Event Disclosure as instructed by the Issuer pursuant to Section 7(a) (being any of the categories set forth below) when filing pursuant to Section 7(a) of this Disclosure Agreement:

1. "amendment to continuing disclosure undertaking;"

2. "change in obligated person;"

3. "notice to investors pursuant to bond documents;"

4. "certain communications from the Internal Revenue Service;"other than those communications included in the Rule;

5. "secondary market purchases;"

6. "bid for auction rate or other securities;"

7. "capital or other financing plan;"

8. "litigation/enforcement action;"

9. "change of tender agent, remarketing agent, or other on-going party;"

10. "derivative or other similar transaction;" and

11. "other event-based disclosures;"

(vii) upon receipt, promptly file the text of each Voluntary Financial Disclosure received under Section 7(b) hereof with the MSRB, identifying the Voluntary Financial Disclosure as instructed by the Issuer pursuant to Section 7(b) (being any of the categories set forth below) when filing pursuant to Section 7(b) of this Disclosure Agreement:

1. "quarterly/monthly financial information;"

2. "Timing of annual disclosure (120/150 days);"

3. "change in fiscal year/timing of annual disclosure;"

4. "change in accounting standard;"

5. "interim/additional financial information/operating data;"

6. "budget;"

7. "investment/debt/financial policy;"

8. "information provided to rating agency, credit/liquidity provider or other third party;"

9. "consultant reports;" and

10. "other financial/operating data."

(viii) provide the Issuer evidence of the filings of each of the above when made, which shall be by means of the DAC system, for so long as DAC is the Disclosure Dissemination Agent under this Disclosure Agreement.

(f) The Issuer may adjust the Annual Filing Date upon change of its fiscal year by providing written notice of such change and the new Annual Filing Date to the Disclosure Dissemination Agent, Trustee (if any) and the MSRB, provided that the period between the existing Annual Filing Date and new Annual Filing Date shall not exceed one year.

(g) Anything in this Disclosure Agreement to the contrary notwithstanding, any Information received by the Disclosure Dissemination Agent before 10:00 a.m. Eastern time on any business day that it is required to file with the MSRB pursuant to the terms of this Disclosure Agreement and that is accompanied by a Certification and all other information required by the terms of this Disclosure Agreement will be filed by the Disclosure Dissemination Agent with the MSRB no later than 11:59 p.m. Eastern time on the same business day; provided, however, the

Disclosure Dissemination Agent shall have no liability for any delay in filing with the MSRB if such delay is caused by a Force Majeure Event provided that the Disclosure Dissemination Agent uses reasonable efforts to make any such filing as soon as possible.

SECTION 3. Content of Annual Reports.

(a) Each Annual Report shall contain Annual Financial Information with respect to the Issuer, including the information provided in the Official Statement under the headings or subheadings or captions: (A) "THE SYSTEM – Ten Largest Water and Sewer Service Customers," (B) "THE SYSTEM – Historical Annual Water Consumption", (C) "THE SYSTEM – Historical Annual Wastewater Flows" and (D) "CITY OF TAMARAC WATER AND WASTEWATER SYSTEM – HISTORICAL NET REVENUES AND DEBT SERVICE COVERAGE."

(b) Audited Financial Statements as described in the Official Statement will be included in the Annual Report. If audited financial statements are not available, then unaudited financial statements, prepared in accordance with generally accepted accounting principles ("GAAP") as described in the Official Statement will be included in the Annual Report. In such event, Audited Financial Statements (if any) will be provided pursuant to Section 2(d).

Any or all of the items listed above may be included by specific reference from other documents, including official statements of debt issues with respect to which the Issuer is an "obligated person" (as defined by the Rule), which have been previously filed with the Securities and Exchange Commission or available on the MSRB Internet Website. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The Issuer will clearly identify each such document so incorporated by reference.

If the Annual Financial Information contains modified operating data or financial information different from the Annual Financial Information agreed to in the continuing disclosure undertaking related to the Bonds, the Issuer is required to explain, in narrative form, the reasons for the modification and the impact of the change in the type of operating data or financial information being provided.

SECTION 4. Reporting of Notice Events.

(a) The occurrence of any of the following events with respect to the Bonds constitutes a Notice Event:

1. Principal and interest payment delinquencies;

2. Non-payment related defaults, if material;

3. Unscheduled draws on debt service reserves reflecting financial difficulties;

4. Unscheduled draws on credit enhancements reflecting financial difficulties;

5. Substitution of credit or liquidity providers, or their failure to perform;

6. Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;

7. Modifications to rights of Bond holders, if material;

8. Bond calls, if material, and tender offers;

9. Defeasances;

10. Release, substitution, or sale of property securing repayment of the Bonds, if material;

11. Rating changes;

12. Bankruptcy, insolvency, receivership or similar event of the Obligated Person;

    Note to subsection (a)(12) of this Section 4: For the purposes of the event described in subsection (a)(12) of this Section 4, the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an Obligated Person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the Obligated Person, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the Obligated Person.

13. The consummation of a merger, consolidation, or acquisition involving an Obligated Person or the sale of all or substantially all of the assets of the Obligated Person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; and

14. Appointment of a successor or additional trustee or the change of name of a trustee, if material.

The Issuer shall, in a timely manner not later than nine (9) business days after its occurrence, notify the Disclosure Dissemination Agent in writing of the occurrence of a Notice Event. Such notice shall instruct the Disclosure Dissemination Agent to report the occurrence pursuant to subsection (c) and shall be accompanied by a Certification. Such notice or Certification shall identify the Notice Event that has occurred (which shall be any of the categories set forth in Section 2(e)(iv) of this Disclosure Agreement), include the text of the disclosure that the Issuer desires to make, contain the written authorization of the Issuer for the Disclosure Dissemination Agent to disseminate such information, and identify the date the Issuer desires for the Disclosure Dissemination Agent to disseminate the information (provided that such date is not later than the tenth business day after the occurrence of the Notice Event).

(b) The Disclosure Dissemination Agent is under no obligation to notify the Issuer or the Disclosure Representative of an event that may constitute a Notice Event. In the event the Disclosure Dissemination Agent so notifies the Disclosure Representative, the Disclosure Representative will within two business days of receipt of such notice (but in any event not later than the tenth business day after the occurrence of the Notice Event, if the Issuer determines that a Notice Event has occurred), instruct the Disclosure Dissemination Agent that either (i) a Notice Event has not occurred and no filing is to be made or (ii) a Notice Event has occurred and the Disclosure Dissemination Agent is to report the occurrence pursuant to subsection (c) of this Section 4, together with a Certification. Such Certification shall identify the Notice Event that has occurred (which shall be any of the categories set forth in Section 2(e)(iv) of this Disclosure Agreement), include the text of the disclosure that the Issuer desires to make, contain the written authorization of the Issuer for the Disclosure Dissemination Agent to disseminate such information, and identify the date the Issuer desires for the Disclosure Dissemination Agent to disseminate the information (provided that such date is not later than the tenth business day after the occurrence of the Notice Event).

(c) If the Disclosure Dissemination Agent has been instructed by the Issuer as prescribed in subsection (a) or (b)(ii) of this Section 4 to report the occurrence of a Notice Event, the Disclosure Dissemination Agent shall promptly file a notice of such occurrence with MSRB in accordance with Section 2 (e)(iv) hereof. This notice may be filed with a cover sheet completed by the Disclosure Dissemination Agent in the form set forth in Exhibit C-1.

SECTION 5. CUSIP Numbers. The Issuer will provide the Dissemination Agent with the CUSIP numbers for (i) new bonds at such time as they are issued or become subject to the Rule and (ii) any Bonds to which new CUSIP numbers are assigned in substitution for the CUSIP numbers previously assigned to such Bonds.

SECTION 6. Additional Disclosure Obligations. The Issuer acknowledges and understands that other state and federal laws, including but not limited to the Securities Act of 1933 and Rule 10b-5 promulgated under the Securities Exchange Act of 1934, may apply to the Issuer, and that the duties and responsibilities of the Disclosure Dissemination Agent under this Disclosure Agreement do not extend to providing legal advice regarding such laws. The Issuer acknowledges and understands that the duties of the Disclosure Dissemination Agent relate exclusively to execution of the mechanical tasks of disseminating information as described in this Disclosure Agreement.

SECTION 7. Voluntary Filing.

(a) The Issuer may instruct the Disclosure Dissemination Agent to file a Voluntary Event Disclosure with the MSRB from time to time pursuant to a Certification of the Disclosure Representative. Such Certification shall identify the Voluntary Event Disclosure (which shall be any of the categories set forth in Section 2(e)(vi) of this Disclosure Agreement), include the text of the disclosure that the Issuer desires to make, contain the written authorization of the Issuer for the Disclosure Dissemination Agent to disseminate such information, and identify the date the Issuer desires for the Disclosure Dissemination Agent to disseminate the information. If the Disclosure Dissemination Agent has been instructed by the Issuer as prescribed in this Section 7(a) to file a Voluntary Event Disclosure, the Disclosure Dissemination Agent shall promptly file such Voluntary Event Disclosure with the MSRB in accordance with Section 2(e)(vi) hereof. This notice may be filed with a cover sheet completed by the Disclosure Dissemination Agent in the form set forth in Exhibit C-2.

(b) The Issuer may instruct the Disclosure Dissemination Agent to file a Voluntary Financial Disclosure with the MSRB from time to time pursuant to a Certification of the Disclosure Representative. Such Certification shall identify the Voluntary Financial Disclosure (which shall be any of the categories set forth in Section 2(e)(vii) of this Disclosure Agreement), include the text of the disclosure that the Issuer desires to make, contain the written authorization of the Issuer for the Disclosure Dissemination Agent to disseminate such information, and identify the date the Issuer desires for the Disclosure Dissemination Agent to disseminate the information. If the Disclosure Dissemination Agent has been instructed by the Issuer as prescribed in this Section 7(b) hereof to file a Voluntary Financial Disclosure, the Disclosure Dissemination Agent shall promptly file such Voluntary Financial Disclosure with the MSRB in accordance with Section 2(e)(vii) hereof. This notice may be filed with a cover sheet completed by the Disclosure Dissemination Agent in the form set forth in Exhibit C-3.

(c) The parties hereto acknowledge that the Issuer is not obligated pursuant to the terms of this Disclosure Agreement to file any Voluntary Event Disclosure pursuant to Section 7(a) hereof or any Voluntary Financial Disclosure pursuant to Section 7(b) hereof.

(d) Nothing in this Disclosure Agreement shall be deemed to prevent the Issuer from disseminating any other information through the Disclosure Dissemination Agent using the means of dissemination set forth in this Disclosure Agreement or including any other information in any Annual Report, Audited Financial Statements, Notice Event notice, Failure to File Event notice, Voluntary Event Disclosure or Voluntary Financial Disclosure, in addition to that required by this Disclosure Agreement. If the Issuer chooses to include any information in any Annual Report, Audited Financial Statements, Notice Event notice, Failure to File Event notice, Voluntary Event Disclosure or Voluntary Financial Disclosure in addition to that which is specifically required by this Disclosure Agreement, the Issuer shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report, Audited Financial Statements, Notice Event notice, Failure to File Event notice, Voluntary Event Disclosure or Voluntary Financial Disclosure.

SECTION 8. Termination of Reporting Obligation. The obligations of the Issuer and the Disclosure Dissemination Agent under this Disclosure Agreement shall terminate with

respect to the Bonds upon the legal defeasance, prior redemption or payment in full of all of the Bonds, when the Issuer is no longer an obligated person with respect to the Bonds, or upon delivery by the Disclosure Representative to the Disclosure Dissemination Agent of an opinion of counsel expert in federal securities laws to the effect that continuing disclosure is no longer required.

SECTION 9. Disclosure Dissemination Agent. The Issuer has appointed Digital Assurance Certification, L.L.C. as exclusive Disclosure Dissemination Agent under this Disclosure Agreement. The Issuer may, upon thirty days written notice to the Disclosure Dissemination Agent and the Trustee, replace or appoint a successor Disclosure Dissemination Agent. Upon termination of DAC's services as Disclosure Dissemination Agent, whether by notice of the Issuer or DAC, the Issuer agrees to appoint a successor Disclosure Dissemination Agent or, alternately, agrees to assume all responsibilities of Disclosure Dissemination Agent under this Disclosure Agreement for the benefit of the Holders of the Bonds. Notwithstanding any replacement or appointment of a successor, the Issuer shall remain liable to the Disclosure Dissemination Agent until payment in full for any and all sums owed and payable to the Disclosure Dissemination Agent. The Disclosure Dissemination Agent may resign at any time by providing thirty days' prior written notice to the Issuer.

SECTION 10. Remedies in Event of Default. In the event of a failure of the Issuer or the Disclosure Dissemination Agent to comply with any provision of this Disclosure Agreement, the Holders' rights to enforce the provisions of this Agreement shall be limited solely to a right, by action in mandamus or for specific performance, to compel performance of the parties' obligation under this Disclosure Agreement. Any failure by a party to perform in accordance with this Disclosure Agreement shall not constitute a default on the Bonds or under any other document relating to the Bonds, and all rights and remedies shall be limited to those expressly stated herein.

SECTION 11. Duties, Immunities and Liabilities of Disclosure Dissemination Agent.

(a) The Disclosure Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement. The Disclosure Dissemination Agent's obligation to deliver the information at the times and with the contents described herein shall be limited to the extent the Issuer has provided such information to the Disclosure Dissemination Agent as required by this Disclosure Agreement. The Disclosure Dissemination Agent shall have no duty with respect to the content of any disclosures or notice made pursuant to the terms hereof. The Disclosure Dissemination Agent shall have no duty or obligation to review or verify any Information or any other information, disclosures or notices provided to it by the Issuer and shall not be deemed to be acting in any fiduciary capacity for the Issuer, the Holders of the Bonds or any other party. The Disclosure Dissemination Agent shall have no responsibility for the Issuer's failure to report to the Disclosure Dissemination Agent a Notice Event or a duty to determine the materiality thereof. The Disclosure Dissemination Agent shall have no duty to determine, or liability for failing to determine, whether the Issuer has complied with this Disclosure Agreement. The Disclosure Dissemination Agent may conclusively rely upon Certifications of the Issuer at all times.

The obligations of the Issuer under this Section shall survive resignation or removal of the Disclosure Dissemination Agent and defeasance, redemption or payment of the Bonds.

(b) The Disclosure Dissemination Agent may, from time to time, consult with legal counsel knowledgeable in the matters contained in this Disclosure Agreement (either in-house or external) of its own choosing in the event of any disagreement or controversy, or question or doubt as to the construction of any of the provisions hereof or its respective duties hereunder, and shall not incur any liability and shall be fully protected in acting in good faith upon the advice of such legal counsel. The reasonable fees and expenses of such counsel shall be payable by the Issuer.

(c) All documents, reports, notices, statements, information and other materials provided to the MSRB under this Agreement shall be provided in an electronic format and accompanied by identifying information as prescribed by the MSRB.

SECTION 12. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Agreement, the Issuer and the Disclosure Dissemination Agent may amend this Disclosure Agreement and any provision of this Disclosure Agreement may be waived, if such amendment or waiver is supported by an opinion of counsel expert in federal securities laws acceptable to both the Issuer and the Disclosure Dissemination Agent to the effect that such amendment or waiver does not materially impair the interests of Holders of the Bonds and would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule; provided neither the Issuer or the Disclosure Dissemination Agent shall be obligated to agree to any amendment modifying their respective duties or obligations without their consent thereto.

Notwithstanding the preceding paragraph, the Disclosure Dissemination Agent shall have the right to adopt amendments to this Disclosure Agreement necessary to comply with modifications to and interpretations of the provisions of the Rule as announced by the Securities and Exchange Commission from time to time by giving not less than 20 days written notice of the intent to do so together with a copy of the proposed amendment to the Issuer. No such amendment shall become effective if the Issuer shall, within 10 days following the giving of such notice, send a notice to the Disclosure Dissemination Agent in writing that it objects to such amendment.

SECTION 13. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the Issuer, the Trustee, if any, for the Bonds, the Disclosure Dissemination Agent, the underwriter, and the Holders from time to time of the Bonds, and shall create no rights in any other person or entity.

SECTION 14. Governing Law. This Disclosure Agreement shall be governed by the laws of the State of Florida (other than with respect to conflicts of laws).

SECTION 15. Counterparts. This Disclosure Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument.

The Disclosure Dissemination Agent and the Issuer have caused this Continuing Disclosure Agreement to be executed, on the date first written above, by their respective officers duly authorized.

DIGITAL ASSURANCE CERTIFICATION, L.L.C.,
as Disclosure Dissemination Agent

By:_____
Name: Diana O'Brien, Vice President

CITY OF TAMARAC, FLORIDA

ATTEST:

By:_____
Harry Dressler, Mayor

_____
Pat Teufel, City Clerk

By:_____
Michael C. Cernech, City Manager

Approved as to form:

_____
Samuel S. Goren, City Attorney

EXHIBIT A

NAME AND CUSIP NUMBERS OF BONDS

Name of Issuer	**CITY OF TAMARAC, FLORIDA**
Obligated Person(s)	**CITY OF TAMARAC, FLORIDA**
Name of Bond Issue:	**Utility System Refunding Revenue Bonds Series 2016 A and Series 2016B (Taxable)**
Date of Issuance:	**November 9, 2016**
Date of Official Statement	**October 20, 2016**

CUSIP Number:	_____	CUSIP Number:	_____
CUSIP Number:	_____	CUSIP Number:	_____
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CUSIP Number:	_____	CUSIP Number:	_____
CUSIP Number:	_____	CUSIP Number:	_____

EXHIBIT B

NOTICE TO MSRB OF FAILURE TO FILE ANNUAL REPORT

Issuer:	**CITY OF TAMARAC, FLORIDA**
Obligated Person:	**CITY OF TAMARAC, FLORIDA**
Name(s) of Bond Issue(s):	**Utility System Refunding Revenue Bonds Series 2016 A and Series 2016 B (Taxable)**
Date(s) of Issuance:	**November 9, 2016**
Date(s) of Disclosure Agreement:	**November 9, 2016**
CUSIP Number:	**87504T**

NOTICE IS HEREBY GIVEN that the Issuer has not provided an Annual Report with respect to the above-named Bonds as required by the Disclosure Agreement between the Issuer and Digital Assurance Certification, L.L.C., as Disclosure Dissemination Agent. [The Issuer has notified the Disclosure Dissemination Agent that it anticipates that the Annual Report will be filed by _____].

Dated: _____

Digital Assurance Certification, L.L.C., as Disclosure Dissemination Agent, on behalf of the Issuer

_____

cc:

EXHIBIT C-1
EVENT NOTICE COVER SHEET

This cover sheet and accompanying "event notice" may be sent to the MSRB, pursuant to Securities and Exchange Commission Rule 15c2-12(b)(5)(i)(C) and (D).

Issuer's and/or Other Obligated Person's Name:

CITY OF TAMARAC, FLORIDA

Issuer's Six-Digit CUSIP Number:

87504T

or Nine-Digit CUSIP Number(s) of the bonds to which this event notice relates:

_____

Number of pages attached: _____

____ Description of Notice Events (Check One):

1._____"Principal and interest payment delinquencies;"
2._____"Non-Payment related defaults, if material;"
3._____"Unscheduled draws on debt service reserves reflecting financial difficulties;"
4._____"Unscheduled draws on credit enhancements reflecting financial difficulties;"
5._____"Substitution of credit or liquidity providers, or their failure to perform;"
6._____"Adverse tax opinions, IRS notices or events affecting the tax status of the security;"
7._____"Modifications to rights of securities holders, if material;"
8._____"Bond calls, if material;"
9._____"Defeasances;"
10._____"Release, substitution, or sale of property securing repayment of the securities, if material;"
11._____"Rating changes;"
12._____"Tender offers;"
13._____"Bankruptcy, insolvency, receivership or similar event of the obligated person;"
14._____"Merger, consolidation, or acquisition of the obligated person, if material;" and
15._____"Appointment of a successor or additional trustee, or the change of name of a trustee, if material."

____ Failure to provide annual financial information as required.

I hereby represent that I am authorized by the issuer or its agent to distribute this information publicly:

Signature:

_____

Name: _____Title: _____

Digital Assurance Certification, L.L.C.
390 N. Orange Avenue
Suite 1750
Orlando, FL 32801
407-515-1100

Date:

EXHIBIT C-2
VOLUNTARY EVENT DISCLOSURE COVER SHEET

This cover sheet and accompanying "voluntary event disclosure" may be sent to the MSRB, pursuant to the Disclosure Dissemination Agent Agreement dated as of November 9, 2016 between the Issuer and DAC.

Issuer's and/or Other Obligated Person's Name:

CITY OF TAMARAC, FLORIDA

Issuer's Six-Digit CUSIP Number:

87504T

or Nine-Digit CUSIP Number(s) of the bonds to which this notice relates:

_____

Number of pages attached: _____

____ Description of Voluntary Event Disclosure (Check One):

1._____"amendment to continuing disclosure undertaking;"
2._____"change in obligated person;"
3._____"notice to investors pursuant to bond documents;"
4._____"certain communications from the Internal Revenue Service;"
5._____"secondary market purchases;"
6._____"bid for auction rate or other securities;"
7._____"capital or other financing plan;"
8._____"litigation/enforcement action;"
9._____"change of tender agent, remarketing agent, or other on-going party;"
10._____"derivative or other similar transaction;" and
11._____"other event-based disclosures."

I hereby represent that I am authorized by the issuer or its agent to distribute this information publicly:

Signature:

_____

Name: _____Title: _____

Digital Assurance Certification, L.L.C.
390 N. Orange Avenue
Suite 1750
Orlando, FL 32801
407-515-1100

Date:

EXHIBIT C-3
VOLUNTARY FINANCIAL DISCLOSURE COVER SHEET

This cover sheet and accompanying "voluntary financial disclosure" may be sent to the MSRB, pursuant to the Disclosure Dissemination Agent Agreement dated as of November 9, 2016 between the Issuer and DAC.

Issuer's and/or Other Obligated Person's Name:

CITY OF TAMARAC, FLORIDA Issuer's Six-Digit CUSIP Number:

87504T

or Nine-Digit CUSIP Number(s) of the bonds to which this notice relates:

_____

Number of pages attached: _____

____ Description of Voluntary Financial Disclosure (Check One):

1._____"quarterly/monthly financial information;"
2._____"change in fiscal year/timing of annual disclosure;"
3._____"change in accounting standard;"
4._____"interim/additional financial information/operating data;"
5._____"budget;"
6._____"investment/debt/financial policy;"
7._____"information provided to rating agency, credit/liquidity provider or other third party;"
8._____"consultant reports;" and
9._____"other financial/operating data."

I hereby represent that I am authorized by the issuer or its agent to distribute this information publicly:

Signature:

_____

Name: _____Title: _____

Digital Assurance Certification, L.L.C.
390 N. Orange Avenue
Suite 1750
Orlando, FL 32801
407-515-1100

Date:

TAMARAC

The City For Your Life

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